

Privi Speciality Che (PRIVISCL)

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"Privi Speciality Chemicals Limited Q2 FY-24
Earnings Conference Call"

November 07, 2023

MANAGEMENT : MR. R S RAJAN – PRESIDENT .
MR. NARAYAN IYER – CFO.
MS. ASHWINI SHAH – COMPANY SECRETARY &
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MODERATOR : MR. KAMLESH KOTAK – ASIAN MARKETS SECURITIES
LIMITED .

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Moderator: Ladies and gentlemen, good day and welcome to Privi Speciality Chemicals Limited Q2 FY24 Earnings Conference Call hosted by Asian Markets Securities Limited.

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As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Kamlesh Kotak from Asian Securities. Thank you and over to you sir.

Kamlesh Kotak: Good evening everyone . On behalf of Asian Markets, we welcome you all to the 2Q FY 24 Earnings Conference Call of Privi Speciality Chemicals Limited .

We have with us today , Mr. R S Raj an – President, Mr. Narayan Iyer – CFO and Ms . Ashwini Shah – Company Secretary and Compliance Officer representing the Company.

I request Mr. Rajan to give us an opening remark about the business. And then we will get a financial update from Mr. Iyer and to be followed by Q&A session. Over to you sir, Mr. Rajan, thank you.

R S Rajan: Thank you Mr. Kamlesh. Good evening to all our investor fraternity and a warm welcome. And at the outset, let me begin by wishing you and your families a very warm, festive season ahead. And it seems that it 's auguring well, for our Company also. So, as you would have seen by the results posted on the numbers , remuneration will be done by our CFO. But based on the calls that we 've been having, you would appreciate that we have been practicing Privi values, which is essentially transparency, respect and care , sense of urgency, sustainability and safety. So, I'll start with transparency, we have been extremely transparent in all our previous calls, and especially after we got a feedback, that we should be engaging with our investors on a more regular basis. Our CFO has taken the initiatives to do that. And last time also we told you , that we believe that the worst is behind us and now we see us trending forward. So , let me start with safety, which is another value that we have. We have recently been awarded by the National Privi Speciality Chemicals Limited
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Safety Council Plaque -1, which is the first rank for our unit in Mahad , and also a certification of merit for some units in my Mahad . So, with that, we continue our track record of being proactive on safety. And we have been doing regular mock drills. And we 've also ensured behavior -based safety initiatives which has taken us to the next level in terms of securing our interest.

As far as sustainability is concerned, you will be happy to know that your Company has embarked on a mission to become a 30% biomass and biofuel user by the end of this financial year. And we will continue to make forays on that , which will also include solar power, which will also kick in starting this month onwards. And going forward, we will continue our pathway of sustainability become a coal free Company by the year 2025 , 2026 . And having said that, it 's a good sign that with all these initiatives, we have seen increase in the sales as compared to last year same time as well as quar ter-on-quarter. We 've also been able to see change in the raw mate

rial prices, which is helping us maintain our margins. And we also see the high value inventory, which was causing concerns melting and has substantively come down. And of course, in one of the forays we had made in terms of new technology on the Speciality chemical, we have been gaining traction, and I 'm sure on the way forward thanks to the vision of Chairman , Mr. Mahesh Babani . You will see that the Speciality chemicals which were foreseen as having a surge will take new value and new one use for the Company .

So, with those optimistic words and progress with growth as the only mindset. I hand over the baton to our CFO , Narayan .

Narayan Iyer: Hi, good evening to every one of you and a warm welcome to all my investors and I 'm on a very positive note , I would love to welcome all of you . The numbers for Privi as was expected have improved, there is an increase in the sales prima facie on account of higher volume. There is an improvement even within the segment wise sales, where Speciality chemicals has gone up . Some of our new products have contributed to the increase in the sales, which is auguring well, and in -line with what we from the Company Rajan, Ashwini and myself have been time -to-time appraising our investors that the Galaxmusk , Prionyl and Camphor will start the sales. And as expectedly sales of all these products have been decent enough, and have led to a contribution to the increase in the sales . Sales prima facie have increased as compared to the previous year, which I 'm talking about the comparison of September 22 vis-à-vis the September 23 . Volume -wise there has been an good growth of close to about 12% or so. So, this is well for us and as compared to our June numbers also there is an increase in the sale of almost about 7%. And that's how we, poste d healthy results.

And most important, as was appraised by me in my last call , most of our high value inventory that we were carrying over the last eight to 12 months or so, we have been able to consume , liquidate , prima facie and the results that you see a better improvement as compared to the raw material consumption on the sales that has led to the impetus on the margins. So, the margins

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have improved significantly on account of the low value of raw material being consumed in the major part of this quarter. We feel that going forward also the lower raw material will help us sustain our profit that we have been able to achieve in this quart er. And the Company has already taken a lot of steps in reducing various other expenses, be it the employee cost , or be it the power and fuel expenses, as you could see that our coal cost has been gradually coming down. It augurs well because most of the European countries have gone back to gas , coal prices have started coming in , availability of coal has eased out. And that 's how the high value coal which was there in the previous year and a little bit in the first quarter. That 's coming down and we expect coal prices may as we enter into the third quarter and fourth quarter could prima facie gets stabilized by another rupee or rupee and a half from the levels of currently it is being sold.

And we also have been benefited by constant reduction in the freight, good negotiation skills by our supply logistics, which has ensured that the prices that we are paying on the freight expenses both for inward and outward have also led to an improved profitability. And it seems well that in this particular quarter, when I talk about the consolidated number my E BITDA level is close to 100 crores about 9 8 crores or so is the EBITDA level that we have been able to do. And we feel definitely going forward and with the order positions and overall market scenarios in place, and the festive season that we are in, not just in India but globally also in the month of December, as you are

aware it 's the most important festival coming around . We feel that we will be in a position to sustain the numbers that we have posted in this particular quarter, and go on a healthy note as we talk for some of our negotiations for next year.

So, thank you, everyone. Thank you all the investors who have been with us for quite a long

time. And I hope that Privi will continue to set up and retain the benchmark levels that we have done. On that note Kamlesh, I hand over to you for the next session of Q&A. Kamlesh one more good news, just before the Q&A starts, let me also say that with proud and with great excitement, I would like to inform one more information to all the investors that our Camphor plant has been accredited with the FDA approval. So, we have just got this a few weeks ago which means that Privi's camphor which we will be able to sell in the market could also possibly be used in various pharmaceutical applications on that note Kamlesh back to you .

Moderator: Thank you very much. We will now begin the question -and-answer session . The first question is from the line of Nikhil from Perpetual Capital Advisors. Please go ahead.

Nikhil: Just a few questions. So, like you mentioned, on the energy side you are looking to invest in solar and go coal free by 2025 , 26. So, what could be the impact on the Company 's financials?

R S Rajan: The sustainability is much more than impacting the Company 's financials, our Chairman 's vision of re -earth and to go on a sustainable path is to ensure , that our growth is not only responsible, sustainable, it is also inclusive. So, we need to give back to Mother Earth and the

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planet , the way we need to search forward . I don 't see a significant impact on the financials of the Company , But, I see a significant impact on the carbon footprint that is being underused.

And as far as the solar power is concerned, we 've already invested in it, and the green gas emissions will substantively get eliminated or come down. So, those are the questions that we are having. And , if I fail to, our investors who have been so kind and so supportive, that in case there is a small percentage point or two, to bear for this sustainability, we should all see that as our contribution towards the next generations because at least they deserve the planet the way we inherited it, if not better.

Nikhil: Got it , but does it also help on customer side probably in European countries who really value sustainability significantly. So, in terms of sourcing does it give preference to companies like Privi ?

R S Rajan: Most definitely, because if you are not practicing sustainability, you are not in the head table. You don 't have your hat in the ring at all, because as consumers and social media marketing gets more aggressive, there will be communities who will boycott products which are not sustainable or who do not have a renewable source of ingredients. So, Privi will continue to enhance its value by doing responsible and sustainable practices , and I'm sure all the key accounts and customers who are in the Fortune 500, they not only value that , they appreciate our foray as they have done so even in our sustainability development goals, where we are already meeting, eight of the 17 SDG goals.

Nikhil: Okay. And sir our EBITDA margin in the current quarter have moved to almost 20%. So, what have happened, has there been a change in product mix or so , I've never seen these kinds of margins at Privi and have been sustainable.

Narayan Iyer: Okay, Rajan can I answer that?

R S Rajan: Yes, absolutely.

Narayan Iyer: The reason is that, most of the raw materials, high value raw materials which we had and we had procured in the past, was prima facie consume, there has been a good improvement in the Speciality chemicals that we have sold in this particular quarter,

because we see that there is a

spurt over on Speciality chemicals where margins are better. Low cost of raw materials has also helped in getting better margins for our bread and butter products, like whether it's a Dihydro Myrcenol , Amber Fleur, Pine -Oil, Terpeniol, good Galaxmusk sales has also gone up and beyond a particular breakeven sales that the Company achieves and asset turns , mostly the gross margin then becomes the net margin for the Company . So, all this put together our margins and EBITDA levels has improved. I would also like to say that these sorts of numbers were also achieved, if you could go back to some of our financials of 18-19, 19-20. In fact, it is also there on the annual report that we printed in this year, on page number three or four that, going back Privi Speciality Chemicals Limited

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to about three years ago our overall margin in that flow also, we had shown that Privi is capable of getting those 18 % to 20% of margin . So, it's not that it has not been achieved , it's not that we cannot do it, it 's only that over the last two and a half, three years, we have been spending money as far as possible on expansion, to keep in view our vision of going to the 3000 crore mark, where we saw that some of the products that we wanted to enter whether it was a Galaxmusk, Prionyl or Camphor, these products and as well as increase some of the existing product capacities of Pine-Oil, Terpeniol, Dihydro Myrcenol , Amber Fleur and C ST processing , all this took about 800 crores as we spoke about, and those have now started to sweat around and the

moment we are able to cross the threshold of the breakeven, these margins will definitely come back in fact. Specifically, I will ask you to look in at 19-20 financials where our EBITDA margin for the entire year was as high as 21.74% in fact. So, it's only been that in 21-22, 22-23, the year of CAPEX, the year of the war, the year of COVID, and increased cost, and all the turmoil that we had, and which have been in time and again enumerated to all my investors, to all those who have been associated with Privi, the reasons that it was, and why it was happening around, we feel that we are slowly coming out of all that issues and problems and high value inventory, and slowly getting back the Company into normalcy. And we expect that, the normal range to be in that level of about 16.5 to 19.5, which we keep talking about. And once again, I would like to reiterate that when we talk about our margins, we also prima facie consider the other income where, I have a lot of my sales and purchases, Forex which comes in and sits around since we need to comply IndAS standards in India where as per the accounting policies, we have to classify them as other income but these are my operating income. I'm not actually playing in the derivative markets or so. So, this is something on account of the timing differences between the accounting a sales invoice today, receiving the money subsequently or accounting an purchase invoice today and then paying it after the credit period in fact.

Nikhil: Understood. And sir how does the demand scenario look like going forward. So, I've been tracking the top blenders of the world, since a couple of quarters and at the start of the year, we spoke about destocking and the momentum picking up in the second half of the calendar year. And, even in the last two quarters, in their commentary they say that, consumer fragrance is yet, has picked up now in high single digits, while the fine fragrance is where the growth is coming from. So, how does it look for the Company and for the next few quarters, how does it look like?

R S Rajan: On the demand side, definitely fine fragrances have been doing fine. It's probably because a life in many facets have bounced back to normalcy and since we always say that, our products are intertwined with human

human habits, so it has a tinge of anti-recessionary opportunities because habits don't change overnight. However, let's all be responsible and be cautiously optimistic, because the world has never been more VUCA than what you see today, just when we were still dealing with the Ukrainian war, we have now a war between Israel and the Palestinians. So, all these have a telling effect on the overall geopolitical environment. So, it won't be prudent to predict whether the demand is going to surge up or come down, but I can say that we can be cautiously optimistic. Privi Speciality Chemicals Limited
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optimistic because our products are related to day to day use in human habits, except for the fine fragrances which comes into a different segment. But since we are addressing all the segments, and we are always looking at innovation, thanks to our Chairman driving the R&D initiatives also. We will be able to tide over all the bumps that we encounter on route.

Nikhil: Okay. And sir in the current quarter the growth is driven by exports or the domestic market because in the annual report you had mentioned the Company has added Unilever as a client, so that is probably for domestic market. So, what is leading the growth now?

R S Rajan: In the given segment, both are showing a sense of growth. However, in the recent past the growth has been a little I would say cautious and we hope that the second half is going to continue the trend.

Narayan Iyer: Precise in answering, the growth is both exports and in domestic, because we maintain our ratio of 70 and 30, this quarter also it is almost at similar lines of 68.88 of the export front and about 31.12% on the domestic front. So, we broadly it was going to be a 70:30 ratio this quarter maybe a percent here and there on account of Camphor sales which predominantly happens in India. And so those has been robust in across the globe in fact. There could be certain segments of the market globally also, maybe Latin America was down, but Europe was better, because the destocking as a process has come down. So, people have started lifting the materials more proactively, so that their production levels is also looking up, season of the festivities is around the corner in most part of the globe. So, they would definitely want to capture the season which means that, they are not in a position to be zero inventory at their level. So, all this has really helped us around to garner ourselves and post a decent number both in volume as well as value as we speak this quarter which has got completed in September. And going forward, we see almost similar trend that could possibly happen in this quarter of Q3 of October to December where numbers may hit up, the volume is looking good, demand is more or less strong. If this happens, it augurs well for our Company, for your Company and you should be in a position to see that we should have good Q3 business too.

Nikhil: Okay, nice to know that sir. And how camphor has been received, now since it's the first season for the Company supplying camphor. So, far how has the product been accepted in the domestic market. And with the FDA approval the timeline for, how long does it take for you to start supplying to the pharma space now that you have an FDA approval?

R S Rajan: Go ahead.

Narayan Iyer: No, Rajan you say, and then I will fill in if anything needs to be added , go ahead Rajan.
R S Rajan: So, the camphor since it is also season time has shown a good acceptability on sale, of course as a new entrant who is having its first year of sales, we are going to be entering a competitive
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space. But since we have now made forays into an FDA approval, we have seeded the first inroads into the pharma companies. And , I see in the second half acquisitions of some of the key customer

s as we go along. But overall, it 's good to say that considering that this is the first year of our camphor performance, the reception has been competitive but very encouraging.

Nikhil: Okay . One last question from my side is on the balance sheet front, while the inventory has come down versus the March quarter, where do you see this settling and can you also comment on the debt, that has slightly come down but what can be a good level to see maybe in the next six to 12 months ?

R S Rajan: We expect inventory to reduce further and as I say, I cannot talk in absolute terms in rupees. But the idea is to get the inventory level in number of days, because if we are going to keep growing, idealistically we would want an inventory keeping the various product mix that we have , five different segments of pine , specialty , et cetera . And then you have the sandal and now the mask is another segment which is coming around, in fact . Inventory level should settle down anywhere between 120 and 135 days. So, we are striving to get it closer by March end to the 130, 135 days maybe even a little lower. And going forward work on a 120 day inventory pattern as this could be the best for us, especially we are also having a sales GIT and purchase GIT because we buy material from various corners of the world on an incoterm basis of ex works. So, the moment you have an ex works, it means that we need to take that as a inventory in your books, because the owners of risk , or the owners of ownership passes on to us. Similarly, when it comes into sales, as you 'll see that because of the IndAS adoption, and also having BL and DA, DDP , DAP terms that we have with many of our customers. So, this also gets termed as part of the inventory. So, this actually eats away almost close to about 30 days of the inventory level that we are showing in our books of accounts. It definitely augurs well, and our goal is to as I said, get towards the optimum level of 120. The moment we achieve 120, then we look at improving to 105 days. The second on the debt front, as you see comparing to March, we already about 90 crore lower than what we were, and maybe close to about 150 crores lower than the peak level that we had, seen our debt going somewhere around November, December of 2022 in our previous year. So, we are at about 995 net of cash , I'm talking about on the console level . We feel if things go the way that it is and as also mentioned to the investors that by March, maybe I should be in a better position to bring it to about closer to 900 and look to achieve somewhere around 850, 875 crores. So, that's the overall debt scenario that it can look at for the Privi on a consolidated basis

Nikhil: Okay, just a clarification of the 120 to 135 odd days target for the inventory days that includes the GIT part right?

R S Rajan: That's correct.

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Moderator: Thank you very much. The next question is from the line of Archit Joshi from B&K Securities. Please go ahead.

Archit Joshi: Sir, I just wanted to ask you on some of the projects that you are considering which are already commissioned. My question was regarding some of the projects that you are considering, which either could have been commissioned or are in advance stages of consideration . Sir if you can give an update with respect to their status. So, one of them will be the Galaxmusk project , the Prionyl project obviously you discussed a bit on Camphor, and the other one will be our JV with Givaudan , so where would we be in terms of revenues or the ramp up of the capacity?

R S Rajan: Go ahead Narayan.

Narayan Iyer: No, go ahead Rajan.

R S Rajan: Okay . So, Archit thanks for bringing those products into the radar . On Galaxmusk , we are having a good progress on the same. And the quality that we are producing is being really appreciated by customers. And we

also want to continuously not only improve the efficacy and the purity of the product, we also want to ensure that we have a seamless and on time delivery for all our key customers. So, at this point of time, we have surged up to about 60%, to 63% usage of capacities, including all mixes. And hopefully, by the middle of next year, we should surge ahead more on the volumes, because we will be able to throw more light on it in the last quarter of the coming financial year. As far as Prionyl is concerned, Prionyl is not something that we ever had a plan

to rush into, we want to make sure that the Prionyl that we produce not only is top of the line in terms of quality and all effectiveness, it is also something which has an element of innovation in terms of renewability around it. So, our scientists are making some fantastic progress. So, we are already supplying those products to some of our key customers. But the surge will follow maybe after another six months or so. At this point of time, it is fair to say that we are taking a decision of how much to scale up depending on the targets that our internal team is meeting and it's being monitored from the Chairman downwards on a regular basis. So, we definitely are going to be one of the most important players in the Prionyl product. So, things are auguring well for the future.

Narayan Iyer: To answer something on the numbers, definitely as Rajan stated, Galaxmusk is really doing wonders, when we talk also as well as the Camphor, so Camphor in this first six months have really contributed in terms of both volume and value where we are competing with many of the existing customers so it's close to about 20 odd crores of sales that has come in the first half of the years, competing with the existing players. Galaxmusk definitely has, overall sales it's contributed close to about 65, 66 crores to the sales pattern for the first six months in Privi and volume also is very decent, as Rajan rightly put it in fact and we feel that we will be forced to reckon with on this product going forward also in fact.

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Archit Joshi: Great sir, that's quite heartening to hear. Sir also I asked about the JV that we have posed with?

R S Rajan: Yes, so I'll just give you an update. As far as the JV is concerned, at this point of time it is progressing very well and we are having regular interactions and reviews as a one team between our JV partners, Givaudan and us and everything is progressing as per the schedule and in between there was a hiccup where the project was about 15, 20 days the unscheduled but team has worked hard with a sense of urgency to make sure that they are making up on the time. And they are true to the way Privi moves. We are also going to be adding value to the JV as we go along. And you'll be hearing this as one of the good examples of a global Company with a local Company localizing opportunities and taking it to the next level. So, hopefully by next year will be in the news for the right reasons.

Archit Joshi: Great sir. Sir there is another project that we have spent significant amount of time and probably money, manpower everything to develop the green renewable laevo menthol. Any updates on that front sir?

R S Rajan: No, R&D effort goes waste. It's a matter of timing and it's a matter of how we have to secure the investments, and the return on the investments for our stakeholders and our investors. So, we are going through a high level of permutation and combinations, to see that we are able to give a renewable menthol where any material that we use is going to be sustainable in terms of price parity. And given the situation that we see in the world, this project is definitely going to go forward, in what shape and size it will be too early to predict. But, I would say this, that we are very serious about this project

and there's a lot of work going on in the R&D where the scientists are achieving some amount of traction. But in the time we get a game changing breakthrough, Privi is not known to launch products and take a backseat. In whichever project that we launch, we would like to be among the top players. And that's always been our quest. And we have proven it time and again. So, you should see the evidence of our track record where over 20 years we've had a CAGR growth of almost 19%.

Narayan Iyer: And to add to what Rajan stated, to put a very serious matter into a light hearted manner. I feel that, as told to the investors it is time that we garner all the money that we have, and it should be cash is king. Most of investors were saying that we went overboard with investments and with CAPEX. So, it's time that we get the money back into the system, investors are happy before we can go and launch the next CAPEX as you all are aware laevo menthol, menthol, green menthol what we talk about is the dream project of our Chairman, at the appropriate time we will launch it but having good financial, strong financials, so that our investors will back us in ensuring that we embark upon such a very prestigious and ambitious project, which is highly capital intensive. On that note Kamlesh back to you.

Archit Joshi: Could I squeeze in one more question?

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R S Rajan: Sure.

Archit Joshi: Sir, I'm just picking up from the last concall, we were speaking of some more clarity with respect to how contracts might pan out, let's say somewhere in November and December, during which probably you might enter into negotiations with respect to volume or prices. Given that we largely cater to the personal care category, wherein two of our flagship products, Amber Fleur

and Dihydro along with the new fixative that we have the Galaxmusk, finding applications in these discretionary personal care categories, knowing that the current inflationary environment in the western world is kind of biting into quite a lot of their economic progress. How are we in terms of that business cycle, let's say for the next one, two years, I'm slightly speaking from a nearer term perspective if you may?

R S Rajan: We are in a good position, because Privi has a track record of reliability, credibility and sustainability for the past two decades. And the luxury segment is growing as you can see even in markets which are under pressure economically. So, in the fine fragrances, the future continues to be bright and even the companies which are into the mass segment, they have been using our ingredients to make a differential in a fiercely competitive environment and the customer is always looking at add on value. So, even in categories like detergents or your antiseptics and your sanitizers or soaps, et cetera. The consumer is always looking for a lift to his senses. And as far as all effectiveness is concerned, you have to get the right mix and we have some brilliant fragrance and blending setups with whom we have a preferential status. So, we are in a good position and since we've got all the ticks on the right boxes, the future continues to be bright. But while I say this, I put a hashtag, that given the scenario we need to be optimistically cautious, and continue to stay positive. Because we are a battle hardened team and we have overcome many bumps and I don't see any reason while going forward when the worst is behind us, we should not progress better.

Moderator: Thank you. The next question is from the line of Viral Bhansali from Pearl Investment. Please go ahead.

Viral Bhansali: I wanted to ask you a question regarding your JV with a Swiss Company. I don't know how you spell it Givaudan, please correct me. What are the products you are intending to manufacture in this JV and is this JV intended to be

an outsourcing unit for Givaudan operations?

R S Rajan: Yes, the right way to call this is Givaudan. And this JV has its own identity because it's a 51% shareholding of Privi and 49% of Givaudan. So, it's called PriGiv. So, that's the name of this JV. And we are in a understanding that we are going to manufacture 40 products. And we are going to pass on these products to Givaudan on an exclusive basis. That is the foundation of the JV. But that does not stop us from going forward in the future times of exploring other
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opportunities which this JV will bring about. But these are early days, first let's get the product sweating for all of us and then we will be happy to share the progress we make on it.

Viral Bhansali: So, are these products overlapping with the products already we are manufacturing?

R S Rajan: No, they are not. You see, they have recognized after two decades of association with us our ability and they have great belief in the Chairman's vision and the team that he has built over the past two and a half decades from scratch. And many of our key people who occupy the core fulcrum of the first and second rank, they have on an average been with us for anywhere between 12 to 22 years. So, with such a lineup of people and talent, they have given us their repos trust in us to handle complex specialty chemicals. And so far, the team is doing well. And, I hear some of you congratulating us. We are just custodians, and we will carry on this congratulations to the entire team who sweat it out for us in the plants and in the market.

Viral Bhansali: So, what is the scale that you wish to take this plan to, because Givaudan is a big organization, €6, €7 billion organization. So, for us it's like the sky is the limit. So, how big can this JV get?

R S Rajan: See, at this point of time, it will be sort of exaggerating, if I say that we have some great plans for it, it has a good plan it is going to be very positive and progressive. But at this point of time we are focused on delivering the specialty chemicals that we have been entrusted to do and we are approaching it competently and responsibly. And once these deliveries take place after that, we can maybe have phase two and phase three. At this point of time we are focused on the task and these are not volume journals, they are highly complex Specialty chemicals which need to be made in the same plant. So, they have their degree of complexities which they have trusted us to manage and we'll be able to navigate around it.

Viral Bhansali: Okay, sir. So, your target of achieving 3000 crore revenue involves Givaudan revenue, the PriGiv revenues, potential revenues?

R S Rajan: No, so when we spoke about the 3000 crore it was with regard to Privi and Privi's own products that the infrastructure, the volume, the capacities that we have built up and set up should be good enough for us to go closer to the 3000 crore. Whatever we do with the JV will be over and ahead apart from that.

Viral Bhansali: Any timeline as to how, till when you wish to achieve the targeted revenue?

R S Rajan: Okay. As mentioned in some of our earlier investor calls and also informed by our Chairman during the AGM. So, we target that, we should be in a position to go closer to the 3000 crore in the next two and a half, three years or so. So, maybe by 25, 26 or so we could be possibly reaching towards a 3000 crore mark.

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Viral Bhansali: And sir lastly, considering our history like, is it possible that we may some time in future templates selling ourselves to the Swiss giant?

R S Rajan: Why would you have a guess on that?

Viral Bhansali: Because we already did that once with Fairfax.

R S Rajan: No, we never sold our Company to Fairfax. They were one of the major invest

ors and Mr. Babani

has been running the Company for the past 25 years. And I'm sure that he can do that to another 25, you ask me given his energy levels that he's one of us who is growing younger. So, these speculations have been around in the market more so because of the JV. We have never hesitated to share anything that is happening of importance in our Company. And we don't have to speculate, at this point of time he is the majority shareholder in the Company, he is leading the Company in fact, he's made many sacrifices this year. In order for us to bounce back, including taking a salary cut and salutations to such a visionary leader. We should encourage such initiatives, rather than always speculate about sellouts.

Narayan Iyer: Let me also add to what Rajan has stated, in fact it is actually doesn't augur well, that your question about selling out or something. When Fairfax came in, they came in with another primary infusion and it's been in Privi's culture, I've been associated with this Company for more than 15 years, we have had P firms who come in with a primary infusion, helps the Company to grow. We have a mix of equity and debt, take the Company to the next level. augurs well, every P has a benchmark level of anywhere between three to five years. So, they finish off their term, the next set of investors come in, they pay off the first set of investors, bring in another primary infusion into the Company. We then develop more products, expand ourselves and that's how Privi has grown in the last 15 years if you see, we have gone from 100, 110 crores. I joined this organization way back in eight to date we are closer to the brink of 2000 crore mark. So, it's the way that we know when to get the equity, when to raise a debt, how to grow the Company and as Rajan rightly stated, we've been led by a very capable leader, in the form of Mr. Mahesh Babani, who has a vision set, who has already put India on the global front as far as the aroma chemicals is concerned, and especially in the pine space that we are leaders, we are global leaders in all the main products of pine, why should we look at something else in fact, another investor asked when are we going in for our dream project, we will go at the appropriate time. So, at that time, when we feel we would be raising money by way of equity or by way of a debt, it will be a culmination, maybe a balance approach that we go in. But as of now, we had about two, three quarters which were not too good, it's our also moral responsibility towards our investor, towards our bankers, towards our promoter, towards everyone associated with Privi, whether it is my customers or my vendors, that we put Privi back into good financial stability for us to take the next set of decisions, in fact. So, we really do not want to take or answer anything in haste. It's whatever happened in the last couple of years was beyond our capability of mending it. In

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fact, it happened there was a COVID, there were certain delays in getting the permission from various government agencies, the war erupted and this went beyond our reasonable capability of arresting and keeping the Company under check and keep on the growth path. I believe, we are now doing that what is needed and we will definitely ensure that our investors will be happy as we keep going around in the next couple of years in fact.

Viral Bhansali: No doubt about it, your response is very much appreciated. Maybe, I phrased it a little bit wrongly. Something on the similar lines of Fairfax where a big Company like the Swiss giant that we have a JV with. We can be handled by them and they can take us to the next level because as Mr. Babani has always led to investor wealth growing. I've been with this Company from Adifinechem times and up to which Fairchem took it and then Pr

ivi was merged into it. So, I've

been with this Company for pretty long period of time. And they've really generate a lot of wealth for investors. So, my question was basically, on those lines as to, if any particular tie up or Fairfax kind of arrangement which can take us to the next level, is what I'm actually meant.

R S Rajan: See at the appropriate level, if at all anything happens around, we would be the first people to announce it to the world. And the investors will be definitely kept in the know of it, as of now, let's favor our good performance and let's hope and pray that this performance we are in a position to keep repeating quarter-on-quarter.

Moderator: Thank you. As there are no further questions from the participant, I now hand the conference over to the management for closing comments.

R S Rajan: A hearty thanks, full of gratitude. And on behalf of the entire Privi team, I once again wish all of you a very happy festive season ahead. And sometimes, when the bounce back is good. There could be some questions, but then we are witnessing a World Cup, where our team is nine matches winning in a trot. So, when something goes that good also, we start worrying that when are they going to lose one match at least . So, let's not do that , let's stay positive we are going through a tough geopolitical situation and your Company is doing everything that we can in terms of risk mitigation, and also opportunity realization, and every crisis that Privi has faced, just turned it into an opportunity. So , I gratefully humbly on behalf of the Chairman and the entire team, thank you once again and we wish you the best of festive season and the year ahead.

Narayan Iyer: I augur well, what Rajan has stated and once again wish all my investors, shareholders, bankers, everyone associated with Privi a great Happy Diwali and a wonderful New Year. Be safe and God bless all of you.

Moderator: On behalf of Asian Markets Securities Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines .

Call: Feb 2024

4,

February 16, 2024

Dear Sir / Madam,

Ref: Letter dated February 01, 2024, providing Audio link of the Analyst / Investors Meet

Sub: Transcript of Analyst/ Investors Meet held on Wednesday, January 31, 2024

In addition to Audio Link shared via letter dated February 01, 2024, please also find enclosed the transcript of the Analysts/Investors Call on the Un-audited Standalone and Consolidated Financial Results of Privi Speciality Chemicals Limited for the third quarter and nine months ended December 31, 2023, held on Wednesday, January 31, 2024.

You are requested to kindly take the same on record

Thanking you.

Yours Sincerely,

For Privi Speciality Chemicals Limited

Ashwini Saumil Shah

Company Secretary

Encl: As above

PRIVI SPECIALITY CHEMICALS LIMITED

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National Stock Exchange of India Ltd

Exchange Plaza, Plot no. C/t, G Block,

Bandra-Kurla Complex, Bandra (East)

Mumbai- 400 051

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"Privi Speciality Chemicals Limited Q3 FY-24
Earnings Conference Call"

January 31, 2024

MANAGEMENT : MR. R S RAJAN – PRESIDENT

MR. NARAYAN IYER – CHIEF FINANCIAL OFFICER
MODERATOR : MR. KAMLESH KOTAK – ASIAN MARKETS SECURITIES
LIMITED.

Privi Speciality Chemicals Limited
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Moderator: Ladies and gentlemen, good day and welcome to the Q3 FY24 Earnings Conference Call of Privi Speciality Chemicals Limited hosted by Asian Markets Securities Limited.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Kamlesh Kotak from Asian Market Securities Limited.

Thank you and over to you, sir.

Kamlesh Kotak: Thanks, Aditya. Good afternoon everyone. On behalf of Asian Markets, we welcome you all to the 3Q FY24 Earnings Conference Call of Privi Speciality Chemicals Limited.

We have with us today Mr. R S Rajan – President and Mr. Narayan Iyer – CFO representing the Company.

I would request Mr. Rajan to give his opening remarks and the business update following which Mr. Iyer will take us through an “Overview of the Financials” for the quarter and nine months, post which we shall begin the Q&A session. Over to you Mr. Rajan. Thank you.

R S Rajan: Thank you, Kamlesh and good morning to all our stakeholders, and we welcome you to this investor conference. And we are very grateful for your support as always.

As we have been having regular interactions with all of you, you will have noticed that some of the things that we have been anticipating and sharing are falling in place one by one. So, we continue to have a good outlook going forward. But we would like to remain cautiously optimistic in a VUCA world. So, I start by reiterating that our Chairman has a very clear vision on the way forward. And the vision has a team which is battle hardened and have been through many crises using it as an opportunity to succeed and grow. And the vision and ambition falling in line, we are governed by our values, which shape our culture, which is safety, sustainability, a sense of urgency, transparency to build trust, teamwork, and transform the results and finally, respect and care for all our stakeholders.

So, this chugging forward so far year to date, and the quarter that has gone by, has been going reasonably well for all of us to take an optimistic note of the coming times. The challenges continue. So, as far as our preparedness is concerned, on the safety front we have raised the bar being a chemical Company that is something that we constantly do. We have been having mock drills, we’ve been having wet drills, we’ve been having night drills. And as far as the people are concerned on the EHS front, we have been taking good care of them and motivating them. Because, if our people are happy they keep our customers and they keep our stakeholders happy. And we have left no stone unturned on that front.

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On the sustainability front, which is this second value that we have, we have been making strides, we have EY as one of the consultants to take us through the sustainability path. We have had some achievements in the quarter that has gone by, we have FDA license obtained for the camphor plant, we have the RSPO certification, we have the Sedex audit with no non-conformities being repeated and the future goals we are going to improve our EcoVadis score to upgrade the same. Hopefully with your blessings, we will get the goal. We are upgrading our CDP score and the WHO GMP certification and in the audits conducted by some of our key customers, the TF has already scored 85% on the EcoVadis the Indian average is 42%, and we continue to grow at (+65%). So, these are all good markers for sustainability, and we are also chugging along to meet our targets we have already made modification to have at least 20% to 30% of our feed

to be coal free. We are using briquettes and moving forward.

As far as the Company outlook is concerned, we have been facing some sort of slowdown and some challenges on the supply chain. But as far as the global outlook is concerned, this year continues, the calendar year continues to be moderate, but it’s going to open out because the global economy is also very resilient and as I keep saying we are an anti-recessionary business, whether we have new technologies coming in or not, what is important is that whether the incense sticks we burn, the detergents that we use or the sanitizers that we use, or the fine fragments that we use, everything is here to stay.

So, your Company is in the right business and on the financial numbers, we will have Narayan

talk about it more at this point of time, all I can say is we are on the right path. As far as our feedstock is concerned, 75% of our feedstock is renewable. So, we are doing fine. And we continue to retain all our key customers and we have increased wallet share with almost all of them.

And I conclude before handing over the baton and this initial overview, by quoting Douglas MacArthur who said, "There is no security on this earth, there is only opportunity". We believe in that, and we will continue to serve our stakeholders diligently, sincerely and competitively. Over to you Narayan.

Narayan Iyer: Thank you. Thank you Rajan and thank you Kamlesh and a warm welcome, good afternoon to all the investors.

Well, I'm pretty happy with the way the Results have panned out for the quarter ending 31st December 2023. Though revenue has dipped, overall margins and margin as a percentage to the sale has gone up by almost 2.5 basis points. We are happy that we are back on track, all expenses under control, what was always communicated to all investors with regard to the lower RNCs to sync in, which will help get us back margins. September was a beginning and now you see that in the quarter ended December the raw material percentage to sales has further dipped down, which has helped really performed well, get the profit and margins into it.

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Y-o-Y there has been a 17% growth overall, as compared to previous year and this particular quarter, and September and December, there's a slight dip in this quarter by about 1.2% or so as compared to the September quarter numbers that is why on the revenue front you see on the consolidated basis a dip, but margins have withstood because there has been a lot of cost reduction happening around the cost of power and basically the coal cost is under control, freight expenses is under control, most of the freight contracts also are at the lower cost. So, this really has helped the Company to turn around, from the additional quarter that we had in March 23, which left quite a few of the investors wondering as to where we are.

And the most important point is that, the sales coming from the new products of camphor, the Galaxmusk range of products and Prionyl all are picking up and this is really going to help us do better going forward. And as I speak to you the Calendar Year '24 contracts and orders are more or less in place, it looks to be a good year for Privi, outlook is definitely optimistic and the performance that we have been rolling and September and December I feel we should be in a position to sustain and improve upon that volume wise and value wise you will see the growth happening around as we go in the quarters to come by whether it is going to be this Q4 of 23-24 or the Year '24-25 Privi definitely is looking at a growth both in terms of volume, as well as in terms of value, you will see a growth happening around and I'm pretty sure that the bounce back has started which is what we have been trying to address all our investors that it was only a matter of time that we are able to turn around and the momentum will be kept it. On

that note, I

ask Kamlesh to take it over and we are ready for any questions that the shareholders or investors or potential investors or stakeholders would like to ask the management about it. Kamlesh all yours.

Kamlesh Kotak: Yes, Aditya we can start the Q&A session.

Moderator: Okay. Thank you very much. We will now begin the question-and-answer session. Our first question is from the line of Ashok Kumar an Investor. Please go ahead.

Ashok Kumar: I have heard all these points about the features of the Company. My first request is that, since long time the Company is not submitting this investor presentation, if that will be available it will be a good for the common investor because, for us to join the conference call and get more details about the Company is not so much easy, but if we can get handy something, so that whatever the Company's plans and all these things are there, we can get that one in our handy thing. So, we can be very well assured, how the Company is progressing.

Narayan Iyer: Noted Ashok and going forward we will try to possibly put in a presentation as we were doing in the past. So, you will be updated about it. So, this is a good suggestion, and we will try to implement the same once again.

Ashok Kumar: And now some more things which I have gone through the balance sheet and the details, first thing that it appears Company has gone for a long expansion and bought a lot of fixed assets.

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And also the Company as per this auditor's report also some borrowings are also becoming big and all these things and out of our net profit, a lot of part is eaten away by the interest as well as the depreciation. So, Company can give some details about this expansion plan, what is the expansion plan, how the Company is progressing, I have gone through the credit rating report

and from there, I have come to know that the Company is exporting 70% of the, revenue generating from the 70% of exports, as well as there are lot of raw materials are bought and the fuels and all these things are affected by this fluctuation in the dollar or the foreign currency. So, please share some details on this one.

Narayan Iyer: Yes, Ashok all these details were already uploaded on our investor presentation. It is there on the website. But to keep you briefed, since this question has been asked now, Privi went about setting up at 800 crores expansion plan way back in September 2019. It's taken about three and a half years for finally all the capacities to be put in place and all the so called expansion mainly on account of three new products, with almost a volume of close to about 10,000 metric tonnes. These products are Camphor, Galaxmusk, and Prionyl. And all three products were capitalized somewhere around last year, we had some challenges and issues in getting the permissions from both the governments that is government of Gujarat and government of Maharashtra from the EC because all these were new products. And that is a reason why we had to borrow a little bit of money from debt and a part of the profit that we were earning. So, it was a combination of debt and equity. And these plans were capitalized respectively in the month of September 2022, June 2022, Prionyl and December 2022 somewhere around Camphor. So, finally the permission from the government, Maharashtra Government and Gujarat Government came in the month of January and February respectively. And the first full year of operations where we will be in a position to bid for the contracts is this Calendar Year '24. So, that's the scenario with regard to CAPEX we expect these products to really help gain the momentum to our growth story, apart from our existing products that we have. And we expect this momentum to really turn around and take the Company to a growth both in terms of volume and in value as I talk about in the quarter Q4 of '23-24. And also

, for the entire Financial Year of '24-25 we expect volume growth of close to about 25% over previous year, and maybe value growth of about 10% from whatever we achieve in the period of '23-24 financials in fact.

Ashok Kumar: Anything about this return on equity because return on equity has been falling down from ten years average of the 14% to 3%?

Narayan Iyer: Yes, basically the fall you are saying is that we had two very bad quarters, December 2022, March 2023 and then the turnaround started in June 2023 onwards. So, when you see the trailing earnings and ROE, et cetera definitely it is bad. But, I can only assure you that basis, the performance and the turnaround that we have been able to pose, it started from June 23 onwards, and then September you have seen a good quarter, the margins have really improved December it is further improved upon as committed around, you can expect both ROE and ROCE to be in mid to high teens going forward by the year end in fact. When I talk about year end, it will be in the 2024-25 numbers. If I had to talk about only on the year, March 24 numbers, it should be in Privi Speciality Chemicals Limited
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the teens what it used to be in the past inside, we were trailing when you take the trailing 12 month period, in this trailing 12 month period we have had three bad quarters that is what is killing or hitting all by ratios, all my analytical, fundamentals because these three quarters were one of quarters where we had low sales, less margins and these have been communicated to investors on every quarter call that we were having as to why the margins fell down, why certain expenses have gone up and all but that's a thing of the past, I really do not want to harp too much about what was bygone and what was bad. I can only talk about that good times are here. And investors will really be happy as we progress, you have seen my commitment when I spoke to you post the June quarter call that September numbers will be better and then thereafter December will be better. So, I maintain that previous momentum about both growth in terms of volume as well as in terms of the margins percentage wise, value wise, we'll keep improving as we go about. And the momentum what we can see at Privi and definitely it is going to be good times going forward for the Company and all stakeholders and investors associated with Privi.

Ashok Kumar: Thank you. Only my one last suggestion as the Company has gone through all these bad phases and everything. Should Company had any plan to raise rights issue from its investors, so that the interest which the Company is paying, that can be controlled or can be minimized and in return the shareholders may with partners in the growth of the Company?

Narayan Iyer: Ashok, thank you for that question. But, we are closely monitoring the situation, as and when we feel that it is appropriate and there are some new things which we are looking at, we shall be coming into the market either with a rights issue or a QIP issue to bolster and possibly ensure that the ROC, ROE improves about but we are performing decently well, you have seen that the last two, three quarters have been on the right path, the growth trajectory is there, most of the ratios are getting back into normalcy whether it is a debt EBITDA or the debt to equity, these what were pretty maybe a little bad or as compared to what we principally believe to be a good one, we are getting into a better trajectory and at the appropriate moment, we want to consolidate our financials, we want to consolidate the numbers and once we feel that we are getting much,

much closer and much better with regard to all the financial parameters, we come back to the market possibly with a fresh round of equity so that for future growth plans that we have maybe we can start with some sort of an equity funding. We will definitely keep the investors informed as and when we t

hink that we want to raise equity from the market in fact. On that front, I believe we can go to the next question.

Moderator: Thank you. Our next question is from the line of Tejas Sonawane from Asian Market Securities. Please go ahead.

Tejas Sonawane: My first question is largely around the current market environment in key export regions of US and Europe, since we have a large export exposure to these key regions, have we seen any kind of impact owing to the destocking trends which you are witnessing, in these two key regions and has there been any kind of negative impact on our exports, so into the destocking which is happening in these two region?

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R S Rajan: Narayan, I would like to address that.

Narayan Iyer: Yes, Rajan please go ahead.

R S Rajan: So, Tejas thank you for that question. And you are absolutely right in expressing and inquiring your concerns on the export exposure, because that's our salt and bread 70% of the business comes from exports. But as far as the current market outlook is concerned, especially in the recent past, couple of indicators which are evidence to the fact that we are in the right trajectory as my colleague Narayan spoke about, which in turn impacts the financial outcomes. We have already booked 70% to 75% of our order book for the calendar year, January to December. So, that should give us a lot of optimism that the order book is already 75% and right now we are in the month of January. Going forward, we would continue to ensure that the order book is not only filled up, we have also started getting POS and we have also started getting orders from our key accounts and customers. And all those orders that are coming in now are coming in, not on a pro rata basis, but slightly above the pro rata. So, that also augurs well. And let's hope this trend continues. Yes, markets will have peaks and valleys but those peaks and valleys in the market, they cannot be predicted beyond the point because war doesn't come announce, the conflicts in the Middle East doesn't come announce and neither does the piracy intrusions which are happening. But we are well equipped to face all these uncertainties and still go around it. And we are in very close communication with our customer as we speak also, yesterday also we had meetings with our key customers to form strategies to co create and work together to continue on the pathway of success.

Tejas Sonawane: Okay, that was very helpful sir. Secondly, my question is basically around our three new products which we came up last year. Could you provide some details regarding the current capacity utilization on these three products, namely, the Galaxmusk, Camphor and Prionyl and what is the timeline when we can expect to reach peak utilization from these three products. And also, if you could provide us some updates on our ongoing project mainly menthol and Givaudan and any broader timeline as to when we could expect the commissioning of these projects?

Narayan Iyer: Thanks, Tejas, good question with regard to the. I was put on hold or something on that. Can I possibly answer. So, Tejas to answer you. Good question in fact, as far as the three products that we talked about Galaxmusk, Prionyl and Camphor as just about informed to Ashok this is going to be the first year of my full-fledged contracts that I will be looking at. We are expecting the capacity utilization to be closer to about 75% to 80%. The order book position on Galaxmusk has been fantastic. And the capacities are really good being wrapped up and ramped up at a pretty decent pace, Camphor and Isoborneol capacity as we speak about. We had a good first season as far as volume is concerned and we expect that this year also we should be in a position to be close to about 75%, 80% at least on the Camphor Isoborneol, if not more and you are aware that season for this product once again

n starts somewhere around May and June onwards and right up to November, December. So, the numbers are definitely looking very promising as we go about, so I am talking that from quantity wise Galaxmusk is close to about 3600 to 4200 tonnes
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is what we are expecting in terms of volume to be achieved for the year 24-25. Camphor also closes to about 3000 metric tonnes, Camphor and Isoborneol if I talk about 3000 to 3600 tonnes we should be in a position to achieve in the year '24-25 as I talk about and Prionyl also being a specialty chemical plant which is not doing too well has really picked up and Prionyl sales is also happening on an average of five to six metric tonnes per month in fact. So, these are really

augmenting well, and this should add up to both our profit margins as well as value with regard to revenue, as we talk about not just in Q4, but the year ahead also.

Your second question with regard to our joint venture with Givaudan and also our dream project on menthol. So, first, let me answer the Givaudan joint venture that it's a complete greenfield project and the infrastructure is being set up, we expect the entire project to be completed at least about 60% to 70% of the commissioning should get over by June to September or so. And then slowly we start in phases, a couple of products. So, that's what we are going to do about setup the civil building, put up some of the plants and machinery and major equipment and so that we start out of the 40 products, five to 10 products we start by June, July, August water trials and all that. And as we progress we keep moving and completing the entire 40 products that we are supposed to do with regard to the joint ventures with Givaudan the Company which is a subsidiary and it gets consolidated in our financials on Privi Speciality.

Your next question with regard to any progress on menthol that we are talking about. Yes, menthol, we have working at our R&D and pilot lab. We have been successful at the research and the laboratory level, we have taken it up at a pilot plant, where we have spent a lot of money on piloting on menthol, where it's our dream our Chairman's vision of setting up a menthol nature like a natural like menthol something which is there, we are finding it good success at the pilot level and continuous batches and innovations are happening around and as you are aware, the day we feel like we have to come and set up a menthol plant or a menthol project will be something that we will come back to the market because it will augment almost close to about 400 to 600 crores of CAPEX depending on the capacity and the volume that we would want to set about. And if and when we feel we are right, for that moment to set up a menthol plant to answer Ashok add a lot of market speculation that's going about as to when we will be coming to raise some equity. I believe that will be the appropriate time to come to the market it's either a QIP or a rights or what will deem fit and balance once again our equity and debt to set up at establish that capacity expansion with regard to menthol or benzyl salicylate and a few other products that Privi have been talking about. So, we will announce to the investors, to all of you people, our next course of action which will enable the Company from its existing volume of close to about 48,000 metric tonnes to move to the next level of 60,000 or 70,000 metric tonnes annually. Yes, Tejas that's my answer to you.

Tejas Sonawane: Understood, that was very helpful. Now thirdly, coming to the gross margin, which we have seen for the quarter we have seen a significant expansion in the gross margin. So, I wanted to understand broadly as to what are the major driver leading to the expansion in the margins, is it Privi Speciality Chemicals Limited
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only been driven by the correction in raw mate

rials which we have seen, or are we also witnessing an increase in the realization of our products?

Narayan Iyer: Okay. Tejas definitely the reasons are that the raw material inventory cost which did come down and as you are aware, we are importing CST and GTO from faraway countries like the Scandinavian, US and Canada. And all these are procured on exports basis and it takes a minimum period of 60 to 120 days for such materials to finally reach our factory. And then thereafter it is used by us. The first quarter that is Q1 of this year, we had the higher value inventory and as you are aware that my selling price all the contract prices for the calendar year '23 were lower. So, we were just coming out of the so-called bad year that we had of '22-23 and the profit margins slowly started improving. The high value inventory finally got mostly utilized by mid of August which is what we had also told the investors and that's why you saw an improvement happening in the quarter of September where some of the low cost of inventory and the sales and specialty chemicals moving up in Q2 all this led to a transformation and then improvement in the margins for Privi in Q2. Q3 we are completely left with the low cost raw materials all high value raw materials have been more or less utilized, some very low bits and pieces material could be here in some stages or some form of WIP or raw material. So, that's the main, main major reason why the gross margins have improved. Second, definitely a lot of improvements on the yield and on the processes where Privi spend money in the recent past out of the 800 crores CAPEX is by setting up VAM, by setting up some process changes and some engineering modifications, et cetera have also helped us to improve the margins in the last two, three quarters because we have been running the plant on full capacities. So, the moment you run the plant on full capacities you definitely get the advantage of the yield improvement on all the so-called modifications that we are done on the various processes in fact. So, these have been the basic drivers for the improved margins as far as increase in the selling price is concerned no Tejas, unfortunately the spot market prices have been coming down in fact, when I speak to you and as Rajan also state we normally depend huge volume of ours on the contract basis, contracts are frozen right at the beginning of the year. So, currently here also we are almost having about 70% of contracts which have been ascertained so this gives us a firm commitment to pick up the

volume as well as at a particular price for the entire year. Whereas the spot market is something where, it depends on a number of factors including the Chinese players, some of the Indian players who are all selling at the spot market basis, where it's got a direct nexus on to the raw material input cost, the various geopolitical scenario that is happening around and the demand and supply ratio also. So, currently also, till about December or mid-January, the spot prices were really fluctuating and we are seeing a lower trend, but it's just been about a week or 10 days or so, where we find that spot prices are slowly picking up and going up. So, if this trend continues, in fact, and especially the Red Sea problem that has surfaced about we will find that stocks are not reaching many of the customers on time. So, there is also a spurt in demand because people are apprehensive that the so-called danger of the Red Sea may not be over very soon. So, there could be some stalking that may happen around which will help the spot market prices also to go about and if that happens it will help Privi to realize better on the spot market

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sales which contributes almost about 25% to 30% of our overall sales in fact and with that Tejas back to you.

Tejas Sonawane: Okay, that was very helpful. Just speaking more

on the margin. We have seen that the EBITDA

margin has also seen growth and a kind of expansion during the quarter, we have seen that the other expenses have gone down on a Q-o-Q basis. So, can we take the margins which we have made for the quarter as a steady state or sustainable margin going ahead?

Narayan Iyer: No, Tejas. So, what margins we have shown in September and December, on an average, I believe this should be the margins going forward, maybe one, two basis point plus minus here and there, depending as to how the spot market prices evolve in the market in fact, but this should be a good steady state at least for the coming three, four quarters, if I'm talking about or for the Calendar Year '24 in fact.

Moderator: Thank you. Our next question is from the line of Nikhil from Perpetual Capital. Please go ahead.

Nikhil: So, first question is, can we know the volume for the quarter?

Narayan Iyer: Yes, as I told you, the overall volume for the first nine months has been about close to 25,000 metric tonnes. And strictly speaking, if you want to know the volume for this particular quarter, so for this quarter the overall volume has been about 8142 metric tonnes in fact.

Nikhil: Okay. And do you see any risks now I see that sea freight is moving up again given the prices in the Red Sea. So, is there any chance to witness a situation like 2022?

R S Rajan: I don't think that we are going to witness a situation like we did in the past. Because commerce unites and it has to go on. So, there are geopolitical initiatives to sort out those issues. And the customers and suppliers that also are in close touch, definitely that we will have a bump in this quarter. And it will certainly peter down by the time we get to the next quarter. That is our assessment and it's never going to go back to what happened in the past, because that was completely a different scenario. This is only happening in one spot; it is impacting the world. But let's not worry too much around it, because these are incidents and accidents which will happen, and we have to tackle it. See, ultimately we have to look at the big picture and our Chairman's vision is very clear. On the way forward we are using 75% renewable material, we are an anti-recessionary business. So, these bumps, peaks and valleys will come but it will chug along. Privi is, today, a juggernaut which will chug along no matter what and we are very positive about the outlook. Back to you Narayan.

Narayan Iyer: Thanks Rajan. And to add to what you stated, you're absolutely right. Nikhil, this situation is not just for us, it is only localized that there could be a little bit of additional cost because the voyage becomes about 10 to 15 days longer, as compared to what we were using the Swiss Canal, a lot of economies are already fighting and ensuring that this situation, this so called mini crisis what is evolved is come to an amicable solution and there is going to be an end very soon

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it cannot last for too long and we are also hopeful on that. Definitely what you saw in 2021 and all was on account of pandemic era where freight went up, there were no vessels available, etc. Whereas unlike here this situation, it's only very confined to a particular way in which the transit has to happen around. It's not too worrisome a factor, but yes it's a wait and watch for us in fact.

Nikhil: So, actually what I meant to ask is, do you have any sort of a clause which you plan to revise the freight cost piece if they move up significantly. Do you have a chance to revise them during the year?

Narayan Iyer: Well, as far as the stock market and other customers, quarterly customers, half yearly customers is there, we will definitely have the scope to review the freight expenses and go as per the (Inaudible) 39:49 terms and the current rate expenses, etc. As far as the yearly volume

customers ar

e concerned, Yes, we may or may not be able to go for that increase if it is going to be too high, but seeing what is happening and the additional expenses that are being levied and additional insurance charges are there, it is still under control and the Company should be in a position to absorb the slight increase that is happening on some of the voyages, where it has to be routed to the Cape of Good town in fact.

Nikhil: Okay. My next question is, in the last annual report there was a statement which mentioned that the Company is looking to add Christian Dior and Unilever India. So, has that already happened and started, come, has those been commercialized?

R S Rajan: Narayan I'll take that. Christian Dior has already approved our products. So, we will begin commercial transactions with them in the very near future. As far as the other opportunities are concerned. L'Oreal is another one which is coming on board. So, we have a line of fantastic opportunities and some strategic alliances coming our way. But at this point of time, we are bound by confidentiality. So, probably by the next quarter, we will be able to give you evidence of this bright outlook that we see before us.

Nikhil: Okay. So, Narayan sir you mentioned next year you expect volume grow to be at 25% and value grow to be at 10%. So, why is there a difference like do you see realizations coming down or why is there a big difference between volume and value growth?

Narayan Iyer: Yes, there has been a dip further on the contract prices as compared to what prices we earned in 23 almost what 12% to 14% or so, and this is a general trend overall in the market. Second, some of the product mix what we are entering Camphor vis-à-vis some of the other products which are there, there is a price difference to that and Camphor is going to be almost about +3000 tonnes of volume. So, this is basically the reason why you will see that though the volume is growing by about almost 20% to 25% value wise you will only see a 10% increase, in fact.

Nikhil: Okay. Is it possible to know the volume growth year-on-year basis, like you mentioned for this quarter the volume was almost 8150 tonnes so, what was it for Q3 of last year?

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Narayan Iyer: I am readily not having that, but possibly maybe if you could send me a mail I may be able to answer but broadly if my memory serves me right, it should be around 7,500 tonnes or so in fact even in the previous year.

R S Rajan: That's right.

Nikhil: One question what is the current debt in inventory level as of end of Q3, I take it that you are looking to deliver and you're on a good course just wanted to know where are you end of Q3?

Narayan Iyer: Okay, good question. So, any which way I should have right at the beginning initiated and given that comfort to investors. We have improved upon both the things our debt has further come down and was around close to about 950 crores on a consolidated level when I'm talking about because we are talking about consolidated results and so, and as far as the inventory is concerned, we were about something like 690 crores on the consolidated level. So, this has really come down we have brought down the inventory from the peak that it has seen somewhere around September '22 at about 870 odd crores So, we are close to about 690 which is almost a reduction of 170, 180 crores of inventory and for the peak borrowing of 1145 crores our borrowing currently is around 950. So, which once again also talks about close to a reduction of about 200 crores in the last 12 odd ones. So, all what Privi and from Privi management, from Privi side and Privi as a Company we have been trying to seek your confidence and give you that confidence that let us not get perturbed by one or two or three quarters which were beyond our control. With the Ukraine crisis, the inventory piling up, the delay in some oth

er permissions on account of

starting the huge facilities that we had set about. We are slowly seeing a complete transformation and getting back into the growth path which is what Privi is known for, Privi over the last 20 years maybe barring the two years in between have been growing at a compounded annual growth rate of about 19% to 20%. It's profits have been going about, we feel there was a glitch in between for about a year or two. And we are now looking at sustaining and ensuring that we get back into our mold of growth, both in terms of volume, in terms of margins, you should see Privi progressing and gaining all the confidence of every stakeholder whether it is the equity shareholders, whether it is bankers, it is any other people who are having any sort of a say or stake in Privi. Better times are here, and it is here to stay for some longer period of time.

Nikhil: That's very assuring. One last question from me is, the Company was looking to set up solar capacity for up to 25% of its energy requirements. So, have the benefits of it already started flowing or it will happen going forward. And can you tell us in terms of margins and EBITDA level, how much does it contribute to?

Narayan Iyer: As far as the solar installation is concerned, yes, the final permission from Maharashtra government has been obtained. And the saving as we agitated in the last investor call also is that,

the arrangement that we have made with radiance power energy, the Company with whom we are having we have come about for this solar is 25% of the overall power capacity that we consume for our unit two in Mahad. So, it will give me a saving of Rs.2 per unit that I consume
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for that unit two, which is close to about 50 lakhs per month. So, on an annual basis it should be between six to six and a half crores you will see a saving on my power cost. And secondly, there have been some changes that have happened in the Maharashtra government overall thought process with regard to setting up solar power plants in fact. Initially there was a cap that you cannot go beyond the 25% of the overall power that you are consuming. I believe now there are some levy's we are studying those policies very, very minutely and if we feel that there is a scope that we can go beyond 25%, we will definitely look for certain opportunities to increase it, well surely there is a saving and saving potential is good, if it is completely owned by us the saving potential is much better, much larger. But at the time when we went for this sort of equity participation of 26% and most of the power cost, the project cost would be put to the other Company, Privi was not in a position as comfortable as we are today with the overall CAPEX of about 100 crores which is required to set up a 10-megawatt power plant of 25% of our capacity. We thought that, let us be prudent at that time when some of the ratios were not as good as it is today. So, if we feel that the so-called new policies that's been set in Maharashtra as well as Gujarat are favorable and we can increase beyond 25% we will definitely look at increasing our own solar dependence to a much higher than what it is. Yes, there is savings and those savings started from January 2024 onwards.

Moderator: Our next question is from the line of Rehaan from Sicomoro Advisors. Please go ahead.

Rehaan: I wanted to understand how the freight cost are affected currently due to the Red Sea contract, are we seeing significant rise for the quarter given that we have fixed price contracts, you addressed that those cannot be changed. So, what would be the margin profile of those orders now given this and what kind of percentage of shipments are going out in January, February say this quarter compared to the rest of the year, what is your shipment schedule for the orders that you have booked in the calendar year?

R S Rajan: So,

we are managing our shipment cost on a quarterly basis, and we had kept a certain amount of cushion anticipating. And right now, we are well within the range, our customers have also been informed. So, it's too premature for us to have a detailed number discussion with them going forward. But by the end of the quarter, we'll make an assessment. And they are quite open to support us in the manner in which we seek. And of course, these are situations where you work as partners and that's why the key accounts that we work with, we have a deep relationship right from the Chairman downwards for the past two decades. So, these bumps will come, but we are more than confident of tackling them without eroding the margins.

Rehaan: So, wanted to understand what is the margin profile on of the products on the Galaxmusk, Camphor, Prionyl segments, when they are running at optimum utilization, and how long do you think it would take to reach optimum utilization in these new products?

R S Rajan: On the margin profile, we don't want to get into individual reflection of the margins because there are some proprietary information around it. But I can only tell you that our Chairman's

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strategy moving from market share to share a wallet of our key customers, which has been conceptualized over the decades and we invested in the CAPEX they have started sweating now. So, as the product basket enlarges, we continue to have the same cost, but we are able to leverage the relationship by giving more products. So, the intent dependency and the opportunity fructification improves. So, therefore, our margins will always travel towards the positive side, because we have a mix in our product basket now, not only legacy products but we now have Speciality products, which always will enjoy a higher margin. And we have some unique technologies which give us an edge.

Rehaan: And what percentage of revenue would be coming from these projects say one year down the line and the orders are higher?

R S Rajan: Well, it's difficult to predict, but I can tell you that it's going to have a positive impact on the gross margins, because as the super Speciality products increase in the basket size, and the volumes will be slow to start with. But then as there is adaptability in the value chain, these volumes are going to go up. And since the margins are very good, I'm sure that it will have an impact and you will see those impacts and it will also cushion some of the erosion that may take place in the legacy products.

Moderator: Thank you. Our next question is from the line of Amar Morya from Lucky Securities. Please go

ahead.

Amar Morya: So, sir first thing is about the margin profile. Like, normally we have a yearly kind of a contract and as you said that now low-cost inventory is behind. So, this kind of margin of 22% to 23% is now sustainable, at least for the calendar year?

Narayan Iyer: Yes.

Amar Morya: Okay. Secondly, you're talking about like a 25% volume growth, but a 10% kind of value growth. So, are we seeing some price decline even from this level?

Narayan Iyer: Yes, as I just answered an investor earlier, there's already been a downward revision in the prices on quite a few other products, when we have entered the contracts in the Calendar Year '24.

That's a global reality, not just for us, but most of the chemical space and especially the aroma chemical industry, there has been a downward trend in the prices, including Camphor where prices have fallen down and some of the other chemicals that we are there. So, that's the reality going forward in fact.

Amar Morya: Okay. And thirdly, like this all-new CAPEX's which we did get Galaxmusk, Camphor or Prionyl. As you said that now basically you are eligible to bid for the coming business only in the end of the calendar year. So, are there any spot businesses which you can do or how the

things are going to work for this business?

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Narayan Iyer: Amar you actually got me wrong. What I was trying to answer someone else was, as we had commission the said capacities and final permissions what we got was January and February 2023. We were not able to bid for the contracts for the Calendar Year '23 then and we were doing the sales on the spot business for Calendar Year '23. However, for the Calendar Year '24 since all the permissions, all the approvals from our various customers with regard to Galaxmusk and Prionyl, and some other customers with regard to Camphor, were all obtained and as Rajan stated and as I also informed in my last investor call that I did it was just that day that we happen to receive the FDA permission on Camphor. We have been able to successfully bid for these products for the contracts for the entire year. And that is how, I also happen to mention that we are expecting a volume close to about 3600 to 4200 metric tonnes that we will be able to sell Galaxmusk in this calendar year, and Camphor also we are very Camphor and Isoborneol confident of pulling about 3000 metric tonne plus because the season is expected once again to start from June. And we are very, very confident and plus we have the FDA certification for Camphor also. And Prionyl also specialty chemical we are seeing that there is an upward trend, the demand is going up, most of the high-end Speciality chemical sales is looking upwards. So, these are good times back, I hope for Privi and all its investors associated with it

Amar Morya: But then the volume growth which we are guiding is very, very low because I believe all that volume growth we are talking about is largely coming from the new capacity, then the volume growth in the base business is not there, if you are talking about 20% volume growth?

Narayan Iyer: Amar, you are absolutely right when you say that, because already I have not increased any of my capacities with regard to the existing products, most of the existing products, the pine base at least we have been close to about 90% of the capacity we are selling around so, what we can expect growth is about 10%-odd balance remaining on it. And we are expecting the value to come from the so-called new products where we were not able to get the volumes and that's how you are seeing an increase in the volume as well as in value going forward Amar. And, still perplexed as to where you're leading and what your question is and what is it that you are looking at in fact Amar.

Amar Morya: No, so basically my question is simple sir, this year you are saying that your base business is not going to give any volume growth, large volume growth is coming from the new products and as you are also saying that base business largely you are at the peak capacity. So, then for the FY26 growth again you have to basically do CAPEX or because majority of this new capacity will also be at let's say minimal utilization of 70% or 65%. So, then again you have to do the CAPEX for the new growth either brownfield or greenfield.

Narayan Iyer: So, Amar what is it that you want to know from me in fact?

Amar Morya: What I want to know is that, basically how the growth, linear growth, consistent growth how it is going to come, because we did some CAPEX and now we are seeing growth. Again, we are saying that we have to do some CAPEX and then only we will see the volume growth. So, I'm

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saying is there basically space available or into the existing facility by which we can show some 20% kind of volume growth at least for the next two years?

Narayan Iyer: Absolutely. So, to now specifically answer you Amar with all my full, if I have to sell the entire

capacities that I will have about close to 45 to 47,000 metric tonnes, you will still see a growth happening for the next

two years or so. But as you are aware that if I had to get into year three, I need to start setting up some CAPEX or some product or some volume, which takes about 12 to 15 month period or so. So, that is the entire purpose what Rajan, I happen to mention earlier, that at the appropriate time we feel that, we are bouncing back there is a steady state of operations, margins are improving, financial parameters are in place. So, we will look for further growth, that growth can happen in some of our existing products, where we are the market leaders, and also look at growth for two or three major projects which our Chairman has also mentioned in the AGM and mentioned to the investors at large that Privi will be looking in at the appropriate time to set up the menthol plant or benzyl salicylate, or a few other products that concern. So, that's how Privi's growth will happen and of course, the erosion in the value what we are seeing on our existing products also, we feel that it cannot sustain for too long, so there will be a price increase and as I was speaking we are seeing that slowly the spot market prices are also forming up and going up. So, if that happens there will be definitely better revenue than the 10% to 12% I'm talking about, she I am a cautiously optimistic person. So, it is always better that be optimist, but be a little cautious rather than going overboard on that. So, important thing, are we able to sell our capacities that we set about. The answer to that is yes, Privi looking at selling up its capacities that we have set about because the moment you are selling volume at prices which are currently in vogue with the market and maybe a little better than some of the other players that we are having seeing in this field that we are in, we should be having a better number going forward. You are seeing it for the last two quarters, you will see it for the next four quarters. And by the time we enter into new contracts. Maybe we will come back to you, tell you some good news, inform you of some good news, announce some good news. It could happen around that, but it's a wait and watch sort of a scenario. And as committed by our Chairman in the last meeting and we have also been vetoing Rajan and myself, that it's time for us to perform, get the confidence from all our investors get the financial parameters in place. And the moment that happens, I believe that, going for next round of expansion and all should not be something which may be considered bad. Like your question actually took me a little aback from the person who has always been proactive, and some of the measures that we have taken in our expansion plans, to the mildly cautious sarcasm I felt in your question as to whether we need to invest further yes, Privi has been growing the last 15, 20 years with a very mixed balance of increase the capacity, ensure that your capacity is getting fulfilled. We are achieving about 80%, 90% capacity, going for the next round of expansion. And that's how we have been seen, we have been growing and we continue to grow further that way, in fact.

R S Rajan: Just to add to what my colleague Narayan has just spoken about. We are also deep-down studying and initiating steps on the legacy products to debottleneck wherever there are opportunities to ensure that from batch we go on to continuous production also, which will also

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help us optimize the assets already on the ground, and make it sweat more. As far as the new Speciality and super Speciality products are concerned. They are not only going to add to the volume, but the gross margin values they're going to add to the basket is also very important to keep a note of, so that's what I would like to tail up on what Narayan has just shared very granularly. Can we go to the next question?

Moderator: Our next question is from the line of Nitin Gandhi from InvesQ

. Please go ahead.

Nitin Gandhi: This 800 crores expansion which you did, what is the maximum potential revenue based on the contract signed for Calendar Year '24?

Narayan Iyer: See it's just not the contract that we have assigned. It's also the spot market business that we do. So, we are expecting a potential, it depends on the prices that it pans about and all. We have given you the numbers, the volume wise what we are expecting it to happen if that happens around so we feel that the overall revenue should be to the potential tune of about 200 to 250 crores in fact.

Nitin Gandhi: So, that's it average 70%, 75% utilization. So, in best case this 400, 800 crores expansion will have revenue of only 400 crores?

Narayan Iyer: The 800 crores expansion that we did on these three products we have spent about 400 crores or so. The balance 350 to 400 crores that we spent about was also for enhancing the capacity of three main products that we had, the Dihydro Myrcenol, Amber Fleur and Pine-Oil where the capacities were increased by 1200 tonnes each, I'm talking about in 19-20 itself. Apart from that, we had also used the money for increasing our capacity of the backward integration plant. That is the CST plant to move from 27,000 metric tonnes to 37,000 metric tonnes, because if we are increasing the capacities of our forward integration products, we also need to ensure that the

raw material availability for our manufacturing base are also safeguarded. So, when you are increasing so much your capacities on the finished products, you also have to ensure that you have the infrastructure to manage and maintain all these products and various cuts. So, the storage capacities, the raw materials, the warehouses, all those, also increased about. So, it is not just three products, three main products, and of course diversification of some of the existing products which is precisely what Rajan also happened to mention and answer Amar, that in some of our existing products also, we will be doing a little bit of continuous reaction so that we get better increase in the volume from our existing capacities. And going forward, we find that there is a demand for all these products, we would like to maintain our shares, our number one position of about 25% to 35% on each of these five products where we are the global leaders on these products. If the product growth is there, potential is there, it's been a scenario that Privi has ensured that every alternate year a one or two, three years we keep increasing the capacities of all our core products which are the bread and butter for Privi. We increase those capacities and take those additional volume or additional share in the market.

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R S Rajan: Narayan, I just want to add to what you have granulated to share with our esteemed stakeholders that, we also are very compliant Company, and we are ahead of the curve as far as sustainability is concerned because that's the vision of our Chairman which has been continued for the past decade and a half. And we have invested a lot of CAPEX in the sustainability which makes us a preferred supplier for most of the key accounts because as world has more stringency and regulation around the sustainability, there are all the measurable marks whether it is a TFS rating, where we have scored 85% or it is a EcoVadis rating where we have scored 65, the Indian average is 42%. And we hope to graduate on all these markers on the sustainability front and even in the India. As far as governance is concerned it is going more and more intensive on the ESG front. So, sustainability is here to stay, and it will become prerequisite for companies worldwide who are in best practices to even source. So, that is another area where we put the CAPEX, it makes us future ready but doesn't necessarily sweat for us in direct manner.

Nitin Gandhi: So, my corollary of tha

t question, in that case the operating leverage should kick in and maybe the margin should go beyond North of 30, when you have the best utilization?

Narayan Iyer: That's correct.

R S Rajan: May your words come true, we are all working towards that. But at this point of time, it's best to be cautiously optimistic in a VUCA world, but I can only tell you that the margins that we are showcasing right now as Narayan also reiterated are maintainable and we'll continue to put all the strategies in place guided by our Chairman to see that we never have margin erosions by introducing Speciality and super Speciality products which have higher margins.

Moderator: Thank you. Our next question is from the line of Deepan Narayanan from Trustline PMS. Please go ahead.

Deepan Narayanan: Most of my questions answered, one thing just wanted to understand with now FDA approval in place, what is the status on customer approval for Camphor pharma application and what is the kind of target scale up we have planned for next three years and what kind of margins we are targeting?

Narayan Iyer: The customer responses have been good. And we will have a capacity of about 2400 metric tonnes and as far as the pharma grade applications are concerned, we are focused on that and we are trying to get the US FDA also going and we are in conversation with the pharma companies. Some of them have already approved our samples and others are in the pipeline. So, we see a good future in the pharma sector for this product that we have introduced.

Deepan Narayanan: Okay, so, this will have a better margin profile than our normal Camphor sales for sure, right?

Narayan Iyer: Yes, most definitely

Moderator: Thank you. Our next question is from Rohit from Centrum Broking. Please go ahead.

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Rohit: Sir first, in terms of the 400 crores CAPEX that you just mentioned for the key products, how would be the margin profile for individual product, I'm not talking about numbers, but in terms of chronology, which will be the highest margin product, and which will be the lowest margin product?

Narayan Iyer: Yes, so Prionyl will be the highest margin, followed by Galaxmusk and then Camphor. Currently, the Camphor prices are very low and so that's a chronology that I had to talk about.

Rohit: And just one more question associated with generally from a project perspective, what is the kind of ROC hurdle rate that we look at and what is the kind of payback that we look at for such individual products?

Narayan Iyer: Okay. When we went about setting up this plant, the overall IRR that we normally look in apart from the bidding up phase is about three, three and a half years or so. So, Galaxmusk definitely is on track, and we find that it is going to be very much in line because there has not been too much erosion in the prices of Galaxmusk from what we had planned, anticipated and what it is currently so, yes there has been a fall but not to that extent. However, Camphor as we talked about, we have seen that because of the so-called huge dumping of material by the Chinese player in India, on Camphor. Most of the Camphor manufacturers are finding it difficult to bear the onslaught of the Chinese inflow of material coming in, in fact and we also contemplating whether, we could look in at some sort of an anti-dumping measures on the products that China is putting in where India has been predominantly the main manufacturers and it is hitting the Indian manufacturers and Indian Camphor people that we are there So, we are contemplating, we finding maybe some support from other manufacturers to ensure that there cannot be so much of erosion in the Camphor market as what we have seen in the last 8, 10 months or so, in fact. And going forward, we expect our margins to improve. As I speak to you, as I was saying that spot market prices definitely are improving around

here.

Rohit: Sure, that's helpful. Second question in terms of new projects. So, generally when we get an approval from the Board, we have certain projects in pipeline as you mentioned earlier, from the time we get an approval, how much time usually it takes to commission the project and the commercial production start. Thank you.

Narayan Iyer: Yes, to answer specifically, there are two kinds of projects that we take about, one could be a greenfield, which means absolutely new product, just like it happened in the case of Galaxmusk, Camphor, Prionyl. Two, project where it is an increase in the capacity for some of our existing products. So, if it is going to be a brand-new project and if land is already there, it takes about 15 to 18 months to set up and commission and then followed by a three month water trial and all and we've also factored in the permissions that are necessary from respective we see commissions so that's the normal period of brand new product or so. But if you are talking about increase or enhancement in capacities of existing products, then normally I believe it takes

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January 31, 2024

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anywhere between six months to about nine months in only some stress out cases it could be about 12 months or so.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

R S Rajan: Thank you. And we appreciate the interest and the involvement of all our investors and stakeholders, we remain grateful. And we can only commit that we will do everything within our resource capital and our human capital and our knowledge capital that Privi has acquired under the leadership of Mr. Mahesh Babani. We happen to be leader in the industry of India, and we should be proud that Make in India concept is being fructified with major line share which are Fortune 500 companies, good times and bad times may not last. But in a Company's journey from good to great we assure that we will here. And we thank you again, and we remain grateful. Thank you.

Narayan Iyer: Thank you. Thank you Rajan and I would also like to thank Kamlesh and AMSEC, for consistently holding our investor calls and thank you all my investors, it's been great to talk to you. On behalf of the management, on behalf of all of us at Privi, it is a pleasure to interact with you. We are taking all the positives and all the questions in the right spirit and ensure that we ourselves improve upon and provide enough information. We have been always transparent enough, transparency is one of our core values. And we will, I'm taking it as a very positive that what we were doing of putting in some of the presentations before the calls, we try to set that process once again, and thank you. Thank you Kamlesh it's all yours, have been great associated with you for the last three, four years or so, sir.

Kamlesh Kotak: Thank you so much sir.

R S Rajan: Thank you.

Moderator: Thank you. On behalf of Asian Market Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2024

4,
May 06,2024
Dear Sir / Madam,
Ref: Letter dated May 03, 2024, providing Audio link of the Analyst / Investors Meet
Sub: Transcript of Analyst/ Investors Meet held on Friday, May 03, 2024
In addition to Audio Link shared via letter dated May 03,2024, please also find enclosed the transcript of the Analysts/Investors Call on the Un-audited Standalone and Consolidated Financial Results of Privi Speciality Chemicals Limited for the quarter and year ended March 31,2024, held on May 03,2024,
You are requested to kindly take the same on record
Thanking you
Yours Sincerely,
For Privi Speciality Chemicals Limited
AshwiniSaumil Shah
Company Secretary
Encl: As above
PRIVI SPECIALITY CHEMICALS LIMITED
Knowledge Centre & Regd. Office: Privi House, A-71, TTC, Thane Belapur Road, Near Kopar Khairane Railway Station, Navi Mumbai-400710. India Tel.: +912268713200/33043500/33043600/127783040127783041127783045
Fax: +91 2227783049168713232 | Email: enquiry@privi.co.in | Web: www.priviscl.com | CIN: 115140MH1985P1C286828
The Manager (CRD)
The BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai- 400001
The Manager - Listing Department
National Stock Exchange of India Ltd
Exchange Plaza, Plot no, Cft, G Block,
Bandra-Kurla Complex, Bandra (East)
Mumbai - 400 051
Scrip Code: 530tt7 Symbol: PRIVISCL
REGD.
OFFICE
ISO 9001 :2015
ISO 14001 :2015
ISO 45001 :2018
BUREAU VERITAS
Certification

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"Privi Speciality Chemicals Limited Q4 FY-24
Earnings Conference Call"

May 03, 2024

Disclaimer: This document is subject to errors and may or may not contain words which have been included / omitted due to human error while transcribing the conference call. Any and all information should be verified with the company by the reader

MANAGEMENT : MR. R.S. RAJAN – PRESIDENT , PRIVI SPECIALITY
CHEMICALS LIMITED
MR. NARAYAN S. IYER – CFO, PRIVI SPECIALITY
CHEMICALS LIMITED

MS. ASHWINI SHAH – COMPANY SECRETARY , PRIVI
SPECIALITY CHEMICALS LIMITED

Privi Speciality Chemicals Limited
May 03, 2024

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Moderator : Ladies and gentlemen , good day and welcome to Privi Speciality Chemicals Limited Q4 FY24 Earnings Conference Call .

This conference call may contain forward -looking statements about the Company which are based on the beliefs , opinions and expectations of the Company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

Please note that this conference is being recorded.

I now hand the conference over to Mr. R.S. Rajan – President of Privi Speciality Chemicals Limited. Thank you and over to you sir.

R.S. Rajan : Thank you Michelle and a very good afternoon to everyone and thank you very much for joining us on this call.

On this call I also have with me my colleague , CFO – Narayan as well as my colleague Company Secretary ; Ms. Ashwini and of course we are being ably facilitated by SGA 's Shrikant , our Investor Relation Advisor .

I hope that everyone was able to review our Financial Results and Investor Presentation which were uploaded to the Stock Exchange and on our Company Website to give a comprehensive view of where we are and what is that we have been doing. After providing a quick "Overview " of the Company and recent developments , my colleagues will take the baton forward.

So, let me start with the "Industry Overview ":

The Chemical Industry continues to witness multiple challenges as demands across the board has been slower than expected. On the other hand, rising freight cost due to geopolitical unrest and slow demand from China has further impacted the overall supply chain. However , despite this the demand for aroma chemicals has remained robust as prominent FMCG and fragrance brands continue to enjoy robust demand from their end customers. The demand has been further propelled by the ongoing premiumization trend in the cosmetics and personal care industry. In the midst of this high cost of living era , consumers continue to seek out products with added value regardless of their current market position of mass , mid-range or premium categories. So , we've always been saying our business is very resilient and the past year has also proven likewise .

On the "Company Overview ":

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Privi Speciality Chemicals is India's largest and one of the leading manufacturers of aroma and fragrance chemicals in the world. We are a trusted partner and prime supplier of bulk aroma chemicals across the globe. We produce nearly 70+ aroma chemicals which are blended into fragrance which are used in daily products like soaps , detergents , shampoos , hand washes and fine fragrance perfumes. The Company also develops and produces custom made aroma chemicals as per the specific requirement of the customers and caters to the world's 15+ largest fragrance house and FMCG companies.

The Company has seven state of the art integrated manufacturing units situated at Mahad in Maharashtra and one facility in Jagadia in Gujarat. With current production overall capacity of over 48 ,000 metric tons per annum . Privi has backward integration to use waste generated from pulp mills , the crude sulfate turpentine , the CST as it is called with a capacity of over 36 ,000 metric tons per annum. It is the only Company in the developing world and one of the four companies globally to have the technology and the logistics ability to procure these waste products from across the globe , process it and is the largest single CST processing

ing site in the

world. In our values we call it the 5S, we have safety , sustainability , sense of urgency , super transparency and sincere respect and care.

So, on "Sustainability ":

The pursuit of sustainability is no longer a choice but a necessity for the chemical industry. Extreme climate conditions have amplified the urgency for environmental responsibility. Our chairman always had a vision on sustainability and we had a position focused on sustainability a decade back. The transition towards a sustainable practice is not just a global regulatory

pressure but also an opportunity for innovation and growth because we must give back what we take. So, we have an ideology of re-earth which we practice diligently and sincerely. We are extremely pleased to announce that your Company has been recognized and conferred with Eco Vadis Gold rating. The factory was rated advanced across the four Eco Vadis themes, namely environment, labor and human rights, ethics and sustainable procurement. It's a moment of great pride for all Privi stakeholders as your Company is amongst the top five percentile companies in the world to have got this gold rating. On this occasion I would like to compliment the vision of our chairman and to thank all our employees for having been supporting us through the teamwork on this mission of sustainability to achieve this rare feat. We continue to have across all function strong human assets. It's governed by professionals who are having more than an average of 20 years of experience each with requisite qualification and their domain expertise. The entire team continues to work on creating additional growth opportunities on the waste to value journey.

The ethos of this organization revolves around the key core values which has been embedded over the years. And our chairman often says HR is heart response. Just to give you some statistics out of the 1,000 employees, more than 45% of them are over 5 years and out of the 45% more Privi Speciality Chemicals Limited

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than 15% are associated for more than 10 years and more than 17% are associated over 15 years, so that should give you an idea of how dear Privi is to them and how dear they are to us. Performance for the year Financial Year '24 has been healthy with improved pricing and market conditions. Despite this, freight costs have been increasing significantly due to the impact of the Red Sea crisis and obviously there's been an escalation in the shipping cost which has compressed our margins otherwise the results could have read better.

On the way forward we have slated multiple strategies for future growth and are confident to implement the same in the coming years. Production ramp up of newly installed capacity, improving product mix, operational efficiencies and product development with fast commercialization will further gear us to capture upcoming opportunities. We are progressing well towards our sustainable growth, and it has taken various initiatives over the last 5 to 6 years to create a better ecosystem which not only added in consumer lives but also are long lasting.

Now with these words I would like to hand over the baton to my colleague, our CFO – Narayan. Over to you.

Narayan S. Iyer: Thank you, Rajan. Good to hear from you and good evening to every one of you for joining us on this call.

And of course, I am elated and very very happy to address this call backed by some strong performance and good results which was what was promised by us at Privi in the last few investor calls and we at Privi are thankful to each one of you for having faith and having believed us that the turnaround was just around the corner.

I will give a quick overview of the performance for the year and the quarter that has gone by before we shall probably have the Q&A session going forward. Now giving a broad synopsis of the Q

4 numbers for Financial Year '23-24; the growth momentum has continued on the back of robust demand across end user markets, so definitely there has been a good improvement on the volume. We also have a record performance as far as the revenue wise sales is concerned. We happen to do a total consolidated turnover of about Rs 492 crores which is a phenomenal achievement by Privi and the best that it has ever achieved in a particular quarter which indicates a growth of about 22.4% on a year-on-year basis. The EBITDA for the said quarter was close to about Rs 99 crores which compared to the previous year is almost about 180% rise on the previous year numbers, overall EBITDA margins for the quarter was about 20% or so. Profit after tax for the quarter came in at around about Rs 32 crores as against previous year's loss of about Rs 15 crores in Q4 of Financial Year '23 and exports contribute basically 70% of the overall revenue which is how Privi generally performs infact.

Now coming to the specifics of the entire year highlights:

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If I have to talk about from the quarter and move to the year end which will give a complete more clearer picture as to where Privi is. Privi has achieved a total income of about Rs 1,779 crores which indicates a growth of about 9.2% on value wise as compared to previous year. Broad breakup on the sales front is pine continues to lead at around 62%, Citral based products contribute about 11%, Musk and Speciality have moved up because of the launch of GalaxMusk and its various variants and broadly it was at around 16% of the total turnover, phenol based

contributed about 7% and the other value -added base products about 3%. So, that's how the five segments that we have broken up our total revenue contributed overall 100 %.

Export to domestic throughout the year maintained its balance of 70 :30. For the Year '23 -24 the Company has registered a production of total production and sale of close to about 36 ,021 metric tons per annum. The annual EBITDA numbers for the Year '23 -24 is a smart good healthy Rs 355 crores which shows a growth of about 71.1% over previous year's numbers and EBITDA margins on an average stood at around 20.03% for the year in totality.

Profit after tax or PAT for Financial Year '23 -24 was at about Rs 95 crores which once again if you compared to previous years is about 350% times. But last year was definitely of course a year where there were certain reasons for the lower -than-normal performance estimated. But we are back on track and which is what we were trying to always ensure to all our shareholders that one-off quarter does not really showcase the size and the stature of our Company .

A few important parameters with regard to the balance sheet item :

The overall debt on our books as on 31st March of '24 is about close to Rs 901 crores on a consolidated level as against Rs 1,098 crores of the previous year. Our net working capital days has also shown a smart improvement to 151 days as against 182 days in the Financial Year '23 . This indicates that better working capital management , churning of the funds , inventory levels have come down , debtor days has been smartly managed and creditors are also being managed overall. So , in all what we wanted to go about achieving , we are working on that lines.

Definitely as was mentioned by Rajan and even we had mentioned in the past that going forward the new products prima facie where a huge amount of capex was spent in the last couple of years . These products have started contributing to the overall top line in the Year '23- 24, almost about close to 50% of the overall capacity have got utilized and sales have started coming in from all the new products which are successfully launched. Prima facie , the Camphor , the Galax musk and its varian ce, the Prionyl, Indomerane , Florovane an

d also certain value -added products like

Terpinen -4-ol, 1/8 Cineol , etc.

To indicate complete about 50% capacity utilization in the first year that too without much of contract orders on huge capacities built up is a good remarkable achievement , I have to say from our sales team and entire Privi team and definitely the orders per se for these products for the calendar year has been very healthy and very very successful. We feel that the order basis this year is going to be a resounding success for all these products.

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Talking something about the new products :

Galax musk and its variants are sold to all our existing customers and this is prima facie used in perfumery blends , in soaps , detergents perfumes and other personal care products. Camphor is predominantly sold in the Indian market used in religious and industrial use applications . As mentioned by us and by the Company , we have already obtained the Indian FDA for camphor, and we have started the process of also obtaining a n US FDA and we expect that in the year '24-25 we should be in a position to get US FDA approval for our camphor which indicates that we will be in a position to start selling it to the pharmaceutical companies for their applications also. Prionyl , the first solid product of aroma chemicals which is manufactured by the Company , are used in very high ended brands and Privi is only the third manufacturer in the world to manufacture such powder based or solid based aroma chemical. This is sold to all of our existing fragrance houses , the top blenders of the world and the value -added products of 1/8 Cineol , Terpinen -4-ol and all have also shown healthy growth which has ensured we get better margins from the byproducts of the CST as well as the GTO processing and pine oil manufacturing process. So , this adds more margins to our product.

The Company definitely in its growth path going forward will love to keep growing on its key existing products , maybe grow some capacities as and when we feel that the capex has to be put in and y es, definitely it has in its mind , the new products under development like Menthol , Peppermint oil , Helvotalite all of which have been successfully done at the pilot scale , at the lab scale. These could be products which could propel future growth of the Company going forward as and when we go about setting up the thing. So , all in all I have to say that it's been a good recovery , smart growth for the Company , a great year for us and for the Company per se which will take your Company Privi to more greater heights. We feel that going forward also in the year coming we should have a healthy growth , both in terms of value and volume close to about 10%-12% on the value basis as well as 15% to 18% on the volume basis.

So, on that note I would like to prima facie rest myself and leave the floor to any questions that you people would have. I also hope that most of the data have been uploaded onto the website with a complete presentation , a very detailed presentation.

I would also here like to before I open it up for question and answer , I would like to thank the entire SGA team for putting up a great teamwork. We've been associated for the last couple of

months and to ensure that the IR services which was lacking and many of you say that we normally require for the size and stature of our Company a good IR services. So, thanks Samir Shah and team, the entire SGA headed by Shrikant, Shogun, Shaily all of you for helping us around put up a good presentation and definitely ensuring that this call today is hosted through you.

Thank you all of you and open to question and answer.

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Moderator: Thank you very much. Ladies and gentleman, we will now begin the question-and-answer session. The first

question is from the line of Deepan Sankara Narayanan from Trust line PM S.

Deepan Narayanan: Firstly, from my side, so most of our sales growth has been offset by this price increase in RM and other expenses. So, this increase in RM price is it a reflection of a lower supply of materials or increased demand for our end product itself? How do we see the outlook for pricing in future?

Narayan S. Iyer: Well, it is not the increase in RM prices that has led the role. We were holding certain high value raw materials of the previous year which was consumed during the year in the very first quarter or very first 4 or 5 months and then thereafter the fall in the RM prices started bringing in better margins even though there was a fall in the selling prices. So, we have witnessed 2 years continuously the Calendar Year '23, even now the current Calendar Year '24, it also started in Calendar Year '22 that prices of the selling products all FG products are both pine as well as Citral, they have witnessed a very steep fall. So, if I have to get back into exact numbers or so, the last 3 years the prices what was commanded by each of these products, way back in January '21 and if I have to compare that in January '24, on an average that would have been a dip in the selling prices by close to 40 %-45% or so. Yet your Company has managed and maintained a decent value-wise growth and volume-wise growth. You will definitely see that we have moved up by about close to 20 % odd over the previous year with good sales of about 36,000+ tons or so.

Deepan Narayanan: Outlook on this realization or pricing for final product.

Narayan S. Iyer: As I have mentioned to you almost about 60 %-65% of our revenue comes from contract business. These contract businesses are from the FMCG houses of the globe and these contracts are normally frozen just before the year starts. These people believe in the calendar year Jan to December. 65% of my sales the prices have already frozen. As far as outlook is concerned, we see slowly the spot markets the prices rising. We have been hearing about some scarcity of pine-based ingredients from China as well as from Latin America. So, if that happens, we definitely will be at an advantage that going forward in the balance period that it is, the spot market prices can show an increase. However, we will not be able to do much on the contract prices because these are frozen for the periods respectively. It could either be 6-month contracts or most of them are annual contracts.

Deepan Narayanan: So, from the presentation we will be able to see this Pine-oil and Citral, volumes have been at a low single digit level for past 5 years. This is mainly due to increased competition in this space, so that's why we are moving more in towards value added products?

Narayan Iyer: No Sir, the question of going towards value added products is been a philosophy of churning waste to wealth. And Privi has a great in-house R&D facility with almost close to about 89 -90 research scientists working day in day out to create value out of all the side streams of the CST processing and the GTO processing that we have. So, these products otherwise which would have been sold at Rs. 25-30 or Rs. 70 or Rs. 90 or Rs. 110, our R&D is in the process of creating

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and churning value-added products in various forms whether it could be the 1/4 Cineol, 1/8 Cineol, the Terpinen-4-ol, the Terpinolene and now going forward maybe something like Menthol and Peppermint oil and all. So, these products are getting value added because we feel that by creating a value to a waste product or a side stream definitely will give us more margins. However, the core competency of us is manufacturing the main five products in the pine space, which is Dihydromyrcenol, Amber Fleur, Pine-oil, Terpineol and now

Camphor and the

Galaxmusk have range of products which has a capacity of 5,400 tonnes. So, along with that we have started now also creating value added products from the side streams of Galaxmusk in the form of Indomethane, Florovane and Amber Xtreme. So, we feel with the technology and with the great research that we are having around, we can create more and more value-added products. And that's what we are trying to say that though the prices are falling down on various finished goods because there is also a parallel fall in the raw material prices, the Privi is still able to get

a better EBITDA margin or work towards achieving better EBITDA margin by adding more wealth to the side streams. So, that's the philosophy going forward.

Moderator: The next question is from the line of Chintan Modi from Haitong Securities India Private Limited.

Chintan Modi: First question is with respect to the realizations. If I work out based on the data that has been shared, our average realization for the full year has been about Rs. 500 per kg. Can you throw some light like the contracts that would have been done in the 4th Quarter and starting January? What kind of incremental growth that we would have seen on this average realization?

Narayan S. Iyer: Chintan on the 4th Quarter which means January to March of '24, is that what you are saying?

Chintan Modi: Yes because that's when we start the contracts.

Narayan S. Iyer: So, actually, the prices have come down on most of the products and which was also addressed by me in my earlier call that the annual contract prices for the Calendar Year '24 is down by about close to 8% to 10%.

Chintan Modi: So, basically, for full year FY25, we should largely not expect any growth in terms of realization at least, is that the correct understanding?

Narayan S. Iyer: Possibly yes.

Chintan Modi: Second, with respect to the margins. When we look at the gross margins we have seen for the full year, we have seen a good amount of growth when compared to the previous year. And while for the 4th Quarter on a sequential basis, there has been a drop in the gross margins. I would like to understand that these kind of gross margins you believe are sustainable going ahead or you think that it was more of a low-cost inventory advantage in the last year?

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Narayan S. Iyer: Chintan to answer you very very clearly, we never had an advantage throughout the year of low-cost raw material. So, let me be very clear about that. We had high value inventory of the year '22 which because of the war like situation and inventory getting piled up because we bought additional raw materials at high prices to withstand the war like situation created by Ukraine and Russia. Due to which the Scandinavian ports from where we import CST got stuck up and the ports were not available for sea voyages for almost about four months. In that period, we had gone ahead and acquired a lot of other raw material from Latin American countries and Southeast Asia. So, that's how there was an excess inventory at high cost. All this material could be consumed by us only by about July '23. However, the prices on the finished goods as well as the raw material prices they fell for the Calendar Year '23 also. Privi could not get that advantage because we had stocked up certain high value inventory. But we were able to rationalize and use and obtain and that's what our margins came back to normalcy for the period of July to September as well as October to December. In my previous investor call also I happened to mention that because of the fall in the contract prices starting from January itself, there could be a small marginal dip of 1% or 2% on the margins at the gross margin level I'm talking about, not even considering the Red Sea effect. Because of the fall in the average realization of

the selling

product where raw material per se the fall we will prima facie be in a position to see more impact of it from maybe April or May 2024 onwards.

Chintan Modi: Secondly with respect to the volume growth that we have seen, quite a robust volume growth. How should one see this especially, is it from the perspective that some of the competition in Europe or some other regions have scaled down on their capacities or is it that we have significantly gained market share based on our strength?

R.S. Rajan: So, essentially, it's not about the European supplier slowing down it's about the adaptive performance and the capabilities that Privi has built up over the decades in a competitive space.

Case in point being Galax musk where we were late entrants and now we are heading towards optimizing our capacities which was a judgment call taken by the visionary Chairman – Mr. Mahesh Bani and at this point of time given the parallel streams where we continue our waste to value story, it is evident that Privi is not only an important supplier, a preferred supplier to the Fortune 500 companies, in the value chain it has also proven its capabilities beyond question to compete in a crowded space and yet emerge in the top because of the credibility and reliability that it brings to the table. So, that is to be seen in that light. And of course, our endeavors of the sustainability and the efforts that we are making with the rating improvement year-on-year is also making us a preferred supplier with most of our Company who are regulating everything on a very stringent basis with regular audits also at our factories. I hope that gives you a picture that we are competing our way to gain market share. So, not only do we have the ability to feed ourselves, we also have the ability to sometimes snatch a sandwich here and there in a growing market.

Chintan Modi: And just one last question is with respect to what would be our capex plan for next year in terms of cash spent and how much debt we intend to repay next year?

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Narayan S. Iyer: We are formulating a plan Chintan, because there are various plans of going ahead future growth. We are contemplating possibly some fundraising for some of our very high value dream project of menthol and peppermint oil and a few other CAPEX, possibly some expansion on our very important products like Dihydromyrceno I, Amber Fleur. Maybe there could be a capacity expansion of CS T. So, we are working up, we are contemplating the entire scenario and that's the reason that possibly we could come up with a fundraise in the very near future as we are talking about. So, broadly we are working on all those fronts as and when we are very very crystal clear how much, what and all the blueprints are being prepared. We shall come back and give a better reply exactly as to what could be the quantum, what could be the amount, how we are going to do about it, what could be the overall debt. But debt per se barring maybe that last one year where we had given enough of reasons as to why it went up. Debt has always been in the range of less than 1x or 1x. So, even going forward we never want our debt to go beyond 1x. 1:1 on the equity as well as the debt. But sometimes it went up in the previous year only on account of the fresh capex not starting on time and leading to a result that we were high on debt as compared to a debt EBITDA or a debt equity per se. We will ensure that the financial parameters are very much kept in order and you will see that Privi maintaining most of the financial parameters in order when we go for our next set of growth plans also.

Chintan Modi: And any guidance that you would like to share?

Narayan S. Iyer: As I said the guidance for equity could be 1x-1.05x max. If I'm talking about debt and equity prima facie at least for the next 3

to 5 years or so. And a debt EBITDA should be less than 3x

most of the time. It will not be beyond that and broad capex, I said we are still working about.

Current ratio should be a good 1.2 0x-1.25x. That's what we are striving to achieve.

Chintan Modi: I was talking about the financial guidance, the revenue and EBIT DA margins if you could.

Narayan S. Iyer: In my initial it is itself I mentioned that you can expect a volume growth of about 15% to 18%

on what we have achieved for the year '24-25. Probably 10% to 12% with regard to value, broad

guidelines with regard to the margins per se, yes, you can expect anywhere between 18% and

20% to sustain. And if the Red Sea gets disseminated possibly you could add something more.

My last quarter, had it not been for the Red Sea effect you would have seen another Rs 20 crores

of profit on my bottom line. So, that was the impact of Red Sea on my last quarter financial that

is Q4, both in terms of inward as well as outward shipment charges. So, if that comes down, we

should possibly see another 0.5 basis improvement with regard to the overall EBITDA and P AT

numbers.

Moderator: The next question is from the line of Ankur Periwal from Axis Capital.

Ankur Periwal: First just getting some clarification here. For Q4 specifically, as you mentioned the freight costs

were one which impacted our profitability. You also mentioned that the prices, the revised

contracts have been lower that you have been signed for almost two thirds of the revenues. Is it

both impacting our margin, or is it largely freight cost?

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Narayan S. Iyer: Largely freight cost because I knew my margins very well when I entered into those contracts keeping the raw material prices which was already there.

Ankur Periwal: So, incrementally let's say starting this quarter this decline in realization with the clients will largely be in sync with the R M price decline that you would have seen.

Narayan S. Iyer: That's right.

Ankur Periwal: Incrementally is there any further price action movement across either finished products or on raw material side in the spot market?

Narayan S. Iyer: We are not seeing any further reduction in the selling prices per se. More or less as I started my address also that spot markets are slowly started moving up on account of various shortages sort

of situation created from Latin America and China. So, this could possibly improve the spot

market prices of most pine-based material. I'm talking about pine-based segment which is where

your Company is having its forte and strength. So, that should be a positive for us because if

pine-based products start moving up, definitely the spot market we can expect better realizations

going forward. Raw material for us having contracted ourselves on a back-to-back arrangement

CST we feel that we could be in a better position than compared to most other competitors

outside Europe. So, when I say some of the Indian competition and Chinese people where they

manufacture pine-based material using the GTO and GTO products.

Ankur Periwal: In the presentation on slide #23 wherein we highlight the product mix and how we are moving up the value chain. Musk and Speciality has significantly is one which will be significantly

margin accretive to us. But in case of realization, any specific trends that you are seeing there?

And part of that question, the second part there being the value-added part of product segment,

any time lines that you can share.

Narayan S. Iyer: So, what do you want to know Ankur on that specifically on the value chain ?

Ankur Periwal: I want to know prices specifically for Musk because if I look at the numbers there has been sharp correction in Musk and Speciality pricing in the last financial year versus what it was prior to that. And it has been a high margin product.

Is this pricing decline largely in sync with the RM

decline? That is one. And within Musk you had mentioned ramping up the premium end of the product , so any timelines you can share?

Narayan S. Iyer: What we are trying to showcase in this is , that we have been moving up on the value chain. So , when we talk about musk and Speciality also, quite a few of the musk and musk variants are being used using the Galaxmusk byproduct streams which we just started and launching in this particular year apart from of course creating a Galaxmusk facility whose sales started coming here in this particular year itself. So, that's one thing that is there. Value adds what we talk about on the front about musk we are also trying to showcase that what was Speciality and musk maybe a few years ago , post Covid all this had come down. We are trying to showcase and say

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that even Speciality is started moving up , musk definitely has moved up in this year. So, there could be a big spike you are saying 6% to 15.9% or so. But even per se Speciality what was almost zero practically post Covid and then slowly limping around , that's shown a remarkable improvement and close to about 45 %-50% of the overall capacities that we have , we find ourselves in a sold-out position and that's improving and increasing. And when we talk about value add , these are basically as I was trying to mention , the value -added products from the side streams of pine as well as some musk range of products where the margins are high , where it is moving , up both in terms of volume . Value here not much of change happens around because these are all high ended Speciality chemicals. So , the value guys more or less it remains maybe just about 3% to 4% variation could be there over a couple of year period. But the margin per se in these products are high because very few manufacturers of course , it requires a huge amount of technology and infrastructure to manufacture such products also. And Privi has been in a position to do that and that's what makes us much ahead in the curve but different than most of the other competitors who are in India and also prima facie over the globe.

Ankur Periwal: Just last question from my side on the working capital. We have seen a decline there versus last year and as you mentioned last part of the high-cost inventory has been used. Where do you see this number stabilizing?

Narayan S. Iyer: Our ideal could be somewhere between 120 and 125 days. We are budgeting somewhere around 135 days for this year.

Moderator: The next question is from the line of Dhavan Shah from AI Accurate Advisors.

Dhavan Shah: My question is on the musk-based products. You already mentioned that we have increased capacity last year and that is the fuel , the volume growth for this FY24. So , you mentioned the Galaxmusk capacity is roughly 5 ,400 tons. What is the overall capacity of this musk -based product , the entire category , volume number ?

Narayan S. Iyer: The overall capacity of various musk-based products is 5 ,400 metric tons. And we've been able to do achievement or close to about 50% of volume in the first year itself. That is the year I'm talking about '23-24.

Dhavan Shah: And what could be the industry size because this is mainly the export business , right?

Narayan S. Iyer: Export as well as domestic. In domestic also many blenders use Galaxmusk. So, if what I have heard from my marketing head as well as my chairman Mahesh bhai, broadly various types of musk and musk variants , the industry per se could be anywhere between 22 ,000 and 24 ,000 metric tons or so. So, we are close to about once again since we wanted to be a major player on this we have set up a complete set of close to 25% of the overall global demand , which is what Privi normally tries to enter in such products where it feels

its technology is much superior and

it has all the ingredients to manufacture a quality -based product

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Dhavan Shah: But in FY24 itself I think the volumes are roughly 4,200 tons. You are saying that this plant is running at 50%. But if I calculate it roughly the utilization comes to around 78% , capacity utilization.

Narayan S. Iyer: Which product you are talking ?

Dhavan Shah: Musk based product. You mentioned that the overall capacity is roughly 5,400 ton. But that category has given a sales volume of roughly 4,200 tons in FY24. So, that's been running at 78%.

Narayan S. Iyer: It is not just Musk. It also has various other Speciality chemicals also in that if you see that. That belt is musk and Speciality.

Dhavan Shah: My question is on the gross margins for the musk and Speciality category. Despite the revenue contribution of this category increased by roughly 10% odd over the period of FY20 to '24, our gross margins have been improved by roughly 150 basis points. So, just wanted to understand what is the gross margin differentiation between musk and the other base business?

Narayan S. Iyer: It all differs from product to product and you are talking about something from 2020 up to 2024 which is a 5-year period. In this 5-year period we have seen a steep fall in overall pricing about close to 45% to 50%. I am talking about just from 2021 the numbers what it was and '24 what the numbers were, not just for us but overall, for various people who are in the product mix that we are in. I will not be in a position to exactly showcase over a call today what it was margin of X product and what it is today on a Y product. But broadly I can say that my margins with regard to very high ended Speciality chemicals will be upwards of 50%. Good Speciality chemicals will be 40% and in general normal Speciality products on musk and everything could be about 25% to 30%. So, this could be the broad framework.

Dhavan Shah: So, 2 years down the line what kind of gross margins do you look at based on the capacity utilization you are envisaging for musk and the other Speciality-based products?

Narayan S. Iyer: We should be maintaining our overall EBITDA margins of about 18% to 20%, +/- 0.5% or 1%. It should be more I feel so because the prices that are there of most of the products are at the lowest. And I feel going forward we see such cycles happening in every 4 or 5 years that prices fall to such an extent that it becomes very difficult for the small players to survive. And then you see a bounce back. I feel the bounce back is just around the corner and you will see that prices going up. If that happens your margins definitely will go up further to whatever we are committing today and achieving it also.

Moderator: The next question is from the line of Rohit Nagraj from Centrum Broking.

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Rohit Nagraj: First question is to Rajan, in terms of geography how are we seeing the demand across our export's geography? And the second thing is that in terms of our product categories where we have broken up into Prionyl, Citral, Musk etc. Which in all are the categories which are seeing more traction among the geographies?

R.S. Rajan: So, as far as the geographical span is concerned, Europe continues to be our biggest market followed by the US. We are geographically located at a very strategic location in India where we are right in the middle of the developing economies all around us which is where the fastest growth is envisaged. Going forward into the distant future also the next continent where the demographics and psychographics work in our population which is today young in India, it could be even more younger in Africa and if you go back to the consumer pathway, the path to purchase where the

there were basic three cosmetics maybe an eyeliner, a lipstick and a powder. Now each shelf is filled with at least five or six options even in a developing country. So, everybody wants everything to smell good. So, as far as the geographical locations are concerned, I see the developed economies as well as the developing economies both being our playfield in the coming as well as in the distant future, so it augurs well. And for the aroma chemical space, I think it's going to be a great journey for the next decade. As far as the geographical shifts are concerned it all depends on the generation of consumers and the TGs that are blending houses as well as the FMCG companies are addressing. So, from the millennials to the Gen Z, the olfactiveness and the fragrance's taste also keep evolving. And it's very interesting to see that one of the biggest developing markets is also right in the Middle east. So, all these influence the type of fragrance that play out. So, as far as we are concerned since we have a basket which is right now dominated by the Pinene chemistry, followed by other Speciality chemicals. We seem to be in the right space and obviously we will encash whatever opportunities come our way. As far as the future is concerned as our chairman puts it, is there for the impact chemicals also, where using less of our ingredients with a higher stronger fragrance or aroma would pave the way for the future. Because it also is directly connected with the greenhouse gas emissions, the carbon footprint as well as the sustainability practices which are getting more and more stringent. The consumers also will be looking at labels before they buy their personal beauty care products. And the digital space, societal education also will play a big role in creating consumer groups on what to say yes and what to say no. So, overall, the future is very bright for the aroma industry.

Rohit Nagraj: Second question is in terms of the current capacity across our different product or segments. How much of and based on the visibility that we have next year FY25, we have said that it will be double digit volume growth, when do we have to go in for the next leg of Capex? And how

much time will it take from conceiving the Capex to putting it on the ground and commercializing?

R.S. Rajan: An average Capex turnaround in our Company would be , I would say anywhere between 14 to 16 months. That's what we gun for. So, that will be the turnaround period. As far as the capacity announcement is concerned , that's already a plan which is on way in some of our key products. As far as new products are concerned , we always would confer with our valuable customers. And based on their line of interest we would be looking at the capacity announcement investment
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and the Capex investment. And since our Company has a growth mindset, we do very responsible Capex investments. And sometimes when we are investing there are some question marks. But our chairman's vision over the last 10 years if you have seen , any Capex that we have put into place including the 15 years back a very radical revolutionary decision of putting a CST refinery. Everything is sweating for us. It is adding to our strategic backward integrated vision and whatever our chairman has said so far , we've always delivered.

Moderator: The next question is from the line of Sajal Kapoor , an individual investor .

Sajal Kapoor: You have spoken about sustainability and green chemistry. So , in that context need an update on your biotech innovation in terms of the scale up at the main pilot plant , is it in hundreds of kilos or more? What kind of yields are you getting there ? Are you satisfied with the progress and what commercialization timelines do you foresee , the Capex plan ahead for biotech both in terms of cost and timeline ? Finally, do

you need any sort of customer approvals and the likely timeline for those? So, that's my first question on biotech . As much as you could share because it's a public call. I appreciate that. And then on your financials ; slide #41 is what I'm looking at. It's just a suggestion that going forward instead of showing a debt-to-equity ratio, it would better if you could just highlight the net debt to EBITDA because you won't be able to repay your debt using equity unless you dilute equity. So , unless there is a plan to dilute equity and pay off debt and, in that context, yes, debt to equity makes sense. But EBITDA , I think is a more reliable indicator assuming that we can convert a healthy part of EBITDA into operating cash flows. And our current average 5 year run rate for EBITDA is about Rs. 200 to Rs. 225 crore s kind of thing. So , in that context I think our debt is slightly on the higher side. But I would love to hear your thoughts. So, those are my two questions. I'm not sure at what point I lost you. And so I will repeat both questions again.

Narayan S. Iyer: You can go to the second part of the question. Rajan, are you going to address the first part? Because I heard the first question .

R.S. Rajan: I will address the first part.

Narayan S. Iyer: And then after Rajan finishes th is thing , I think you can ask the second question which you were trying to possibly talk about some slide and I can answer that as well .

Sajal Kapoor: Slide #41 the financials. I have got questions.

Narayan S. Iyer: So, Rajan yours and then I will add to it and then take it forward.

R.S. Rajan: So, on your question of biotechnology , I think on the tail end of the question you summarize that we are on a public call and these involve IPs and patents. I can tell you with extreme enthusiasm that it is heading in the right direction. Our challenge is not to get the biotechnology piece right but it is also important to get the costing right because we want to ensure that in the ecosystem in which we operate , even if there is a new technology which is breakthrough and a game
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changer , it is either affordable , on par or at best an affordable premium. So , to get that part right we have to go through many cycles of research and our scientists are up to speed and they are committed and we can see progress. As far as our potential customers are concerned , in some of the research that we are doing , we do share the results and the trials on a proprietary based basis on those who have given us letter of interest. Since most of that information is proprietary in nature , I can only tell y ou it's all heading in the right direction. Hopefully in the coming future , we will have some breakthroughs which we will be able to share openly with all the stakeholders' nods in place.

Sajal Kapoor: That's a very thoughtful response and I appreciate that we could only share so much on a public call. Thank you for that response. My questions related to the financials is related to slide #41.

So, it's just a suggestion , it's just an observation , you mentioned debt to equity and the only way to repay debt using equity is if we dilute equity . I'm not sure whether that 's the plan or not. My sense is better to report net debt to EBITDA and going forward and in that context if I look at our EBITDA trend over the last 4-5 years , it's been hovering in the range of Rs. 225 crores. And this year has been super very positive. So , our operating cash flows are actually higher than

EBITDA but I think that 's just an exception. So, just wanted to know your thoughts around what's your current net debt to EBITDA is and whether you think that 's sustainable because ideally it should be a ratio of about 2x. So, your net debt should be no more than 2x of EBITDA on a sustainable basis. So, just wanted to understand your thoughts.

Naraya

n S. Iyer: Being in a growth path and it's been that we have been growing at 19% CAGR for the last continuously 20 odd years. The field that we have chosen the bulk aroma chemicals , growth can only come with volume. And for setting up volume you require capex , you require build up inside. So , with such growth plans going forward , on one question we need to balance all the financial parameters , on second we need to ensure that we keep growing so that our investors and all our stakeholders are happy. We keep balancing that happening around. And in the year that when we are actually putting up a capex of 100 -200-300 crores and possibly, we are borrowing money or so , your debt is bound to go up and maybe initial holding of inventory till the time the plan stabilizes , you require more inventory so, more borrowings happening around per se . Getting it less than 2x which is what you are trying to talk about , may or may not be possible. Ideally speaking yes , internally we have a roadmap that we have our debt to an EBITDA at a much comfortable level of about less than 2.5 x or so. And we have most of the time barring maybe starting from '21-22 onwards or the post the covid year when some of the capex did not start giving us the yield or the capex went extending. Finally , the results started coming from the Year '23 -24. So, those 2 years and more so for the year '22-23 was the only aberration year where the financial parameters set internally by us most financial gurus and as well as my bankers from whom we borrow money for long term capex and all . The only year that we were possibly not able to meet most or all of the so-called financial parameters was in the year '22-23. Barring that year , in its history of about 25+ years since the time it started borrowing and 16+ years that I am in this Company , the Company has never faulted on any of its financial parameters as set about as well . So, we are as such conservative though we have

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continuous growth path and growth plan. We will ensure the right balance of equity and debt going forward also for establishing our next set of CAPEX plans.

Moderator: The next question is from the line of Amar M aurya from Lucky Investments.

Amar Maurya: Just one clarification. You indicated that for next year , the volume growth would be in the range of 15% to 18% and a pricing growth can be something around 12%. Is that a correct understanding?

Narayan S. Iyer: That's correct. 10% to 12% of pricing , yes.

Amar Maurya: So, basically, we are talking for 27% to 30% growth for next year.

Narayan S. Iyer: No, I'm talking Amar, that even with the fall in the prices , you will see a volume growth what you have achieved in this year by about 15% to 18%. As far as the revenue growth is concerned from the Rs 1,772 that we have achieved in this year , you will possibly only see a `10% to 12% which means adding on Rs 1,772 this is what I try to mean about that.

Amar Maurya: So, basically , value growth of 12% because you are saying the prices are going to correct or correcting what ever?

Narayan S. Iyer: Prices have already come down Amar.

Amar Maurya: And in terms of the margin now we are guiding for 18% to 20% range. So, basically , this volatility is largely because your contracts are fixed and there might be some uneven volatility into the R M prices. Is that a reason or this is largely to do with the product mix changes which happens to you ?

Narayan S. Iyer: I am not as such talking about anything which has come down. I'm still maintaining and managing our overall annual basis. We are talking about an annual basis where we are living in a VUCA world. Yet we are talking about a strong good EBITDA margin level of maintaining about 18% to 20%. So, that's what we have achieved in the previous year also of about 20%. So , I'm not able to follow your

concerns on that.

Amar Maurya: No I was saying the range of 18 % to 20 % is largely because of the product mix changes which happen at internal level , that is you are not sure about. So , it can range from 18 % to 20 % or this is largely to do with the volatility in the RM because your contracts are already fixed. So, you may have to bear the cost if the RM goes up .

Narayan S. Iyer: Amar, I may not be able to give you exact two digit or two digit plus minus point two digit to what could be the EBITDA margin. That is the reason of giving a range of 18% to 20%. We are living in a volatile world. There could be fluctuations up and down on raw material. There could be fluctuations at the spot market business. It is not that I have every raw material covered for the year. It is also not that I have every finished goods revenue covered on contracts. So , what

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is left to the spot market is that's the reason that we are talking about range -based EBITDA margins on that. And we feel that we should be somewhere around this range going forward.

Moderator: Ladies and gentlemen this will be the last question for today which is from the line of Nikhil Porwal from Perpetual Capital .

Nikhil Porwal: I had one question regarding this JV with Givaudan. So, is this the only extent to which this goes or will there be subsequent expansion announced and what will be the margin profile for this business.

R.S. Rajan: So, can you please repeat your question? Because in between there was a bit of a signal weakness. If I understood you were asking about the Givaudan JV, right?

Nikhil Porwal: I mean is this the only phase of capex or will this expand further going forward? And what would be the margin profile of this business since the molecules will be higher in value?

R.S. Rajan: Yes, in the first phase the capex that we have indicated is the first phase capex . And once the first phase capex rolls out then in the second phase which is still work in progress , there will be opportunities and scope to explore for further capex . And there will be a change in the margins in the new products that may come in the second phase. But in the first phase the margins are what they are which have been indicated in terms of the top line revenues which we have spoken about and it's more on a customized and exclusive basis. That's the first phase of the JV. But in the second phase of the JV as the JV moves ahead the possibilities are being explored. At this point in time , it is premature to talk about the margins in the second phase or the capex investment because that's still a work -in-progress. But definitely there's going to be a scope for expansion as we go along.

Nikhil Porwal: And for the current year how did you all manage to bring such efficiency in the employee cost for the year ? They've been down close to 9% versus the previous year while the volumes have moved up 28%.

R.S. Rajan: We have a younger team and the succession planning in the layers of the management that we have right from N1 to N3, i t's not happened overnight. It's our chairman's vision for the past 10 years to have homegrown talent takeover responsibilities. So , we have put them through many MDP programs. Some of our leaders who were harnessing the positions earlier they have achieved superannuation status. I think it's time that the young blood takes over and takes the Company to greater heights as the journey from good to great goes. So , it's a part of succession planning and it's been happening for the past 10 years. It's something where you see the fruits of that which we've been watering for the past 10 years.

Nikhil Porwal: And one last question from me is , while the volumes have moved up and the contribution of value -added products and musks and Speciality has moved up , the EBITDA per ton is more or Privi Speciality

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less in the range of where it was in FY21 or FY20 . While it had moved up in Q 2 and Q 3, how are we supposed to look at this going forward?

R.S. Rajan: Very positively because you see the resilience is not stated in figures , it's only the outcome. So , if you see the curveballs which have been hitting the industry at large and also your Company in specific I don't think that you should miss the woods for the tree. Despite all the curveballs that have been thrown to us the customers have stood by us , you have stood by us and our performance continues to bounce back.

Narayan S. Iyer: To add more granularly , we keep forgetting that the last 3-4 years we have seen a lot of uncertainties happening in the world and it started with the war. The coal prices went up , the power prices went up. There was a huge fluctuation with regard to the raw material pricing that we have witnessed, and which of course is there on record in various of the investor calls that we had done about. And suddenly now in this quarter when we thought that everything was getting back to normalcy and all I, we suddenly had the Red Sea effect which is coming in. I believe a lot of export oriented as well as input -oriented companies have suffered because of the Red Sea effect which has led to escalation in the freight costs and so on . In between we had the covid effect due to which globally the freight costs went up because very less ships plying around , prices going up. So , this has been the turnaround that's been happening in the last 3-4 years or so. And also , the year that you talked about in '20 and '21, definitely my margins were very good I would say. But a part of it was also contributed on account of some insurance claim that we happened to receive. It's something which is good. We lost on a year before that when there was a fire and all we were not able to perform two our exigencies. But that insurance claim was settled maybe 1-2 years from the time that it was actually there. So , since we have covered for most of the exigencies available under insurance including the loss of profit , reinstatement of certain capex and all that. So, those money were taken as per Ind -AS standards as a revenue

and as a part of the profit and which is also paid tax to the government as and when the same was accounted. So, this is something that you need to go about. On a hindsight and giving a very futuristic sort of a thing, you can expect our Company Privi prima facie to keep growing per se. There are various growth opportunities that we are looking around for and for which certain capex will be built up and those capex will be built up with a combination of equity as well as debt. As Rajan stated this takes a minimum period of about 14 -15 months to an 18 month for any new capex and that to a huge capex that we are talking about to be established, set right and commercialized. This will keep going around, you will keep hearing such more news from us with regard to the future expansion that's going about. If I have to talk purely for the year '24-25, yes, you can expect your Company to showcase a 10% to 12% growth on the overall revenue, value wise about 15 % odd of volume. You can expect your Company to have good, steady margins of about 18% to 20% and see those gross margins remain more or less what we have done or possibly improve by about 0.5 basis percent further to what we have achieved in the Year '23 -24. So, on that count any question Michelle or anyone else is there.

Moderator: Thank you, sir. That was the last question for today. Thank you. I would now hand the conference over to the management for closing comments. Over to you sir.

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R.S. Rajan: All I can say is, we remain grateful to all our stakeholders. We remain inspired by our chairman Mr. Baban

i. We have great teamwork amidst all of us. We remain obligated and reverend to our valuable customers and we are in an aroma chemical business which has infinite possibilities and perennial opportunities. Thank you everybody.

Ashwini Shah: Good evening all of you. I would like to take this opportunity to mention that as we walk and leave to each day aromas from Privi touch your life with fragrances that create memories and bring back nostalgia. We maintain our pace without compromising on our values and constantly challenge ourselves to serve our partners and customers. With this our distinguished participants, on behalf of Privi, I thank you everyone for joining us in this earnings call. We appreciate your time and showing interest in our Company. We assure you that the Company shall continue to perform well going forward too and achieve many new milestones. In case of any queries, you can get in touch with us or SGA, our investor relation advisors. We look forward to meeting all of you over the next call. Thank you.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of Privi Speciality Chemicals Limited, that concludes this conference. Once again, we thank you for joining us and you may now disconnect your lines. Thank you.

Call: Jul 2024

4,

July 04, 2024

Dear Sir / Madam,

Ref: Letter dated July 02, 2024, providing Audio link of the Analyst / Investors Meet

Sub: Transcript of Analyst/ Investors Meet held on Monday, July 01, 2024

In addition to Audio Link shared via letter dated July 02, 2024, please also find enclosed the transcript of the Business Development Call held on July 01, 2024, to discuss proposed acquisition.

You are requested to kindly take the same on record

Thanking you.

Yours Sincerely,

For Privi Speciality Chemicals Limited

Ashwini Saumil Shah

Company Secretary

Encl: As above

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Business Update Conference Call "

July 01, 2024

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MANAGEMENT : MR. MAHESH BABANI –CHAIRMAN AND MANAGING
DIRECTOR – PRIVI SPECIALITY CHEMICALS LIMITED

MR. R. S. RAJAN – PRESIDENT – PRIVI SPECIALITY
CHEMICALS LIMITED

MR. SANJEEV PATIL – SENIOR VICE PRESIDENT ,
STRATEGY AND BIOTECHNOLOGY – PRIVI SPECIALITY
CHEMICALS LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Privi Speciality Chemicals Limited Business Update Call. Please note this Business Update Call is to discuss proposed strategic investments by the company. We request all participants to refrain from asking any questions on the performance of the company.

This conference call may contain forward -looking statements about the company, which are based on the intentions, beliefs, opinions and expectations of the company as on date of this call. There may also be statements that describe the strategies, objectives, plans or goals of the company. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict and are based on certain beliefs and assumptions.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. R. S. Rajan, President of Privi Speciality Chemicals Limited. Thank you and over to you, sir.

R. S. Rajan : Dear all good afternoon, respected ladies and gentlemen and our esteemed shareholders. Thank you for participating in this Investor Call . This call is being addressed by senior management team of Privi Speciality Chemicals Limited and Strategic Growth Advisors, our IR Advisor .

To explain the rationale for the proposed acquisition of up to 50.95% of the issued and paid -up share capital of Privi Fine Sciences Pvt. Ltd. by the company. At Privi, we always cherish 5S values -- Safety, Sustainability, Sense of Urgency , Sincere Respect and Care and Super Transparency . On Monday 24th June, Board of Directors of Privi Speciality Chemicals Limited, we will refer to it as Privi hereafter in this call approved strategic investment of up to INR298 crores to acquire 50.95% equity stake in Privi Fine Sciences Pvt. Ltd . We will refer to it as Privi Fine Sciences hereafter in this call, by way of subscription to and or secondary acquisition of such numbers of equity shares of Privi Fine Sciences subject to execution of definitive and binding investment agreements and satisfaction of any conditions stipulated therein, completion of due diligence and receipt of necessary approvals and diligences. The brief presentation relating to Privi Fine Sciences business and operations and details with regards to proposed acquisition has been disseminated on the stock exchanges and is also available on our website. We trust you would have had a chance to go through the same. We have scheduled this call to share with you the genesis of the proposed acquisition and how it will enhance value and benefit to Privi and the stakeholders. Now I would like to hand over the call to my colleague Sanjeev Patil, Senior Vice President , Strategy and Biotechnology. Post that we will be happy to take your questions on this.

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Sanjeev Patil: Thank you Rajan. Good afternoon to everyone. Let me begin by capturing the essence behind this proposed acquisition of Privi Fine Sciences. Privi Fine Sciences is a company which is engaged in the business of manufacturing Speciality Chemicals , including aroma chemicals, mainly based on renewable feedstocks and green science technology. Privi, on the other hand, is a manufacturer and exporter of aroma chemicals and one of the few companies globally to have backward integration capabilities of making pine -based aroma chemicals from crude sulphated turpentine , what we call as CST.

This vertical integration to process the CST, which is waste generated in

the pulp and paper mills

is an integral to Privi's business and going forward we believe that the requirement of similar renewable feedstock will only increase as Privi's business scales up further. Therefore Privi is on the lookout for investment to secure the availability of similar feedstocks. Now, let me discuss the rationale behind formation of Privi Fine Sciences separate from Privi.

Just to repeat, you all are aware that this vertical integration process, the crude sulphated turpentine , which is the waste generated from pulp and paper mill is integral to Privi's business.

A substantial portion of Privi's revenues is based on this renewable feedstock. Going forward, we believe we will be witnessing increased global attention and focus on mitigation of damages to Mother Earth and the nature, as a result of which we believe the emphasis will be on renewable feedstock to make chemicals as fossil feedstocks have limited life.

Thus it was with a need to diversify the procurement of an alternate renewable feedstocks like biomass, which is nothing but bio -waste, Privi Fine Sciences was incubated. Let 's understand why separate. Now, the development of products and technologies which can convert renewable feedstocks like biomass and to develop sustainable and profitable business is prone to significant risk.

Undergoing R&D for such a project under Privi could have significantly exposed Privi and its shareholders with associated risk and potentially unfavorable outcomes. Promoters of Privi Fine

Sciences and its other investors have so far invested close to INR245 crores over the past four years on research and development along with their skilled team led by a talented technocrat, an alumnus of IIT Bombay and other members from reputed institutes like the Institute of Chemical Technology, Mumbai. Privi Fine Sciences also bought Unit 1 manufacturing facility.

Over the past two years, Privi Fine Sciences has invested INR145 crores towards capital expenditure to transform and further enhance the manufacturing capabilities and processes at Unit 1 of Privi Fine Sciences. This Unit 1 of Privi Fine Sciences is now operational and will be manufacturing flavour chemicals like Anethole, which will help Privi's forward march from fragrance chemicals to flavour chemicals. Other chemicals like Ester, Privial & Cyclohexanone Aldehyde are also part of this unit and are expected to have significant growth potential. Most of these chemicals have an addressable market in India, which is primarily sold through imports right now. Our manufacturing unit is expected to act as import substitution. Further, to capitalize on the R&D done on renewable feedstocks, Privi Fine Sciences additionally acquired 39.7 acre industrial plot with built-in industrial shade spread across 6 acres. This plot is located at Jhagadia in Gujarat Industrial Development Corporation Park, promoted for chemical

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industry. This is Unit 2 of Privi Fine Sciences. Now, in terms of growth plans at Unit 2, this unit will use corn cob, leftover of the corn when the kernels are already removed.

That is, when we eat a corn, we eat the danda and what is left over is corn cob. It's a bio-waste. Privi Fine Sciences has developed certain proprietary technologies where the patent is also in process to convert this bio-mass into renewable building block for Furfural.

Further technologies have been developed and scaled up to the pilot plant level to convert this building block Furfural into flavour chemicals like maltol, ethyl maltol and specialty chemicals like cyclopentanone, which is currently made from synthetic route. Privi Fine Sciences is believed to be one of the few companies in India to make maltols to cater to the domestic market, which is currently importing from China.

Alongside processing the corn cob, it made commercial sense

to procure the entire corn or maize

and use the kernel to manufacture ethanol, thereby fully maximizing the usage of the grain and the increased utilization.

Management of Privi believes that the proposed acquisition of Privi Fine Sciences will offer us,

1. Feedstock diversification strategy.
2. Significant R&D investments and patents.
3. Ready product portfolio with significant total addressable market
4. Manufacturing facility and infrastructure.

The proposed investment is in the nature of growth capital to fund the next leg of capital expenditure of Privi Fine Sciences, which is on the cusp of substantial growth plan. The purpose of transaction is contemplated to be mainly primary infusion in Privi Fine Sciences to achieve 50.95% shareholding in Privi Fine Sciences.

The proposed acquisition is subject to approval of the shareholders and the execution of definitive and binding investment agreements and satisfaction of any conditions stipulated therein, completion of due diligence and receipt of necessary approvals as may be required under the applicable law.

Thank you for your hearing. We will now open the session for questions and answers.

Moderator: Thank you very much. We will now begin the question-and-answer session. Our first question is from the line of Deep Chitalia from 9 Rays Equiresearch. Please go ahead.

Deep Chitalia: Sir, I just wanted to know that what is the current capacity of this Privi Fine Science Limited and at what capacity utilization they are operating currently and how much revenue we can expect from this entity Privi Fine Science in FY '25?

Sanjeev Patil: So, as I mentioned in my note that Privi Fine Sciences has two parts, Unit 1 and Unit 2. Unit 1 is operational and Unit 2, the investment will be done now. All the R&D work and the pilot work has been completed. So Unit 1 is now operational and Unit 1 in the current financial year '24-'25 will generate a revenue of about INR109 crores and will be profitable. Then after that, it will

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be in financial year '26-'27 that you will start generating revenues from Unit 2. Overall, we expect asset turn ratio of around 2x and more.

Deep Chitalia: Okay. And sir, how much margin we can expect from this Unit 1?

Sanjeev Patil: So we expect at a steady state level of operation in second and third year, we would be earning

EBITDA margin which are similar to the EBITDA margins of Privi Speciality Chemicals Limited which is about 20% EBITDA margin.

Deep Chitalia: Okay. Thank you so much. Yes, that's it from my side.

Moderator: Our next question is from the line of Dhavan Shah from Alfaccurate Advisors . Please go ahead.

Dhavan Shah: Yes. Sir, my question is on the products. So I think in the presentation, we mentioned a few products in the biorefinery and the vegetable oil refining. So all these products are right now manufactured in Unit 1 also? Or these are the new products which will be manufactured in Unit 2?

Sanjeev Patil: So the products which are based on bio -waste, okay, would be made in Unit 2. And these are not new products. These are products on which we have done substantial work on the pilot scale.

And now that we are ready with the product at the pilot scale where we make few 100 kgs, we are now scaling up in Unit 2 wherein we will be making these products at a commercial level.

Dhavan Shah: Okay. And can you share the capacity of Unit 1 right now? And what would be -- and roughly we are investing INR300-odd crore s for 50 -odd percent stake. So entire this INR300-odd crore s would be invested in Unit 2 or how will be the mechanism?

Sanjeev Patil: Okay. About 10 % to 12 % would go into Unit 1 and rest all the money would be invested into Unit 2.

Dhavan Shah: And capacity right now in Unit 1 and Unit 2, w hat would be the projected one?

Sanjeev Patil: Okay. So Unit 1 h

as, as I said, the four products that we manufacture and our capacities would be all put together , about 6 ,000 metric tons per annum.

Dhavan Shah: Okay.

Sanjeev Patil: And Unit 1 will, in about three years' time, we would see revenues of INR300 crores in Unit 1 with this capacity that we have created. Okay. And Unit 1 has the pilot facility and all that. That's only to enable us to scale up to Unit 2. In Unit 2, we are looking at capacities wherein we will be processing, starting with alcohol, 250 KLD of alcohol. We will be making about 4 ,000 to 4,800 metric ton of maltols, both the grades of maltol. And we have capacity for around 10,000 tons of cyclopenta none.

Dhavan Shah: Okay.

Sanjeev Patil: This will be obviously supported by the Furfural we will be making in -house and consumed in -house.

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Dhavan Shah: Okay. And Unit 2, we are expecting -- I mean, how much capex are we going to do? INR300-odd crores for Unit 2?

Sanjeev Patil: Unit 2, the capex would be around INR500 crores.

Dhavan Shah: Okay. And this will be over the period of two years or three years?

Sanjeev Patil: Yes, about two years.

Dhavan Shah: And asset turn , you are expecting 2 x, right?

Sanjeev Patil: That's correct. Yes.

Dhavan Shah: Okay. And how are we going to fund this capex? I mean, this investment is what we are doing, INR300-odd crores. I think we were about to do a menthol project also in Fine, in Privi Speciality . So, roughly, how are we going to fund this entire capex, entire investments?

Sanjeev Patil: I don't think that this is the subject matter of -- including the projects in Privi Specialty is not the subject matter of today's discussion. We will discuss that at an opportune time in some days to come. When we declare the first quarter results, perhaps we will discuss those plans. But it is assured that has been fully taken care of. We are also, as we have put on our website, the Board has already approved a QIP of up to INR1,000 crores. So we are already working on that thing and we are evaluating all the options. Our investment bankers are also being engaged and they are advising us on this whole strategy.

Dhavan Shah: Sure, sir. And product approval wise, have we received the approvals of all these products what we are manufacturing from the customer? Have we tied up any arrangements from the customer at this moment or this is like going to be over the period of two years?

Sanjeev Patil: So some of the products, we always -- when we develop the product, we are always in constant touch with our customers. And it is right now under progress and we are looking at previous track record and you see the number of products that Privi has brought to table right now. We are confident that going forward that during this journey by the time we put up the plan, these approvals will be in place. It's right now under progress.

Dhavan Shah: Okay. And this is mainly for the import substitution, right , and not for the exports? These all products?

Sanjeev Patil: Products in Unit 1 would be for import substitution. Products in Unit 2 would also be largely for import substitution. But whenever there are opportunities for export, we will obviously explore those because we have the strength of speciality chemicals wherein we export 70% of our output.

So we already are in connect with all these customers and right now what we see is both the possibilities, import -- the domestic as well as export.

Dhavan Shah : Sure sir. That's all from my side. Thank you.

Moderator: Thank you. The next question is from the line of Sudhir Bheda from Bheda Family Office . Please go ahead.

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Sudhir Bheda: What is the ROI of the project or maybe investment and when we are talking of very highly specialized product and also very

few companies are manufacturing or have the technology to manufacture. So why EBITDA is only 20% we are projecting?

Sanjeev Patil: We are being cautious about our projections because we feel that as you rightly said that this is a technology with very few companies. Therefore, this is the minimum that we expect and that's why we are cautious in terms of putting across to all these stakeholders as to what is the EBITDA margin that we will earn. We are obviously internally working at significantly better levels.

Sudhir Bheda: And ROI of this project in percentage terms if we can define it.

Sanjeev Patil: So we expect the project IRR which will be reflected into ROCE of around 25% in a steady state of operation.

Sudhir Bheda: Great. That's a great news sir. Thank you for the opportunity and all the best sir.

Sanjeev Patil: Thank you.

Moderator: Thank you. The next question is from the line of Botla Lakshman from CRISIL . Please go ahead.

Botla Lakshman: Hello. Yes . So I just want to understand regarding this QIP timelines and as well as the timelines for this completion of this entire process ?

Sanjeev Patil: Right now our call is focused on the acquisition and QIP timelines we have been guided by our investment bankers. So we are in discussion with them and in an opportune time, you will obviously come to know about the QIP.

Botla Lakshman: Okay. That's it from my side.

Moderator: Thank you. The next question is from the line of Krishan Parwani from JM Financial. Please go ahead.

Krishan Parwani: Yes, sir. Thanks for taking my question. Just two clarifications from my side. So the first is on this Furfural and Cyclopentanone what will be the global tonnage currently and who would be the current manufacturers?

Sanjeev Patil: So Cyclopentanone right now is made by various companies like Solvay and others, but it is entirely made from crude oil. It is made from adipic acid which is made from crude oil. So it is a non-renewable way of making Cyclopentanone and the overall demand we estimate it to be around somewhere near 90,000 tons which is entirely made by non-renewable source. So we would be the first company to make it from a renewable feedstock.

Krishan Parwani: Okay. So, basically, I think you said you are going to put up 10,000 tons of capacity. So you are targeting more like 12 % odd or 11% odd kind of market share in the whole 90,000 tons market .

Is that correct?

Sanjeev Patil: That's correct to start with.

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Krishan Parwani : And given I think you said currently no manufacturers manufacture from the renewable route. So probably you will get a good entry point to kind of take away the market share from the existing players, but would you get premium on the pricing or you would not want to charge a premium?

Sanjeev Patil: No. While making our calculations we are not taking any premium, but definitely we will get a preference and in our communication with some of the potential customers we have a very favorable response because as you all know world in the next five years I think only this morning there is an article that by 2070 whole of India would be zero carbon neutral. So everybody has to move and march towards that target.

And going forward over the next five years by 2030 we feel that renewable raw material would be very very important and that's how we are focusing on this entire stream of having maximum products out of renewable feedstocks.

Krishan Parwani: Understood. That's helpful. And can you like give some indication on in terms of other streams that you would have from Furfural because I think you mentioned about Maltol. So can you give some indication around that?

Sanjeev Patil: So, Furfural is also converted into Maltol and Ethyl Maltol. Currently, India's requirement of Maltol and Ethyl Maltol is met by import

rgely from China. We would be the first manufacturer

within India to make Maltol, Ethyl Maltol both of them. For the Indian market, as well as we'll consider the export market going forward.

Krishan Parwani: Even, without charging any premium based on the renewable technology, you would be able to let's say, be competitive and make what kind of margin? Would it be 20 %-25%? The same as the unit one?

Sanjeev Patil: Yes. We will. Because, you have to understand, if I may direct this point further when I am using both the corn, the corn kernel, as well as corn cob, the corn cob almost comes to us at a very very low cost, very very extremely low cost. And as a result of which Furfural that we make the basic building block that itself would be at extremely competitive cost as compared to, let's say, another manufacturer of Maltol, who would be buying Furfural.

We will be making Furfural in-house and that is what will give us substantial margin. I would not -- it will not be an exaggeration to say that the corn cob will be almost free to us and that's how we have developed technology where the cob is used in its entirety, where we convert it into Furfural the balance is put to use as an energy and what all. So, that's the way our entire -- that's why it is called a bio-refinery. We add value to each and every stream that is there in corn.

Krishan Parwani: And this cob to Furfural is the technology developed in-house?

Sanjeev Patil: Yes. We have developed the technology in-house and that is what will help us in terms of always get an EBITDA margin which should be north of 20%.

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Krishan Parwani: I think sorry, one last point clarification. I think you mentioned certain patents that you are in the process of applying for. So, are these for this cob to Furfural or are these for some other applications?

Sanjeev Patil: All of that. We are capturing everything, everything that we are doing cob to Furfural, Furfural to other things we are capturing that and this concept I just want to repeat for everybody's benefit that as a concept where we use both corn and cob, we are first company to do that. No one else is doing it the people who process the cob there are companies which process the kernel but as a combined thing, where you make it a real bio-refinery Privi Speciality and which will now be part of Privi will be the first company to do this.

Krishan Parwani: Understood sir. Thank you for patiently answering my questions. Wish you all the best. Thank you.

Moderator: Thank you. The next question is from the line of Nikhil from Perpetual Capital. Please go ahead.

Nikhil: Yes. Thank you for the opportunity. I joined the call a bit late, so my apologies for this any questions if any question is redundant. Can you explain the use case of Privial, Anethole and Cyclohexanone Aldehyde in the fragrance industry or I think it is a flavor chemical, so can you explain the use case for it?

Sanjeev Patil: So these use cases are like any other aroma chemical, so Privial has a Lilial smell as the name itself will suggest Cyclohexanone Aldehyde is there in the presentation also Anethole is Saunf that is the flavor and that is how we are moving from Privi largely is in fragrance chemical that it will mark journey towards flavor chemicals Maltol also will be a flavor chemical, so these are the uses and product like Anethole will be used by the famous toothpaste that you will use every single morning.

So that company also is in discussion, serious discussion with us for using Anethole because we have made already and we have made samples and going through all the approvals. So Anethole is used in the toothpaste. And so as a combined Privi Group you will have Anethole, you will have Maltol, you will have some amount of Eucalyptol oil, so all these put together as a package, when you go

ok at it, it is a very formidable thing to be offered to a company which is into dental care products.

Nikhil: Right. So Eucalyptol oil will come from the Menthol project?

Sanjeev Patil: No. It is coming already Eucalyptol oil is already part of Privi Speciality so that is also coming. I am saying as an overall group the offering will be quite complete. And remember that Anethole is a flavor chemical ultimately.

Nikhil: Right. I have seen some problems, when it comes to the vegetable oil refining business there is a problem around sourcing raw material on a consistent basis. There is a listed entity part of your own, which was a part of your own group earlier. So any concerns on how do you keep assurance on the raw material supply?

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Sanjeev Patil: So two are very different. So while it is sometime away I mean the vegetable oil thing is in the

pilot scale right now. But what we are processing is oil . What the other company was processing is the residue from the oil, for which there is a limitation. Not oil itself. I mean India is the largest manufacturer of castor oil. We are also on other oils also India makes significant amounts of oil seeds, which are converted to oil. So we do not see any shortage as such.

Nikhil: Right. And if I were to ask you a broad question around the technology for both the businesses, which is bio refinery and the vegetable oil business, how many players in the world probably hold this technology ? Or how unique is this technology to Privi ? Can you help us explain that?

Sanjeev Patil: So there are very few companies. I mean, I would hazard a guess that there would be a single digit number of companies, which have working on complete bio refinery as a concept. There could be one of things, but complete bio refinery as a concept, where you use each and every segment of or each and every constituent of feedstock.

I think there are less than 10 companies, which are successful in doing this. And that is how and that is why Mr. Babani took this risk himself. And don't mistake me for being arrogant, but there are very few companies really. And that was the reason why Mr. Babani took upon himself to take this risk and see to it that we are successful at pilot scale.

Nikhil: Right. The INR298 crores that the company is going to, I mean, the acquisition proposal, this is a pure capex plan, right? I mean, the promoter, it's not a buyout of promoter's stake.

Sanjeev Patil: No. Not at all.

Nikhil: Okay. One last question is around ethanol. So I assume ethanol is probably the byproduct of this process?

Sanjeev Patil: Yes.

Nikhil: While as a business, it may be slightly lower in terms of margins, it may be slightly lower than what Privi as a group is currently doing and even for the current acquisition, the margins that you mentioned so far in the call ? So won't that pull down the margins and how competitive is it versus ethanol from other feedstocks like sugar or broken rice, etc .?

Sanjeev Patil: So again, going back to the same thing I'm repeating many number of times, but essentially we have to look at it as a overall bio -refinery. So ethanol comes as a, if you look at ethanol as a standalone project, what you're saying is correct. The IRRs are in the region of about 12% or mid-teens that's the kind of IRR that you have.

But since we are doing the entire biomass, therefore our IRR is substantially superior. It's almost two times that , that's one. Second question that you used was, that you asked was about it being competitive from other sources.

So understand this that ethanol that is made from sugarcane will never be used for blending in India at least for blending with petrol. Because sugarcane as a crop is a different crop . So there

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ethanol is a by -pr

oduct and it is what is encouraged within India is ethanol from sources which are not normally used by human beings.

So, for example, what is broken rice? Broken rice is nothing but rice which is actually fermented it's something that cannot be used, you are able to take the crop and suddenly it rains. And the whole rice, the whole paddy actually it ferments. So then that is what is used for making alcohol.

Our cost, so government of India gives lot of subsidy and there is a price which is fixed based on the input cost, based on sufficient margin and based on cost of corn kernel.

So these prices are fixed and if you look at the history of past 15 months or 18 months, the prices have been increased consistently because India rates and the Prime Minister Modi as well as Mr.

Gadkari consider this as a very important project for India's progress because this will allow us to blend 20% petrol.

In other words, it will allow us to save foreign exchange on 20% of petrol and that's why government of India gives huge amount of subsidy not only in pricing but also capital subsidy for putting up project. So we are competitive, significantly competitive than any other source.

Nikhil: Right. Sorry, one follow -up on this.

Moderator: Nikhil sir, may we request you to return to the question queue for any follow -up questions.

Thank you. The next question is from the line of Ankur Periwal from Axis Cap. Please go ahead.

Ankur Periwal: Yes, hi sir. Thanks for the opportunity. A few clarifications first. Unit 1 and Unit 2. Right now, you mentioned probably around INR100 odd crores revenue from Unit 1 coming in, let's say, this financial year, INR110 odd crores. What exactly will this Unit 1 be making? Is this some bit of bio -refinery or which exact products are we making there?

Sanjeev Patil: So Unit 1, as far as commercial is concerned, it is making products which I mentioned, Privial , Ester , Cyclamen Aldehyde and Anethole. Anethole is a flavour chemical. And on the pilot scale, it is already working on that bio -refinery and all that stuff.

Ankur Periwal: Sure, and this will be only pilot plants and the bigger plant here will be coming in Jhagadia , Unit 2?

Sanjeev Patil: Yes, for the biomass...

Ankur Periwal: For the biorefinery part, yes.

Sanjeev Patil: And Unit 1, on its own, on the products that I mentioned about, will, in about three years' time, will reach revenues of INR300 crores. And it is largely for cosmetic industry. These are basically chemicals which are used in Cosmetic industry.

Ankur Periwal: Which is again in the Privial and the Ethanol range of products that we are making?

Sanjeev Patil: Ethanol, of course, as I said, goes into toothpaste and all that.

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Ankur Periwal: So, on slide 6, we are also highlighting the vegetable oil refining bit, right, wherein we are making Brassylic Acid and the derivatives there. Where will this plant be set up? This will be at Unit 1 or this is probably further way down at Unit 2 itself?

Sanjeev Patil: We are still working on, a few permissions. And then it will be either in Unit 1 or Unit 2. But the good part is that, the technology is already at the pilot level. So, that we will see what is the right place to be, so most probably it will be in Unit 2 because, oil and all that is, more easily available in the state of Gujarat and above. So, it will be in Unit 2.

Ankur Periwal: So Unit 1, sir, you did highlight 40 acres of land that we have there. How much land do we have in Unit 1 and what is vacant now for further expansion?

Sanjeev Patil: Unit 1 has a land of around 7 acres and there is another piece of land which we are in the process of acquiring. So, all put together we will have 10 acres of land in Unit 1. And as I said, about 40-39.7 acres of land in Unit 2.

Ankur Periwal: Just, on the new product launch

hes that we have been working right. In slide seven you did highlight the target addressable market. Just a clarification. When you say addressable market, are we looking at both import substitution as well as export as a market? Or how should one look at this?

Sanjeev Patil: Yes, that's correct. Privi always looks at global markets. So, it is import substitution plus the global opportunity.

Ankur Periwal: And the \$950 million market, which is for Furfural, is only for Furfural. The further derivatives, whether it is furfural alcohol or the other products that we are making, will be, incremental. 90,000 tons globally for Cyclopentanone is incremental.

Sanjeev Patil: Yes, obviously. Much incremental. Yes, that's correct.

Ankur Periwal: And the product 1, 2, 3 are again from the same product, the byproducts that we are trying to make, the way we have been, scaling up Privi as a business. Will that be fair to say or these are some other derivatives?

Sanjeev Patil: One of them would be in the same category, through the byproducts team. And the other two are, we are working on that. But it is essentially from the biorefinery as a concept.

Ankur Periwal: Sir, last question from my side. From, since you mentioned unit 1 already has some pilot plant wherein we have cracked these products. Have we already started the product approval part for these products with domestic or international, clients? And how much time does it typically take?

Sanjeev Patil: So we, as a strategy, we always, when we do development, we always go through the approval parts simultaneously. So, as soon as we make, and we tell inform the customers that this is from the lab, this is from pilot. And since, Privi has a track record of last 20 years, successful track record, therefore, the process is very smooth.

Ankur Periwal: Sir, any timelines you would like to share there on the timelines for product approval?

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Sanjeev Patil: No, as I said, we will be commercially, unit 2 will be commercial in '26, '27. Financial Year '26, '27, commercial operations will start, and kick in. And unit 1 is already commercialized and as I said, the revenues will keep growing.

Ankur Periwal: That's it from my side, sir. Thank you.

Moderator: Thank you, Ladies and gentlemen, due to time constraint, that was the last question for today. I would now like to hand the conference over to the management for closing comments.

Mahesh Babani: So, I am Mahesh Babani. I am the CMD of the company. I thank everyone for joining this call today. As a promoter of Privi Speciality Chemicals, the listed entity, I have tried and endeavored to do and show optimal utilization of capital, which is not only result aggregated but also in line with high standards of governance and sustainability.

In the journey of Privi, it was clear to me several years ago that we need to move up the value chain and migrate towards more sustainable resources of feedstock. However, the time was not

appropriate for Privi then. I had conviction on this journey and therefore took upon myself to fund this important and strategic investment.

With the phase 1 getting commercialized, we believe the risk has been substantially mitigated and we move further. The new product pipeline getting developed successfully at pilot stage in Unit 2, we require investment. Therefore, we sought the approval of the Privi Board for investments in Privi Fine Science. Thank you once again for your participation.

Moderator: Thank you members of the management. On behalf of Privi Speciality Chemicals Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Aug 2024

4,

August 02, 2024

Dear Sir / Madam,

Ref: Letter dated Julv 30, 2024. providine Audio link of the Analvst / Investors Meet

Sub: Transcript of Analvst/ Investors Meet held on Fridav, Julv 30, 2024

In addition to Audio Link shared via letter dated July 30, 2024, please also find enclosed the transcript of the Analysts/Investors Call on the Un-audited Standalone and Consolidated Financial Results of Privi Speciality Chemicals Limited for the quarter ended June 30, 2024, held on July 30, 2024.

You are requested to kindly take the same on record

Thanking you.

Yours Sincerely,

For Privi Speciality Chemicals Limited

Ashwini Saumil Shah

Company Secretary

Encl: As above

PRIVI SPECIALITY CHEMICALS LIMITED

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BUREAU VERITAS

Certification

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"Privi Speciality Chemicals Limited
Q1 FY'25 Earnings Conference Call "
July 30, 2024

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 30th July 2024 will prevail.

MANAGEMENT : MR. R.S. RAJAN – PRESIDENT – PRIVI SPECIALITY
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Privi Speciality Chemicals Limited
July 30, 2024

Moderator: Ladies and gentlemen, good day and welcome to Privi Speciality Chemicals Limited Q1 FY25 Earnings Conference Call. This conference call may contain forward -looking statements about the company which are based on beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Ashwini Shah. Thank you and over to you ma'am.

Ashwini Shah: Thanks Manav. Good evening, everyone, this is Ashwini Shah, Company Secretary and Compliance Officer of Privi Speciality Chemicals Limited . Thank you for joining us on the earnings call Q1 FY25.

On this call, I am joined by our Senior Management Team, Mr. R S Rajan , President, Mr. Narayan Iyer, Chief Financial Officer and Mr. Sanjeev Patil, Senior Vice President - Strategy and Biotechnology . We also have SGA, our Investor Relations Advisor on this call. I hope that everyone was able to review our financial results and investor presentation which were uploaded to the stock exchanges and on our company's website.

Mr. R S Rajan shall provide a quick overview on the company and recent development and Mr. Narayan Iyer will walk you through the operational and financial highlights. Post that, we will open the forum for Q&A.

I now request Mr. R S Rajan , President to take this discussion forward. Over to you sir.

R S Rajan: Thank you, Ashwini and good evening, to everyone and thank you all for joining us on the call.

I hope that everyone was able to review our financial results and investor presentation which were uploaded to the stock exchange and on our company website. The aroma chemicals have shown remarkable resilience in the industry despite multiple external challenges.

Demand for the key products which we manufacture remains strong , underscoring the segment 's stability and the essential role they play in the industry. The demand for same is primarily driven by a behemoth of FMCG and Fragrance brands. They continue to seek these chemicals to deliver distinctive sensory or olfactive experience across all the product tiers.

From mass market to premium, i t plays an important role in lifestyle products in different shape and size of home and personal products displaying and serving a perpetual demand. We are India's largest and one of the world's leading manufacturer of aroma and fragrance chemicals.

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As a trusted partner and prime supplier globally, we produce over 70 aroma chemicals used in everyday products like soaps, detergents, shampoos, hand washes and fine perfumes.

We also produce custom made aroma chemicals as per the specific requirement of the customers and we cater to the world's largest fragrance houses and a list of marquee FMCG companies.

We are delighted to share that we have begun the year on a positive note with a strong revenue growth YoY for the first quarter backed by an improved product mix and capacity utilization of our key products. Our growth momentum underscores the team's efforts to penetrate new markets coupled with our long -standing relationships with customers across industries which give us an edge for same.

This resilience highlights our capacity to meet market need even in a challenging environment. Our greenfield expansion under Prigiv project a JV between Privi and Givaudan in Mahad is at an

advanced stage of implementation and is expected to commercialize by Q3 FY25. We will manufacture over 40 products exclusively which will further strengthen our association with the world's largest F&N player and build up our muscle in those formulations.

The way forward we have outlined strategy for future growth under the exemplary visionary Mr. Mahesh Babani our CMD and are poised to implement them confidently in the coming years.

These include further improving product mix operational efficiencies and focusing on new product launches to seize upcoming opportunities. We are making noteworthy progress towards sustainable growth and have undertaken numerous initiatives over the past five to six years to build a more robust ecosystem.

Now with these words I would like to hand over the baton to Narayan here. Over to you Narayan.

Narayan Iyer: Thank you, Mr. Rajan and good evening, to all fellow investors, shareholders and all the people who are joined for this earnings call of Privi Specialty Chemicals Limited. To give you a brief overview and a quick highlight with regard to the financial snapshot, the total income for Privi

Speciality on a consol basis stands at around INR467 crores which is a growth of about close to 13% on a YoY basis as compared to June 23 numbers.

The volume for this quarter has been an impressive 10,672 metric tons as against 7,541 metric tons that was done by us in the Q1 of June 23. I'm very happy to inform all of you that this is a second quarter continuous where we have been able to maintain 10,000 plus tons of volume, keeping in line our growth plans and also the expansions and all the new products also coming into the foray and contributing to this volume of sales.

Breaking up this further into our segment wise, pine as a space, you know pine-based chemicals, aroma chemicals have contributed 59% of the total revenue. Musk and speciality chemicals contributed about 24% of the total revenue. Citral-based aroma chemicals in this quarter has contributed 9% to the total revenue. Phenol-based chemicals have contributed close to 8% and the balance is from the value-added products of around 1% or so.

The split amongst the exports and domestic have been 68% on exports and 32% on the domestic front. With the sales that was clocked, the company has made an EBITDA margin of close to INR97 crores, which is a growth of about 60% over last year and the margin percentage for this

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year has been about 20.8% and as compared to 14.6% of EBITDA margins, which was there in June 23. The PAT for this quarter is about INR31 crores, as against last year's INR5 crores in June 23 or so. So this is a broad snapshot of the financial numbers.

Giving some more insights into how the volumes have panned out for our existing products and some of the new products per se. Volumes for our existing products are increasing and most of our product units are now working at almost near optimal capacity. In 2024-25, we are looking to sell 100% capacity with regard to our main products like the Dihydromyrcenol, Amber Fleur, Pine Oil, Terpineol, so that we are in a position to keep our market share and propel the growth opportunities.

As far as the new products are concerned, Galax musk is doing excellently well and we have good order booking for this product, as well as spot markets have also been taking up this product and we are almost about 80 plus percent sold out on this position. In fact some other months we are at near optimal capacity of our production. Camphor once again is around sold predominantly in the Indian market and this season has been very good.

Camphor sales along with Isoborneol and Isobornyl acetate has really looked up very well and of course as informed in my previous investor call, the company is one more step in the process of obtaining the U.S. FDA and we def

initely are poised to get the U.S. FDA by this year-end or

so. And Prionyl, definitely it is making in roads and the capacities are slowly increasing. We do understand that Prionyl being a speciality product it will take some time to get to the full optimal capacity, but we are doing well, this product has been received well by most of the blenders and we expect this momentum to keep coming around in fact.

It's a strong performance, the margins as expected have been good, all the expenses are under control and in fact there have been some savings on some areas of the expenditure. So going forward also we expect the momentum to be continued and we maintain the growth trajectory and are in a position to continue delivering good sales along with good EBITDA margins and at the same time ensure that all the balance sheet items are also kept within control. On that note I would like to open the floor for questions from all the investors concerned in fact.

Moderator: Thank you very much. We will now begin the question and answer session. Participants present on the audio bridge who wish to ask a question may press star and one on their touchtone telephone. If you wish to remove yourself from the question queue, you may press star and two.

Ladies and gentlemen, we will wait for a moment while the question queue assembles.

We have our first question from the line of Sudhir Bheda from Bheda family office, please go ahead.

Sudhir Bheda: Yes, good afternoon, sir and congratulations on a very good set of numbers and the Q1 being a soft quarter, I believe the numbers are very well delivered sir, so congrats to the entire team.

Thank you. Sir, my questions are, we have clocked one of the best margin in many quarters and year to year there is a 600 basis point jump in the margin. So can we believe that this margin of 20.8% or 21% is sustainable on the back of new launches and new products for the coming year as well as next year?

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Narayan Iyer: Yes, thank you, definitely as it has been indicated by us, the management and by all of us on the

call, these margins are there to stay and we are very confident of our margin levels as we talk about at least for the year 24 -25 that we are in . We have a fair visibility with regard to the next two, three quarters performance and we have very good order booking positions, our raw materials are covered, our sales are there, so we expect this momentum to go about.

Clarity with regard to FY25-26, I will be in a better position maybe somewhere around closer to the December mark when we really know how the contracts pan out for the calendar year 25 and we also do some sort of homework, we have better clarity with regard to the raw material inputs and all. But broadly if the global outlook and, the global foray is going to be as it is, you can expect the margins to continue even in the year FY25-26.

Sudhir Bheda: Great, great sir. And what kind of volume growth do you project for this year?

Narayan Iyer: As indicated in my last call also, we expect a margin growth of about close to 20%, definitely. It could inch closer to the 25% also in fact.

Sudhir Bheda: The volume growth?

Narayan Iyer: Yes, that's right.

Sudhir Bheda: Great. Sir thank you very much for giving me the opportunity to ask this question and all the best.

Moderator: The next question is from the line of Ankur Periwal from Axis Capital. Please go ahead.

Ankur Periwal: Yes. Hi, sir. Thanks for the opportunity and congratulations on a good set of numbers. First question on the strong volume growth that we witnessed in this quarter, just trying to understand if there are any specific products which sort of led this growth and from a geography perspective, any clarity there in terms of which has been the growth driver and wherein, if at all, there is any slowdown continuing?

Narayan Iyer

r: Ankur, product sale has been across all the segments. It's not specifically related to one particular product, but as compared to previous year where Galax musk was just introduced, so Galax musk per se, the sales in this quarter has been higher as compared to previous year, so definitely that is one product .

Because last year we had just launched, we did not have the contracts, we got the permissions in between the year . Secondly, all products across on the pine space, the phenol space , there have been a growth in the volume because capacities are now almost up to full and definitely Galax musk is an adding cherry. Camphor sales have also been there, which is, contributing to the growth on the volume as well as the value -based growth in fact.

And geography -wise, I'll say that more or less it is in tandem as what Privi does. In this quarter we have done 32% in India as against normal average of 30% or so. Europe continues to be about 33% . So, I cannot really say that one territory has overshot the other or so, it's spread across evenly.

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Ankur Periwal: Sure, just to follow up on that, from a competitive intensity perspective, where are we gaining market share from, as in some specific industry or player or it is again, broad -based?

Narayan Iyer: So, the industry itself is growing at about 5 to 6%, so which we are talking about some other space, that is the pine and the musk. Most of these products are 20,000 plus metric tons, which are annually sold across the globe. So, we are definitely, making roads onto this growth.

And secondly, some of our competitors, we are in a better position to deliver quality products.

Our customers are pretty happy with the services, the quality and on -time reach, the logistics that we have developed over the years . So, maybe some of the shares of our competitors are also being passed on by most of our valued customers. And that's the reason that you see our growth happening much better than the industry growth and some of the growth that some of our peers or competitors are showing.

Ankur Periwal: Yes, just last question. On the pricing side, we are still seeing a decline on an YoY basis, while our gross margins or EBITDA margins, either way, are at historically, highest levels. How should one look at, both of them, margins as well as your realizations going ahead? And if theoretically there is an improvement in realizations, can the margins surprise further on the upside?

Narayan Iyer: Okay, Ankur, a thoughtful question to answer one by one. Definitely, we have back -to-back arrangements with regard to most of the raw materials that was covered. And so, we very much was clear with regard to the margins that we are going to clock during this year. And that's why, we have given that forward -looking statement also. Going forward also, as indicated in my question to the earlier participant Mr. B heda, definitely if everything looks the way it is, our margins should be well-maintained at these levels.

We feel, with regard to certain specific things happening around on the spot market, we are seeing definitely a trend that the prices on the finished goods are going up. And we are able to, get those additional sales value from the spot market because prices on some of the raw materials

are slowly moving up. There have been some shortages happening around, you know, on some of the products. And this is definitely helping us to get some better volumes and some better realization as far as the spot market is concerned.

On the contracts, most of our customers are giving us the whole volumes. And that's the reason that you see that our volume, that we have been clocking around in both the quarters, whether it was Q1, whether it was Q2, and fairly well on the next two quarters. We can continue doing and perform the way that we have been doing i

n this year.

Sanjeev Patil: I wanted to add something. That's why I let Narayan complete that. So, there are factors which have contributed towards and which are secular in nature, which are resulting into the better margins. So, some of those are, first and foremost, operating costs have been now much better controlled because of multiple things. I will just illustrate a few of those. For example, we have now installed a very large and extremely efficient boiler. So, by virtue of that, we consume quite a lot of coal and energy cost is significant in our processing industry.

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So, now, since we have a very efficient boiler, the cost of steam per kg of heat has come down. We have also installed multiple equipments wherein we are able to, capture whatever heat that is going out of the reactions and, use all of that to our benefit.

Long and short, what we're trying to say is that in terms of operating efficiencies, we have come a long way by virtue of which the margins are definitely gone up and they will continue to be at those levels where the prices could go up, prices could go down, but this would continue. That's number one.

Number two, on the yield, that is the kind of produce that you get per kg of input, we also have seen improvements and we continue to do that. So, in the last three years, we have improved that on our flagship products. Number three is that on our flagship products, including Dihydro myrcenol and Amber Fleur, by optimizing processes, we have improved our output, which is also contributing to higher margins. So, it is as a result of these factors that we are now able to see that the margins are definitely looking and are going up and will continue to stay where they are.

Obviously, if the prices do go up, it helps us in a simple way that the advantage remains the same in terms of raw material consumption. It covers our Indian overheads because our costs are all in Indian rupees. Those overheads are much better and that is the reason why you are seeing a steady trend in which the margins have slowly gone up.

Ankur Periwal: Thank you a lot. Thanks a lot, Sanjeev. Very helpful there.

Moderator: Thank you. We have our next question from the line of Sriram R, an individual investor. Please go ahead.

Sriram R: Thank you for the opportunity. So, what is the contribution of value -add to our EBITDA, absolute number or margins?

Narayan Iyer: See, value -added as a thing has been going up over the last two, three years. You would have seen on our presentation also, what used to be about 1% or so has slowly now gone up to about 4%. On that very, very absolute number, I will have to work that out, Sriram. So, possibly, if you could send in a mail, I will have more details and clarity with regard to what VAP contribution is on an EBITDA number, in fact.

Sriram R: No, I think by value -add, I am also including musk & specialty. So, the current 25% to your top line, right? I think that is about 25%, contribution to your revenue right?

Narayan Iyer: Yes. It will almost be almost on the same parity basis if you have to split the EBITDA, close to about 24% should be contribution from this area also, in fact.

Sriram R: So, the margins are not different between, musk and the other chemistry?

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Narayan Iyer: See, as I said, musk and value -added that you are talking about the specialty, it is clubbed under one group. It could be a percentage or two, and that is the reason that I asked you that, if you could send in a mail, maybe I will be in a better position to give you exact numbers.

Sriram R: I am not looking for a breakup between value -add and musk. What I actually meant was specialty, which is, put together 25% of top line. I just want the number for your bottom line contribution.

Narayan Iyer: That is all put together. I really do not have it off hand ready, Sriram.

Sriram R : Okay. I will write to you. Thank you.

Moderator: We have our next question from the line of Nikhil from Perpetual Capital. Please, go ahead.

Nikhil: Hi. Thank you for the opportunity. Congrats on a great performance again. My first question is around, what is the current debt level at the end of Q1?

Narayan Iyer: Total, you want to know. Okay. On a standalone basis, it is about INR868 crores. On a consolidated, including Prigiv, we are at about INR992 crores. Okay. Okay.

Nikhil: And secondly, I think Sanjeev already sort of touched upon that point. But what I have observed is your other expenses in terms of per ton has come down drastically. It was around, let's say, close to INR70,000 odd rupees per ton last year, versus now it is at INR50,000.

Sanjeev Patil: That is a very good observation. And that is what I have covered, in my earlier presentation, that our expenses have been controlled. And it is not just, containing the expenses, but it is increasing the efficiency, which is what we have been doing for the last three, four years, usage of very high and novel technologies across. So, I welcome you to come to our factory, we will, showcase to you what all we do in terms of reducing our power cost.

For example, now we also started using solar power, for our largest utility too. So, solar power not only adds green points benefit for getting things like ecovadis gold, but it also saves cost, because solar power is about three and a half rupees cheaper than the power that is sold by electricity board. So, that is how through all these steps we got the cost under control and reduced costs.

Nikhil: Thank you. Got it. So, Sanjeev, sorry, just a follow-up on this one. So, despite freight moving up significantly post the Red Sea crisis, I mean, I was sort of surprised to see these margins, so, how are you all controlling other expenses despite that?

Sanjeev Patil: Narayan you have to add something.

Narayan Iyer: Definitely, there has been, a better negotiation with most of the freight forwarders and logistics in this quarter as compared to immediate earlier quarter where Red Sea was at its peak issues in fact. So, we have been able to, to some extent negotiate and bring down the prices with most of the sea freight and freight forwarders. And hence, you will see a saving happening around on my other expenses front. Because I do believe that, on a comparison between the earlier quarter

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and this quarter, this has definitely helped us save some amount, some cost, both on the imports as well as on the exports.

So, good work happening around. And definitely, we have been trying to also push and see the Red Sea effect. Some of our customers have also allowed to pass on some additional freight cost which is being charged to them and try to recover to some extent in fact.

Nikhil : Next question is around, when I see geographically, India is sort of leading the growth along with rest of Asia. But what I also see is Givaudan has seen the strongest growth in Latin, which was an area that you highlighted last year where you 'll don't want to focus much because of, I think, it was around payment days or concerns around that. So, do you want to start refocusing on that region now?

Narayan Iyer: See, we are doing our best to ensure that those customers who are in a better position to pay us upfront or where they are in a position to open up with solid banks through US, we have been selling through our Privi US office which is our subsidiary in fact. There has been a little slight growth which we have witnessed in the Latin American continent as compared to some of the earlier quarters in this quarter. So yes, we are always looking for ways and means of increasing the sales in all geography.

Latin America definitely is looking up as we speak in fact. And some of the countries have also made some sort of an understanding with regard to the dollar availability and they have made some sort of a schedule as to how the government is ready to pass on this dollar on various number of days. And this is that our business development head is taking a call and we are trying to increase the sales and push up in the Latin American markets in fact.

Nikhil: Got it. So next is, I think you also pointed on increasing pricing for a few finished goods and which sort of because of higher raw material prices. How do we look at the spreads on camphor going forward? I think prices have started moving up but since you are backward integrated does that start adding to margins?

Narayan Iyer: It has already started adding margins, Nikhil. And definitely we have that advantage of the backward integration. And you know, God willing, the main season actually starting from this period July onwards where India consumes a huge amount of camphor. We are in for a good season in fact.

Nikhil: Got it. So next is on Privi Fine. You all announced an acquisition last month. So when do we see, when do you all expect the integration of this within Privi Speciality?

Narayan Iyer: Nikhil, you will have to wait and watch. We are still in the process of obtaining the shareholders'

permission and the postal ball ot is on. Too early for me to comment anything. Keep our columns being watched very closely and monitored. We will be announcing it as and when things develop.

Sanjeev Patil: After the shareholder approval is received, we already have a plan to integrate everything. So that going forward we are able to optimize on the cost also. Work on the synergies between the two organizations and optimize the cost as well and seamlessly implement it. We are waiting of Privi Specialty Chemicals Limited
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course for the shareholder approval to come in which I think 12th August is the day. So after that, we will be share more details.

Nikhil: So last question from me. It's more on the capital allocation and the capability. I am just taking the menthol project as an example here. So I believe that the main feedstock here will be sort of a side stream. You will be using the side stream of one of your existing product or process. So how do we look at incrementally let's say in 3 to 5 years from here, how do we look at the return on capital employed and margins of the company? Does that move up significantly or it stays within the same around the same levels?

Sanjeev Patil : So margin, as you have very rightly studied that the menthol has been made based on the side stream that we get from CS T as well as GTO processing. And therefore, it will be value of addition into the overall profitability.

And you will find that over the next 3 to 4 years, of course it takes 18 months to implement the project. So let's say if you look at a 3 year scenario, you will find that about 200 to 300 odd basis point increase in the return on capital employed and also corresponding return on equity also will increase. So obviously these projects will only help company to utilize its capital better and provide better returns.

Nikhil: Okay. Perfect. Perfect. Thank you so much.

Moderator: Thank you. We have our next question from the line of Tushar Vasuja from Yoga Capital. Please go ahead.

Tushar Vasuja: Okay. So thank you for the opportunity, sir. My first question is what's the utilization right now?

Narayan Iyer : It is upwards of 85% in fact.

Tushar Vasuja: Okay. I think you mentioned something about spot markets before so I just want to know how much percent of the revenue is from the spot market and how much of it is it from long term contracts?

Narayan Iyer: Okay. Normally our contracts are about 65% and about 35% is for the Indian markets and the spot

market because Indian markets normally believe in not giving very, very long term orders or something . So you know most of the Indian customers would be giving orders on a monthly basis or place an order for two months or three months . So the balance 30 %-35% is more with regard to these markets and 65 %-68% is more on the contracts in fact.

Tushar Vasuja: Okay. And so I am a bit new to your company and this industry so I apologize if my understanding of the pricing dynamic is not up to the mark but as mentioned by the previous participant that your margins and realizations are at a historic peak right now so how long do you see these conditions lasting for?

Narayan Iyer: As informed to all my other two or three investor people you know we have very, very fair visibility . With regard to our margins you know sustaining this over at least for the next one year or so . And as also Sanjeev was trying to explain you know we have done a lot of improvements Privi Specialty Chemicals Limited

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internally with regard to some of the ease to be improved some of the processes that need to be covered , some of the cost saving measures that we have taken . With regard to you know implementing the solar projects getting briquettes for the boiler consumption and boiler use streamlining most of the vacuum pumps and the pipeline connections and all.

All this you know is really giving us the returns we have spent and we have invested a huge amount in capex ensuring that these things start giving us desired results . And now that we are in almost full capacity utilization of our existing products and the new products have also started realizing revenue you are able to see all that transpiring into better margins . So you know if things continue the way and with all these improvements happening around you can expect Privi to continue to have these margins for a much longer period and maybe even improve as we go about it.

Sanjeev Patil : In addition to that you know what happens is if you see just the previous question was about renewable elements also it is being made from the side streams . So, for example, when we buy

CST from the European source, we get a lot of – I mean about 20% material which is not used for making aroma chemicals. So, it can be sold as a solvent at about INR100 or something like that. But if you use that and you make renewable elements, there is a lot of processing of course, but then the margin increases. And that is how we have been looking inward the last six or seven years.

We started with products like 1 -8-cineol and others, then we went to a product like Terpen -4-ol, and then subsequently last two years we have done products out of our musk category. So, all these efforts are looking at internal ways in which we can improve the cost and we can bring down the cost, make us more profitable, and that is how we add the value to various streams.

Going forward margin will become more and more sustainable and robust .

Tushar Vasuja: Thank you for the elaborate answer. I have just one last question. I know it is not in the execution timeline yet, but on Privi Fine Sciences, so let us say the acquisition happens. So, how would it affect your top line and margins?

Narayan Iyer : As indicated and as also Sanjeev has informed, our request is that we will have to wait for a little while more. Maybe we will come back with all the details. It is too early and it is not appropriate that we really answer that before we are really mandated by the public and the shareholders to go ahead.

We will come with a complete fine print and blueprint. And quite a few things we have already put in our presentation and our website on the main parent company also. So, as things pan out, you will come to know more details. So, my sincere and humble request is just to bear for a little while more.

Tushar Vasuja: Fair enough. Thank you

u for answering all my questions. Thank you.

Moderator: Thank you. The next question is from the line of Jay Shah from JS family office. Please go ahead.

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Jay Shah: Congratulations on a great set. I want a couple of questions I had on the business side. So, firstly, coming to the backward integration that we have done now with CST as well as Pinene that we can use to make our products. So, how is it that the company answers production as to when to use which RM?

Sanjeev Patil: So, can I answer that? Or okay. You have some other question.

Jay Shah: Yes. And would it in any chance affect our yield or, even the productivity in any which way?

Sanjeev Patil : We have been doing CST processing for now last almost 10 years. So, we, in the beginning of the year, we have a good idea as to what is our product mix. On a monthly basis, we plan the raw materials which are required, okay, Alpha pinene , Beta pinene , and also what quality of Alpha pinene we require, how much sulphur we have because if you have to make Dihydromyrcenol , you require a particular quality of Alpha pinene .

If you have to make other products, it requires slightly different quality of Alpha pinene . So, we have that clear visibility on a quarterly basis which we keep on rolling every month. And based on that, we optimize our plants and, feed based, whichever is the right constituent in terms of either the U .S. CST or the European CST so that we get the optimal output. And we also use, we also do gum turpentine oil buying on an opportunistic basis.

So, if we feel that the markets are weak, prices are low, we buy that as well. And because that conversion is faster and easier, so we use that as an opportunistic buying. And based on that, we have a very clear idea as to what will be our feedstock cost in a sense, Alpha pinene cost or Beta pinene cost or Beta. So, all of that, we have fairly good idea for a period of a quarter or two quarters. And that's how we work on this whole thing. And we ensure that none of these ever affect our either yields or all the processing costs.

Jay Shah: Okay, that's great. And so, second question, as you just previously mentioned that we are already at 85% capacity utilization on a blended basis, then, is it something that we have any more capacity that is coming on stream in maybe second half of this year or next year, so as to, meet the incremental demands?

Sanjeev Patil : Yes, good question. So, what we are trying to do is, we do a lot of innovation of processes, where in, for example, if I have a particular set of reactors and equipments, distillation columns and all that, and if I am operating on a batch basis, so batch basis versus, let us say, I convert those into continuous basis. So, in a continuous system, at the end of every batch, the reactor cools down, then I again hit the reactor and all that.

Against that, if I am doing everything on a continuous basis, then I'm able to extract more output from the same set of equipment with obviously some additional equipment here and there. So, that is what we have been doing over the last about 4 years or 5 years. And that's how we are steadily increasing, the capacities of our flagship products, like the Dihydromyrcenol , or Amber Fleur , or Pine oil, example of that.

So, that's what we keep on doing, and we are continuing to do that, because each product has four or five manufacturing steps. So, you start with making the first one continuous, then the Privi Speciality Chemicals Limited
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second, then the third. So, that journey continues, and it not only gives us the higher output, but since it is continuous, therefore, as you know, when you drive a car on a highway, in the fifth gear, you get the highest mileage.

So, similarly, when you are running something on a continuous basis, it co

nsumes the least

amount of energy, because you have to only maintain the losses of. So, that's how, the yields, I mean, the costs also keep on increasing. So, this has been our focus, as guided by Mr. Babani. We do that, and we have a very good engineering team, which has helped u s in implementing these things.

Jay Shah: Thank you so much. And then, this last question. So, because the nature of our business, and especially our products, is such that, in our customer's end product, basically, we are not less, more than 2% to 3% , or at the max, sometimes 5% of the total product. So, if I ha ve to see strategically at Privi , what would be the management strategy to eventually reach, a good INR3,000 – INR 4,000 crores , or whatever, it's amount of top line, because, for us, volume growth, beyond a point, from the same customers, would also start off, plateauing.

And it's not that, we can continuously take on price increases, and we are not, like, a complete commodity player. How is it that we would transform ourselves from a INR2,000 -odd crores company to a INR5,000 -odd crores company?

Sanjeev Patil : Okay. Good. The answer is a bit long, but I'll highlight a few things that you must appreciate.

First and foremost is that there is a volume demand for various products. If you look at the Annual Results of multinational F MCG companies, like Levers , if you take, the last 4 quarters, they have been growing, and even 2% growth at Levers level, it results into substantial demand for ingredients like what we make. Okay. So, that's the first driver for growth, number one.

Number two, second driver is that we are able to get, when we introduce, for example, how did we get to 85%, 90% capacity utilization for our new products like Galaxmusk , or for Camphor, or for P rionyl. That is because the customers have a significant lev el of comfort in dealing with Privi , and one factor that I think we beat everybody is our sustainability, and we bring zero liquid discharge and all of that. So on those counts, we are rated extremely high. On quality, of course, we are very good, but on sustainability scale, we are immensely high, and which is what is, resulting in customers preferring Privi .

So, that's how we will have steady growth in our existing products. Then we are introducing the new products, which will see the revenues climbing up over the next 3 years, and after that, as Narayan said, we will wait for the customer, the shareholder approval to come in, but after that, that i s when the Privi Fine Sciences come in, and as a result of all these things put together, integrated, we see the entire growth going to the number that we talked about INR5,000 crores.

Jay Shah: Thank you for answering all the questions, and all the best.

Moderator: Thank you. We have ou r next question from the line of Suraj Malu from Catamaran . Please go ahead.

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Suraj Malu: Sir, can you please share the volume split across the segments, across Pinene , Musk, Citral , Phenol?

Narayan Iyer: Yes. I'll just reiterate and give it. It is there in the presentation. It has been uploaded on our website as well as on the presentation, but broadly to just tell you on this call, Pine as a space for this quarter has been 7,065 metric tons. Phenol has been 1,408. Citra l as a segment is 443 tons. Musk in speciality is 1,482, and value added is about 274 tons totalling to 10,672 metric tons of sales.

Suraj Malu: Thank you, sir.

Moderator: Thank you. The n ext question is from the line of Krishan Parwani from JM Financial. Please go ahead.

Krishan Parwani: Yes. Hi, sir. Congrats on good set of numbers. Just two clarifications from my side. So, I know you also highlighted the volumes, but just wanted to understand what is the utilization level of our new products that is Camphor and Galaxmusk in this quarter?

Narayan Iyer : It's been upwards of 85 %. That's what I'm saying that Galaxmusk and Camphor have really done very well, and we expect in this quarter that it could be almost at 100 % capacity as we talk about.

The markets are looking good. We have got good order positions. Spot markets also we have been able to sell. So, you can expect almost close to 100 % utilization going forward.

Krishan Parwani: So, basically, there is some headroom in these products, and besides this, I think in the presentation you have also mentioned Prigiv would be, let's say, a growth driver for us from third quarter of this financial year. Is that correct?

Narayan Iyer : What we have mentioned in the presentation is that Prigiv will start its commercial production from third quarter, more likely the fourth quarter. It's not really going to thrust a growth or so.

We will grow. It will also add to our growth contribution. That's what we are trying to suggest.

Krishan Parwani: Yes, I mean, not a meaningful, but at least there could be some growth from these products. Absolutely ...

Narayan Iyer: Absolutely. Yes .

Krishan Parwani: I've got your point, sir. Thank you and wish you all the best for the coming quarters.

Narayan Iyer: Thank you very much.

Moderator: Thank you. We have our next question from the line of Vignesh Iyer from Sequent Investments . Please go ahead.

Vignesh Iyer: Congratulations, sir, on a great set of numbers and thank you for the opportunity. I was a bit late for the call. So, if my question is a repeat to your earlier answer, I apologize for that. So, I just wanted to understand what... So, we had two back -to-back strong quarters when it comes to the volumes that we have delivered. What is the utilization that we might achieve from our existing capacity by end of FY '25? Is that number in mind?

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Narayan Iyer : Yes. Definitely, it is more in line with what we had suggested at the beginning of the year. We should be achieving an overall growth in terms of volume as compared to what we did in the previous year, upwards of 20%. It could be even 25% if there is going to be a good strong calendar year '25 also. So, we are very clear.

We are very focused. We have clarity with regard to our sales happening around in the next couple of quarters and more so the next four quarters. We feel growth is going to be there. In fact, momentum will be there and Privi should be in a position to deliver good numbers in fact.

Vignesh Iyer: So, if I get it right, you said 20% to 25% volume growth. That's right ?

Narayan Iyer : That's right .

Vignesh Iyer: Okay. Right.

Narayan Iyer : That's what you asked, right?

Vignesh Iyer: Yes. So I just wanted to volume...

Narayan Iyer : So, 20% we have clarity. It could be more like 25% also as things pan out, markets are good as it is now. We can also possibly try to achieve that.

Vignesh Iyer: Absolutely. How has Camphor price spanned out in the last three to four months? How is the trend? If you could let us know.

Narayan Iyer : Camphor prices have shown an increasing trend. At least in the last one, one and a half month, it has been showing an increasing trend in fact. And we expect this trend to continue, momentum to be there. And it is good for all Indian manufacturers of Camphor , I'll say that. So, definitely it will help us as well as the Indian manufacturers to really get an improved sales, both in terms of volume as well as the value.

Vignesh Iyer: Okay. So, can you just put a number to that? I mean, what would have been like the percentage price rise that I've seen in Camphor in the last one, one and a half month?

Narayan Iyer : Last one, one and a half month, we have seen close to about maybe 7% to 8% or so in fact.

Vignesh Iyer: Okay. Okay. Right. And so, coming to...

Sanjeev Patil: As the season comes in, because it's a highly seasonal

products and as the season comes in, next three days, it will start to go further.

Vignesh Iyer: Right. Right. Understood. And we have done a 21% margin in a relatively weak quarter, right? So, what would be our guidance for the entire year, FY '25 on the margin side of it?

Narayan Iyer : See, margins will remain at this level. It is more like the volume growth that should happen around. So, it is comparatively a weak quarter. We expect this weak quarter, the volumes to improve as we keep going about. Margin more or less should be at these levels. Maybe a little

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bit improvement can happen if volume improves, the fixed cost gets apportioned over a larger volume.

Vignesh Iyer: Absolutely. Right. The operating leverage comes into play.

Narayan Iyer : That's right. That's right.

Vignesh Iyer: That's all from my side and all the best.

Narayan Iyer : Thank you very much. Okay. I've been informed by SGA that there are a lot of participants, so I restrict all my fellow investors who are asking questions. So, please restrict only to two questions. So, it's my sincere request so that everyone gets an opportunity. Next question, please.

Moderator: Yes. We have our next question from the line of Siddharth Jain from IFC. Please go ahead.

Siddharth Jain: Congratulations on the number, sir. So, I have two questions. One is on the solar power project wherein the company has invested 26 %. So, if you could add some color to that and the potential impact on the margins. And second question is on the working capital intensity. So, we have seen over the last three, four years the net working capital day to be in the range of 150 to 170 days. So, how does that stand out in Q1?

Narayan Iyer : Okay. Solar is an investment. As you know, we have done an SPV, a Special Purpose Vehicle thing and our contribution has only been 26 % of the equity and all the debt is on that thing. So, it's a fantastic proposal as far as I know Privi is concern. This quarter also we have been able to get a savings of close to INR2 crores on the overall power cost because the arrangement is that for 25 % of the unit to power consumption, we get a savings of INR2 per unit. So, broadly, the saving that has got panned out in this quarter is close to INR2 crores. It should be about INR1 .98 crores or something of that sort.

Second, with regard to the working capital cycle, yes, there has been an improvement from the 150 to 170 days. We are close to in this quarter from in a moved down from 155 in the previous quarter to this quarter of about 147 days on a consol basis. And we expect to move around as indicated in the last call also. We expect, we could be at on 135, though it would be great if we are able to do 130.

Siddharth Jain: Got it. And just one last thing, if you could also share the split between new products and existing products from a sales value, like out of those INR467 crores, what is the sales value split across the two?

Narayan Iyer: I do not have exact details off hand. So, my request is if you could just email to me your question, I know I will be in a better position to answer the split between old and new products. So, you are asking me on the sales of Galaxmusk , Camphor and Prionyl . Is that the split that you are looking at?

Siddharth Jain: Correct.

Narayan Iyer : Okay. I think I have not kept that offhand ready. I will try to pass it on to you. Request is to send me an email, please.

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Siddharth Jain: Sure. Thank you.

Narayan Iyer : Thank you

Moderator: Thank you. Ladies and gentlemen, due to time constraints, that would be the last question for today. And I would now like to hand the conference over to the management for closing comments.

Ashwini Shah : Thank you, Man av. Thank you everyone for joining us in this ear

nings call. We appreciate your

time and showing interest in our company. The ethos of this organization revolves around the key core values which has been embedded over the years. This is not an effort of four or five people, but a dedication, hard work and sweat of thousand plus employees who are creating a building block for the organization at the ground level.

On this forum, I would like to thank each and every member of Privi for their share support, trust and dedication. The organization is governed and managed by professionals who are having more than an average of 20 years of experience with requisite qualification and their domain expertise. The entire team continues to work on creating additional growth opportunities o n the waste to value journey. As you walk and live through each day, aromas from Privi touch your life with fragrances that create memories.

We will maintain our growth momentum without compromising on our core values and quality.

We thank everyone again. In case of any queries, you can get in touch with us or SGA, our investor relation advisors. We look forward to meeting all of you over the next call. Thank you.

Moderator: Thank you. On behalf of Privi Special ity Chemicals Limited that concludes this conference .

Thank you for joining us and you may now disconnect your lines.

Call: Oct 2024

4,

October 29, 2024

The Manager (CRD)

The BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort,

Mumbai- 400001 The Manager - Listing Department

National Stock Exchange of India Ltd

Exchange Plaza, Plot no.C/t, G Block,

Bandra-Kurla Complex, Bandra (East)

Mumbai - 400 051

Scrip Code: 530117 Symbol: PRIVISCT

Dear Sir / Madam,

Ref: Letter dated October 25, 2024, providing Audio link of the Analyst / Investors Meet

Sub: Transcript of Analysts/Investors Meet held on Friday, October 25, 2024

In addition to Audio Link shared via letter dated October 25, 2024, please also find enclosed the transcript of the Analysts/Investors Call on the Un-audited Standalone and Consolidated Financial Results of Privi Speciality Chemicals Limited for the quarter ended June 30, 2024, held on July 30, 2024.

You are requested to kindly take the same on record.

Thanking you

Yours Sincerely,

For Privi Speciality Chemicals Limited

Ashwini Saumil Shah

Company Secretary

Encl: As above

PRIVI SPECIALITY CHEMICALS LIMITED

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"Privi Speciality Chemicals Limited Q2 FY25 Earnings
Conference Call "

October 25, 2024

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 25th October 2024 will prevail.

MANAGEMENT : MR. MAHESH BABANI – CHAIRMAN , PRIVI SPECIALITY
CHEMICALS LIMITED

MR. R. S. RAJAN - PRESIDENT , PRIVI SPECIALITY
CHEMICALS LIMITED

MR. NARAYAN IYER – CHIEF FINANCIAL OFFICER ,
PRIVI SPECIALITY CHEMICALS LIMITED

MR. SANJEEV PATIL – VICE PRESIDENT , STRATEGY ,

PRIVI SPECIALITY CHEMICALS LIMITED
MS. ASHWINI SHAH – COMPANY SECRETARY &
COMPLIANCE OFFICER , PRIVI SPECIALITY
CHEMICALS LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Privi Speciality Chemicals Limited Q2 FY25 Earnings Conference Call.

This conference call may contain forward -looking statements about the Company which are based on the beliefs, opinions and expectations of the Company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the call, please signal an operator by pressing “*” then 0 on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to the Management Team for the “Opening Remarks ”. Thank you and over to you.

Ashwini Shah : Thank you. Good evening , everyone. I am Ashwini Shah - Company Secretary and Compliance Officer of Privi Speciality Chemicals Limited. Thank you for joining us on the call .

On this call , I am joined by Mr. Mahesh Babani - our Chairman and Managing Director ; Mr. R . S. Rajan – President ; Mr. Narayan Iyer - Chief Financial Officer ; Mr. Sanjeev Patil - Vice President Strategy and SGA, our Investor Relations Advisors.

I hope that everyone is able to review our “Financial Results ” and “Investor Presentation ”, which were uploaded to the Stock Exchange and Company 's Website .

Mr. Mahesh Babani - our visionary Chairman, will provide a quick “Overview ” on the Company and recent developments and post that Mr . Narayan Iyer - our CFO, will take you through the “Operational and Financial Highlights ”.

I would now request Mr. Mahesh Babani to give his opening remarks and an “Overview ” on the Company . Over to you , sir.

Mahesh Babani : Thank you, Ashwini , and good evening to all.

We are delighted to inform you that your Company has registered the best -ever quarterly performance registering a 16% revenue growth on year-on-year basis, crossing the Rs. 500 crore s mark for the first time.

We have also registered profitability achieved for the quarter in the PAT margins is being Rs. 45 crores on a consolidated basis . Over the past 6 quarters , our performance has consistently improved, driven by steadily increasing demand, improved operational efficiencies and a better product mix resulting in 21%+ EBITDA margins.

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Key products of all our Company are optimal capacity, but we are surely augmenting the capacities further , augmenting means we are trying to increase capacities within the same infrastructure, a little bit of CAPEX and trying to maximize the benefits for the Company . Looking ahead, we have formulated a robust growth strategy , focused on improved product mix, operational efficiencies and touching new products to capture upcoming opportunities. Throughout this journey, our commitment to sustainability remains firm. We also keep in our growth plan, our customers in mind for sure and visit them regularly to see what growth opportunities are there. On this occasion, I would like to thank all my employees and staff members for their grit and commitment shown over the years and achieving this feat. I would like to thank the leadership team as well for building a strong foundation and elevating the scale and size to global level.

On this forum , I would like to highlight that in today's lifestyle, consumers are increasingly focused on products that bring more value in their day -to-day life. Conscious effort is being made by our customers on continued basis to ensure that the end customers who use soap , detergents and other users are better olfactive experience . About your Company , just to reiterate, we are

India's largest one of the leading manufacturers of aroma chemicals and worldwide serving to the world's largest fragrance houses and fast-moving consumer goods and many MNC s. We have been trusted partner and primarily supplier of all bulk aroma chemicals globally. We produced over 70 aroma chemicals that are blended into fragrances consumed by us in day -to-day products. All our customers are in sync with what we are doing on a regular

basis .

Our manufacturing capabilities include seven state-of-the-art integrated manufacturing units in Mahad, Maharashtra and Gujarat Jhagadia , with the total manufacturing capacity of about 50,000 tons almost. We are fully backward integrating utilized waste generated from the pulp mills specifically .

CST:

We are the only Company in the developing world one out of the four globally that possessed this technology and logistical capacities to source these waste products . We have achieved about PRIGIV . I would like to update you we have achieved a significant milestone with the commissioning of a new Greenfield project in partnership with Givaudan SA to manufacture complex ingredients .

We aim to manufacture broad portfolio of value added products with a progressive ramp up in the activities over the next 2 years. This collaboration with Givaudan underscores our expertise in delivering high quality complex products and further strengthens our position in the flavor and fragrance industry. It also highlights our ability to invest in custom built facilities tailored

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to meet several customer needs. We have also acquired additional 5 acre land parcel existing to our new site which we already own , so make it more safer and better operations.

We have outlined several strategies for robust growth over the next 5 years and are ready to implement them confidently in the coming years. These strategies include increasing production in our newly installed capacity, refining our product mix, enhancing operational efficiency.

These initiatives not only enhance value for consumers, but also ensure a long term benefit .

Now, I would like to hand over to Narayan for operational and financial highlights. Narayan, please. Thank you.

Narayan Iyer : Thank you, sir. Thank you, Mahesh Bhai and good evening to all my investors, shareholders, bankers and attend in this call .

What a great comeback by Privi, I should really appreciate the efforts of one and all in Privi and all of you shareholders and all who have been supporting with us I can say that Diwali has come one week ahead in Privi, and I hope it resonates with you all of you also. So, yes, we have created history Mahesh bhai as you rightly stated, it is a record quarter, a good performance and the comeback which all in Privi, the management whether it is Mahesh bhai, Mr. Rao, Mr. Rajan, myself, Ashwini all have been trying to tell the investors that we are on right track and it is only a matter of time that you will see the true potential, what Privi can do.

Giving you the snapshot of the Q2 Financial Year '24-25 highlights :

We have registered the highest ever total income of Rs. 537 crores in the quarter with the growth of about 16% on a year-on-year basis. The EBITDA numbers that we have achieved for this quarter is about Rs. 115 crores which itself is a growth of about 19 % on a year-on-year basis, EBITDA margins stood at 21.3% for this quarter .

Our profit after tax for the quarter was about Rs. 45 crores as against Rs. 30 crores in last year same quarter around . The exports to domestic contribution are 63% and 37% , which is led by predominantly the European front.

Our total volume for this quarter once again is a record and a history created at 11,504 metric tons as against previous years 8 ,643 metric tons that we had clocked about in fact .

And giving a little bit more flare

, though already uploaded on the website on our presentation, the segment wise breakup of our revenue on the key elements , Pine contributed about 55% , Musk and Specialty is contributing about 23% of the total revenue , Citral -based aroma chemicals contribute about 11% and Phenol is about 7% and 4% coming from value added products .

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So, giving a little bit more highlights with regard to the first six months performance, if I have to talk about, the total income achieved by us in the first six months is once again the record Rs. 1,004 crores , which is a 14% growth on a year -on-year basis.

EBITDA achieved for the first six months is about Rs. 212 crores, which once again 35% increase over the previous year margins . Margins stood at 21.1% in this first half as against 17.9% in the previous year . PAT for the period was Rs. 76 crores as against Rs. 35 crores in the previous year. Exports contribute about 64%, led by Europe and North America. And of course, India is also the contributor of about 36% of our revenue. The total volume which we have achieved in the first six months is about 22,176 metric tons as against 16,183 achieved by us in the previous year.

With this , I would put my numbers at rest and want the floor to be open for the question -and-

answers.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from Sudhir Bheda from Bheda Family Office. Please go ahead.

Sudhir Bheda : Sir, my questions are , we have seen a good increase in the EBITDA margin Q-on-Q and Y-on-Y as well , so what are the reasons for improvement in the EBITDA margin? And is it sustainable going forward?

Mahesh Babani : I am sure this is sustainable in coming years. In fact, it would only improve from here on. The increase is also because we augmented our capacities, our efficiencies and our capacities have been augmented. So, this trend will continue in coming times , coming years .

Sudhir Bheda : How do you see the second -half panning out?

Mahesh Babani : So, if you see the past 10 year 's record, our first half is always between 40 % and 45% and second -half is between 55 % and 100%. So, our second -half is always 20% higher than the first half. So, you should expect better results in the second -half.

Sudhir Bheda : With the sustainable margin, right ?

Mahesh Babani : Yes, surely sustainable and we have our order book position also to show that .

Sudhir Bheda : And sir, what is a little bit of longer reason like say next financial year as well as next couple of years, how do you see your Company grow ing, the levers for growth ?

Mahesh Babani : The lever for growth is of course we keep on adding new products, new specialities and augmenting our capacity that is our specialty to how to produce more within the same infrastructure by making continuous plants . The same products are being made on continuous basis. Second leve r of growth is also the consumption is increasing substantially now . As you
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know, now, all our customers demand is much higher than , if you see all of our customer 's balance sheets, they ar e 10% higher. All our customers had increase d their turnover of by 10% and that is turning on to us, because we are one of the key and important suppliers to them. Therefore, I see this trend continue and I feel this Company is here . We will maintain , like you see, a CAGR is almost 19% for last 20 years and we will be able to maintain this or improve this further in the next few years . That is the way of life, to be honest.

Sudhir Bheda : And what is the addressable market if you see that big market is growing at 10%, so what is the addressable market for us , worldwide I am talking ?

Mahesh Babani : See worldwide , Brazil, India is growing significan

tly. India, if I show you a classic example, the woman power has improved so much in India and actually, the woman generally is consuming more perfumes, more cosmetics, more deodorant s. So, that demand comes from India and Brazil, Indonesia. These are the places where the demand is coming from. And also incidentally, we are in notes of Amber and Woody are becoming favorite s of the world because they bring value for money to the customer and in the Middle East also, the de mand is increasing. So, fortunately , the Oriental notes and the Woody notes , we have that particular capabilities and products in the Company . So, that demand is going to continue. Secondly, also we see in the COVID , demand did increase and it is increasing because people are now getting used to more hygiene things and more cleanliness like flo or washes or Dettol, everybody has improved their lifestyle . So, that is bringing the demand on the table and indirectly it comes to us.

Sudhir Bheda : Can you put the number to addressable market , total size of the market of our products worldwide?

Mahesh Babani : I would say aroma chemicals and aroma. It could be between \$6 and \$8 billion , I think so . I cannot put a number because there is no. It could be in that range.

Sudhir Bheda : And last question from my side , we saw that volume has grown by 33% in Q2 over last year Q2, but our turnover has grown only like 16 %-17%. So, are we seeing the pricing pressure in the product , so how do we analyze that phenomenon?

Mahesh Babani : So, I will tell you when we took, what you see is what we did last year. So, last year the markets were at , the raw materials were at all time low. And fortunately we offered to the contracts at all time low. And so the prices were probably historically low last year and this year it is correcting itself and I can only tell you Q4 of this year , there will be much higher prices because we take yearly contracts and we take our raw material also yearly. So, that doesn't affect our margins , but because of the lower margins, lower price s of raw materials and lower prices of finished goods that is why the value was lower. But this has taken a significant change. So, what we do is 60% of our business is about contract , 60%-65%. We make a conscious effort to do that , 60%-70% is the max we go. So, generally 60 %-70% is low . Today also , 60%-70% of our business is almost at contract and at low prices and the balance 30 %-40% is at , maybe 20% higher prices.

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So, all this will culminate to better things in the last quarter and next year onwards and we see already significant demand. In fact, we also signed with contracts where we signed back-to-back raw materials. We signed a contract for year 2025 already with one customer, two customer, three customers. About 30% of our important products have also we have committed along with backup of raw materials for next year.

Moderator : Thank you. The next question is from Deepan Sankara Narayanan from TrustLine Holdings Private Limited. Please go ahead.

Deepan S. Narayanan: So, firstly, from my side, so very happy to see 7% Q-on-Q growth in realization. So, how do we see the pricing improving from current level? And also our current realizations are 25% lower than peak realization reported in FY22 or FY23. And in product wise how big the realization difference we are seeing?

Narayan Iyer : So, a good observation, definitely as Mahesh bhai mentioned earlier to Mr. Sudhir Bheda that we see that there is a slight increase in the spot prices in this quarter, which is what is also the observation that you have done that in this Q2, our realization on a per KG basis has gone up. So, that is very correct. Now to specifically answer about the other question that our overall per KG prices has come down as compared to the peak what we achieved in FY

22-FY23? That was

also answered by Mahesh bhai stating that for the yearly contracts for the year 2024, these contracts were entered somewhere around October, November, December of 2023 because the MNC's, the global players, they all have the calendar year as their year. So, we need to freeze upon the prices at that time, in fact, so the prices were low then because the raw material prices have come down and that is why you will see that compared to the previous year, the average realization is low.

Deepan S. Narayanan: And in terms of utilization per se overall this quarter, we are almost reaching around 90 %-95% for the Company and how is the utilization for Galax musk, Prionyl and Camphor? And what kind of capacity increase we are looking forward for Galax musk?

Narayan Iyer : As we mentioned and also put it across on our website, we are almost nearing the optimal capacity. But yes, these are new products where we are close to about 75 %, 80% , 85% of the capacities that we have installed. There is scope for improvement here. And there is a continuous augmentation of various processes that we do about which Mahesh bhai also mentioned, which improves the efficiency yield and the capacity of output to come about by doing a little bit of modifications to our existing setup and we feel that this will go about. The coming years, yes, Galax musk, Prionyl will be at its peak capacities and you should see better volumes going ahead in the next couple of quarters also in fact.

Deepan S. Narayanan: So, what kind of CAPEX we have planned for this year and next year and what kind of repayment plan for debt and are we expecting debt to EBITDA to fall below 2 times this year?

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Narayan Iyer : There are certain CAPEXs which we have outlined, long term, short term. Immediate short term is as Mr. Mahesh Babani mentioned in his earlier inaugural address, we are looking at possibly building up capacities of some of our key products on the Pine space, which is our strength because that is increasing and we would definitely like to keep pace with the market on the capacity, so that we continue to maintain our status of a number one player on all our Dihydromyrcenol, Amber Fleur, the Pine Oil and seeing the way that Galax musk is also outperforming our expectations in fact. We may possibly also look at increasing its capacity in due course of time, so this is on a continuous basis of our main products. There are certain long-term CAPEX's that we are thinking about of introducing new products and all which we will announce it at an appropriate time when we know that we have the resources and the capabilities exactly to launch such products. We will come back to all the investors stating the exact time when we are expecting it to launch them in fact.

Deepan S. Narayanan: Any specific number we can put up for CAPEX and debt repayment for this year?

Narayan Iyer : Debt repayment anyway, the term loan repayment is happening as per its schedule and that goes around because whatever CAPEXes we have done using bank money, there are certain repayment obligations. And you would have seen even in our current financials, we have repaid all the bank obligation. Broadly what we are talking about on the overall CAPEX required for this increase could be in the next one year for all these items, about Rs. 200 -Rs. 250 crores or so in fact.

Moderator : Thank you. The next question is from Mulesh Savla from Shah n Savla. Please go ahead.

Mulesh Savla : Sir, can you throw a little more light on the JV plant that has been started in the recent past? What can be the expected topline? How the margin profiles will be? And is that plant fungible that we can produce any items or it is restricted to a few specific products only?

R S Rajan : The first thing is that we should be proud that as Indians, Globa

I Fortune 500 giant has relied on us to be their technology partners with Privi having 51% and they having 49% and they have Speciality products which they have been manufacturing for nearly 80 years. They have transferred those products to India and it is going to be manufactured in the JV plant. There are going to be 42 such Speciality products which are going to be manufactured and as far as the products are concerned, that is going to be exclusively supplied to Givaudan and in that we are expecting an EBITDA margin of 24%, which is something which should keep us going. And before the project was even launched, before it rolled out, they have asked for expansion of a land bank, which we have already procured. So, we see on a topline the turnover going from Rs. 150 crores and doubling up during the coming years with the capacity enhancement and expansion.

Mullesh Savla : So, ideally with the existing capacity, we can do turn over around Rs. 150 crore ?

R S Rajan : Yes, because they are super Specialty products. So, it is more on the low volume but high value.

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Mahesh Babani : I would also tell you, Mr. Savla that this is only my industry that this is a try and test case. There will be many such projects coming up, not only from these customers, other customers who have trust in us. I at least see one or two more tie-ups like this in next 2-3 years.

Moderator : Thank you. The next question is from Nikhil from Perpetual Capital. Please go ahead.

Nikhil : My first question is, how are the contracts looking for next year? I think the pricing environment was slightly on the weaker side last year, now that Maheshji has already mentioned that pricing is improving, does that also result in higher gross profit per ton from next year?

Narayan Iyer : We also expect that gross margin to improve, but it is too early as of now to really mention how the contracts will pan out. There is a major event happening early next month IFFI Art which is like conclave for all the flavor and fragrance Company. I feel we will really come to know how it is going to pan out, but as we really see that prices have already started moving up, we expect better times to happen around, yes Mahesh bhai you wanted to add something.

Mahesh Babani : Yes, I think it will be, in few words, it is going to be much better than this year.

Narayan Iyer : So, that is what cautiously optimistic I was trying to say about that definitely it will be a little better than what it has been on the contracts of the previous year.

Nikhil : My next question is, in the last few quarters you all have been mentioning that the incremental focus is on higher margin products and value added products, but the gross profit per ton has sort of stabilized around 2 lakhs per ton for the last 3-4 years. How should we look at that incrementally?

Mahesh Babani : Nikhil, good question, in fact I had answered it in the previous quarter. The thing is that there have been price vagaries happening in the last few years where prices on the realization of the finished goods have been coming down. So, because we did this augmentation, because we went into this value added products and all, our margins at the gross level has improved or sustain, when you talk about gross margin, you only take the RMC as a friend, whereas when we do about, we take a complete scenario or the factory expenditure which gets panned out over higher volume when we are doing about. And that is why you have seen in the final EBITDA margin level and at the PAT level, we have really improved what we were about 3 years ago or 4 years ago to what we have been now giving and in this current year the last 6 quarters which we had also shared it with you all. We have been 20% plus on the margin front. So, this would not have been possible had the value-added

products not come in. Also the yield improvements what we have taken into consideration been also giving a better yield to it and have Sanjeev, our Strategy Head would also want to chip in and add something to it.

Sanjeev Patil : So, what happens is the value added products, the volume there is smaller because they are high value products. So, therefore sometimes these volumes can be misleading because I may be selling something which is costing \$55. Even if I sell, let us say, 20 tons that is much better than

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selling something costing around \$2, 100 tons of that. That is how the volume sometimes can be misleading, but what you have to see is the gross margin that we make and that is how the high value products add to the margins.

Nikhil : So, now with the approval of US-FDA for Camphor, how should we see your Camphor business going forward and what can be the difference in realization for pharma and non-pharma grade?

Sanjeev Patil : See to reiterate, it is a listing of our product in the US-FDA, which means that my Camphor is not an end bulk drug. It is only an ingredient which can be used in making formulation.

Definitely, the realization will be better as compared to what we do on the industrial front. So, time will talk about because there are certain processes that every pharma Company will be taking for evaluation and final orders to come about. Broadly what we see is that the realization

should be anywhere between 25 % and 40% higher than what we normally sell in the industry.

Nikhil : One question is on, any update on the acquisition that was announced couple of months ago?

How is that progressing and when you all expect to conclude that?

Narayan Iyer : The bankers will inform you at the appropriate time when we are ready for it in fact.

Nikhil : Last question from me , so as per my channel checks, Prionyl has yet to take off at are reasonable capacity utilization. I think I asked this question last year as well. I think Raj anji had mentioned that you all are working on a greener process for the product, so how is that taking shape?

R. S. Rajan : I am happy to say that process has seen success. So, now we are going to again augment the capacity and whatever we are producing is already pre -sold and as far as the capacity is concerned, it is going to go up four -folds to almost 150 tons per annum and we are absolutely on track on this product which is considered the Holy Grail of aroma chemicals .

Moderator : Thank you. Next question is from Vineet Lambu from HSBC Asset Management. Please go ahead.

Vineet Lambu : Most of the questions are answered, but I have some few questions like what could be the peak production capacity which can be utilized and what could be the revenue potential of that capacity if I may know ?

Narayan Iyer : So, the peak capacity that we had talked about is somewhere between 48,000 and 50,000 metric tons and we can generate a revenue of about close to Rs. 2,500-Rs. 2,700 crores.

Vineet Lambu : What are the capacity utilization s, 70% or 80 %?

Narayan Iyer : Currently , it is about 80% or so.

Vineet Lambu : So, any future CAPEX plans apart from the JV which we have recently done?

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Narayan Iyer : So, just now I stated about that for all the existing set of our products, the key bread and butter products, we have a CAPEX lined out of about Rs. 200-Rs. 250 odd crores or so which will increase the capacities of all our major products and we also have a long -term plan for introducing a lot of high -ended specialty chemicals and dream project and all for which you are anyway in the process of raising up money and go ahead.

Vineet Lambu : So, this CAPEX plan would be spread over years or like next year itself ?

Narayan Iyer : It is spread over 18 months

to 24 months period or so broadly.

Vineet Lambu : And any guidance for next year, but FY26 revenue guidance and margin guidance if you can give, I know most of the orders are?

Mahesh Babani : In few words , outlook is very positive.

Vineet Lambu : Any margin guidance in the range?

Mahesh Babani : Positive means everything comes in there , margin, volume, everything , positive outlook .

Moderator : Thank you. Next question is from Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj : Sir, the first question is the Givaudan project , it is completely for the Givaudan as a client or customer, so barring any key chain issues, what would be the timeline for the peak revenues at any? Will it be over a period of 12 months or so? And second question allied to that is that we have recently started the plant and probably we also would have started the commercial activities. So, are there any teething troubles that we have faced in the last couple of weeks after starting the plant?

R. S. Rajan : The positive point is that we are off to a very good start and for us to fructify the optimization of these products which are specialty products will take about 2 years. And since Givaudan is one of our big customers, we are indeed grateful and it is a privilege to be trusted by them to do a specialty project with them as a JV. So, everything is going in the right direction and there is no hiccup. It is moving absolutely in the right direction and everybody including our JV partners who visited us for the inauguration are very happy with the progress that is being made, good for Privi , good for India, good for all of us.

Rohit Nagraj : Just allied question, the facility is completely dedicated for Givaudan or we will be able to produce products for maybe other customers ?

R. S. Rajan : The entire JV is based on exclusivity, which is being manufactured for them and there is a guaranteed EBITDA margin in that and we will continue to supply to them on an exclusive basis.

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Rohit Nagraj : Sir, my second question is on the R&D front. So, Mahesh sir mentioned that similar to what Givaudan has given us in terms of the product and projects, there could be couple of more projects which also may fructify over a period of time. So, are we already working with those clients and what are the capabilities that we are building from an R&D perspective to probably scale up ourselves and cater to these clients?

R. S. Rajan : That is a very good question. All we can say at this point of time, given the proprietary

discussions, it is premature to make any announcements, but I can only tell you since the world has seen the fructification of this JV, definitely there are possibilities which are very positive for the coming future.

Rohit Nagraj : And if you can just elaborate a little bit on the R&D strength capabilities, it would give us flavor in terms of how it has changed since we started working on the JV?

Mahesh Babani : So, I would really boast over here that we have a great R&D team. We have almost 91 people working around the clock. So, I think for the Company, which is few thousand crores, 91 is a very good resource to have and very good team work and we do from , at any given time 10 products are being worked on simultaneously in the lab and at least 5 -6 on new products. On 10 products, 33% of the revenues go for intensification of capacities, 33% of the people concentrate on new products and 33 % for PRIGIV and new specialities. So, almost 91 people are working around the clock. That is a good resource for that Company .

Narayan Iyer : And to add to that, Privi has always been focused on R&D. It is not that it is because Givaudan has come over or given us this . Givaudan gave these 42 products to us seeing our R&D capability and the capability that

Privi can deliver it in fact. As you know, as both these R&D setups are at Mahad more than 20 year old and the one in Navi Mumbai is about 17 years old. Both R&D facilities have been recognized by DSIR, so which means that we are having the highest of standards and our visionary Chairman 's idea of having a strong, robust R&D which he nurtures, which he is passionate about and oversee the entire operation and that is how you are seeing Privi really evolve into a Company from our two product to 72 plus product with 42 products now for the JV and another 20 odd in the pipeline in fact .

Moderator : Thank you. The next question is from the line of Manan Madhani from Kamaya Kya Wealth Management. Please go ahead.

Manan Madhani : My first question was regarding the CAPEX, so in the September balance sheet sequentially there is the number of Rs. 233 crores of CWIP , so is this related to Pine CAPEX that you mentioned in the call earlier ?

Narayan Iyer : Basically , it is almost more than two third close to about Rs. 160 crores of the Rs. 233 crores that pertains to the PRIGIV CWIP because it has not been put to use, so that is why it is lying and capital work in progress . The so -called inauguration happened in the month of October and where now the water trials and everything is going about. So, the major amount was on account Privi Speciality Chemicals Limited

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of PRIGIV . And the balance what do you see is the regular CAPEXes and one or two new products in Privi , which in the process of getting capitalized in this quarter or so in fact which includes Prionyl what Rajan talked about and also the Amber and Woody Xtreme in fact.

Manan Madhani : And what is the capacity utilization for Camphor and Prionyl?

Narayan Iyer : We are almost at 80% of the capacities that we are having about , just answered the earlier question in fact.

Manan Madhani : And given we are at a higher base do you see 20% volume growth for next 15 -18 months?

Narayan Iyer : Yes, definitely.

Manan Madhani : You already answered this, but just to clarify, so gross margin of 45% that can go beyond that number, let us put the number , but it can go beyond this?

Narayan Iyer : So, what you are saying is the RMC gross margin, yes, I think it should improve a little bit. Otherwise we can maintain at this level.

Manan Madhani : And in earlier concall , you mentioned that the capacity of 48,000 metric ton which you are having currently, it is supposed to grow 60,000 metric tons. So, with this Pine capacity will reach to this number ?

Narayan Iyer : See, it is a combination of various factors. Last time around also we mentioned that we will be increasing and bringing in new products. So, it is a culmination of various things , one definitely some of our existing products we are looking at, two with the QIP money that we are looking to raise and introduce some new products . With all that is what we had stated that we will reach about 60,000 metric tons or so. So, we are in the process , first thing is to augment and improve and increase the capacities of our existing products and that is what we are focusing currently.

Manan Madhani : So, is there any timeline decided for QIP?

Narayan Iyer : We will be in a position to answer through our bankers at the appropriate time.

Manan Madhani : And in the current quarter, other expense seems to increase much higher rate around 50% , any particular reason?

Narayan Iyer : If you basically see , the volume has increased in this quarter and the other expenses forms , the selling and distribution expenses are with higher volume of sale happening around . We also end up having that much of units being exported , so freight expenses have also gone up. And the Iran-Israel dispute has also slightly increased the freight expenses, which I believe is a universal truth to all exporters. Or

herwise , all other expenses are under control in fact.
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Manan Madlani : Can you explain a little bit about the new products like Indomeran , Floravone ?

Mahesh Babani : Indomeran is one specialty product. It is a side chain of Galaxmusk , where it is a six step reaction and fortunately for us, we developed it from a very special catalyst and we have some low cost advantages in this. I think within this year , we will expand this capacity significantly, and we intend becoming one of the largest manufacturers of Indomeran in the world , probably one of the largest for sure , not the largest . And Indomeran also happens to be one raw material for a Speciality product which we are developing which we have launched in the market in the last few months, and we are taking some market feedback on that . It is a product of about \$300 plus and we hope to be very successful in this. This is also an oriental note which goes into products like Oudh and Woody like I said, this is a very interesting product . Indomeran is going to be our star product, and we are hoping to be I told you in short, one of the largest. While Floravone is the lower value product , Indomeran is a range of above \$55 or so. Indomeran is about \$10. It is a side chain of a waste of our product. So, this also very interesting in margin , but value is not so high, and we are al so putting up CAPEX for this during this year and we will see the benefit of this in next financial year.

Manan Madlani : And my last question is regarding your Privi Fine Science, s o there are two units, correct , so what are the gross margins for both the unit?

Mahesh Babani : Similar, a ll I can say.

Manan Madlani : Can you quantify that?

Mahesh Babani : You see a Privi balance sheet and you quantify that . Don't ask me to make forward -looking statements. It is very sensitive time for us to make statements about something futuristic , but we will be in a similar range of products. Only I can say is like we are CST, we are building a new building block called Furfural which is first time in the country.

Manan Madlani : And do we expect this in next 6 months or so?

Mahesh Babani : Maybe it will take a little l onger, maybe next year or maybe, I would not say it is on premises . We are on negotiating with our auditors , maybe this year, maybe next year, maybe year, but within next 2 -3 years for sure.

Naraya n Iyer : At the appropriate time, we will be announcing it as stated. You will come to get the exact news from our bankers. And it is my humble request to all shareholders, all investors and all people wanting to ask questions to please currently restrict your questions onto Privi Speciality Chemical Limited and its subsidiaries only and not to any acquisitions or something, because if at all and as and when the acquisition and take or mergers happen, we will be announcing it. So, as a prudent governance policy, I also would expect my investors to restrict the questions towards Privi and i ts subsidiaries.

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Moderator : Thank you. The next question is from Pun it Jagdish Kabra from Umay o Advisors. Please go ahead.

Punit Jagdish Kabra : The first question I had is we got the approval on Camphor for US-FDA , so two questions here. One is domestically, do we have any competition in terms of somebody else being US-FDA approved for Camphor? And second is who would our key competitors be in this place? Would it be China? Would it be any other geography that serves this market right now?

Narayan Iyer : There are a few Indian companies who have also registered as a key pharma ingredient i n the US-FDA space. And we are the latest to join on the bandwagon and China of late, yes have been competing with all. India is the largest Camphor manufacturers

in fact. So, China seeing the demand that India can generate, and Camphor has also in the last few years been r eally putting in a lot of Camphor and post COVID , innovations have also led in that Camphor could be used in various other ways. So, that is why you see a surge in the Camphor p roduction insight and demand.

Punit Jagdish Kabra : Can you share some outlook on Camphor prices specifically because when you look at least the data that I look at, the prices seem to be trending up. So, what are the main factors that one should be considering when it comes to Camphor prices in terms of demand supply, something that you can throw some more light on?

Mahesh Babani : I only can tell you that we are confident of supplying Camphor to this region of India and we are confident it is a huge market. We are confident of the capacit ies that we have. We have some customers who take all this quantity and balan ce when we are talking about US-FDA . We are talking about several important customers who have asked us to do that because they need this for the operations in the pharma sector . So, about 33% of our capacity is going to be exported , balance I think in Maharashtra, Gujarat and MP, we c an sell it . The overall market, I don't know,

maybe 25,000 -30,000 tons and maximum market is in India. So, that is all I can comment. It is an important product for us because we have some other things which we will announce based on Camphor in coming years, which is under development. So, I cannot make commitments on that.

Punit Jagdish Kabra : Any view that you can share on Camphor price outlook for the next couple of quarters?

Mahesh Babani : Honestly speaking, I am saying, it changes almost every month, sometimes it is high, sometimes it is low, sometimes high season, low season. So, every time the price, I cannot, I don't know, maybe Rs 450, sometimes Rs 500, some Rs 415. We fortunately have a secure raw material for this. So, I don't monitor it so closely.

Punit Jagdish Kabra : The next question I had was on the Givaudan JV, I think we said that we will be able to do about 24% EBITDA margin, is that part of the contractual agreement as in it is cost plus kind of a model where we are secured of our EBITDA margin?

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Mahesh Babani : I am telling you it is confidential. At the moment it is confidential because we are only, we have a visibility of next year's plan which is Rs. 100 crores. And this is our reading in between the line, it can be increased or decreased, sometimes the dollar, sometimes the raw material, it will be in the range of, I would say in the range. Our expectation is our dream to have. And we so far have always succeeded in dreaming right. So, it will be in this range, plus minus 2%-3% here there, but anything north of 20%. It is a great EBITDA margin for a chemical Company. Let me tell you that. Anything north of 20% EBITDA margins is very good for any manufacturing Company and we will always maintain that in coming times.

Narayan Iyer : And you also should appreciate the fact that Givaudan is our large customer having a strategy tie-up and a JV to manufacture for them is also a great initiative, a great step to take about, so that we maintain on the main companies business also with them and in a position to manufacture the so-called high specialized chemicals for them also in fact. So, it is a two-in-one win-win situation for all of us in Privi in fact and for the country to a large and put it across.

Punit Jagdish Kabra : Third question was, I heard the Babani sir talk about this JV once as people see it working firmly to more opportunities with other customers. Does that not create a conflict of interest?

Mahesh Babani : No, not at all, because we will not necessarily have a JV, but we will have a strategic alliance to that effect on a different

side. It won't necessarily mean JV, but it will be more. Our experience says this will also have a strategic alliance not necessarily, but similar arrangements as such.

Narayan Iyer : There also, there will be exclusivity, there will be confidentiality agreements, all that sort of stuff. So, it is not that it is going to be open.

Moderator : Thank you very much. Due to time constraints, we will have to take that as the last question. I would now like to hand the conference back to the management team for closing comments.

Ashwini Shah : Thank you everyone for joining this call today. As you walk and live through each day, aromas are from Privi, touch your life with fragrance that create memories and bring back nostalgia. We maintain our pace without compromising in our values and constantly challenge ourselves, serve our partners and customers. Thank you everyone for joining us in this evening call. We appreciate your time and interest shown in our Company. In case of queries, you can get in touch with us or SGA, our Investor Relation Advisors. We look forward to meeting all of you over the next call. I wish you all Happy Diwali and Prosperous New Year from Privi family. Thank you.

Moderator : Thank you very much. On behalf of Privi Speciality Chemicals Limited, that concludes the conference. Thank you for joining us, ladies and gentlemen, you may now disconnect your lines.

Call: Feb 2025

4.

February 18, 2025

Dear Sir / Madam,

Ref: Letter dated February 13, 2025, providing Audio link of the Analyst / Investors Meet

Sub: Transcript of Analyst/ Investors Meet held on Thursday, February 13, 2025

In addition to Audio Link shared via letter dated February 13, 2025, please also find enclosed the transcript of the Analysts/Investors Call on the Un-audited Standalone and Consolidated Financial Results of Privi Speciality Chemicals Limited for the quarter ended December 31, 2024, held on February 1-3, 2025.

You are requested to kindly take the same on record

Thanking you

Yours Sincerely,

For Privi Speciality Chemicals Limited

Ashwini Saumil Shah

Company Secretary

Encl: As above

PRIVI SPECIALITY CHEMICALS LIMITED

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The BSE Limited

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BUREAU VERITAS

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"Privi Specialty Chemicals Limited

Q3 FY'25 Earnings Conference Call "

February 13, 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 13th February 2025 will prevail.

MANAGEMENT : MR. MAHESH BABANI – CHAIRMAN AND MANAGING DIRECTOR – PRIVI SPECIALTY CHEMICALS LIMITED .

MR. R.S. RAJAN – PRESIDENT – PRIVI SPECIALTY CHEMICALS LIMITED

MR. NARAYAN S. IYER – CHIEF FINANCIAL OFFICER PRIVI SPECIALTY CHEMICALS LIMITED

MR. SANJEEV PATIL – SENIOR VICE PRESIDENT , STRATEGY – PRIVI SPECIALTY CHEMICALS LIMITED

MODERATOR : MR. SHRIKANT SANGANI – GROUP ACCOUNT HEAD

- STRATEGIC GROWTH ADVISORS PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Q3 and 9 Months FY '25 Conference Call of Privi Specialty Chemicals Limited. This conference may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company, as on date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that, this conference is being recorded.

I now hand the conference over to Mr. Shrikant Sangani, the Group Account Head from Strategic Growth Advisors Private Limited. Thank you, and over to you, sir.

Shrikant Sangani: Thank you, Aric. Good evening, everyone. Thank you for joining us on the call. It gives me immense pleasure to welcome you all on the call backed by some good results posted by the Privi Specialty Chemicals Limited.

On this call, we are joined by Chairman and Managing Director, Mr. Mahesh Babani; Mr. R.S. Rajan, President; Mr. Narayan S. Iyer, Chief Financial Officer; Mr. Sanjeev G. Patil, Senior Vice President, Strategy; and our SGA team, an IR Advisor.

I hope that, everyone was able to review our financial results and investor presentation, which were uploaded on the stock exchange and on the company's website. The recording of today's earnings call and transcript will be uploaded on the company's website under IR section.

The financial results, investor presentation, press release are also available on the website. Please note, there may be forward-looking statements during the course of the call and which must be viewed in aggregate with the risks that company faces.

Mr. Mahesh Babani will provide an overview on the company. And post that, Mr. Narayan Iyer and Mr. Sanjeev Patil will take you through recent developments and operational and financial highlights.

I would now like to invite Mr. Mahesh Babani, CMD, to give a quick overview on the company. Over to you, sir.

Mahesh Babani: Thank you, and good evening to everyone. Despite the global headwinds, our company has emerged stronger in the current quarter and indeed throughout the financial year.

We are happy to inform you that, we have achieved better margins driven by higher yields and better product mix. Going forward, we expect to continue and improve our time cycle, which will result in higher productivity.

I'm very happy to inform that our company has achieved developed continuous processes for some key products, which will bring down the cost of production. Our company has been

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working on enhancing the capacity of our flagship products with incremental capex. This is based on multiple customer inquiries for long-term tie-up for these products.

Due to project work related to the capacity enhancement, we took a plant shutdown, which has resulted in slightly lower revenue for Q3, as compared to Q2. As part of our business expansion strategy, we have initiated dialogue with some of our competitors to work with them as co-producers. Our company has streamlined the manufacturing of Galaxmusk, Prionyl and Camphor in which significant capex was done in the past 3 years.

I'm also happy to inform that, we have significant demand to adequately take care of these product capacities. As we have informed you, we follow a proprietary process for manufacturing Prionyl. Based on the response received from the market, and the potential of this product, we have already increased this capacity too,

which will be operational during the month of February.

Our R&D continues to develop high-value products. And on the recent development on one of our new molecule, we are working on a specific building block, which will be made from a renewable feedstock. Several new products are being developed based on the renewable feedstock.

In the last quarter, we announced the commissioning of a new greenfield products in partnership with Givaudan, to manufacture complex ingredients. We are on track to achieve commercial production.

While ensuring growth, we are fully focused on sustainability. We are pleased to report a significant improvement in our CDP project score. Our current gold rating from EcoVadis, which underscores our proactive efforts in aligning with the global best practices, reducing our carbon footprint and enhancing our ESG disclosures.

Our company is striving to further improve our rating in the coming years. Our company has increased its share of green power, thus making savings in cost, at the same time, strengthening our commitment to green energy. In closing, I will assure that our company is on track to deliver strong financials in coming quarters.

Now, I hand over this to Mr. Narayan S. Iyer for recent developments and operational and financial highlights. Over to you, Narayan.

Narayan Iyer: Thank you, sir. Thank you, Mahesh -bhai, and good evening to all shareholders, investors, potential investors and stakeholders of Privi. The quarter gone by has reaffirmed our belief and commitment to all of you that Privi is set for a good growth and poised to deliver good profit margins.

So giving you a detailed operational and financial highlights on the quarter 3 and the 9 months which have gone by. Our total income stood at around INR493 crores in the quarter 3, which is a growth of over 20% on a quarter -on-quarter basis compared to Q3 of '23 -'24.

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EBITDA was at INR115 crores, which is a growth of about 20% . EBITDA margin stood at around 23% for Q3 financial year 24-'25, and we expect to maintain similar EBITDA margins going forward in the near future.

Profit after tax for the quarter was at around INR44 crores as against INR29 crores achieved in Q3 of financial year '24. Overall, the exports continues to contribute a good share of our revenue and in this quarter, it was at 69%.

A broad synopsis of the 9 -month financials that we have reported and which is there on our website and the stock exchanges. The overall total income stood at around INR1,493 crores, which is a growth of about 16% for the comparable period. EBITDA achieved during this period is around INR327 crores, which is a growth of about 29% compared to the previous year same period.

EBITDA margin stood at around 21.9% as against 19.6% achieved in last year's 9 months at the same time. And profit after tax for the period was around INR121 crores as against INR63 crores achieved in the previous period. Exports in this 9 months contributed to about 65%, and which is a very, very healthy financial numbers that we have posted upon.

And with this, I would prima facie like to pause here and open the floor for further questions and answers. Over to the host and SGA to start the Q&A. Shrikant, all yours.

Moderator: Thank you sir. The first question comes from the line of Sudhir Bheda from Bheda Family Office. Please go ahead.

Sudhir Bheda: Congratulations on solid strong set of numbers, sir, in the given environment. Sir, my questions are like we have seen in Q3 that there is a good growth Y -o-Y, but slightly subdued kind of growth or degrowth slightly Q -on-Q. But however, margin has improved a lot, 150 basis point improvement in the margin Q -on-Q. So can you throw some light on this?

Mahesh Babani : Sure. Thank you, Bhedaji. We are in the process of enhancing capacity for our flagship products.

But to do that, we had taken some planned shutdowns. And as a result, the overall volumes were lower, which has resulted into lower sales. And that's the reason for slight reduction in overall revenue for the quarter . But this is only a temporary thing, a planned thing. Going forward, all these efforts for expanding capacity will give you higher revenues and higher volumes to come back.

Sanjeev Patil : As far as margins are concerned, as I said, we have improved the yields. We have also by making some of the process continuous, reduce the other costs, and that's why you see improved margins.

Plus, our other products in terms of our product mix, it is in favor of higher -margin products, and that is what is causing the margins to improve between the quarter last year and this year.

Sudhir Bheda: My second question is --

Sanjeev Patil : This particular margin also, we had some small benefit because of currency, which is what has pushed it to a level which is slightly higher than what it normally would be. So we had some

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favorable currency and other benefits, which is what has resulted in this slightly higher than what the normal sustainable margin would be.

Sudhir Bheda: Sir, what is the outlook for FY '25 -'26? The kind of margin you have reported is sustainable and the growth which you have been reporting since many quarters, whether this kind of growth will continue?

Mahesh Babani : We are very bullish that we will surely be able to maintain our original track record of minimum 20% growth for the year 25-26. We are confident that we'll achieve this. Looking at the order book position, we are fairly confident we'll achieve this.

Sudhir Bheda: And margin, sustainability of margins, because currently again...

Mahesh Babani : We'll be able to maintain the margin or at least surely maintain this, if not improve this.

Sudhir Bheda: That's a good news, sir. And you like operating the environment of contracts which you do, maybe long -term or short -term contracts for raw material as well as finished goods. So can you explain how this -- you have entered into the contract for the next year and how this kind of sales, which you are projecting 20%, 25% growth, seeing your contracts, whether it is achievable or how it will work as far as raw material and finished goods?

Sanjeev Patil : Sure. So as we explained all along, around 70% of our business is contracted business, and this is with large multinational companies, F&F companies as well as FMCG companies. They follow the calendar year. So the good news is that we have around 70% of our business, which has been already booked and which is what is giving us this confidence that we will be able to achieve our revenue numbers, what we have talked about.

So -- and similarly, for raw materials, we have secured raw materials for the corresponding volumes of production, which is giving us confidence about the margins. So we are on a very good track, and that's how we see the whole year, and that's how Babani has confirmed that we will be achieving this growth.

Sudhir Bheda: And sir, lastly, now our sales to the European region is almost 35%, 40%. And now we are looking for the new markets like Africa and also we are looking at India. So how do we see this market shaping up in the near future?

Sanjeev Patil : Yes. So the market within India as well as Africa, the per capita consumption there is so low that there are huge growth opportunities in both these segments in India and other parts of Asia as well as the African markets, we see significant growth there. And we see upward of 20% growth from these margins and 20% to 25% growth from Indian market as well as African markets.

So we see significant growth here, and we are well placed to operate within these regions only.

So we also have the logistic advantage of

being within one of the fastest -growing economies of

the world as well as being close to Africa where we can service the demand increasing Africa as well.

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Moderator: The next question comes from the line of Manan Madlani from KamayaKya Wealth Management.

Manan Madlani: So my first question was since we revised our orders in the month of December and January. So, like what was the guidance from our customer side? What are the order book looks like?

And did we -- so from any customer side, do we have any price revision?

Narayan Iyer: Just now what Mr. Mahesh Babani stated, that we have good healthy order booking position for the calendar year '25. And the customer outlook has been very positive during the course of his various meetings along with the business development team.

And we are very, very bullish as far as the calendar year and the year '25 -'26 goes. A good healthy order booking position of 65% to 70% as we speak about. So that's why we are quite positive and bullish that our performance in the coming few quarters is also going to be healthy.

Manan Madlani: Any price revision, sir?

Narayan Iyer: Yes, there is a price increase ranging from various products between about 7%, 8% to close to about 10%. It depends on product to product.

Manan Madlani: So it will be applicable from Q4 itself?

Narayan Iyer: Yes, marginally quite a few of the sales of Q4 will have the new prices.

Manan Madlani: Okay. And what's the update on the Camphor side of the business for pharma specifically?

Sanjeev Patil : So we are in the process of shortlisting and supplying samples to the pharma companies, and we're trying to get there. We are completing a lot of other regulatory compliances, including preparation of drug master files and all that. So it is a long drawn process, which would be there.

So FDA certification also is under progress and will take time to complete, of course. And in parallel, we have initiated dialogue with many pharma companies. So it's an ongoing process. You have to realize that getting through the U.S. FDA route is a very long -drawn process. But the longer you wait, the better will be the fruits.

Manan Madlani: When you say 20% growth, you mean by volume growth or revenue growth?

Narayan Iyer: Yes, it is the revenue growth that we are talking about.

Manan Madlani: So, volume growth should be around 15% then?

Narayan Iyer: Roughly around that. Yes.

Manan Madlani: And sir, last question would be any update on the QIP side?

Sanjeev Patil : So the short -term capex requirement would be met through internal accruals and debt. And the balance sheet is strong enough to support the additional borrowing. Fundraising may be planned in future based on how the requirement comes about.

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As you can see yourself, the profitability is quite good and so is the cash flow. So therefore, we -- for the immediate requirement, we are doing the capex based on our internal accruals and debt. And we will take a call on the fund raise through QIP at an opportune time.

Mahesh Babani: If need be.

Manan Madlani: Last question. Are we still integrating Privi Fine Sciences in this financial year or it will take some time?

Narayan Iyer: We will inform all stakeholders and shareholders at the appropriate time when it comes around that time. Currently, it is separate, and we are only talking about Privi Specialty Chemicals Limited as we are here.

Moderator: The next question comes from the line of Nikhil Porwal from Perpetual Capital.

Nikhil Porwal: Congratulations to the whole team for the continued execution, superb execution. The first question that I have is your gross profit margins are at all -time high in my opinion. I think you're just reached very close to 52%. However, other expenses have inc

hed up significantly to around

16% or in tonnage, it's come to INR72,000 per ton. That's a sharp increase from last year.

Anything on what led to the significant increase on other expenses?

Narayan Iyer: Yes. So Nikhil, in this particular quarter, because of certain strikes in U.S. in various ports and also due to uncertainty in the sea voyage that is happening around, quite a few of our customers had asked us to airlift a lot of material. Due to which in the other expenses, you see a little bit of increase. That's predominantly on account of the air freight expenses that we have incurred. However, the same have been recovered from the customers, and that's why you also see that there is a marginal improvement in the raw material consumption as sales reported is higher to the extent of air freight expenses. . And it's a onetime addition to that because air freight is not that it is going to be on a continued basis or so.

Nikhil Porwal: So I mean there's an impact on both revenue and other expenses. So if you eliminate that --

Narayan Iyer: Absolutely.

Nikhil Porwal: The margins more or less would have been the same.

Narayan Iyer: Perfect. Your analysis is absolutely correct.

Nikhil Porwal: Next question is also in your initial comments, I think Maheshji mentioned about co - manufacturing arrangements with competitors. So anything on what is that about? And what would be the quantum of that and for what products?

Sanjeev Patil : Listen, these are some extremely interesting opportunities. But please mind that we have already signed an NDA, we cannot be talking about this information about in public. In due course of time, you will, of course, get the good news, and it should always be disclosed to our dearest shareholders. But at the moment, we are at a very critical stage and sensitive stage. So therefore, we cannot be really discussing this. I appreciate your interest. Thank you.

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Nikhil Porwal: Capacity utilization as per reported capacity in this quarter on an annualized basis were already at 93%. Now with debottlenecking exercises coming in place, I think it will kick in, in the next couple of months. How do we look at the runway beyond FY '26 where larger capex would be required to support growth?

Narayan Iyer: We are in the process of identifying and increasing our capacities. Apart from debottlenecking also, as mentioned in our previous call, we are looking at expanding some of our main products, the flagship products of the company. And of course, definitely, the manufacturing efficiencies are also being improved on a continuous basis. So these, along with the new product, which is being developed by the R&D is going to help Privi in this growth path beyond '26.

Nikhil Porwal: So for these new products, have you already created the capacity because I am of the opinion, your capacity was at around close to 50,000 tons and you are sort of debottlenecking the CST a bit and also adding capacity to your flagship products. No idea about other products so far?

Sanjeev Patil : So other products, we will be creating capacity. That's what we said that in terms of funding this capex , we said that the internal accruals and debt would be sufficient. So new products, we will

be creating capacities. And you should take the overall capacity number with a lot of thought and not a pinch of salt, a lot of thought because there are products which sell from \$3 to products which sell at \$15, \$75, \$100 also.

So numbers may not exactly give you the entire picture, but we are getting into some high value and specialty products going forward. So those capacities will be created in the due course of time in this financial year itself.

Nikhil Porwal: One last question from me is, so what led to the decline in business in North America and rest of the world in this quarter? There was a year-on-

-year decline. Anything on that?

Mahesh Babani : Maybe because of additional demand from other countries, we may have serviced it. But I don't think it's significant loss of business has been there.

Nikhil Porwal: Okay. So it's rather rationing of capacity because you are running short of that. So trying --

Sanjeev Patil : Yes. You analyzed right.

Moderator: The next question comes from the line of Archit Joshi from Nuvama Institutional Equities.

Archit Joshi: Firstly, congratulations on a very strong quarter and also for winning all these consequential accolades. I have just one question regarding the margins that have been improving quite significantly over the past 2 quarters. I recall Iyerji speaking of a margin range of somewhere between 18 -20% at the beginning of the financial year, and we've now clocked a good 20% margin consistently.

I just wanted to check if there is any pricing gain for a particular product maybe. I was tracking the Camphor index, which has risen quite a bit in the last 2 -odd quarters. So if you could also share your outlook, if there is anything changing structurally with regards to any particular

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product like a musk or a Camphor. And if this pricing that you're speaking of is by any chance sustainable at all?

Sanjeev Patil : Okay. So let's go step by step. First and foremost, there is no pricing effect, okay? As we have maintained that most of our products are sold under annual contracts. So the prices do remain the same. So there is nothing that has come from pricing effect.

Largely, this is driven by 2 factors. First factor is the change in product mix. But don't let me give you out the name so that my competition as my customers wake up. But the change in product mix is one of the reasons why the profitability has improved and will remain improved.

The second thing is a lot of internal steps that we are taking in terms of improving our

efficiencies. We have improved the yields. We have reduced the consumption of power, steam.

We're making plant sweat much better than what they were. So these are the factors which have been responsible, and that's why we feel the sales -- the trend is secular and it will continue going forward.

Moderator : Does that answer your question, Archit?

Archit Joshi: Yes, yes. I just have another follow-up. I was also seeing a decent enough traction being -- the traction largely in the musk and specialty revenue segment that we published in the investor presentation. Over the last 3 quarters, maybe I think that number has pretty much stayed in the same band. So would this be the product mix explanation that you were speaking of?

Sanjeev Patil : Yes, because it was product -- I mean, the musk and other specialties were on a low base. You would appreciate that. Individually, each product has grown, but it is on a low -- much lower base, and that is why you see its share going up.

Archit Joshi: So musk, I'm assuming that this will be Galaxmusk and means that we probably must have ramped up quite well in that piece of the business?

Sanjeev Patil : Yes, yes. And we have not only Galaxmusk, but a few other products along with that like Indomarane.

Archit Joshi: Just one last bit, if I can squeeze in. So your outlook on the Camphor industry, how we are placed in terms of demand and pricing growth, that would be very helpful.

Sanjeev Patil : Yes. So Camphor, I think we will realize our advantage in this year and more. And it will continue to do full capacity in this financial year. So that's how we look at Camphor.

Moderator: The next question comes from the line of Rohit Nagraj from B&K Securities.

Rohit Nagraj: Congrats on a strong set of numbers. Sir, first question is on the Givaudan JV. So where are we currently? We started sometime in early October, if I'm not wrong, in terms of commercial production, in terms of a

acceptance of the products and ramping up of the facility towards maybe the multiple set of 40 products. So where are we currently? And what is the road map that we are looking at from FY '26, FY '27 perspective?

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Sanjeev Patil : Sure. So the commercial production has commenced for joint venture, okay? For the inauguration, we had a very senior team from Givaudan who had traveled to Mumbai to do the inauguration. The commercial production has begun. And ramp -up is on track. But you have to realize that these are complex products, and it takes its own time. So that's where it's on track. It's on what we had planned, it's on track.

Rohit Nagraj: So we are on track in terms of whatever commitments that we have earlier indicated in terms of revenue potential from this particular JV?

Sanjeev Patil : Yes.

Rohit Nagraj: Sir, second question in terms of individual geographies, if you can just throw some light. I mean, we are obviously doing very well. But are there any factors which can be -- which may impact the momentum going forward, maybe it could be geopolitical issues or any other factors that can hamper the progress that we are seeing almost -- I mean, again, substantiate that we have 70% of contracted volumes or contracted business, which gives us visibility.

But apart from that, the 30% which is non -contracted, whether there could be any potential issues in individual geographies. If you can just broadly give us a sense of that?

Narayan Iyer: Yes. Rohit, broadly as was outlined, we are fairly confident and visible as far as the next few quarters are concerned with a good healthy order booking position that our Chairman and MD happened to mention for the year '25. We at 70% of orders being there, balance 30% is more or less in spot market and the Indian market. We feel the geopolitical situation may not hamper too much as we talk today, in fact. And we expect the growth to be in place.

Rohit Nagraj: Just last couple of clarifications. One, I missed the 9 -month exports number. Can you just tell me that?

Narayan Iyer: 9-month exports is about close to 65%, as I spoke about in my financial address.

Rohit Nagraj: Right. I just made that. And one last clarification in terms of the debottlenecking exercise that we are currently undergoing, what would be the incremental capacity that will be added to because of the debottlenecking?

Sanjeev Patil : I can't give a number because then I'm putting across my capacities, but it is significant. We won't mention it otherwise. It is significant.

Rohit Nagraj: So that will take care of the volume growth for at least for the next 1 to 2 years, right?

Sanjeev Patil : Yes, of course. Thank you.

Moderator: The next question comes from the line of Vanshika Gupta from JRK Stock Broking.

Vanshika Gupta: So sir, a couple of my questions have already been addressed. But coming to the raw material piece, I know 70% you said of your orders are confirmed, your raw materials are secured. So I won't be talking about it in the near term, but more in the medium term, the trade tariff that is being spoken about so globally with the U.S. and everything, do we sort of see some impact on Privi Specialty Chemicals Limited

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any of our products? Or is that something that -- if that something has been discussed without naming the product or raw material, but just a broad overview?

Sanjeev Patil : So as far as raw material import is concerned, I don't think there is any change of tariff over there. The second thing that you must also realize is that we -- when about 70% of our products are exported and to that extent, the raw materials are also imported. So the Unit 2, where most of our manufacturing happens and other units also, we have the export benefit. So the duties don't really, to that extent, matter because whatever w

e -- for the Unit 2 is actually an exported unit, so one doesn't have to pay the duties.

And as far as export is concerned, we are not -- we will not be so severely impacted by the -- if at all, there are any changes, those changes would be there for -- I think apart from India, it could be there on other countries also. So it's only -- it's relative. So I don't think differentially, we will be suffering against any other country. So we really don't foresee any challenges there.

Vanshika Gupta: I just wanted to clarify. So essentially, if there is something that is put under trade tariffs, say we import it hypothetically from a country and export that product to U.S. we can simply pass on the cost of the tariff that is being put or something like that. That won't be an issue. That is what we're trying to conclude?

Sanjeev Patil : No, I don't think we can make all those conclusions now. We'll face the situation as it comes. But as I said, differentially, there won't be any other country which is differentially benefited compared to what India -- where India is, so.

Vanshika Gupta: And I have one last question on the capex. I know that you spoke about -- we won't be able to discuss what capex. If we can just broadly outline in terms of revenue crore, how much capex we estimate for '26 -'27 going forward in the next 1 or 2 years, that would be helpful.

Narayan Iyer: Yes. So broadly, we are looking at a capex of around close to INR250 crores to INR300 crores in the coming 15 to 18 months or so in fact. So this -- will take care of all the debottlenecking, the capacities of increase in our flagship products and immediate new products of R&D and all that.

Sanjeev Patil : One last thing. We are in a dynamic market. So whenever we see an opportunity, obviously, we will be capitalizing on that. So that will be sure.

Vanshika Gupta: Yes. Sir, and one last follow -up. If the fixed asset turnover on your capex is approximately 1.5, most chemical companies have done that. Is it that? Is it higher? Is it lower?

Narayan Iyer: It's around that.

Moderator: The next question comes from the line of Raj Jain from Crystal Capital .

Raj Jain: Do we plan to enter new geographies like South Asia market or China?

Narayan Iyer: Yes, we do sell in these markets also.

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Raj Jain: And sir, one more is that also can you give me some color on new products which we are planning to commence in coming quarters and R&D spending, et cetera?

Sanjeev Patil : No, it will -- I don't think we would like to awaken competition or other things in terms of giving out products, but we can only say that these are the products that we are getting into are unique products, and they are high value, obviously high -margin p roducts. But giving names is sensitive. I think you will appreciate what happens.

Moderator: The next question comes from the line of Nikhil Porwal from Perpetual Capital.

Nikhil Porwal: One question is around debt level end of Q3. Anything on where was the debt at Q3?

Narayan Iyer: We are maintaining our levels much below what we had stated and indicated to you close to -- so about INR1,000 -odd crores or so.

Nikhil Porwal: And on the working capital cycle, as the company is looking at continuous process, I assume the cycle will reduce. And anything on where do we see that cycle in maybe FY '26, '27?

Narayan Iyer: As indicated earlier by -- with all the continuous process and all expansions having come in place, the ideal level of working capital cycle should be around 125 to 135 days. So we maintain that.

Moderator: The next question comes from the line of Vinay Nagori from Fintegrity Wealth.

Vinay Nagori: Just wanted to understand, so I joined the conference a little late. So I may have missed this, but just wanted to understand what new capex are coming live in the Q4? So the Givaudan J

V? And

what other products are we getting into? And when will the capacity ramp up until when we can expect a decent capacity -- sorry, decent capacity utilization for that?

Sanjeev Patil : For PRIGIV you're talking about?

Vinay Nagori: Yes, PRIGIV plus Prionyl also, Prionyl and Amber Woody Xtreme we are coming up?

Sanjeev Patil : Yes. So let's talk about the JV first. I answered that question earlier that at Prigiv --water ttrials have started and the commercial production is ready to commence , and it is on track to achieve the numbers what we have spoken about. That's about the JV.

As far as the 2 product names that we mentioned about Prionyl as well as Amber Woody Xtreme.

So there, again, we are absolutely on track in terms of achieving those volumes. Capacities have been set up and volumes are on track.

Vinay Nagori: So the capacities have commenced for that as well, production has commenced? And also, what are the margins for these products?

Sanjeev Patil : If I start telling you margin, so margins are, what should I say, healthy. So that's about it. We cannot be commenting more than that. But obviously, we cannot get into a product unless we see margin there. So -- but for margins, we always look internal.

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Vinay Nagori: And sir, one more thing. Just wanted to understand, so the INR250 crores, we've got a plan of INR250 crores capacity expansion over the next 15 to 18 months. So, is this something new or because we had mentioned the plan for menthol and other products. So that is going to come? Or is that going to come? Or is this something new?

Narayan Iyer: This is -- you missed this point also, our Chairman and Managing Director and myself, we had addressed this, stating that these are all basically increase in the capacities of all our flagship products, certain debottlenecking, certain improvements, better manufacturing efficiencies.

So for all of these to see the growth prima facie basis the various customer requirement and the product being looked for increase in the growth we are going ahead with the capex expansion for these. Those new products will come in time and for which we have already applied for the

EC and the permissions, etc .. That will be the next phase of expansion. So this expansion that we are talking about of INR250 crores, INR300 crores capex is prima facie to increase all our existing products and a few new products.

Vinay Nagori : And just now for the new capex , it will be from internal accruals itself or we'll be looking at debt as well?

Narayan Iyer: It will be a mix of internal accruals and debt.

Moderator: Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to Mr. Shrikant Sangani for the closing comments.

Shrikant Sangani: Thank you, everyone, for joining us on this earnings call. We appreciate the time and interest shown in the company. Also would like to thank the management team for their precious time.

In case of any queries, you can get in touch with us or Privi team on their e -mail ID investors@p rivi.co.in. We look forward to meet you all over the next call. Thank you.

Sanjeev Patil : Thank you so much.

Narayan Iyer: Thank you everyone.

Mahesh Babani: Thank you. Thank you, everybody.

Moderator: Thank you, gentlemen. On behalf of Privi Specialty Chemicals Limited, that concludes this conference. You may now disconnect your lines.

Call: May 2025

4.

May 12, 2025

Dear Sir / Madam,

Ref: Letter dated May 06, 2025, providing Audio link of the Analyst / Investors Meet

Sub: Transcript of Analyst/ Investors Meet held on Tuesday, May 06, 2025

In addition to Audio Link shared via letter dated May 6, 2025, please also find enclosed the transcript of the Analysts/Investors Call on the Audited Standalone and Consolidated Financial Results of Privi Speciality Chemicals Limited for the quarter and Year ended March 31, 2025, held on May 06, 2025.

You are requested to kindly take the same on record.

Thanking you.

Yours Sincerely,

For Privi Speciality Chemicals Limited

Ashwini Saumil Shah

Company Secretary

Encl: As above

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"Privi Speciality Chemicals Limited Q4 FY'25 Earnings
Conference Call "

May 06, 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 06th May 2025 will prevail.

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SPECIALITY CHEMICALS LIMITED .

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Moderator: Ladies and gentlemen, good day and welcome to Privi Speciality Chemicals Limited Q4 FY25

Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

This conference call may contain forward -looking statements about the company which are based on the beliefs, opinions and expectations of the company's as on the date of this call. These statements are not guarantee of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Shrikant Sangani. Thank you and over to you sir.

Shrikant Sangani: Thank you. This is Shrikant Sangani from SGA. Thank you , everyone for joining us today , to discuss Privi Speciality Chemicals Q4 and FY25 Business and Financial Performance .

The Financial Results and Investor Presentation are available on the company's website. The recording of today's earnings call and transcript will be uploaded on the company's website under IR section .

For today's call , Privi team is represented by Mr. Mahesh Babani – Chairman and Managing Director ; Mr. R.S. Rajan – President. Mr. Narayan S. Iyer – Chief Financial Officer, Mr. Sanjeev Patil – Senior Vice President (Strategy) and my fellow colleagues from SGA team.

Please note there may be forward -looking statements during the course of the call and must be viewed in an aggregate with the risk that company faces.

With this brief introduction, I now invite Mr. Babani for his Opening Remarks . Over to you , sir.

Mahesh Babani: Thank you, Shrikant . Good evening to all of you and we are pleased to report the best -ever Quarterly and Annual Financial Performance , marking a significant milestone in our journey.

The Year '24-25 has been good for the company with all along improvement in all areas of the company. The performance has been achieved through process identification, leading to yield improvements, new Speciality products being launched during the year and these factors will continue in the future , we are confident of sustaining this growth in margins.

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Key Highlights of the Year gone by are : The demand for our core products are healthy and our plants are operating at optimum level. Of course , we are de bottlenecking capacity further because of the demand. We have also developed two new premium products to be launched in this current financial year, . Our PRIGIV update is that the plant has been successfully commissioned. It would take one year more to break even. As you know that in chemical plants , it's not so easy to get the full capacities in operations immediately. Moreover, these are high value, very high value Speciality chemicals to be manufactured . However, the future is very bright and certain, since these are going to be sold back with the buyback arrangement to the subsidiary company. So that's why we are very confident that the future is very, very bright for this particular vertical in the coming years as we are dealing with the market leader of the entire world.

Over the decades, your company has emerged as a trusted partner to almost now all companies in our field. The compliance of our company is of the highest standard, and we endeavor to be best -in-class. Our capabilities have grown significantly both in scale and complexity , driven by deep client engagement and relentlessly focused on innovation. We are transitioning from being a leading supplier to a collaborative partner, strengthening relationships and creating long -term and sustainable value for our customers

Our core strength lies in our robust backward integration, particularly through CST and GTO strategy. Integration ensures consistent quality , cost efficiency and of course long -term supply of security of critical raw materials giving Privi a distinct competitive advantage. It also enables great control over the value chain as these are raw materials which are always in short supply, driving innovation and reliability in delivering high performance of aroma chemical to global customers. While driving growth, we remain deeply committed to sustainability. Our current Gold Rating from Eco Vadis further validates our proactive approach in aligning the global best practices , reducing carbon footprint and also sending ESG disclosure . We are now striving for a platinum rating and we are not far from it.

Additionally, by increasing our share of green power, we have also reduced energy costs . Also, reinforced our dedication to sustainable energy solutions.

This is only the beginning of our growth story, my friends . It is also our endeavor to be #1 Aroma Global Chemical Company . Friends, we are not far from it.

I now hand over to our CFO – Narayan Iyer, for detailing on the Financials. Narayan, please.

Narayan S. Iyer: Thank you, sir and thank you very much.

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Good evening to all my dear investors, stakeholders and all those who believe in Privi and who are

there on the call. The year that has gone by has reaffirmed our belief in Privi's growth trajectory . With strong operational execution and a favorable product mix , we are confident that Priv i is well-positioned to sustain healthy growth and deliver robust profit margins going forward.

Let me share some of our "Recent Developments ." All our key products are currently operating at optimal capacity as demand for all key products are very healthy. Our units have all been operating at close to 85 % to 90% of our capacities. As has been informed, we are actively working to expand our production capacities for our key products and take it up from 48,000 metric tons to 54,000 metric tons. We expect this expansion to be complete d by March 202 6.

During the year , the company had launched various products like Indomerane and Flor ovane and Amber Woody Xtreme . These products are used in day -to-day applications like hair care, personal care and laundry care, and they have been very well received in the market.

I would also like to highlight on the US tariff s that's been going around. We really do not anticipate any significant impact from the ongoing US tariffs as our presence in the US market is limited to around 10%. At the moment, almost all countries supplying to US have to bear higher tariffs than India. Moreover, our business is widely spread across domestic market, the European markets, the Asian and the Latin American and Middle East markets. So these were the key developments that I had to talk about .

Now, coming to the "Major Financial Highlights ," starting with Q4 for Financial Year '2 4-25.

The total income for this particular quarter was a record Rs.628 crores, which is a growth of 28% on a year -to-year basis.

The EBITDA came in at R s.147 crores, which is a growth of 50% on a year -on-year basis. EBITDA margins once again is at a record high of 23 .5% for the quarter and we expect to maintain similar EBITDA margins in the near future.

Profit after tax for the quarter was a healthy Rs.64 crores as against Rs.32 crores, which indicates 100% growth over the previous year.

And last ly, the exports contributed about 72 .5% for this particular quarter.

Giving Highlights for Year 24-25 in Comparison to the Earlier Year :

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During the year , the overall income o r the overall revenue stood at Rs. 2,122 crores, which is a growth of 19% on a year -on-year basis.

Overall EBITDA margins for

the year was a very healthy Rs.474 crores which is almost a growth of about 37% on a year -on-year basis . EBITDA margins was at 22.3% as against 19.7% for Financial Year '2 3-24.

Profit after tax for the overall year was at Rs.185 crores as against Rs.95 crores achieved in Financial Year '2 3-24.

And exports on an overall basis was at 70% for Financial Year '2 4-25.

My dear friends, in the overall interest of all stakeholders and investors of the company, we have restrained from publishing certain sensitive information like quantitative and segment -wise sales. I hope you all will understand this.

With this back ed by very strong f inancials , I would like to conclude my address on the numbers and open the floor for question s-and-answers. Thank you .

Moderator: Thank you, sir. Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Sudhir Bheda from Bheda Family Office . Please go ahead.

Sudhir B heda: Yes. Good afternoon, sir and hearty congratulations to entire Privi team for outstanding result, sir.

Mahesh Babani: Thank you.

Narayan S. Iyer: Thank you.

Sudhir B heda: Sir, my first question is you did 23.46% EBITDA margin including other income in the last quarter. So this kind of margin 23 %, 23.5% is sustainable over this current financial year ?

Mahesh Babani: So, Mr. Bheda, I would think that north of 20 % will always be our target. We'll always try to be above 20 % for sure. As we grow, we may have to compromise to a certain extent by 1 % or 2%, but we will try to maintain north of 2 0% for sure. But this has been our endeavor to be in the Speciality chemical s business and we expect that these margins are good enough to sustain.

Sudhir B heda: So this margin of 23.5% what we delivered in Q4 is to do with any other income because our other income is quite high in this quarter. So can you throw lights on it?

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Narayan S. Iyer: Mr. Sudhir B heda, good evening . Narayan here. It's not just the other income; it is more with regard to as Mahesh bhai address ed with the process innovations and yield improvement that we were able to get these margins in this quarter in fact. Yes, there is a little bit of other income in this quarter which has added to it , but overall the margins will be sustained because of our process innovations and debottlenecking that we are going ahead.

Sanjeev Patil : In fact, Mr. B heda, this is Sanjeev here. In fact, if you look at the last eight quarters, we have been

consistently earning above 20% EBITDA margin, and this has been the result of substantially improved processes, better yields and also superior product mix. So, this is what has resulted into this higher margins. And the Quarter 4 is slightly higher as Mahesh bhai said. So that's about it.

Sudhir B heda: Yes, got it. Got it. And sir, any guidance you would like to give for current FY26, the sales growth and margin?

Mahesh Babani: We don't want to give a very forward-looking statement, but we will minimum try to maintain our average growth rate of 20% to 25%.

Sudhir B heda: Last question. In the standalone and in the consol, there is a difference of Rs.33 crores of revenue. So in these Rs.33 crores what is the contribution from PRIGIV, and when it will break even or will start contributing to bottom line this JV?

Narayan S. Iyer: Yes, PRIGIV has just started its operation somewhere in February '25. So there's hardly any contribution coming on to the revenue front, about Rs.4 crores or so. And as Mr. Mahesh bhai indicated in his initial opening remarks, PRIGIV will start possibly a breakeven from somewhere around a year from now, maybe '26-'27. And then it will start contributing both in revenue and the margins in fact. Margins as indicated in the past should be around 20% + range only in fact.

Mahesh Babani: This is an assured business

and will keep on growing. It won't have a growth of 25%, but 10%-15% in PRIGIV will always keep on growing because the average growth rate whatever the normal in the market is GDP growth 10% for PRIGIV. It won't grow extraordinarily, but it has potential to reach about Rs.300, Rs.350 crores of top line in the next 3-4 years.

Sanjeev Patil: And as we said earlier, this is a very strategic fit. So it has to be seen in that context.

Mahesh Babani: It's like customer service to the great market leader.

Sudhir B heda: Yes, yes. Thanks for the opportunity and all the best.

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Narayan S. Iyer: Thank you.

Moderator: Thank you. The next question is from the line of Bharat Shah from ASK Investment Managers Limited. Please go ahead.

Bharat Shah: Yes. Hi. Good to see heartening results. But a little bit of a note of doubt from my end. This is not as much as to what has been done, but because of lack of adequate understanding at my end. You earlier mentioned that sustainable growth over 20% and margins in excess of 20%. But two points come to my mind. One, when I look at the nature of your clients, the consumer firms, the fragrance firms, the other household article producing firms, given the nature of your clients, it's a bit surprising that how do we expect to grow at a sustained rate of 20%? Secondly, when I look at our long history, while top line has grown over the period of time, but the same thing can't be said about the profits, profits have been uneven. And actually the profits have exceeded year of 2021 for the first time in the current year. Even the top line growth over five years has been about 12%, 13%. So I am curious to understand what makes you confident of that high 20% growth rate and also considering the little checkered past, why that confidence on the growth rate, and as well as on the profitability?

Mahesh Babani: So I appreciate your introspection on the balance sheet. We are at the lowest end of the prices over the last five years. If you see our prices of our main products was always in the region of \$6-\$7, which it came down from \$10 to \$6 in the last six years. So even if it bounces back to \$8, \$8.5, so the growth comes from also there, and also the volume is increasing of these important products. You see the growth is coming from countries in Asia, India, Africa, where the usage of aroma chemicals has been very significant in the last 10 years and now these people have started using. Like India, it never had awareness of a perfume soap. So it used to have only Lifebuoy Soap. Now, you see the variety of soaps that are there. All are perfume. You see the variety of deodorants that are there. There were no concept of deodorant 10 years ago in India. So these new markets, the new air freshener, the hygiene conditions have improved. The floor wash, everything is increasing in India itself. Also the export market or the African market and the Asian markets and also Dubai and the other areas, the markets are improving significantly. So the awareness of cleanliness is coming, awareness of hygiene is coming all over the world. Actually after COVID this has taken a fast track to increase our share, and the demand is much higher. So today the prices we are at now \$7-\$7.5, going forward, I think it could be even 5%, 10% higher, average price.

Sanjeev Patil: And the other thing is Privi's comfort with all the top customers is that we are very sustainable and therefore as you see we have invested in the last five years into Camphor, Galaxmusk as well as Prionyl. And these products are leading to significant growth, and that is what is resulting into this 20% growth. So all along we have been growing by introducing newer products and we have been able to get the market share for more customers, under the same customers to whom we keep on Privi Speciality Chemical

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selling the same products because the end customers are only so many. So therefore, we are able to

grow at that level. That's how we are able to beat the market consistently. Last five years I have been seeing, but that will explain in longer detail to you in one -to-one meeting perhaps, but we grow by introducing newer products.

Bharat Shah: So my question was that more than two-thirds of our business is coming from international markets. When we look at the composition of markets like Europe, where there is hardly any economic growth, some of the other markets are in a better shape, but not at the level of 20% kind of potential. So given all of that, what makes you confident? As I mentioned, this is more to educate myself. So please pardon my ignorance. But I am not able to grasp given the more checkered history over last 5 -6 years and given the fact of the client base and the geographies as well as the nature of the client industry, consumers, fragrant, these are mature industries, so while hygiene has improved after COVID, but in the three years after the COVID we have degrown in our profits while fragrance contained would have been including soaps and shampoos and all of that, but it's not exactly a novelty and therefore it still beats me as to why would you believe that high 20% kind of growth will prevail going forward?

Mahesh Babani: Well, we are confident of our growth as we see our order books position and we also are working closely with the clients, we have much more clients right now, customers who have given commitments. Earlier, we had only three key customers, now we have six key customers or probably all the top ten companies are our customers. Also, let me tell you that hardly 7% of our market shares is in the US. And these products are not being produced in the US. So that won't make any significant difference. And the growth of our products also comes from Africa, there are several companies in Africa who want these products made in India or made in Dubai. So our growth in this area is also increasing and we have at least five new customers who have good size to support this. So, we are confident with our order book position, we will be able to maintain our share of our business, our 20%, 25, 30% growth.

Sanjeev Patil: It is an honor that person of your stature is asking us these questions and we would definitely like to talk to you offline also.

Bharat Shah: Sure. Sure. I appreciate it. While the return on capital employed and return on equity have improved in the current year and of course earlier our profit suffered, so I understand capital efficiency would have declined in that three -year period. But when do you think given the fact that our markets are more international, therefore working capital structurally, I suppose would remain high. And I don't know what kind of fixed asset turns optimally can be expected. But given the nature of high working, average fixed asset turns when do you think we can see more healthy say 23 %, 24% kind of a return on capital employed, at what stage do you think it is possible if it all it is likely to be the case?

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Narayan S Iyer: Bharat bhai, good evening. As far as the Gross fixed asset turnover that you talked about, it should be in the range of around 1.4 x and we are moving towards going to 1.6 x, 1.7x in the coming few years. Working capital cycle, definitely we have been striving hard, and we have been in successful enough in bringing it down and you would have seen that over the last two years, our working capital overall cycle has come down and we still expect there is scope and room for improvement at least by another 15 to 20 days we can bring down the overall working capital cycle. So we expect the working capital cycle to improve and that's how will help and enable our ROE, R

OC E to further

grow above. And the levels that you have spoken is our also aspiration and we feel that we are striving towards it and we should be able to reach there shortly in the coming few years, in fact.

Bharat Shah: Okay. Thank you.

Mahesh Babani: I also want to tell you today the market scenario where especially the chemicals are panned out, sustainability is the keyword and supplier in coming times I can tell you, will be more important for a customer than his customer. That's what I see in coming times. I am sorry, but this is my honest observation.

Bharat Shah: Thank you for that. If you allow me one last thing, if the asset turn is say 1.4x, maybe it will improve to 1.5 x, 1.6x, but let us say it is 1.4 x, therefore Rs.100 of assets will produce a turnover of Rs. 140. Given the kind of working capital, on that Rs.140 we will need to invest about Rs.35-Rs. 40 minimum if not more in working capital. That means Rs.140, Rs.150 of total capital will generate a turnover of about Rs. 140. Therefore 1 :1. If we take our EBIT margin if I say EBITDA margin at about 23 %, 24%. EBIT margins would be about 17 %, 18%. Therefore, capital efficiency can be around 17 %, 18%. Unless margins improve materially from here or fixed asset turns improve significantly from here, of course working capital can come down dramatically. None of these in the foreseeable future can change dramatically is my impression. Therefore, I am not clear why 23 %, 24% of return on capital employed how and when it can be achieved.

Narayan S Iyer: Bharat bhai, specifically to answer, as I said, we are in the process of deploying and adding some capacities. These capacities are more with regard to debottlenecking and augmentation. So the CAPEX required for such expansion is not on the same lines as we had to do when we initially set up our existing plant. I also happen to tell you that from 1.4 x, 1.5x currently, it is going to move towards the 1.7 x, 1.8x and in some products it may even be 2 x. So we definitely are going to improve upon our asset turnover. Second, I also happen to mention that we are in the process of further

reduction or further improvement of our working capital days. So that will also add. So your equation about being 1:1 may not be so true. And last but not the least, the entire world is looking at India because they all would love to see someone other than China really taking the battle ahead. We do
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believe and we foresighted that Privi has a great chance to achieve those numbers what you happen to mention.

Bharat Shah: Thank you so much. All the very best and I will look forward to a detailed personal interaction to understand better, but thank you very much for all the elaborate discussion and details.

Narayan S. Iyer: Thank you, sir. Thank you.

Moderator: Thank you. The next question is from the line of Rohit Nagraj from B &K Securities. Please go ahead.

Rohit Nagraj: Thanks for the opportunity and congrats on a very good set of numbers. Sir, the first question is in terms of the growth for FY26. Given that all our capacities are operating at optimal event, how do we foresee volume growth coming in for FY26 given that debottlenecking exercise will only be completed by the end of March '26, and the new capacities will be applicable, so just your view on this? Thank you.

Narayan S. Iyer: Rohit, good evening and thank you for appreciating our performance. We are having certain capacities yet to achieve to our optimal capacities that we have and we hope to grow the balance 15%-odd that we have. And meanwhile, we are also debottlenecking some of our major products, and that's how the growth will come for the Year '25-26. But we are very, very optimistic of the 20% plus growth in this year in fact.

Rohit Nagraj: And the second question is in terms of growth that we are seeing from

in the volume side, new product

side, just a slight understanding, as Bharat bhai was also asking, is that globally, are there other players who are not expanding capacity and because of which we have a better chance to play into it or is it that generally the growth itself is higher for these products and that's why we are seeing even after some competitors are putting up the capacity, we still have a chance based on our interactions with our customers?

Sanjeev Patil: So the answer to this question is, yes, others can also expand, but the speed at which Privi puts up capacity is something very, very important. And also the fact that when we put up the capacity, the kind of plants and kind of asset that we build in terms of sustainability, in terms of zero liquid discharge, that is what gives edge to Privi as compared to many others in the play. And overall dependability that Privi has developed over the last two decades wherein you can see that in the three products that we have introduced, we have fully sold and expanding further already. So that is the level of comfort that most of our customers have. And the new products that we bring in are always bought in, in close connect with our customers so that we are aware of what are the products on which our customers are demanding new products and that's how we get more share of the wallet
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from the same customers and also it is not only China Plus One but also Europe plus one, US plus one as a strategy because whatever is happening on the tariff side and all that but most leading companies are looking at buy-versus-make decisions, most multinationals. So therefore since we are competitive and we have reached a particular threshold level of growth, therefore we are able to attract and convert many of the existing products for a customer. If he was making it himself then he is deciding to outsource that from us because we are able to provide it competitively. And also the China Plus One factor which all of us know very well, which is also helping us.

Rohit Nagraj: Sure. Just one last small suggestion. I know from competitive purposes; we don't want to give split up of volumes. If you can share just the overall aggregate volumes on a quarterly basis, it will be helpful just to understand in terms of the growth path on volume terms where are we currently? That's it from my side. Thanks a lot and all the best.

Sanjeev Patil: We will do that.

Moderator: Thank you. The next question is from the line of Abhishek Ranawade from Oaklane Capital. Please go ahead.

Abhishek Ranawade: First of all, congratulations sir, for such a solid result. My question was could you please share your revenue by product category along with the corresponding margin for each category? And is there any shift happening towards the value added since last year?

Sanjeev Patil: Sir giving information between the category of products and the margin is really sensitive and we would not like to put that up in a public domain. So please respect that and this is in the best interest of all the stakeholders including all the shareholders and others. So, therefore, we will rather refrain from giving that information. In terms of changes in the product mix, there is no drastic change. What you have to understand is there is a steady change and that is an evolving process. So existing products also are doing well, and the new products also are doing well. So overall it has been a good time and it will continue to be a good time to come in.

Abhishek Ranawade: Okay. Can you tell me like for the current existing products category, the EBITDA margin expansion,

so is there any contribution due to the shift is happening or -?

Sanjeev Patil : Yes. So, so if you see the presentation that we have put up earlier in terms of value added products that we make, those are contributing

better and that is what is adding to the value. And we also now have products which are in that whole product basket range. We have products which are expensive over \$100 products which is adding value , even if the quantity is small the value as well as the contribution is significant.

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Abhishek Ranawade: So in the coming years, can we expect that this shift will be faster or is there any trend going on?

Sanjeev Patil : Yes, yes, that's what we are working with.

Mahesh Babani: Certainly. Certainly, yes.

Abhishek Ranawade: And, sir, so as you said that the input cost for you this whole year was lower, so what was the reason behind it?

Sanjeev Patil : Input cost as in you have to see it in terms of improved yields. It is not that the cost of raw material has substantially gone down. It is improved yields which is resulting into lower material cost. It is a function of improved yields as well as the value added products that we talked about. So we are able to manufacture products for more side streams, and in fact that has been the journey of Privi for the last about 7 years, wherein from many side streams we developed products which add significant value. So instead of disposing the side streams as a normal chemical or a solvent or a fuel we are able to add value and that is what has led to significant improvement in the margins and that's how the costs have come down.

Abhishek Ranawade: Okay. Okay, sir. Thank you.

Moderator: Thank you. The next question is from the line of Manish Ostwal from Nirmal Bang Securities Private Limited. Please go ahead.

Manish Ostwal : Yes, sir. Thank you for the opportunity. The question is on the full year performance. So we have shown 19% growth in our revenue. So my question is, sir, given our key markets , it is a function of we added a lot of customers in last one year because the market growth rate is much lower than this growth rate. So what is the function whether we added more products in last one year which are helping us to deliver 19% growth , we added customers, we added geography , so can you explain that 19% growth and what is the volume growth in our business in FY25?

Sanjeev Patil : Sir, as we have stated, I would once again like to repeat that we are getting more share of the wallet of the customer. So it's the same customer, let us say I have introduced Musk range of products , now the same customers to whom I will go to sell and because of our reputation we are able to get a better share of that wallet as well as we have also got some new customers and new geographies also . So it's a combination of all the factors which is resulting into higher growth rate and it will continue to grow.

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Manish Ostwal: Okay. And second, I want to understand this expansion in the gross margin on the full year. So can you explain the factors which contributed to this expansion in the gross margin for the year?

Sanjeev Patil : So as I already explained, it is the product mix that now that we now have which includes products which are high value products selling over \$100 per kilogram as well as the products that we make from the side streams. So from the side streams we make products which give higher contribution and that's how our overall gross margin improves. Am I able to answer your question?

Manish Ostwal: I mean, is there any supply cut in our product segment where the prices shoot up because of that?

Sanjeev Patil: No.

Manish Ostwal: Thank you, sir.

Moderator: Thank you. The next question is from the line of Sajal Kapoor from Antifragile Thinking. Please go ahead.

Sajal Kapoor: Yes. Thank you for taking my question. And given that Privi is transitioning from supplier to partner in terms of core development, this will probably require fresh investment in things like enhancing the capabilities in terms of

hardware , lab equipment , software as well as scientists. So , what kind of investments do you anticipate in the current fiscal and if you can give us a sense on the medium -term outlook? Thank you.

Mahesh Babani: So we are confident that we will be able to keep our growth rate at about 20% to 25% for sure and we are planning and working out the growth potential for several products which are in demand from our customers. We are working out the project cost . There will be a CAPEX plan in coming year where we are confident that we will be able to multiply and keep a continued growth for the company.

Sajal Kapoor: Sure. China Plus One I am completely also optimistic that given you have been a leading industry player over several decades, your vantage point , you see better than any one of us. But I mean, given the fact that we all know that the future is unpredictable, I mean no one knows. So no one saw this

U.S. China and trade tariff coming at this kind of intensity, right, so future again is unpredictable. My question is more broad in the sense that given Privi was always a catalog, or a product company and we were not offering our capabilities or scientific capabilities as a service until we struck this JV with Givaudan. Now given the success of this JV which is more of a core manufacturing and development services clearly, I think Privi sees this as an additional growth revenue stream, but that will also bring its own set of challenges and investment. So my question was more broader in that context.

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Sanjeev Patil : So you hit the nail on the head I would say, but Privi's capability in terms of R&D, we already have 90 scientists, and most of these guys have been with us for a very long time, including the team leaders. So they understand the nuances of aroma chemical industry very well and aroma chemistry also very well, from Pinene chemistry to Musk chemistry what have you, all of that they understand very well and in terms of laboratory equipment, in terms of capabilities at the lab, instrumentation and all of that we are state-of-the-art, we have all of that with us. It's only that we are now offering those services more aggressively and we see huge amount of potential in this thing and many of these investments have been done in the past, that's how our issues have been, but all that is now paying off in terms of what sustainability, in terms of our lab standards, in terms of the people that we employed, all of that is now paying off.

Sajal Kapoor: No, absolutely. And I think Mr. Babani in his opening remarks spoke about yield improvement. And again, you know these yield improvements, they are not lucky brace, I mean these things happen after a very long period of what's called the learning curve, the experience curve where scientists try multiple iterations over a very long period of time before you get a breakthrough, like a yield improvement on a sustainable basis.

Sanjeev Patil : Yes.

Sajal Kapoor: That was just a broad comment I completely agree with your views there. My second question is history tells us that for every 27%, 28% growth in per capita GDP, the demand for aroma and niche chemicals doubles. So 30% give or take GDP per capita growth it's a very non-linear growth curve if you see. A small change, which is just 25% give or take happening on the per capita consumption is doubling the market for niche, aroma, speciality fragrance chemicals. Is the reason where why you are optimistic in terms of sustaining a growth momentum, I mean whether it comes out to be 15% or 25% that's anybody's guess?

Sanjeev Patil : Yes, that is also one of the key reasons. You have very rightly pointed out in terms of trends that any increase in GDP leads to multiple effect on the aroma chemical consumption. And as the living standards are improving which Mr. Babani referred

to those demands also are increasing. Always remember our increasing share of wallet of the customers because when we introduce a new product, it is done with huge amount of history as much as you said that the yield improvement is not by chance. But similarly when we introduce product they are also based on lot of homework that we do and therefore we feel very, very sanguine we will be able to get this kind of growth including the reason that you have pointed out, yes.

Sajal Kapoor: Absolutely. Thank you so much for answering all my questions and wish you guys all the very best. Thank you.

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Mahesh Babani: Thank you.

Narayan S. Iyer: Thank you.

Moderator: The next question is from the line of Manan Madhani from Kamaya Kya Wealth management. Please go ahead.

Manan Madhani : Yes. Hi, sir. Thanks for the opportunity and congratulations on a good set of numbers. Sir, my first question is regarding the CAPEX. You mentioned in the PPT is for FY26, the number is Rs. 250 to Rs. 300 crores. So, is it entirely for debottlenecking or any other plans?

Narayan S. Iyer: Yes, it is basically for debottlenecking or expanding on our major products in that.

Manan Madhani: So the follow-up on the same. So after spending Rs.250 crores, Rs. 300 crores, we'll get the 6,000 metric tons additional capacity, right?

Narayan S. Iyer: That's correct.

Manan Madhani: So if I do the number, our revenue from what we are getting currently, it will be somewhere in the range of 300 crores only like from this capacity. So why the asset turn is such low on the debottlenecking?

Narayan S. Iyer: See, I am not going to talk about the exact numbers, but our asset turnover will definitely improve with this deep bottlenecks also happening because our numbers are much lower than what we are projecting.

Manan Madhani: Okay. And sir, on the gross margin side, so last quarter our gross margins were highest ever if I recollect it correctly, 51.5%. And even last year that is Q3 FY24 it was the highest. So in Q3, is there

any seasonality effect or was that just the one -off? That's my first question.

Narayan S. Iyer: It could have been effected because of certain product mix, especially there could have been a little bit higher movement on the high-end Speciality . But I would like to reply to all my investors that you need to look Privi on an annual basis rather than more of a quarter -to-quarter because in one quarter you may have (+/-0.5%) . That's not really how we need to be looked at. As you yourselves indicated that whatever Privi is achieving is on account of a long -term strategy where it takes years and years of chemistry and improvements to showcase and get the results. So my sincere and simple honest request to all of you is to look at us on a yearly basis rather than just compare 1% going up one from one quarter to the other.

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Manan Madlani: Yes. So that was my question actually. So on a yearly basis, if I look at our three -year number, it's been continuously growing. Now should we expect for FY26 the gross margin should be at least 45% plus?

Narayan S. Iyer: We indicated in our opening address both by Mahesh bhai and myself. You can expect margins to be at these levels going forward.

Moderator: Next question is from the line of Nikhil Porwal from Perpetual Capital. Please go ahead.

Nikhil Porwal: Yes. Hi. Thank you so much for the opportunity and congrats to the team on our strong performance . Continuing on one of the previous participant 's question , so see broadly if you are running at 85 %, 90% utilization now and the capacity addition is around 12 .5% over the existing capacity and this goes live in FY27, and if you plan to deliver more than 20% growth consistently, so can we expect is it broadly basis improved pricing of existing products along

with higher share from high value , low volume, higher margin products?

Sanjeev Patil : So it is a combination of these two but there is one more factor that I would like to emphasize is that our flagship products, we have been making these products for a long time, almost 20 years , we are #1 globally. So there by hindsight of this 15 , 20 years of learning curve we have been able to debottleneck those capacities and increase capacities there significantly with minimal CAPEX. So that is also going to play a role going forward in terms of achieving the growth . That's a very crucial thing we have. For example if we are doing some thing as a batch process, we are converting that into a continuous process or process was done which could give you let's say 10 tons per day , you debottleneck some of the auxiliary equipment and you get a higher 15 %, 20% capacity. So this is what is happening because of all the years of experience of running these plants and the strong technical services team that we have , that is also leading to this growth apart from new products as well as slightly improved prices.

Nikhil Porwal: Right . Ideally on higher volumes and higher share of these products that can expand margins, we are still guiding for margins to stay around current level or maybe even contract by 100 basis points. Is that being conservative or how do we look at that ?

Sanjeev Patil : Somebody just a few minutes back mentioned that we live in a n uncertain world. Therefore in terms of committing to you, we are being slightly conservative, but obviously internally we are working at the numbers that you will also love to hear in times to come.

Nikhil Porwal: Right. This quarter other income was slightly higher than the general. Is it related to subsidy from the government that you have just released, there was a press release about last few weeks ago?

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Narayan S. Iyer: The other income has nothing to do with the state incentives, which will come going forward .

Nikhil Porwal: Okay. So is this sustainable or is this one -time in nature?

Narayan S. Iyer: Other income is sustainable. We will keep getting an income from other sources .

Nikhil Porwal: Okay. Thank you so much.

Moderator: Thank you. The next question is from the line of Jainam Ghelani from S van Investments. Please go ahead.

Jainam Ghelani: Hi sir. Congratulations for a great quarter and full year . So basically our gross debt stands around Rs.1,100 crores and we have multiple CAPEX s coming over the years, which we might be able to meet through cash flows. So what could be the peak debt levels and what is our plans for debt reduction from current levels ?

Narayan S Iyer : Thanks , Jainam . Of the said Rs.1,100 odd crores, there is a loan of about Rs.232 crores lying in one of my JV subsidiary . So as such overall the standalone basis, our debt has come down. And to answer you specifically, what the debt levels will be at peak level requirement ? Our overall debt will not be exceeding a Debt-EBITDA of 3x. Currently it is at 2x odd on Debt-EBITDA .

Jainam Ghelani: Okay , sir. That's it from my side. Thank you and all the best.

Narayan S Iyer : Thank you. Yes.

Moderator: Thank you. This was the last question for the day. I would now like to hand the conference over to the SGA team for closing comments.

Shrikant Sangani : Thank you everyone for joining us in this Earnings Call . We appreciate your time and showing

interest in the company. Also, I would like to thank the management team for their precious time . In case of any queries you can get in touch with us or the Privi team. We look forward to meeting all of you over the next call. Thank you.

Mahesh Babani: Thank you.

Narayan S. Iyer: Thank you , everybody.

Moderator: Thank you. On behalf of Privi Speciality Chemicals, that concludes this conference. Thank you for joining us and y

ou may now disconnect your lines.

Call: Aug 2025

August 11, 2025

The Manager (CRD)
The BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai- 400001 The Manager – Listing Department
National Stock Exchange of India Ltd
Exchange Plaza, Plot no. C/1, G Block,
Bandra-Kurla Complex, Bandra (East)
Mumbai - 400 051
Scrip Code: 53 0117 Symbol: PRIVISCL

Dear Sir / Madam,

Ref: Letter dated August 05, 2025, providing Audio link of the Analyst / Investors Meet

Sub: Transcript of Analyst/ Investors Meet held on Tuesday, August 05, 2025

In addition to Audio Link shared via letter dated August 05, 2025, please also find enclosed the transcript of the Analysts/Investors Call on the Audited Standalone and Consolidated Financial Results of Privi Speciality Chemicals Limited for the quarter ended June 30, 2025, held on August 05, 2025.

You are requested to kindly take the same on record.

Thanking you.

Yours Sincerely,
For Privi Speciality Chemicals Limited

Ashwini Saumil Shah
Company Secretary

Encl: As above

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"Privi Speciality Chemicals Limited Q1 FY'26 Earnings
Conference Call "

August 05, 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 05th August 2025 will prevail.

MANAGEMENT : MR. MAHESH BABANI - CHAIRMAN & MANAGING
DIRECTOR

MR. R. S. RAJAN – PRESIDENT
MR. NARAYAN S. IYER - CHIEF FINANCIAL OFFICER
MR. SANJEEV PATIL - SENIOR VICE PRESIDENT ,
STRATEGY
MS. ASHWINI S. SHAH - COMPANY SECRETARY

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Moderator : Ladies and gentlemen, good day and welcome to the Privi Speciality Chemical s Limited Q1 FY'26 Earnings Conference Call.

This conference call may contain forward -looking statements about the Company which are based on the beliefs, opinions, and expectations of the Company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this call is being recorded.

Today, from the management side, we have with us Mr. Mahesh Babani – Chairman & Managing Director ; Mr. R. S. Rajan – President ; Mr. Narayan S. Iyer – Chief Financial Officer ; Mr. Sanjeev Patil – Senior Vice President (Strategy) ; Ms. Ashwini S. Shah – Company Secretary and SGA , Investor Relations Advisor.

With this, I now hand the conference over to Mr. Mahesh Babani – Chairman & Managing Director of Privi Special ity Chemicals. Thank you and over to you, sir.

Mahesh Babani: Thank you. Good evening, everyone. We began the year with healthy growth reaffirming our beliefs. What a mind perceives, a man can achieve. The mindset drives our innovation, resilience and future readiness.

This quarter, we are proud to share that Privi has earned a platinum rating for EcoVadis , placing us in the top 1% globally for ESG performance. This is indeed a very big thing in this world. I think this was our dream we committed last year. This reflects our deep commitment to sustainability and ethical business practices . Thanks to our team's effort across sourcing, manufacturing and energy management. We have also proposed a scheme of amalgamation involving Privi Fine Science s and Privi Biotechnologies and Privi Specialty Chemicals with your Company . This strategic move will simplify our structure and enhance efficiency and unlock new growth opportunities. This will enable us to achieve our 5,000 -1,000 vision, that is Rs. 5,000 crores and Rs. 1,000 crore EBITDA in the next 3 -5 years.

Further efforts of the last 10 years in Privi Biotechnologies has significantly intellectual property, which will also convert into a number of patents in the next couple of months. We hope that this will create a lot of intangible wealth for the Company and also pave a way for many more products in the years to come. Or we could even franchise these technologies worldwide. Our products continue to perform well with strong demand across domestic and Privi Speciality Chemicals Limited

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global markets, reinforcing our position as a trusted partner to leading fragrance houses and FMCG b rands.

Looking ahead, our strategy remains clear to continue building a world -class aroma chemical Company on number one position that grows sustainably and delivers value through innovation and precision. Thanks to our employees, customers, bankers, shareholders and stakeholders for your continued trust.

With that, I now invite Mr. Narayan to present the financial highlights of the quarter. Thank you. Narayan, please.

Narayan S. Iyer: Thank you sir. That was a great beginning to this quarter and good evening to all my fellow stakeholders of the Company . It's been a great quarter for us, going ahead rolling over on a great '24-'25 year where we had an AGM just a couple of days ago and reinforcing our position on a sustained growth journey that we have started and we expect to continue th is journey going forward.

The quarter gone by has really reinforced our confidence in entire Pr ivi with a steady and sustained gro

wth. With continued operational execution and a favorable produc t mix, we are confident that Pri vi is well positioned to sustain healthy growth and deliver robust profit margins going forward in the years to come.

A few recent developments that have happened in the last quarter, which we have been sharing

with all of you :

Our products and demand for the same have been good and all our products are working at an optimal capacity. Our plan to expand our production capabilities, which was informed, are on track and we expect this expansion to be completed by March 2026. Several super Speciality Aroma Chemicals have been developed at the lab and pilot levels successfully and which will propel future growth for the Company post the current capacity expansion of the existing products.

Let me give you a few financial highlights :

The Investor Presentation has already been uploaded on the Website and available with the Stock Exchanges . So, a synopsis of the performance for the Quarter 1 of the Financial Year '25-'26 is as follows :

The overall income on a consolidated basis was around Rs. 568 crores, which is a growth of about 22% on a year -on-year basis comparing to the Q1 of Financial Year '24-'25. The EBITDA numbers have been a very healthy Rs. 141 crores, which indicates a 45% growth over the

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previous year same quarter. EBITDA margins have been an impressive 24.8% for this quarter and we expect to maintain EBITDA margins at these levels going forward in the near future.

This EBITDA margins has also grown substantially as compared to the Q1 of the previous year. Profit after tax on a consolidated basis is about Rs. 61 crores as against Rs. 32 crores, which was delivered and performed in the Q1 of previous year. Overall, our revenue mix continues to be almost on similar lines with exports contributing close to about 70% in this quarter also. So, those were a few highlights on the financial limit.

So, with this I would like to ask the moderator and open the floor for any questions and answers.

Over to you , madam.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question comes from the line of Garvit Goyal from Nvest Analytics Advisory LLP. Please go ahead.

Garvit Goyal: Good evening , sir and congrats for a decent set of numbers. My question is on the demand outlook itself , like we are catering to the global demand and looking at the kind of tariff situations we are having. Can you put some color on that like how do you see the outlook in the terms of customer delays or anything like that happening in the near to medium term ? Do you anticipate anything like that?

Sanjeev Patil : So, as we have said on many occasions, about 70% of our business is contracted. So, in terms of looking at this financial year, we already have 70% and more of business contracted. And the other thing that we always say is that the products that we make are essentially N-12 FMCG products. So, to that extent, whatever happens in the overall economy does not really significantly impact our product demand because every day you will at least take a shower, you will wash your clothes, brush your teeth, so all of that. And therefore, we continue to assume that the growth prospects for our products are stable. On top of that, the region in which we are operating and the nearby countries also, they are going through a whole transformation in terms of consumer demand and demand for FMCG products. So, that also we see as a significant factor which will result in sustained growth for your Company . So, that is where we see. So, we believe that going forward, we have sustained demand. And the other aspect is that whatever products you make are consumed by the F&F industry and within F&F industry, we cater to all the customers who are from number 1 to number 15. And

when we make a new product, it has to go to one of these customers only. So, to that extent, our job is easier and that is how we continue to grow and beyond our existing products, beyond the products which are going to come into play, we see that we are going to have demand coming in for a long time to come. In few words, we are extremely positive.

Garvit Goyal: And sir, just to follow up on your reply, you mentioned about some regions are going through some transformation in the terms of consumer demand is what you are witnessing. So, can you put some more color on it, like what is driving that, what kind of transformation it is and what

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kind of quantum effect do we see because of this kind of transformation? So, that would really help, sir , if you put some color on that.

Sanjeev Patil : Sure. So, as we have said in many of our presentations in person, long time back, maybe 25, 30, 35 years back, a family would probably have one soap. I don't think there was any concept of deodorant then. And now today, we have probably a soap for every person, probably few soaps for every individual in the family. We have deodorants there. We are just in the process of building quarters for our staff members. These are, I would say, officer level staff members. I

am just giving an example as to how life is changing. So, one of the requirement that has come about is that every person will have washing machine. Go back, 20 years back and having a washing machine was only a rich guy's prerogative. So, that is what is changing, you know. And that is happening in the fastest growing economy in the world, which is India. And similar things are happening in the countries around us and also in China. This is where we see a significant advantage because we have local presence and there will be local manufacturing facilities. So, that's how we see a significant growth here. We believe that the demand for our products globally grow by about GDP plus maybe 1% or 2%. But within India, it would grow by between 8% to 10% and somewhere there. That's what we believe. That's the potential of our products. And as I said, when we introduce new products, the other important thing that you must understand is, when we introduce new product, we have to only get the share of, wallet of the same customer. So, let's say we introduced Galaxmusk about 3 years back, we were the last one to enter this chemistry. But because of our sustainability practices, because of being very competitive and being very state of the art plant, we are very, very competitive and that's how we are now able to get, put our plant to almost 85% to 90% usage. So, that's the way Privi operates.

Garvit Goyal: Understood sir. And one more thing I want to understand, like you mentioned, because of the necessity, our product demand will always be irrespective of the tariff situation. But do you see any likely impact on margins because of this?

Sanjeev Patil: Yes. So, one thing is that, our export to US is only about 7% of our overall revenue. So, to that extent, know, let us say in case of tariff situation also, we do not really foresee a significant impact on our margins because it's only 7% of our overall revenue. And obviously, some of the increase would be borne by the customers there. I mean, all the economists in the world are talking about that there will be inflation in the US. Some would be borne by our F&F partners and some would be borne by us. So, our impact would be fairly limited.

Garvit Goyal: Got it. And the guidance for this year is intact, right? 20% growth?

Sanjeev Patil: Yes, that's true. 20% growth has been our past and that is how our future will also look for sure.

Garvit Goyal: Got it, Thank you very much, sir. And all the best for the future. Thank you.

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Sanjeev Patil: Thank you.

Moderator: Thank you. The next question comes from the line of Vivek Gautam from GS Investment. Please go ahead.

Vivek Gautam: Yes, sir. Congratulations on good set of numbers. So, are we facing some sort of capacity constraint so that the numbers which we got in the last quarter may not be sustainable in the coming quarters? And same could be the case of peak margin sort of also which we are facing?

Narayan S. Iyer: Hi, good evening. Narayan here. No, not at all. It is not that there is any constraint on the production capacities. Historically, the first quarter for our Company always remains the lowest.

And as you go from second quarter, third quarter, you will see that the revenue and the quantum also going up. Don't ask me why, but it has been historically that it is in fact. And we expect that with all the expansion and the augmentation that we have taken place, the de-bottlenecking that we have done, the capacities will keep increasing. As you are aware, we have highlighted that there is an increase in the capacity, so that is also being taken care of. And you will see both volume as well as the revenue going up. Mahesh bhai wants to add something to it.

Mahesh Babani: In short, we have converted our plants into continuous plants and we see capacity augmentation because of that effect. And in fact, if you see our margins improvement is also because of that.

One continues, the same plant continues with little augment, you get lot of augmentation by changing the plant continuous. And you also get automation. So, less team, less labor and more production. That is what we have done in the last few months or maybe nine months. And that is seeing the color from last quarter and this quarter will be, I think it will be quite better than the past ones. In the coming quarters, will be much better.

Vivek Gautam: Okay, sir. And sir, can you just highlight the Company's USPs and the differentiating factors versus the competition and which you have evolved and because you have got a very good client list and what has helped you come to that level and how is the potential over there also for further penetration there and the new plants as well, sir. Thank you.

Sanjeev Patil: So, it would be a long answer because it is actually efforts of Mr. Babani for last two decades.

But to give you point wise answer in few snippets, the first and foremost is that we are a sustainable Company. Chemical Company, which is zero liquid discharge, we are large chemical Company and we are zero liquid discharge. So, in terms of ESG goals, as they say, we are right there at the top. We have platinum rating in terms of EcoVadis. Having said these two things, the other thing is that we are in for about two-third of our products, almost 70% of our products, we are fully backward integrated, which make us extremely competitive in terms of cost factor. And we never had any quality failures, in the last two decades, in fact from the start of the Company. That, all the products that we make, they are also approved by olfactory sensors and we have a team which works on that. So, we never had any quality failures. So, why wouldn't a

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customer prefer to buy from us, when they are looking to buy significant quantities of products that we make, they always want to have a supplier whom they can depend on and who is competitive, doesn't have to be L1, but he can be L2 or L3, not the lowest one, but one who is very, very dependable. So, that's what we stand. We are honored all our contracts in thick and thin. So, that's what has given a huge amount of edge to Privi.

Vivek Gautam: Okay, sir. I am basically new to your Company, sir. We simply invested, so don't mind the question. So, I was just thinking of searching about Mr. Babani. He's coming from a real estate background

and not an engineering background, commerce background. Still, he has been able to build up this Company at such a level. How come and what helped him and how has, if you can highlight the investment journey on his and also about the second generation or the next generation who is there, because that is also very important for all the investors.

Mahesh Babani: So, we have team of great professionals who are committed to us. In fact, I would say, I would have the best team in the industry or in this chemical trade and we have undoubtedly faith in them. And that's how we could do it in a running plant expansion, because they know every nook and corner, what safety is, because converting a Company into continuous production is probably the toughest goal. One can plan a new one very easily, but convert the present one into continuous is probably the biggest challenge. Secondly, you said about the succession plan, we have groomed at least 15 new professionals, not 15, existing professionals below the age of 40 right now. In next couple of years, they will be groomed. They have been sent to the best business schools like International School of Hyderabad, IIM Ahmedabad and several others. Two of my colleagues are also going to Harvard for training. So, we are grooming a team which will convert this into a totally professionally managed organization in the next three to five years max. And till then, I'm also not going to get old, I'm getting younger, but by energy, I don't know how, God gives energy when you plan right. So, we are not so worried. We have a great set of people managing the business.

Vivek Gautam: And what attracted you to such a niche sector, sir? Coming from basically a commerce background, how come you landed up in here?

Mahesh Babani: You see, the risk factor was in the initial first 10 years. I felt always challenged or for the next five years also it was a challenge. In the last five to seven years, I feel there's no better business than Speciality Chemicals. There's no risk factor. We are a Company now with all risks set aside. Maybe risk is part of every life, but I'm saying we are on an excellent journey. That's all I can say in a few words.

Vivek Gautam: Thank you, sir. Thank you very much. Keep up the good work.

Mahesh Babani: Thank you.

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Moderator: Thank you. The next question comes from the line of Rohit Sinha from Sunidhi Securities. Please go ahead.

Rohit Sinha: Thank you for taking my questions. And congratulations for the good set of numbers. So, sir, first question is, if you can give a brief break up on value and volume growth, which we have got in this quarter. As I think from last few quarters, we have been getting a benefit of price increase, which we have taken during contract revisions. So, one is on that and any specific product which has contributed to higher margin in this quarter or it's just I mean, raw material benefit gains?

Narayan S. Iyer: Hi, good evening. Well, as indicated in our couple of quarters, we have stopped giving the quantitative information and we continue to do so in order to keep some of these in-house secrets within the Company. Second, there has been a growth, definitely a growth in terms of the revenue we have indicated and we continue to grow broadly. What we have indicated at the beginning of the year is about a 20% growth, which is consisting of both volume as well as value. And this quarter also, it is a culmination of both volume as well as value as compared to the previous year's same quarter. First quarter for our Company always remains the lowest of all the four quarters. Having said that, this quarter, there is no such individual product which has contributed more or less. It is a culmination of all the factors together because at the end of the day, on a very lighter note, if I just talk about any blend that

a perfumer has to make, he can't isolate one particular product to the other. He will require a basket of all the products. So, only if all the basket of products are there, finally the aroma chemicals can be sold around and which you and I consume. So, that continues to remain so, sir.

Mahesh Babani : Lastly, I would also say that the efficiency improvement has been of great use while converting our plants to continuous, which is giving the profitability and not the price increase. Price increase, rather I would say we are lower on price compared to last year, but yet better profitability, to be honest.

Rohit Sinha: Okay, got it. Secondly, on the Camphor side, we were also working on pharma grade camphor products, if I am not wrong. So, where we have progressed in that and what's the outlook there ?

Narayan S. Iyer: Camphor, we are doing extremely well and when there is so much of demand locally, we have no place for any other Camphor to be sold. So, our focus, but as you know, it takes some time when you have to enter into pharma grade. So, very shortly, things progress, various studies are going around and I believe that should also click around. But our capacities are doing very well with regard to the entire Camphor plant.

Rohit Sinha: Okay, great. And lastly, sir, if you can just highlight the contribution from the JV side in this quarter and probably the guidance for this year, if at all possible ?

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Sanjeev Patil : On the joint venture, you see, it's like this. We are working with the largest F&F Company globally and understand that these are extremely specialized proprietary molecules. So, quality standards are extremely high. Also, in terms of logistic, it takes some time between we to do a batch and then getting some approval. So it is taking a bit, some amount of time, but it is on course in terms of number of products and in the coming time, we will see there is a term called AWAC , wherein the product gets approved. So, it takes some amount of time for products to really move through, but the traction is very good. And we will see this year, this quarter actually, since it is in a very nascent stage, it is yet to break even. But in the year to come, it will do more than that. And there will be growth also. We are also contemplating a bigger growth going forward in the same joint venture.

Mahesh Babani: So, I will tell you the protocols are very severe to supply to the fine products that we are making, because several are going to flavor and several are going to very high value perfume. So, the protocols are very severe. So, we hope that this will, we are not hoping , we are sure it will become better, but it is a slow process . As a Company got this, you know, they have some systems where we have to qualify internally also, though it may be a joint venture, they treat it as a separate entity. So, we have to live with those systems. And we are confident in coming year this will be a great success. In fact, to be honest, they are talking about expansion, today we have done only one, we are talking about 1.1, 1.5 and 2. They have already planned three more expansions, where they are wanting to pump in as a debt. So, we have requested them for a lower price debt and rework the debt. So, we are in constant talks with them. Long term prospects are par excellence. At the moment, we do face challenges because of, it is a huge, huge project and the turnover ratio is pretty low compared to the size of the investment.

Sanjeev Patil : But it is a great learning process for our technical team because these are real ly complex molecules, you know.

Rohit Sinha: Okay. So, I guess for the year also, it would be less than Rs. 100 crore s kind of contribution or less than 50?

Narayan S. Iyer : Yes. That is correct.

Rohit Sinha: Got it. That is it from my side. I will come back in que

ue and best of luck.

Mahesh Babani: Thank you, Rohit.

Sanjeev Patil : Thank you.

Moderator: Thank you. The next question comes from the line of Shreya from Oaklan e Capital Management, LLP. Please go ahead.

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Shreya: Thank you for the question. So, my question is in line with our long -term vision that when you have said that no single product could contribute 10% of our overall EBITDA by FY '29. So, could you elaborate on this program? In the current quarter, specifically how has the contribution from the higher margin products like Galax musk and other recently commercialized molecules?

Sanjeev Patil : Okay. So, we have a favorite phrase in P rivi. It is called as teamwork makes dream works. So, it is not that one product contributes everything. It is all the products together is what the story is and please do not request us to give any further details than these because these are proprietary information. So, all the products together do contr ibute for the growth and do not get put up by one particular quarter. Our dream is and our plans are already in place. I would invite you to come to Mahad . You kno w the projects are taking shape and the traction for 5K, 1K story as our chairman just said in the beginning between the next 3 to 4 years is in place and the products are identified, the technologies are in place. In many products we are at the lab to pilot scale and

that is how we see the growth happening for sure and I think almost all the products we already are in constant touch with our customers which is what will lead to commercialization of these products very quickly as what happened in Galax musk and other products also as soon as we get those into production. That is what it stands.

Moderator: Your audio is breaking. Please join back the queue.

Sanjeev Patil : We are on track. You can assume that we are on track.

Shreya: Thank you.

Moderator: Thank you. The next question comes from the line of Manan Madlani from Kamayakya Wealth Management . Please go ahead.

Manan Madlani: Hi sir. Thanks for the opportunity. So, my first question is over the years our gross margins were in the range of earlier 40 % to 45 %. Now we are shifting towards 48 -49-50%. So, is it safe to assume that we will be in the range of at least 45 % to 50% in terms of gross margin for the next two years?

Narayan S. Iyer: Manan, what you are talking about is the raw material front and it is not the gross margin level. So, let me correct you here. I understand that certain investors look at R MC and say that is the gross margin. So, to answer your question, the R MC front will remain at these levels what you are seeing even going forward in a few couple of years as we can see and foresee ourselves. And we expect to grow on some of the costs on account of the debottlenecking and augmentation and continuous process and some of the savings on the utility cost whether it is the solar power, better efficiencies and all and that is how the EBITDA margins will continue to improve.

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Mahesh Babani: See, our business is based on north of 20 % EBITDA margins. I am not saying that even if R MC may go on, go up for some products that we introduced. But when north of 20 % EBITDA will always be our guideline.

Manan Madlani: Okay, fair enough. And sir, second question is on a Privi Fine Sciences . So, earlier if I recall one year ago, you mentioned somewhere around Rs. 800 crore of CAPEX for two units. First unit Rs. 300 crores CAPEX, second unit Rs. 500 crores in which we will get 2x of asset turnover and similar range of EBITDA margin that Privi Speciality we are having. I can see from the press release Rs. 300 crores of roughly the fixed asset we are having. So, if I do the back calculation, like we need Rs. 500 crores of CAPEX in the Privi

vi Fine Sciences . So, could you please throw some color on that, like what is the vision for next 2 to 3 years and what is the potential from that Company ?

Mahesh Babani: So, like I said in my opening speech that we are confident of making this into a Rs. 5,000 crore Company together. That means Rs. 3.5-4 crore will be from Privi and about Rs. 1,000 to 1,200 will come from Privi Fine Science. We have done a great amount of CAPEX in Fine Science already and we have a couple of Rs. 100 crores to be added more to CAPEX. Exactly Rs. 400 may be the number, may be a little lower. We don't have the exact, but we are currently investing only in our Lote plant and Privi will invest further. So, in future by end of this year, it will be one balance sheet. So, the consolidated CAPEX I think would not be to go to a level as to be worked up, but it will be really not a highly leveraged Company . We could see a Rs. 5,000 crore revenues in 3 to 4 years for sure with at least a Rs. 1,000 crore EBITDA minimum. Like north of 20%, it can be Rs. 1,050 crores , it can be Rs. 1,100 crores , Rs. 1,020 crores that will surely maintain. That's our guidelines , we have within our internal committee.

Sanjeev Patil : And the reason why the merger was now was that the products that we are working on in Lote as well as what will happen in Gujarat also , are at the stage at which they can be capitalized. Some of these products would be made first time by the route that we are making which is a renewable route and they would be game changing kind of products and we have advanced substantially in those areas. So , therefore, in terms of revenue growth as well as the margins there, as Mr. Babani just now said, we are on track there.

Manan Madlani: So, this CAPEX, this will be done through internal accrual plus debt or some level of equity infusion we might see?

Narayan S. Iyer: It will be a base, a mix of everything. You know, equity is expensive and that is the reason. So, seeing our cash accrual that we are doing and the internal accruals that we are generating, I believe most likely it will happen on a debt and an internal accrual combination, because this CAPEX that we are looking at to achieve a 5K, 1K number is over the next 2 to 3 years period and we will take the call as it goes around. But it's going to be internal accrual and debt from the banks.

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Manan Madlani: Okay. And lastly, sir, one suggestion. I understand due to a fair reason, we are not sharing the

volume for individual product, but some level of volume data would really help us, like at least give us a commodity, I mean, not commodity, but our core products, phenol plus pinene and second segment, you can give like all the other products. It would help us in understanding future growth.

Mahesh Babani: I request you, since you are an esteemed shareholder of mine, it's in your interest not to reveal this secrecy of ours.

Narayan S. Iyer: Manan, I thank you for the very good report that you have actually shared around, but honestly speaking, I may not be able to share much further details on the quantitative aspect. I'm sorry for that.

Manan Madlani: Okay. Fair enough. Thanks a lot. That's it from my side. I wish you all the best.

Narayan S. Iyer: Thank you, Manan. Looking forward to meet you.

Manan Madlani: Okay, sir.

Moderator: Thank you. The next question comes from the line of Vignesh Iyer from Sequent Investment. Please go ahead.

Vignesh Iyer: Congratulations, sir, on a great set of numbers. Just one question from my side. I wanted to understand what is the net working capital days for this quarter, as of the end of this quarter?

Narayan S. Iyer: It's about 140 odd days.

Vignesh Iyer: Okay. And we would be maintaining this number around this 135 -140 days, because for the last two years...

Narayan S. Iyer: Sorry, Vignesh. We'll

I be bringing it down. Our zeal is to get it down to 120 -125 days, and we'll work towards it.

Vignesh Iyer: Okay. Fair enough. That's all from my side. Thank you.

Narayan S. Iyer: Thank you, Vignesh.

Moderator: Thank you. The next question comes from the line of Dhara Ganatra from Value Quest. Please go ahead.

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Dhara Ganatra: Thank you for taking my question. So, just coming back to the gross margin question. So, apart from what you've mentioned about capacity augmentation -related benefits, what are the other drivers for the gross margin expansion that you've seen from almost 44% to 50% now?

Narayan S. Iyer: Okay. Basically, as you are aware, a few quarters ago, we had stated that we have been manufacturing certain speciality products from the by-product streams and by-products of some of our products. Like, for instance, from Galax musk, a few such products. Then, CST by-products, we have started converting and making value-added products like 1,4-Cineol, 1,8-Cineol, Terpinen-4-ol, all this Limonene, DDT. So, these products, what used to be sold at much lower price than the price of a furnace oil or as a by-product. They have started churning and giving us good margins on this. So, this is one part of the increase on the speciality products using the by-products and by-streams. And secondly, as indicated, a lot of savings on the utilities and internal churning and with the production capacity is completely being utilized. Your fixed cost gets spread over and that's how these margins have been improving and we expect, we expected this in the past and we are working towards it. And with that, as our Chairman happened to indicate that with all this de-bottlenecking that we have done, you are able to see it and now we are believing that our EBITDA margins will continue to remain at this upwards of 20%, which we have demonstrated it over the last 10 quarters. Thank you.

Dhara Ganatra: I had another question as well, which was more on the CAPEX plan that we have. One is investment towards Privi Fine Sciences and second is increasing the capacity from 48,000 tons to 54,000 tons. So, if you can help us break the number for the CAPEX that's planned for the next few years.

Narayan S. Iyer: Okay. In order to achieve a vision of 5K-1K, broadly as indicated in our last call also, there is an overall CAPEX of about Rs. 1,100 crores, we expect. The first phase we have started with a CAPEX amount of about close to 280 crores to 300 crores. So, that is on and this is what we have also indicated in our presentation, which has been uploaded and I believe you would have seen that also. So, this is on track and some of the expansions have started giving results or will start giving the results from this second quarter, the next couple of months and more so from the third. The entire phase one should be completed by this year-end, which will enable us to maintain that 20% growth even in the next couple of years. And meanwhile, as we keep talking about, with regard to various new products that we have talked about on the phase II, phase III, we have already made applications for the EC, that is environment clearances, etc., wherever it is applicable, because these are new products and that will take some time. So, parallelly what we have done, as you are aware that in India, sometimes EC permissions and all may take some time. So, we have gone with the first phase of expansion parallelly looking at the expansion of the phase two, somewhere around from second, third quarter of this year, get those permissions, which will enable our Company, your Company to maintain the 20% plus growth for the next 3

to 5 years for us to work and achieve the 5K -1K vision.
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Dhara Ganatra: Sure, sir. And the last one that I had

is more from Privi Fine Sciences pipeline. If you could throw some more light on what kind of products are we looking at there ?

Sanjeev Patil : So, one of the key products that we are working on is called a cyclopentanol, which is currently available in the market from petroleum source, we will be making it from renewable source from almost the west, and that is a huge product which has applications in aroma chemicals as well as applications into pharma industries, plus also application in the electronic chip industry. So, that is a major product that we are working on. We are also working on other products at Lote facility. So, that is what we have done wherein we make flavors which are used in making toothpaste and all that. So, those are the kind of products that we have. So, that is to give you some color about these products, which have been planned for the next three years.

Dhara Ganatra: Sure. Thank you so much.

Moderator: Thank you. The next question comes from the line of Kush Shah from Niveshaay Investment Advisory. Please go ahead.

Kush Shah: Hi, my first question would be that you had mentioned earlier that you will be manufacturing the product for Colgate. So, can you provide us the details that what would be the additional capacity, what would be the revenue and the margins after catering to the Colgate?

Mahesh Babani: Kush, could you repeat which product you talked about? Because there was some sound behind you and it got completely subsided at that.

Kush Shah: So, earlier you had mentioned in AGM that you will be manufacturing a product for Colgate.

So, can you provide us the details that how much would be the additional capacity and what would be the revenue and margins further after catering to Colgate?

Narayan S. Iyer : Well, I am not going to talk about as to how much is going to be the quantity and all. That is the same product that Sanjeev just now stated. So, the question asked by Sahana with regard to the product manufactured in PF SPL, so, one of the product is a product known as anethole which is being used in various toothpaste etc. So, that definitely we are on track and we should be selling it going forward very shortly.

Kush Shah: Okay, thank you. And my second question would be, you had also mentioned that in upcoming 3 to 4 years, you will be doing Rs. 5,000 crore revenue and around Rs. 1,000 crore EBITDA which would imply around 20% margin for the Company, for our Company. And now roughly we are doing a Rs. 450 crore EBITDA. So, it is around 22% EBITDA margin. So, is it the margin would be sustainable in the coming 3 to 4 years, 20 to 22% around?

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Narayan S. Iyer : Yes, we have been stating that and indicating and as you also heard our Chairman mention that we expect to maintain and manage the so-called margins that we have achieved.

Kush Shah: Okay, thank you so much.

Mahesh Babani: Sir, we are committed to it. Of course, world goes we will do better. But if there are challenges, we will come back to you. I don't think so there are challenges. We don't see no challenges.

Kush Shah: Okay. One more question. Last question would be the Camphor US FDA site. Which guys are you selling, to whom you are selling and what would be the uptick from major players?

Narayan S. Iyer : Hello, I think I already answered it to an earlier question. There is so much of demand domestically that our plates are full. We have not been able to cater to the overseas thing. However, the feasibility studies are on. As and when it finishes and I believe we should be in a position to start catering to the overseas market.

Kush Shah: Okay, thank you so much. Thank you. That is from my side.

Moderator: Thank you. The next question comes from the line of Nikhil Porwal from Perpetual Capital. Please go ahead.

Nikhil Porwal: Hi. Thank you for the opportunity.

So again, congrats to the whole team for a great set of performance. I just have one question. Most of them have been answered. So the gross margin expansion roughly year-on-year is around 7%. While, we have seen only 3% of that convert to EBITDA margin expansion. So some light on how do we look at other expenses as a percentage of sales going forward?

Narayan S. Iyer: Okay. See, it all depends on the overall product mix that we do. So for that, if you break it up into quarterly, you may see one to the other happening around. Otherwise, prima facie over the last two years, our gross margin that is the RMC front that you're trying to talk about has been in that level of about 55% to 57% or so, which with various augmentation and process evaluation,

we have been able to bring it to between 53 % and 55 %. So this, I expect the momentum to be continued and will remain at this levels going forward also. With regard to some of the other expenses that has happened around, you are aware there has been savings on account of various utility expenses, which has also led to a 100 basis to 200 basis point on the overall EBITDA margin. Last year, there was an increase in the selling and distribution expenses prima facie because of various stoppages on the US ports, whereby we had to ship quite a few quantity and this was also addressed by us in some of our investor calls and more so specifically in our March call. And this led to an increase in the selling and distribution expenses. So we broadly expect that expenses over a larger base will come down going forward also.

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Nikhil Porwal: Okay. And the second two is a particular product, Prionyl, anything on how has that scaled up since you started the plant three years ago? And how do you look at the demand for the product even you have a competition that is coming up with a plan for the similar product?

Sanjeev Patil : First and foremost, we have a unique process, because it is a green process as compared to what other fellow manufacturers are doing. So, we are unique process in doing that, number one.

Number two, we also have economies of scale in terms of it being located within Mahad and resulting in lower cost. So, that is how we see that we will be able to withstand the competition and also excel it. Last and most important thing is the quality that we make is also among the best or I would say rather the very best in industry, which is what is helping us in surviving there and also thriving. That is how we expanded the capacity of Prionyl.

Narayan S. Iyer: So, Nikhil, we are on track. We have increased the capacity also to answer your very first phase of the question.

Nikhil Porwal: Okay. Good to hear that. Thank you and all the best.

Narayan S. Iyer: Thank you, Nikhil.

Moderator: Thank you. The next question comes from the line of Vikram, an Individual Investor. Please go ahead.

Vikram: Yes, good afternoon and thank you for the opportunity. I just had a couple of questions. One is with regard to the float in terms of your equity. Do you think it is a good idea to look at a split or some other way to increase liquidity given the promoter share being as high as it is and the float being so low? And the second question also related to equity is, I see disclosures that the promoters have sold some shares recently. Just wanted to understand the rationale and if there is anything else coming along on the line? Thank you.

Sanjeev Patil : So, to answer the first question, it is a good idea and we are thinking about it because we want overall participation from almost every individual and to benefit from previous growth. That is about the first question. The second question, Mr. Rao is now over 80 and at some point of time in life, one has to capitalize on whatever he has, all the efforts that he has put in. So, that is where it stands.

And all that he has sold is only a fraction of what he owns its about 3.5% to 4%. So that is where he stands. He is at age, commitment to children, family and all of that. So, that is where it stands.

Mahesh Babani: But we will surely look at a split like you suggested, but we are currently, there is a lot of requests come from certain, we also want to consider this maybe in coming times.

Vikram: Got it. Thank you.

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Moderator: Thank you. Ladies and gentlemen, due to time constraints, we will take this as the last question for today. I would now like to hand the conference over to the management for closing comments.

Narayan S. Iyer: Thank you everyone of you for joining this earnings call of Privi Speciality Chemicals Limited. It is always great to address to you, to speak to you, to be amongst you and we definitely appreciate your time and the interest shown in our Company. For any further queries that you have or any additional questions that you want to, you can always get in touch with us at the Privi team or the SGA team and from the management side and from all the senior management side, here on behalf of Privi team, we thank you and look forward to meet all of you over the next call. Thank you very much.

Mahesh Babani: Thank you.

Sanjeev Patil : Thank you.

Moderator: Thank you. On behalf of Privi Speciality Chemicals Limited, that concludes this conference. Thank you all for joining us and you may now disconnect your line.

Call: Nov 2025

November 14, 2025

The Manager (CRD)
The BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai- 400001 The Manager – Listing Department
National Stock Exchange of India Ltd
Exchange Plaza, Plot no. C/1, G Block,
Bandra-Kurla Complex, Bandra (East)
Mumbai - 400 051
Scrip Code: 530117 Symbol: PRIVISCL

Dear Sir / Madam,

Ref: Letter dated November 07, 2025, providing Audio link of the Analyst / Investors Meet

Sub: Transcript of Analyst/ Investors Meet held on Friday, November 07, 2025

In addition to Audio Link shared via letter dated November 07, 2025, please also find enclosed the transcript of the Analysts/Investors Call on the Audited Standalone and Consolidated Financial Results of Privi Speciality Chemicals Limited for the quarter and half year ended September 30, 2025, held on November 07, 2025.

You are requested to kindly take the same on record.

Thanking you.

Yours Sincerely,
For Privi Speciality Chemicals Limited

Ashwini Saumil Shah
Company Secretary

Encl: As above

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"Privi Speciality Chemicals Limited Q2 & H1 FY '26
Earnings Conference Call"

November 07, 2025

"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 07th November 2025 will prevail."

MANAGEMENT : MR. R. S. RAJAN – PRESIDENT , PRIVI SPECIALITY
CHEMICALS LIMITED
MR. NARAYAN S. IYER - CHIEF FINANCIAL OFFICER ,
PRIVI SPECIALITY CHEMICALS LIMITED
MR. SANJEEV PATIL - EXECUTIVE VICE PRESIDENT

(STRATEGY AND BIOTECHNOLOGY), PRIVI SPECIALITY
CHEMICALS LIMITED
MS. ASHWINI S. SHAH - COMPANY SECRETARY , PRIVI
SPECIALITY CHEMICALS LIMITED

Privi Speciality Chemicals Limited
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Moderator : Ladies and gentlemen , good day and welcome to Privi Speciality Chemicals Limited Q 2 and H1 FY'26 Earnings Conference Call.

This Conference Call may contain forward -looking statements about the Company which are based on beliefs, opinions, and expectations of the Company as on the date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing ' * ' then '0' on your touchtone phone. Please note that this call is being recorded .

Today, from the Management side, we have with us Mr. R. S. Rajan – President; Mr. Narayan S. Iyer – Chief Financial Officer; Mr. Sanjeev Patil – Executive VP (Strategy and Biotechnology); Ms. Ashwini S. Shah – Company Secretary and SGA, Investor Relations Advisor.

I now hand the conference over to Mr. R. S. Rajan – President of Privi Speciality Chemicals Limited . Thank you , and over to you, sir.

R. S. Rajan: Thank you. Good evening, ladies and gentlemen, and welcome to Privi 's Quarter 2 and H1 Financial Year '26 Earnings Call .

The Results of this quarter, and indeed the upwardly exhilarating journey so far, is the manifestation of the vision of our Chairman and Managing Director, Mr. Mahesh Babani, and his guidance with relentless passion, well supported by the team Privi.

This quarter marks a moment of immense pride for all of us, as we have surpassed all previous financial and operating parameters. The growth in revenues and higher profits have been driven by volume growth in our flagship products and the contribution from newly introduced products. We continue our pursuit for process intensification and new capacity creation. We continue to remain as a trusted partner to leading fragrance and FMCG companies worldwide.

It gives me immense pleasure to inform that Privi was awarded the first prize in the Large Company category at the IFEAT 2025 conference held in Gothenburg, Sweden , for advanced bio-based aroma ingredient solutions under the Sustainability Awards. This achievement comes in addition to our Platinum rating from EcoVadis, the highest global recognition for ESG excellence, placing us amongst the top 1% of companies worldwide. These awards stand as a testament to our strong belief in sustainability and responsible business practices.

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As we look ahead, our strategic priorities remain steadfast: to build a world -class aroma chemicals company that leads with purpose, executes with precision, and grows responsibly. I am joined today by our CFO – Mr. Narayan Iyer , and Executive Vice President, Mr. Sanjeev Patil, and they will explain the progress made during the quarter and the way forward in detail. With this, I would now like to hand over to Mr. Sanjeev Patil to share operational details for the quarter.

Sanjeev Patil: Thank you, Mr. Rajan. Good evening, ladies and gentlemen.

The growth in consolidated total income of 20% between Quarter 2 and Quarter 1 is driven by growth in our flagship products and additional contribution from newly introduced products.

We were in a position to complete part of our Phase -1 expansion ahead of schedule, which partially helped us in generating growth and will also provide the impetus for growth going forward. Despite the unfavorable global headwinds caused by the tariff -related uncertainties, we continued to maintain and increase our market share in key products.

Over the years, we have always looked inward to improve our profitability. Our efforts in driving operational excellence by im

provement in process yield, lower operating costs, optimum manpower utilization, and the ongoing advantage of backward integration have paved the way for sustained improvement in EBITDA margin upward of 20% of revenue for the past 10 quarters.

We will continue our efforts in maintaining and improving these ratios. As we have worked on process intensification, extracting additional production with de -bottlenecking involving

minimum CAPEX, our return on capital has steadily improved. We continue to work on the expansion projects to achieve our goals of 5K, 1K over the next three to four years. With this, I now hand over to our CFO – Mr. Narayan S. Iyer, to share financial highlights for the quarter. Thank you.

Narayan S. Iyer: Thank you, Sanjeev, and a warm welcome to all of you out there. It is a great privilege to address all of you on a very, very strong performance that the company has been able to outperform all its previous numbers.

The first half of the Financial Year '25-'26 has been a period of all-time high performance, and we remain confident that Privi is well positioned to sustain its growth momentum in the coming periods.

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Let me give you a glimpse on the key highlights for the said quarter and the first half :

Our performance was driven by increasing demand across the product portfolio and a favorable product mix. Our JV with PRIGIV is also ramping up well, and we expect meaningful contributions to come from this joint venture in a few years from now. As informed earlier, this JV is of utmost strategic importance to the company.

EBITDA margin improvement was led by continuous innovation, value addition through byproducts, higher volumes, in fact, it is the record volumes in this particular quarter that Privi has been able to achieve, controlling expenses across all parameters, as Sanjeev informed, and de-bottlenecking of critical processes, which led to improved EBITDA margins.

During the said quarter, we have also received from the Gujarat Government, under the state incentive, an amount of Rs. 5.59 crore. Ladies and gentlemen, for the first six months, in totality, we have received about Rs. 9 crore from the Maharashtra Government and Gujarat Government, respectively. Please note, our company is poised to get state incentives for the CAPEX investment that the company has made from Maharashtra Government for 15 years and from Gujarat Government for 7 years against sales made within the state. This is going to be on a continuous basis going forward also.

Let me come to the CAPEX update :

As you all are aware, Privi is embarked upon a CAPEX plan, which is split under three phases. So, part one of Phase -1 was completed before schedule, and the balance portion is progressing as planned and is expected to be completed by the end of Financial Year '25-'26. This shall increase our production capacity from 48,000 metric tons to 54,000 metric tons for all our existing products.

There has been a calibrated effort to improve the overall working capital cycle, and we are pleased to say that the same has started reflecting in overall cycles and better return ratios. In fact, we, in our earlier calls, had stated that our endeavor and zeal will be to get a working capital cycle around the 120 -125 days. Let me state that we are already at 124 as a number and I think we should be in a position to maintain and sustain this.

Talking about the numbers and the financial highlights, let me start with Quarter 2 for the Financial Year '25-'26:

The total income for the quarter July to September stood at Rs. 678.82 crores, with a growth of 26% on a year-on-year basis.

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EBITDA achieved during this period was an all-time record high of Rs. 182.14 crores, which is a 59% growth on a year-on-year basis. EBITDA margins

achieved for the quarter was 26.83%.

Profit after tax for the quarter achieved was Rs. 90.21 crores, as against Rs. 44.84 crores achieved in the Q2 of Financial Year '25. All the above numbers are on a consolidated basis.

Coming for the first half of '25-'26, the corresponding numbers are: the overall income that the company was able to achieve is around Rs. 1,246.08 crores, which is a growth of 24% on a year-on-year basis.

EBITDA for the period achieved is Rs. 323.19 crore, with a growth of 53% on a year-on-year basis. EBITDA margins for the first half of '25-'26 is 25.94%.

Profit after tax for the first half of '25-'26 is Rs. 147.76 crore, which shows a growth of 94% over the previous year.

Our net working capital, as indicated, has improved from 136 days that we have achieved in March '25, and as on September, it was 124 days. To keep all the investors also happy, we have reduced our overall debt by Rs. 44 crore, and the net debt standing as on September '25 is Rs. 1,020 crores.

With the planned capacity expansion of existing products and introduction of new specialty

products going forward, our company has established a clear roadmap, and we are on track to achieve our visionary Chairman's vision of Rs. 5,000 crore s of revenue and Rs. 1,000 crore s of EBITDA over the next three to four years, representing a growth of more than 2x. This is a great achievement and a vision that all of us in Priviites believe and trust on our CMD, Mr. Mahesh Babani's vision.

With this, I would like to conclude and open the floor for questions and answers. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Rohan Mehta from FICOM Family Office. Please go ahead.

Rohan Mehta: So, firstly , I wanted to understand how has the revenue run rate been in the months of October and currently November? Has it remained broadly in line with the trend you have seen so far this year, or are you noticing any uptick or any softness in key product categor ies?

Narayan S. Iyer: Well, t he answer is that we have not seen any downfall in the revenue in the month of October. November a lso, we feel our contracts are in place, and we should be in a position to maintain our run rate of sales that we are poised to achieve.

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Rohan Mehta: And w ith the transition to continuous manufacturing and also the fact that you have improved your value -added product mix, is there any new range of sustainable EBITDA margins or gross margins that you woul d like to share?

Sanjeev Patil: Yes. As you see the trend, we have improved our margins steadily, inexorably for the last 10 quarters, and we will endeavor to work in maintaining the EBITDA margin between 24% to 26%. So, that is what we are working on, and that is what we can tell you.

Rohan Mehta: And I astly, on the state incentives, I just wanted a clarification. So, the amount you had mentioned from Gujarat Government was about Rs. 5.59 crore s, and what was it from Maharashtra Government?

Narayan S. Iyer: Maharashtra was Rs. 3.41 crore s.

Rohan Mehta: I wanted to know how is this being accounted for in the P&L? Is it making our margins look inflated? I am just trying to understand the accounting behind this.

Narayan S. Iyer: So, to answer this, we are recognizing this as an operating income in our financials. In the first quarter, we happened to receive from Maharashtra Government, and in the second quarter, we have received this from the Gujarat Government, in fact. So, w hatever we get, this gets added to the revenue, and this is a direct margin for us because these are against the past expenses that we had incurred when we had set up the CAPEX es, in fact.

Rohan Mehta: I got that. Thank you so much for the clarification and wishing you all the best.

Moderator: The next ques

tion is from the line of Archit Joshi from N uvama. Please go ahead.

Archit Joshi: The first question on understanding a bit more on our product portfolio. So, w e happen to have two very strong pillars in our portfolio, which is Dihydro and Amber Fleur . And any particular product or maybe a range of products that you might want to call out, which could become as sizable as these products to drive further growth that we are anticipating to reach the visionary target that we have set up for the company?

Sanjeev Patil: So, w e are working, these two products, as you rightly identified, are the two pillars of this company. And g oing forward, we are adding many more products. Our idea is that over a period of the next few years, we want to reduce the contribution from a particular product to around 10% max so that our dependency on a particular product comes down, and that is what we are working on. So, w e are not just working on two wheels or two engines. Not d ouble engin e. We are trying to add many more engi nes so that the growth perpetuates.

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Archit Joshi: While we appreciate that, given the size of this industry, I just wanted to kind of understand if there are any products which can become as sizable as these, or would it be like a long tail of products which can individually contribute to smaller amounts, let's say , in the range of 5% -7% of the top line? So, is it the tail that we are focusing on, or is it that there are products which can scale up in the upcoming portfolio or maybe the existing one? So, t hat is what I was trying to get to.

Sanjeev Patil: So, w e are focusing not on tail, but on the entire body. Okay. So, there are multiple products we are working on, but as you will understand, that we do not want to spell out our strategies right here. So, w e are working on all the strategies, and not only tail, but we are working on the entire body so that there would be at least about 10 -odd products which would contribute very well to the overall product mix.

Archit Joshi: Appreciate that. S ir, secondly, if we could speak of a little more nuances with regards to the industry that we are catering to, I believe the fragrance industry will be again divided into

multiple parts. Let's say perfumes or maybe something going in cosmetics as a fragrance or talcum powders or soaps or shampoos. Within that, where is it that we are seeing the maximum growth coming in, especially second quarter being such a strong one? Is there a change in trend that you have observed or any particular industry that is giving us the tailwind that we are witnessing right now? Any color on that?

Sanjeev Patil: So, we cannot give you any color on that because those are things which our customers would answer. What you can see within India is, for example, we are seeing that overall demand for fragrance in terms of deodorant, shampoos, soaps, detergents, everything is going up. Even in detergents, also we are seeing that you see a lot of ads wherein they are talking about the aroma or the olfactive senses of the detergent, and it retains the good smell. But we cannot throw any color on that because we supply to our customers. What we can tell you is that we are seeing robust growth in the products that we are making, and that is the whole thing.

And the other thing is that the demography of India is such that there is an upward surge for, and there is a change in lifestyle wherein the demand for fragrances and other products is increasing substantially. That is where we see the growth, but our growth is routed through our customers, the F&F players, and that is where it is.

Archit Joshi: And anything on the export side of the business? I believe we do business with almost all the top four, five MNC formulators, the likes of Givaudan, I meant. How is the uptake on that account, and any inroads that

we have made in new products or portfolios with them on the export side?

Narayan S. Iyer: Well, it is not five, Archit. Hi, Narayan here to answer you. We are supplying to all the top 15 blenders of the world, and we also supply to five major FMCG companies like P&G, Henkel, Privi Speciality Chemicals Limited
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Reckitt. We have seen an improved and increased demand across all of these companies that we talk about. Not just these companies, but even the smaller fragrance houses and the Indian customers also, we have seen an increase in the offtake, which all substantiates our belief that definitely people are moving more and more to fragrance-oriented or smell-oriented products, and that is why the demand is increasing steadily, in fact.

Archit Joshi: A last one from me. Sorry to extend this conversation, but I just wanted to understand, structurally speaking, are we witnessing any visible shifts in supply chain, even in this industry, wherein Indian vendors are preferred more over somebody else? Is that also a trend that one should contemplate on?

Narayan S. Iyer: Archit, to some extent, taking the cue from our earlier quarter investor call, definitely there is a China plus One shift which is happening where most of our customers, being Europeans and the developed nations, are looking at a sustainable player. And Privi definitely has an advantage with backward integration in place, and we are in a position to offer them prices for a longer period of time with the back-to-back offerings that we have.

And secondly, as Mr. Rajan pointed out and has informed all of us with regard to the sustainability thrust that Privi gives upon, and we have been conferred several awards, we do feel and find that most of the large players would definitely like to buy from players like us, and that is a shift that we have seen the last couple of years, in fact.

Archit Joshi: I will come back in the queue for further questions. Thanks, and all the best for the ensuing quarter.

Moderator: The next question is from the line of Veer Vadera from Niveshaay. Please go ahead.

Veer Vadera: So, my first question was on the core CAPEX. The PPT mentions that the capacity upgrade is ahead of schedule. Could you please elaborate on where you stand today? When will the additional 6,000 metric tons per annum be fully available, and how should we think about the ramp-up and its impact on growth and margins? Also, an update on the Ratnagiri plant. What is the current status? And when do you expect it to be live and contributing eventually?

Narayan S. Iyer: As informed, the additional capacity of 6,000 should be up and running by end of December. So, you can expect the growth to start coming from January onwards. So, that has been our endeavor and zeal so that when we go for our contracts for the next year, we are in a position to offer the additional volumes that we have poised to set up.

Second, to answer about the Ratnagiri plant, as you are aware, we have already filed our applications for the scheme of merger and amalgamation, and post the NCLT order coming
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around only, we will be in a position to consolidate on the parent company. As of now, it is an associate company and doing its own business.

Veer Vadera: And on Privi Biotech, since that CAPEX is also ahead of schedule, when do you envisage the

commercial operations starting, and at what initial utilization level? Additionally, can you share anything on the next phase of new product CAPEX planned under Privi Biotech?

Narayan S. Iyer: Mr. Vadera, Privi Biotechnology is a wholly owned subsidiary of the parent company, which is purely doing research and development work. This is a company not meant to do any revenue. It is only meant to do research activities using the biotechnology route for the parent com

pany.

So, whatever inputs we get from this company, that will get implemented in the parent company, which is what we are going to set up over the next three to four years to take our company to the 5K, 1K vision.

Moderator: Thank you. The next question is from the line of Rohit Nagraj from 360 ONE Capital. Please go ahead.

Rohit Nagraj: Sir, first question, in terms of incremental product pipeline, so we are expanding the capacity, but in terms of new product launches, how are we placed for the next two, three years? And these products, will they be catering to the existing set of customers, or we are looking at some diversification? If you could throw some light, that will give us more visibility in terms of the sustainability of the performance.

Sanjeev Patil: So, we have a very robust pipeline of products which will be operational over the next 15 months or so, which is a mix of products which are typical of Privi product range, which is reasonably large volume and gross margin which are in the range of 30% and more. And then there are about 10-odd specialty molecules that we are working on, which obviously are high value and high margin products. So, it is a proper mix of these two, and you will see contribution from these products coming up over the next 12 to 15 months. Those projects will be completed in that period of time, and from there, you will get these contributions.

Answering your question about where these products will be sold, the majority of the products are for the same F&F industry, with the same customers who would be procuring these products.

Only a few of the products, they have applications within the F&F industry, but they also have applications beyond F&F industry. So, those would be sold to, for example, pharma industry or to electronic chip manufacturing. Those are the areas in which we will be selling those products.

Rohit Nagraj: That gives us a lot of confidence. Second question, in terms of the Privi Biotech, are there any products which are commercialized from here? And if yes, which and all are they? In terms of pipeline, how are we looking at those products which are currently in R&D to get commercialized over the next maybe three to five years? Some roadmap.

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Sanjeev Patil: So, Privi, some of the products which the technological platform that Privi Biotechnology has given, based on that, we have commercialized some products now, which some of them have started production in the last month or so. And going forward is now we have moved from gram level to kilogram level to tens of kilogram level because understand that these are very special technologies. We would be among the top, I mean, first few companies globally to have these products coming from bio-waste.

So, those efforts are on. And as we see it, over the next 15 months' time, we will be able to put up a small demonstration plant which would be in terms of a few tons of material, and that is what will finally pave the way for subsequent growth, but we are on a very positive track.

Rohit Nagraj: Sir, just lastly, one clarification and one suggestion. So, clarification, when we said that our EBITDA margin target is 24% to 26%, does it also include the part of incentives? And a suggestion as a good corporate governance practice, if we could incorporate the amount of incentives that we get on a quarterly basis in a note to accounts or probably in the presentation, it would be really good for the analysts to get a broader perspective on how the margins are moving.

Narayan S. Iyer: Rohit, noted your point. So, to answer that, it was clarified also when I happened to talk about the numbers.

And second, you should also understand that it is not a one-time incentive that we are talking about. As mentioned, this is going to be over a 15-year period that we are go

ing to get these incentives.

So, it is not that as an investor, as an analyst, I would request that you take note that this is actually an operating income with the company for the next 15 years, and we are very confident that we will also get the status of the Ultra Mega. So, the moment we go for the Ultra Mega, this incentive will be available to us over a 20-year period. I believe it is a good long period. This needs to be treated as a part of the integral EBITDA margins.

And to answer, yes, as of now, the 24%-26% that we are talking about includes the state incentive that we are poised to get.

Rohit Nagraj: Thanks a lot for answering all the questions and all the best, sir.

Moderator: The next question is from the line of Pritesh from Lucky Investment. Please go ahead.

Pritesh: Sir, if you could tell us the capacity utilization that you would be in the H1. From the deck, I see a 48,000 ton capacity. So, what will be the capacity utilization in H1? Second, on the H1, what will be your volume growth for us to understand the difference of the price in the volume?

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Narayan S. Iyer: So, to answer you precisely, our capacity utilization in the first half, both Quarter 1 and Quarter 2 put together, is about 90%, 92% exactly. And so with 48,000 being our overall capacity, the breakup of the increase in the revenue for the first six months primarily is on account of the volume increase over the last year. That volume increase should be about 17% and price increase contributes about 8 % to 10%, in fact.

Pritesh: Can you list the incentive number? Can you tell the H1 '26 incentives that you would have booked?

Narayan S. Iyer: Total H1 that I booked is about Rs. 9 crore s, close to Rs. 8.96-odd crore s or so. And in this quarter, we got from Gujarat. Last quarter, we had received from Maharashtra, in fact.

Pritesh: And what will be the annual that you will book annually?

Narayan S. Iyer: Sir, it depends on the sale that we make in respective states. So broadly, we feel an amount anywhere between Rs. 7 crores and Rs. 10 crores on an annualized basis you should be getting it, in fact.

Moderator: The next question is from the line of Saarosh from Vedant Capital. Please go ahead.

Saarosh: Sir, I missed your point regarding your expansion. You have got 48,000 metric tons of capacity. You want to increase it. I missed your bit when you spoke about that. Could you just rerun through that, please?

Narayan S. Iyer: Okay, sir. What we stated was that our existing capacity is around 48,000 tons. We already embarked upon a 6,000 metric tons of CAPEX expansion, which we should be in a position to commercialize by end of December '25. So that our capacity available from January '26 onwards will be about 54,000 metric tons.

Moderator: The next question is from the line of Vivek Gautam from GS Investment. Please go ahead.

Vivek Gautam: My question is, expected growth rate and opportunity size ahead of us, sir, and our differentiator versus competition, and any threat from China in our product range.

Sanjeev Patil: So, we have maintained 20% growth, CAGR, for the last two decades, and you can see the same number going forward also. We already put up the vision of 5K, 1K. So, it is about upward of 20% growth that you can see in our revenues. What differentiates Privi from other companies is the following :

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The first and foremost is that we are a very sustainable company. So, when we are dealing with export markets as well as with FMCG companies, it carries a lot of weight. So, that is the most important thing that we have.

Number two, we have backward integration, which gives us enormous strength in terms of our pricing strategy.

Number three, and very importantly, we add a substantial amount of margin

s by looking inwards

and adding value to our byproduct streams so that while we are very competitive on our main products, we are able to generate our margins from the value -added products that we make, and we constantly keep on adding products in that category, which is what has helped us in terms of maintaining and improving our EBITDA margin.

We have never faced , we have not faced competition from China so far, and we do not anticipate any competition from China going forward. In fact, we strongly believe that China plus One factor, wherein many of our customers have encouraged us to put up products which are currently only made in China, and we see significant demand for such products which are made right now only in China. We see potential for growth in those products, and we are working on those products.

Vivek Gautam: Sir, what I feel is that our sourcing capability indigenously and even abroad from waste to wealth strategy, is it also helping us out? And any difficulty we may face in that in terms of quantum of raw material available for us?

Sanjeev Patil: No. The growth that we have planned over the next three to five years, we are not seeing any problems in terms of availability of raw material. No.

Vivek Gautam: Keep up the good work, sir.

Moderator: The next question is from the line of Mohit Jain from Xponent Tribe . Please go ahead.

Mohit Jain: I have just one question. As our contracts are renewed in October to December period, what will be the price escalation keeping in mind G TO prices are on increasing trend?

Sanjeev Patil: Leave that question to be addressed and answered when we do negotiations for our contracts. We cannot be talking about such a thing. But be sure that we have already told you two things. One is that we add value for more side streams. So, that is the very important thing that you must remember about Privi. And the second thing is we are always competitive in terms of putting up products. We can't exactly be talking about the pricing strategy.

Narayan S. Iyer: It is too early for us to give you the exact pricing, in fact.

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Mohit Jain: Okay. That's it from my side.

Moderator: The next question is from the line of Rishi Kothari from Pi Square Investments. Please go ahead.

Rishi Kothari: I had two questions. First thing, the target that we have achieved, we have target set for our next three to five years of Rs. 5,000 crores top line as well as EBITDA of Rs. 1,000 crores. So, what will drive this sort of growth? Are you looking at an industry tailwind kind of a thing, or will it be purely internally based on our growth metrics?

Narayan S. Iyer: It will be purely based on the internal growth metrics, in fact. So, we see demand increasing. Of course, as we also indicated and showcased, there are certain CAPEXs that are involved in the next 24 -odd months, which will help improve and increase our product basket base, apart from, of course, all our existing 54,000 metric tons that we will have in our kitty, which is what is going to drive the growth.

Sanjeev Patil: I answered earlier question wherein I said that there is a proper mix of products which are volume -driven as well as products which are highly specialty chemicals. So, it is a proper mix of these two product lines which will drive this growth.

Rishi Kothari: And apart from that, just I might have missed the question. So, the current capacity utilization of our factory is how much?

Narayan S. Iyer: It is about 92% or so.

Rishi Kothari: I will join back with you.

Moderator: The next question is from the line of Rajesh Mishra from Liberty Share Trading Company. Please go ahead.

Rajesh Mishra: I have two questions. Number one is, what is percentage of Camphor in your turnover? And second question is, I would like to inquire about the impact of imported Camphor on the

e

domestic market. Since imports are significant, has the company explored the possibility of requesting any anti -dumping duty on Camphor? Kindly share if any initiative has been undertaken on this front.

Sanjeev Patil: So, the contribution of Camphor in our overall sales is less than 3 %-4%, okay, somewhere there. Very small. Number one.

Number two, you are talking about dumping from China. Yes, that is always there. And there are some steps which we have initiated apart from us by the industry fraternity also in terms of

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putting some anti -dumping duty. So, it is only about 3 % to 4% of our revenue. So, it is not something that is so important.

Narayan S. Iyer: Very insignificant.

Moderator: The next question is from the line of Prachi from Philip Capital. Please go ahead.

Prachi: Sir, I want a little bit clarity on this 5K vision which we have in next three, four years. Can you give us the revenue breakup? How much would be coming from the de -bottlenecking process, and how much would be coming from the new products which we are adding?

Sanjeev Patil: So, we are not really giving the breakup between the product categories and all that, but it is a proper mix of de -bottlenecking. But finally, de -bottlenecking can only give you so much of growth. The balanced growth will come from new products. And as I said earlier, I want to repeat again that majority of these products would be sold to the same customers. It is only a question of increasing the share of our value. So, that is the way it is.

Moderator: Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to Mr. Narayan S. Iyer, Chief Financial Officer, for closing comments.

Narayan S. Iyer: Thank you, everyone, for joining on this call of Privi. We are really indeed happy to be amongst you and to showcase our quarterly and first -half numbers with all of you all. We appreciate your time and showing interest on our company. In case you have any further queries, you can always be in touch with us or the SGA team. We are looking forward to meeting all of you over the next call. And in advance, wishing all my stakeholders a very happy New Year for the coming period. Thank you.

Moderator: Thank you. On behalf of Privi Speciality Chemicals Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2026

February 16, 2026

The Manager (CRD)
The BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai- 400001 The Manager – Listing Department
National Stock Exchange of India Ltd
Exchange Plaza, Plot no. C/1, G Block,
Bandra-Kurla Complex, Bandra (East)
Mumbai - 400 051
Scrip Code: 530117 Symbol: PRIVISCL

Dear Sir / Madam,

Ref: Letter dated February 10, 2026, providing Audio link of the Analyst / Investors Meet

Sub: Transcript of Analyst/ Investors Meet held on Tuesday, February 10, 2025

In addition to Audio Link shared via letter dated February 10, 2026, please also find enclosed the transcript of the Analysts/Investors Call on the Un-audited Standalone and Consolidated Financial Results of Privi Speciality Chemicals Limited for the quarter and Nine Months ended December 31, 2025, held on February 10, 2026

You are requested to kindly take the same on record.

Thanking you.

Yours Sincerely,
For Privi Speciality Chemicals Limited

Ashwini Saumil Shah
Company Secretary

Encl: As above

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Q3 & 9M FY'26 Earnings Conference Call "
February 10, 2026

"E&OE - This transcript is edited for factual errors and readability. In case of discrepancy, the audio recordings uploaded on the stock exchange on 10/02/2026 will prevail."

MANAGEMENT : MR. MAHESH BABANI – CHAIRMAN AND MANAGING
DIRECTOR – PRIVI SPECIALTY CHEMICALS LIMITED
MR. R. S. RAJAN – PRESIDENT – PRIVI SPECIALTY
CHEMICALS LIMITED
MR. NARAYAN IYER – CHIEF FINANCIAL OFFICER
PRIVI SPECIALTY CHEMICALS LIMITED
MR. SANJEEV PATIL – EXECUTIVE VICE PRESIDENT ,
STRATEGY AND BIOTECHNOLOGY – PRIVI SPECIALTY
CHEMICALS LIMITED

MS. ASHWINI SHAH – COMPANY SECRETARY AND
COMPLIANCE OFFICER – PRIVI SPECIALTY
CHEMICALS LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Privi Speciality Chemicals Q3 and 9 Months FY '26 Earnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

Today from the management side, we have with us: Mr. Mahesh Babani, Chairman and Managing Director; Mr. R. S. Rajan President; Mr. Sanjeev Patil, Executive VP, Strategy and Biotechnology; Mr. Narayan Iyer, Chief Financial Officer; Ms. Ashwini Shah, Company Secretary; SGA, Investor Relations Advisor.

I now hand the conference over to Mr. Mahesh Babani, Chairman and Managing Director of Privi Speciality Chemicals. Thank you, and over to you, sir.

Mahesh Babani: Thank you. A good evening to everyone, and a warm welcome to Privi's Investor Call. As you all know, despite the challenging global environment marked by tariff-related geopolitical uncertainties impacting global trade, we are proud to be among the few companies that have continued to demonstrate resilient and robust performance during this period. This performance is driven by our diversified product mix, focused on operational excellence and disciplined execution of projects. These factors have enabled us to sustain growth momentum.

To sustain and accelerate the growth momentum, we have outlined a clearly defined 3-phase expansion roadmap over the next 2-3 years, aligned with our long-term growth vision. These initiatives are expected to enhance our overall capacity by nearly 55% and broaden our Speciality products portfolio. As we look ahead, our strategic priorities remain steadfast. A world-class aroma chemical company that leads with purpose, executes with precision and grows responsibly.

On behalf of leadership team, I would like to thank all our stakeholders, employees, customers, shareholders and partners for their continued trust and support. We look forward to sustaining this momentum and creating long-term value as we advance into the next phase of Privi's growth story. In addition, the evolving trade landscape, particularly the strengthening trade arrangements between India, United States and Europe present meaningful opportunities for a company like Privi Speciality Chemicals.

As global customers increasingly seek reliable, diversified and compliant supply chains, India's growing integration and developed markets positions us favorably. My colleague, Sanjeev and Narayan will take you through this operational, strategic and financial details.

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I now hand over to Sanjeev and Narayan to provide update on our growth plan and operating strategy.

Sanjeev Patil: Thank you, sir, and good evening to all. I believe that you all have had a chance to go through our financial results and investor presentation, which I shared this afternoon. It has been 3 years, 10 quarters that we have been delivering upward of 20% EBITDA margin. And in the past 3 quarters, we have delivered nearly 25% EBITDA margin. Return on equity is also around 20%. Our performance during third quarter attests the robustness of our business model. The industry which is largely unaffected by global headwinds as our products are integral part of human life, further the performance also underscores the benefit of a variety of operational action measures

ures

that we have taken by our company. We have maintained profit margin by improving process yields, reducing operating costs and deriving benefits of economies of scale. For the past 10 quarters, we have maintained EBITDA margins of over 20% and past 3 quarters over 25%. Our expansion projects are being implemented as per plan. Civil work for these projects is about halfway done and detailed engineering work is at advanced stage. These projects will pave way

for meeting our 5k:1k plan.

I would now like to brief you about the joint venture. We are very happy to announce that our joint venture with Givaudan, Prigiv, is progressing well. In this -- the third quarter, Prigiv achieved positive EBITDA. And going forward, in the next financial year, we'll achieve net profit. Privi management convinced the joint venture partner, Givaudan, that the debt burden on Prigiv needs to be reduced.

Accordingly, Givaudan has agreed to provide noninterest-bearing trade advance, which will significantly reduce the debt burden and in turn, the interest cost. While we appreciate and are thankful for this initiative, this step also reemphasize Givaudan's commitment to the project. Further, to augment revenues, an investment of INR50 crores has been planned, which is being funded by infusion of equity by Privi 51% and Givaudan 49%. This capex will create capacities to manufacture additional products in Prigiv. Privi's team is also working on scaling up medium-sized Speciality molecule for Prigiv and the cost for development will be funded by the JV. All in all, Prigiv is on a very good trajectory and will earn benefits in the near years to come. Biotechnology. We have been working on growth plans beyond 5k:1k. We are working on converting biomass, which is biowaste into value-added products. We are currently at kilogram laboratory level in developing these products. These proprietary technologies will generate substantial intellectual property for the company, which will reflect into intangible assets for the company.

With this, now I'll hand over and request Mr. Narayan Iyer to share the financial details of the company.

Narayan Iyer : Good evening, and thank you, Sanjeev, and a warm welcome to all of you all. Our performance for the quarter highlights our ability to protect profitability across cycles and reinforces our confidence in the structural strength of our operations.

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A glimpse of the key highlights for the 3-month and 9-month period. We have reported a strong growth despite a subdued market, 24% revenue growth reported in both quarter 3 and 9 months for the financial year '25, '26 on a year-on-year basis. We have delivered 25%-plus margins for the third consecutive quarter. EBITDA margins are expected to sustain 20%-plus, which is driven by operational efficiencies, improved product mix and increased volume.

Our JV with Prigiv is also shaping up well, and we heard Sanjeev giving the wonderful news with regard to the new infusion of equity, and we expect a very meaningful contribution from Prigiv in the coming years.

Our Phase 1, with regard to the capex on the production capacity expansion is progressing as planned, and it is expected to be commercialized by end of March, latest by April '26. This shall increase our production capacity from 48,000 metric tons to 54,000 metric tons for all our existing products.

Phase 2 of the multi-speciality aroma chemicals project is also progressing as planned. The scheme of amalgamation of Privi Fine Sciences Private Limited and Privi Biotechnologies Limited with Privi Specialty Chemicals Limited is under process, and we have filed all the necessary data and filings with both the Stock Exchanges.

Giving a synopsis of the financial numbers, starting with the quarter 3 for the year '25, '26. The total income that we have achieved during the quarter

was INR611.15 crores with a growth of 25% on a year-on-year basis. EBITDA achieved during the same period was INR158 crores with a growth of 37% on a year-on-year basis. This EBITDA margin translates to 25.83% for the quarter, and we expect to maintain similar EBITDA margins in the near future.

Though profit after tax reported as per financial numbers is around INR74.85 crores, the actual PAT, if we take the onetime adjustment on account of the Labour Code, which was introduced and implemented in this year and also after adjusting the noncontrolling interest, the actual PAT for this particular quarter comes to about INR82 crores, which is as against the INR44 crores reported for the previous year.

Now coming to the 9-month performance for ended 31st December '25. The overall income achieved in this 9-month is INR1,857 crores, which is a growth of about 24% on a year-on-year basis, really a remarkable achievement as compared to the times that we are in. The overall EBITDA achieved during this period is INR481 crores, which is a growth of about 47% on a year-on-year basis.

The EBITDA margins which have been achieved for the 9-month period is 25.9% and profit after tax post the noncontrolling interest as well as the employee cost adjustment is INR223 crores. So if you add the other 2, the overall PAT for the 9-month period comes to about INR232 crores or so, which shows a remarkable growth of about 84% on a year-on-year basis.

Friends and investors, with the planned capacity expansion of existing products and the

introduction of new speciality products, we have established a clear road map, and we are on track to achieve our vision, which was showcased by our visionary Chairman and Managing Director, Mr. Mahesh Babani, and our vision is INR5,000 crores in revenue and an EBITDA in Privi Specialty Chemicals Limited
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excess of INR1,000 crores, which we are on track to achieve in the next 3 to 4 years, which represents a growth of more than 2x from the numbers that we are currently being achieved. On this sound footing, I would pause here and open the floor for question and answers. Back to the moderator.

Moderator: Thank you very much. The first question is from the line of Sudhir Bheda from Bheda Family Office. Please go ahead.

Sudhir Bheda : Hearty congratulations to entire Privi team led by Mr. Mahesh Babani for outstanding performances quarter after quarter. Yes. Sir, my questions are like -- the first question, with the EU treaty happening and U.S. lifting the penalty of 25% tariff, what advantage we will have as a Privi as a company as we are exporting 70% of our product. So that is a cost ?

Mahesh Babani: I think we have a clear -cut advantage in coming years. In fact, we will be able to sell most of the production there. Needless to say, we want to sell it throughout the world because right now, we have clear cut advantage over China and other countries. As we enjoy 18% duty, it has been confirmed for our product range. And in some cases, it is even 0. So we have a clear cut advantage and there's going to be a new thrust to our growth plans.

Sudhir Bheda : And what would be the volume growth next year with some capacities coming on the stream, what can be the volume growth?

Sanjeev Patil : Sudhir, we expect the way we have planned the capacity and the capacities have increased and looking at our business on hand, we expect about 7% volume growth in the coming financial year. It could be better also, but we will see how things pan out.

Mahesh Babani: Because we are in a space where new projects are starting. And probably it would be between 11% and 15%. Yes.

Sudhir Bheda : Right. And now Givaudan, in the opening remarks, you said they agreed to provide INR150 crores as an interest -free loan. So now can we expect that consol results and the stand -alone results, there is a gap of INR30 crores in the 9

months will be bridged and next year, entire losses will be wiped out?

Sanjeev Patil : Absolutely.

Mahesh Babani: Yes, absolutely.

Sudhir Bheda : So with the new capacity coming in for the value -added products, can we expect that the value growth could be far higher than the volume growth what you are projecting?

Mahesh Babani: Sudhir bhai, I would.

Sudhir Bheda : Is any price increase also, that is another follow -up question. Is there any price increase happening for this current calendar year?

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Mahesh Babani: See we -- Sudhir bhai, all I can say is we'll be able to maintain a healthy margin, upwards of 20%. It can be 24%, 23%, sometimes 25% because world markets are very uncertain. Sometimes there's a war, sometimes price increases. But we are quite sure that we'll be able to achieve our numbers. We want to be a little cautious on telling you 25% for sure, but it will be upwards of 20% and less than 27%. It will be somewhere in between.

Moderator: The next question is from the line of Rohit Nagraj from 360 ONE Capital.

Rohit Nagraj: Congrats on a very strong set of numbers. First question is on the new product development. So I'm referring to the Slide number 13 in our presentation. In terms of individual products, if you can just give us a little more understanding as to which particular applications, any competition and which geographies? So is it India -centric or maybe EU, U.S. centric? And if there are any contracts with customers once we commission these facilities so that we have a fair understanding of revenue visibility?

Sanjeev Patil : Thank you, Rohit. So in terms of geographies, we always look at the global market, the world market as our market. So we don't look at a specific geography. And the reason for these products to be formulated in India is that as you can see, the first 2 products are Maltol -- Ethyl Maltol and Ethyl ene Brassylate.

We are in China Plus One kind of a strategy where in India, there is no single manufacturer who is making these products. We will be the first company to do that. The last product that we have is, in fact, a product that will be offered for the first time from a renewable resource. Globally,

it will be first time that a company could offer Cyclopentanone on from a renewable resource, and that's the key highlight about this product.

In terms of applications, typically, as we progress towards completion of project, we seek approvals from the customers. And that's the time when we also get some kind of indicative commitments from our customers. That's the way we have worked all along, and we will continue to work like that.

Mahesh Babani: So in fact, Cyclopentanone will be first time manufactured through a bio route, renewable raw material. And it will -- the world forward is going to be very interesting for a product like this.

Rohit Nagraj: That's interesting to know, sir. The second question is we have about INR1,200 crores of capex plan. We've also given which all segment and how it will be distributed. If you can just give us the time line in terms of how this will be split between, say, FY '26 to FY '28 or maybe if it is beyond FY '28, that will be helpful? Thank you.

Narayan Iyer : Rohit, broadly, as you would have seen in the investor presentation also, and we have been talking about it in the last 3 quarters, the company has outlined close to about INR1,200 crores of investment in the 3 -year period. So exact -- we have just shared a broad line that we'll do INR300 crores in Phase 1, INR600 crores in the Phase 2 and possibly INR300 crores in the Phase 3. All this will happen by March '27, '28 or so. So that by '28, '29, we should be in a position to achieve the INR5,000 crores of revenue. So that's the ballpark planning that we are talking about.

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As we speak today, we have already started and commenced the Phase 2 of expansion, which is the major bulk of the capex that we are talking about and which we expect that by Q1 of next year, we should be in a position to complete so that, that capacities and facilities are available so that the growth beyond the 54,000 metric tons is available, and you can see company growing at that expected 20% CAGR, which we have achieved over the last 24 years now.

Rohit Nagraj: Yes, I got that. Sir, just one last clarification of the INR150 crores provided by Givaudan as an advance, will it be adjusted towards the revenue that we will be generating out of the JV?

Narayan Iyer : We will prima facie that's the idea that this be adjusted over a long -term 10 -year period or so, so that against as the whatever are the normal laws that are applicable for setting off such advances.

Mahesh Babani: I think, we could even try to stretch it to 15 years.

Moderator: The next question is from the line of Jaiprakash from Korman Capital .

Jaiprakash: So my question is, sir, you have this capex of INR 1,200 crores. So is there any cap you want to keep on the debt because debt is already of around INR 1,000 crores. So is there any cap you're looking for? If you can just elaborate on that? Or if you want to be debt -free or anything else on that side will be helpful?

Narayan Iyer: See, normally, ideally, debt -to-EBITDA, we always feel it should not be exceeding at 2.5x. And we would like to maintain at those levels. But you would have seen our investor presentation and the numbers that currently also our debt -to-EBITDA is just about around 1.6x or so. So we are well, well within the norms. We would like to maintain on a healthy front, it will always be less than 2.5x, in fact. But having said that, for the last 2.5 years, we have been at the level between 1.5x to 2x.

Jaiprakash: Okay. And that will be the guidance for future, basically 2.5x in the future?

Narayan Iyer: Yes, 2.5x. That's right.

Mahesh Babani: That will be our guideline.

Jaiprakash: Okay, sir. And is there any foreign currency benefit which we are getting because of the INR depreciation, if you can give -- because that will be helpful to understand?

Narayan Iyer: Could you come again? What sort of benefit did you say?

Jaiprakash: Foreign currency -- basically, INR is depreciating, right? And you have mostly exports, so ...

Narayan Iyer: Yes. Being a net exporter, we always have the benefit when the rupee is depreciating. So definitely, there is a forex income on account of such depreciation.

Jaiprakash: And how much it was in this quarter, sir, just to understand?

Narayan Iyer: This quarter was about INR3.5 crores.

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Moderator: The next question is from the line of Rohit Sinha from Sunidhi Securities.

Rohit Sinha: Congratulations for a good set of numbers. So just one clarification on the capacity side as we are expecting from 48 to 54. In your Slide Number 13 and Slide Number 10, just wanted to refer that the multi -speciality product, which is in -- which will be in this 48 to 54 , 6000 capacity or

that would be another capacity.

Plus, in Slide Number 10, we have mentioned that the capacity augmentation will be completed by June 30. So this is referring to the new multi-speciality products or the existing product which we are -- which you just have initially mentioned would be ready for commission by April.

Narayan Iyer: Rohit hi, good evening. To answer you, this 54,000 does not have any multi-speciality chemical products. What we are talking 54,000 is all the existing products that we had, which we started last year. The multi-speciality and the speciality products expansion is in the Phase 2 and Phase 3, where we will be adding close to about 18,000 metric tons going forward, in fact.

Rohit Sinha: And this 18,000 would

not be that Privi Fine Science

Narayan Iyer: No, no. Privi Fine Science is different. This is only purely Privi Speciality Chemicals Limited.

Rohit Sinha: And once this Privi Fine Science would be merged, I mean, when we should see the merge numbers? In second half or it'd be possible in the first half of FY '27 as well?

Narayan Iyer: We expect this entire merger process to take about a year. So maybe by -- if we are really able to expedite it, maybe by October '26. But latest by December '26, we should be in a position to get the order from the NCLT.

Rohit Sinha: Got it. On the safer side, I believe by FY '28, we will have the merge number?

Mahesh Babani: For sure, by '27, definitely we'll have.

Rohit Sinha: Okay. And just on the margin front, I mean we already have guided for -- I mean 9 months, we already did more than 25%, and we have been positive about 22%, 24%. Going forward also, I believe -- I mean, still I feel the guidance which you used to say for 20% to 22% or in excess of 20% is a much conservative side given all the -- I mean, high-margin product or you can say value-added products are coming going forward. So I think still 24%, 25% kind of margin is pretty much achievable, but yes, being on a conservative side, one can state that?

Narayan Iyer: Yes. So I did mention that we will sustain the margins. So my answer continues that we will sustain ...

Sanjeev Patil: But this is a VUCA world. So we are just keeping everything to be on a safer side.

Narayan Iyer: We will try to maintain the margins, Rohit, in short, we will.

Moderator: The next question is from the line of Pankit from Dinero.

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Pankit: So I think just during December, yearly, we get the visibility from our customers in terms of, say, volumes and pricing for the calendar year, right? So if you can help us with how does this year's negotiation or contract look like, especially in terms of pricing and volume?

Sanjeev Patil: So obviously, we can't be discussing this in public forum. But we can only state to you that we are on a good wicket. So that's the only summary I can give that we are on a good wicket, and that's it, so.

Narayan Iyer: We can just disclose that our contracts to spot market continues the way it has always been.

Sanjeev Patil: 70% contract and.

Pankit: 70% contract and 30%.

Sanjeev Patil: 30% spot.

Pankit: But any pricing pressure on the 70% contract, which instead of the contract which are in place for the current year, any pricing pressure or it's normal?

Narayan Iyer: We would pass this question, sorry.

Pankit: Okay. Secondly, once the merger is say done, how should we look at the numbers which can come from, say, Privi Fine Science and Privi Biotech?

Narayan Iyer: Yes. Once the entire consolidation happens, as has been informed and they're in public domain, this unit of Privi Fine Science is -- can give us optimum capacity and a revenue of about INR 400 crores.

Moderator: The next question is from the line of Vinay Nagori from Fintegrity Wealth Management.

Vinay Nagori: First of all, congratulations for the superb numbers. I just wanted to understand with the CBAM norms, cross-border adjustment mechanism in Europe coming live in Jan 2026, how will it benefit us because we are, as it is EcoVadis platinum rating company?

Mahesh Babani: I think we have surely an advantage because all the other countries who produce this have minimum of 6% to 9% duty. And we'll have -- be free of duty. So that will make a lot of difference. Yes, we need some clarity on -- the clarity is not there whether Switzerland is participating in this or no. So once we get that, Switzerland is a major customer for us. But I can see no challenges in getting to commercialize this at a better level. We'll have certainly advantages as India.

Sanjeev Patil: Our platinum ratings, of course, will

help us.

Mahesh Babani: Our platinum rating is, of course, going to help us. And you must have seen that we have also

given you, in the country, we have been the wealth creators -- among the top 500 wealth creators. You must have read that statement right.
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Vinay Nagori: Absolutely, sir. Congratulations on that as well. Sir, because in the CBAM norm cross-border adjustment mechanism, they say that the people who are making through petrochemical route or making -- or having some good amount of carbon footprint, there will be -- the companies will be charged some amount. So as it is, our footprint is negligible, and we have platinum rating. So will it help us in higher market share? That's what I wanted to ask?

Mahesh Babani: 100%. You are absolutely right. Today, of late because of geopolitical disturbances, this has taken a back seat. But in the next 2 to 3 years, I can assure you with carbon footprint like ours, there will be duty advantages. And with carbon footprint, where there is additional carbon footprint, there will be extra duty in importing into U.S. and Europe. This is certainly the way forward. Right now, the challenges of the geopolitical thing, this has taken a back seat. But I'm sure in 1 year's time, it will bounce back. You are so right. Good observation.

Sanjeev Patil : That's a very good observation, yes.

Vinay Nagori : Just wanted to understand the Phase 2 and Phase 3 capex -- in Phase 3, will we see some molecules like Ambery Woody Extreme where there are fewer players in the world, like can you help us understand the margin profile from Phase 2 and Phase 3?

Mahesh Babani: I have no comments on that, but there will be interesting molecules because you see we have reached a stage where all our overheads are covered. So anything addition becomes as good as Amber Extreme, not as good as but similar experience because once we have covered the critical cost, then every addition is an advantage to the company.

Vinay Nagori: Sir just out of curiosity, I wanted to understand now like the cyclopentano ne we are making. So is there any such technologies we are working on where we can get our patents and?

Mahesh Babani: We have already -- this morning review, we know from a similar raw material like cyclopentano ne, we've already developed another molecule, but we have to take 1 or 2 years of trials at labs. Now we complete that lab, then at least 1 year at -- 6 months to a year at pilot, then we'll be ready on engineering and then we launch. So in coming times, our story is not only 5,000. It will become -- in coming times before we reach 5,000, we'll announce the 10,000 story also.

Vinay Nagori: Superb, sir. And sir, last question from my side. Sir, just wanted to understand now cyclopentano ne and Maltol will be the initial -- what is -- are we looking for more value-added products from there on? And what kind of products that we are looking?

Mahesh Babani: Absolutely. The same raw material for Maltol -- Ethyl Maltol and cyclopentano ne is a similar raw material. So we are looking at one more product from the same raw material that is Furfural . And we've already developed that product. In fact, we also intend to manufacture the same raw material. As soon as we complete this expansion, our next project is going to be manufacturing Furfural in-house production.

So Furfural itself is a value addition of 50% of our raw material come down -- percentage will - margin will come down to 50%. Right now, we buy Furfural at almost INR100. Our Furfural manufacturing cost will be half of that probably in coming years.

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Vinay Nagori: Superb , sir. And just one last question I'll ask. Is it possible for us -- since this will be a patent for us, this technology. So once the plant is ready, can we licens

e this technology to others?

Mahesh Babani: Well, we -- like Sanjeev told you, there will be some intangible assets that will be coming in. So those technologies are more special than these. We could definitely see -- licensing these technologies should be different because it's based all on biomass . So the new technology -- everything, even cyclopentanone is based on biomass. So we will surely get a chance in coming years to franchise these technologies to different parts of the world.

Vinay Nagori: That's so superb and I'm feeling very proud to be an investor in your company, sir.

Mahesh Babani: I'm also proud to have you as my investor, who respect this.

Moderator: The next question is from the line of Mohit Jain from Xponent Tribe .

Mohit Jain : I have just one question. I just want to understand what is the current capacity utilization? And once the movements kick in, how will it ramp up in the next year?

Narayan Iyer : Currently, we are at around 85% to 90% utilization of the overall capacities we have. And going forward, we -- as we have indicated that we should be touching the 54,000 metric tons. Coming year also, we are looking at some growth to maintain the 20% CAGR growth we are talking

about. We expect our utilization to be in this range going forward, around the 90% markers.

Mohit Jain: Is this including the new capex of 6,000 metric ton, 90% utilization?

Narayan Iyer : For the next year, definitely, it will be the 54,000 as a mark. Current year, the capacity, as we speak, it is around 50 -odd-thousand. But March, we should be completely -- March or April, we should go to the 54,000 metric ton. So the level we are talking about is on the 48,000 metric tons.

Mohit Jain: Can you throw some highlight what will be the capacity utilization for the next year as we are ramping up our new plant?

Narayan Iyer : So as I just indicated, for March '27 also, we expect to maintain about 90% capacity utilization on the increased volume, which is 54,000 metric tons.

Mahesh Babani: I would request you to always look at a 3 -year plan. We will be able to achieve in 3 years, stroke less maximum 4 years, INR5,000 crore road map with minimum, minimum INR1,000 crores EBITDA.

Moderator: The next question is from the line of Mann from GrowthSphere Ventures.

Mann: Congrats for a very strong set of numbers. So I was going through the presentation and very interesting slide, Slide Number 15, right, where you have laid out the road map as to how will you reach to this INR5,000 crores and INR1,000 crores milestone that you have kept.

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So one thing that I'm observing is that the Privi Fine Speciality is -- current capacity, we are keeping it constant. Do we foresee that we'll also basically incur some sort of expenditure and expand that capacity also? Or how should we think about that?

Mahesh Babani: It will get merged, know, both are organized, I'll let Sanjeev answer that.

Sanjeev Patil : It will get merged. So we are not really looking at any separate unit. And just to give you further details, Privi Fine Sciences' operates in 2 locations. One is the location at Lote, which is operational. Second one is in Gujarat. So these plants are essentially for Lote only. So the -- Babani talked about Furfural backward integration and all of that and the further value addition products. So that will all come up in Gujarat.

So that's where you will see growth going forward. So it is not covered in any of these numbers. But going forward, there is a lot of scope for us to expand there as well. The beyond 5k:1k story as we call it.

Mahesh Babani: See, for classic example, I'll tell you, right now, we may have -- we will be only able to produce 500 tons of cyclopentanone. But eventually, in next 2 years, we'll look at 5,000. But by the time it is merged, it will come into Privi. So it will be all set o

f numbers will be together into the first
INR5,000 crore turnover.

Mann: Got it. Second question, Babani ji, I wanted to understand is that the cycle of GTO, right, it has been the worst that in last 4, 5 years after the Russia -Ukraine war. And the value increase has started to happen in GTO as well. So should we also see in your broader product profile, should we see some value gain on like -to-like basis of volume gain that we'll be seeing over a period of next 3 years? How should we think about it?

Sanjeev Patil : The situation is very dynamic. So what we do is it's always quarter -on-quarter call that we take as to how do we manage GTO as a feedstock. So it's a very dynamic situation. So moment we find it's a good opportunity, we latch on to that. Otherwise, we have a steady plan where we consume -- we don't want to give out all the numbers, but we consume a good part of -- some part of our requirements from GTO .

And others obviously are from CST because that's our backward integration story. But GTO prices, if you are monitoring those prices, it's a very dynamic situation. The prices keep going up and down. So we just time it well and capitalize on that.

Mann: Got it. And sir, you say that over a period of time, you want to take Cyclopentanone to a scale where the PFS as it gets merged, the numbers will be much bigger in Privi as well. Could you give some sort of -- I understood that on a scale as sir said, INR400 crores, INR500 crores total turnover PFS can do, but what would be the margin profile on those additional products, if there would be some sort of idea ?

Mahesh Babani: Similar. It will be similar. So we have guidelines when we develop a product. Our guideline says that we have to be -- sometimes it's a low value, sometimes it's a high value. But eventually, we have to look at a product mix, which gives us anything North of 20%. It may be 23%, 22%, 25%. North of 20% only we make sure then we develop the product.

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Supposing there is a product of 18% EBITDA, but we'll make sure that we should have a target to reach 22%, 23%, 24% by engineering -- improving our technology, using some catalysts. There's a full-fledged 100 people technical services department, which looks at this.

Mann: Got it. Sir, for this INR1,200 crores of capex that we have planned over a period of next 2 to 3 years, do we expect any sort of equity dilution through any route?

Mahesh Babani: Not needed, but let CFO take a call if needed or I think even otherwise, I don't think so we need enough debt, it is below 2. So I don't think so we need any equity dilution at the moment. But maybe if the CFO feels he wants to dilute my position, I don't know.

Narayan Iyer : Well, I understand it's already answered, it will be prima facie internal accruals and borrowing from the banks. That should suffice us for this INR1,200 -odd value.

Mann: Got it. Sir, as Babani ji touched, what were investors probably worried about or were questioning a good block of promoter that had been sold. So if you would like to place any comments on that particular part?

Moderator: Sorry to interrupt you, Mr. Mann, but can you please rejoin the queue for follow-up question?

Mann: Yes, sure.

Narayan Iyer : No, Mahesh bhai will answer .

Mahesh Babani: I would want to answer this. See, this is for the betterment of the market conditions because there has to be liquidity in the system. So we sold some to a very reputed investor. There were some leakages which disturbed the market, which we couldn't control because you have to -- it was a deal for a very large investor, country's largest investor. But some leakages happened. So it did create some turmoil. But I think it's for the betterment of the investor, what more should promote a control than 63%.

Narayan Iyer : I hope that answers your query and maybe a lot of queries in the ma

arket in fact.

Moderator: Thank you. The next question is from the line of Punit Jagdish from Umayo Advisors. Please go ahead.

Punit Jagdish : Yes. Good evening, sir. Congratulations on a great set of numbers. I have just two questions. One is in the slide where we've shown the road map to 5k, we talk about new products and other things, but there is no mention of this Givaudan JV. So can we assume that the JV is -- any incremental revenue from the JV is over and above that?

Sanjeev Patil : Yes. Punit, we don't -- we are not in our 5k, 1k story, we are not considering revenues from the joint venture. So that is an additional thing that you have.

Punit Jagdish : That is an additional. Thank you, sir. That's useful. Second is I mean investors being investors, we always want Q-o-Q improvement and Y-o-Y both at the same time. So could we say that some revenue softness is because this is a typical year-end quarter and hence customers like to

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maintain inventory low, which is why we always have a little soft Q3 and a better Q4. Is that the reason?

Sanjeev Patil : Partially, yes. The other reason is since majority of our products -- I mean, business is from export. So often by about 15th, 16th of December, the markets there do close down. And if you look at last many years, we have similar patterns. So that's how -- that's what happened. Even in November, Thanksgiving, most of the customers go on leave and then come back after almost after Christmas. So that's why if you see the last 4 years in that same thing, last 4 years always over that set of numbers in the third quarter is a little lower than the normal. But I have given the Slide 16.

Narayan Iyer : Having said that, it is still much better than our Q1 numbers that we have achieved. Q3 is a slight dip as compared to Q2. But margins -- the most important thing is that we have been able to maintain and improve on the margins as compared to previous year, the first quarter, second quarter, margins has been steady. So that's the plus point that we are talking about in fact.

Punit Jagdish : Yes. Narayan sir. I think as I said, investors being investors when you set high benchmarks, expectations get higher

Mahesh Babani: Let us close this one by saying that customer is king, so we have no complaints.

Punit Jagdish : Yes. Thank you, sir. That's all. Just two questions.

Moderator: Thank you. The next question is from the line of Anupam Agarwal from Lucky Investments. Please go ahead.

Anupam Agarwal: Yes. Thank you for my question and congratulations on good numbers, sir. Just one question, if you can give an update on the project of the corn cob, please?

Sanjeev Patil : So as we have stated in the -- I think in the presentation that we are right now processing up to about kilogram level of this corn cob thing and we are in the process of putting together all the data so that we can create a lot of intellectual property in terms of patents and all that. So that is under progress. And probably over the next 12 months to 18 months' time, as Mr. Babani told you earlier, we will put up a demonstration facility and then a pilot facility and then make it goes

into full scale. But right now, we are processing at kilogram levels.

Anupam Agarwal: Under which business segment do you classify this, sir? Is it new products or speciality products?

Sanjeev Patil : No, it is beyond that. It is not into this. So it is a story which is beyond 5k, 1k. So that is something that will happen in our next phase of growth.

Mahesh Babani: But technology is developed pretty well. We are confident of scaling up, but we can't bite more than can we chew. So we are biting what we can chew right now. We have enough confidence that this is not a rocket technology, we can do it, but we want to do it a little better than we are trying to better the technology.

Right now, we have a technology which is working very well. We have reached in this particular thing, people get 10% each. In our pilot, we have already got 12%. And we hope to do it better.

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That's why we are going to wait time and we are going to develop a better technology and then launch it. Otherwise, some technology we have already developed where we are comfortable.

Anupam Agarwal: Got it. So fair to assume that we'll be able to scale to lab or commercial by the end of '27?

Mahesh Babani: 100%. We'll be able to do it before that, but we'll launch the project only in '28.

Anupam Agarwal: Okay. And do we need additional facility or capex for that plant?

Mahesh Babani: Yes. Surely because that's not a -- we'll be handling maybe a few thousand tons of corn cob and to need that automation of handling so many tons of cobs, we need huge space and it's a great thing to do from -- because nobody is doing it at a scale we want to do. We want to do it at 20,000 ton level and scale that I don't think in India anybody is doing.

If anybody is doing, it will be at few hundred tons. So we want to do it at 20,000 ton level. We've been discussing with engineering companies, how to handle this. Right now, there are two sets of chemical engineers, one who is looking at what we'll do in '27, '28. So we've already got it on our drawing board. We'll be ready with it before we want to launch it.

Anupam Agarwal: Got it, sir I will closely monitor that. Thank you and wish you all the best for your 5k, 1k future, sir.

Moderator: Thank you. The next question is from the line of Nikhil from Perpetual Capital. Please go ahead.

Nikhil : Yes. Hi, good evening. Thank you for the opportunity. I just want to congratulate the whole management on this remarkable turnaround of business over the last 3 years, managing tough times post the Russia -Ukraine war. So hearty congratulations to the whole team. Outstanding job. I just had one question. So one of your slides in the presentation mentioned your focus is on improvement of gross margin. So can you talk a bit about the levers of the margin improvement going forward?

Sanjeev Patil: So the improvement in gross margin comes from a variety of inputs. Starting with, first and foremost, you improve the process yields, so which means you get higher amount -- higher quantity of material from the same input, or you require less input for getting the same quantity of material. So that's one of the first things that we work on.

And as we always have been saying, we have 100 chemists and chemical engineers who are working constantly on this round the clock, and we keep on looking at all the molecules that we have. So that's the first way in which we improve our efficiencies and improve our cost and the margins.

The second and third thing that we do is we also try and reduce the utility consumption. So we try and conserve steam wherever possible every year. So every year, we have a program where we identify a loophole here and there. And we are also now using -- now that we have reached a particular scale, we are able to now use certain advanced techniques by which we can also conserve residual steam, which at a smaller scale is difficult. So that also we are working on.

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We are working on having solar power, which has been reducing our power cost, as you can see that. So these are all the factors which is all leading to operational efficiencies. And we constantly work around the clock. We have a full-fledged department headed by a very experienced chemical engineer and assisted by several younger people, yes.

Nikhil : Got it. So does this mean there is still scope of further expansion on gross margins within existing products as you all keep on working -- I mean, even on existing molecules to

improve on the

process, while you are also looking to get into some more speciality or super speciality products.

So can we expect over the next 3 to 5 years, the gross margins to keep on improving from the

current level?

Sanjeev Patil: It cannot perpetually improve. It will improve by about 100 to 200 basis points and more. But that's about that because.

Moderator: The next question is from the line of Rohit Nagraj from 360 ONE Capital. Please go ahead.

Rohit Nagraj: Thanks for the follow-up. One bookkeeping question. What was the incentive which was recognized during this quarter and for the first 9 months?

Narayan Iyer : Okay. This quarter, we have not recognized any incentive because state incentive is not something that we keep getting on a monthly basis or so. This was addressed in my last call that this is on an annual basis that we talked about. And for the overall, the 9-month period, the amount that has been taken in the revenue is close to about INR10 crores or so.

Rohit Nagraj: Right. And for the new project or new capex is -- are we again eligible for any state incentive?

Narayan Iyer : For which project?

Rohit Nagraj: For the new capex that we are doing, the INR1,200 crores ?

Narayan Iyer : Yes, yes . So this also taking the cue from the earlier investor call. As we had stated currently, we are only partly on the state incentive maximum benefit that we are talking about. By investing this INR400 crores, INR500 crores, which is balanced so that we get the ultra mega status for which we have the time to invest money up to and more than INR1,500 crores that is 31st of March 2027. Once we achieve these numbers, then we are entitled for a full 9% GST benefit for a 20-year period.

Currently, this benefit is available for 15 years. So we get that extra 5 years also from 15 years, we go to 20 years. And the benefit also doubles up for all the sales that we do within the state of Maharashtra. Of course, we have already got the Gujarat incentive for a 7-year period because our investment has been much lower in that particular state. So yes, the good times are definitely there. And as our Prime Minister normally says, good days are definitely coming .

Rohit Nagraj: Right. And just second clarification. So we have mentioned in slide number, on the capex plan slide that the new product facility will come on stream sometime in Q1 FY '28. I think given that it's completely new product on a commercial scale, we may have stabilization issues for a quarter or so ?

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And given that there will be capacity which will be optimized for the existing set of products, will FY '28 be a transition year in terms of growth , and then FY '29 will have a material scale up in terms of revenue growth ?

Sanjeev Patil: Yes, absolutely. We'll read and well understood the whole thing. It's correct. 2029 will be the year where there will be -- we will catapult into the next level of revenues and growth and everything.

Rohit Nagraj: That's helpful. Thanks a lot and all the best, sir .

Mahesh Babani: Next time we will also give you a newer plan for the future. That's my job.

Rohit Nagraj: Thank you.

Moderator: Thank you. Due to time constraints, we will take that as the last question for today. I now hand the conference over to the management for closing comments. Over to you, sir.

Narayan Iyer : Thank you. Thank you, every one of you for joining on this Privi's call today evening. We appreciate your time and showing interest in our company and our company's financial results and monitoring us very closely. We are very happy with the set of questions and the set of investors posing around on the investor presentation and the financial results that we have declared.

In case of any further queries or details, you can get in touch with us or the SGA team. We look forward to meeting all of you over

and over in our next few calls. Thank you very much, and good day.

Moderator: Thank you. On behalf of Privi Specialty Chemicals Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Narayan Iyer : Thank you.

Sanjeev Patil: Thank you. Thank you.

Call: May 2026

May 15 , 202 6

The Manager (CRD)
The BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai - 400001 The Manager – Listing Department
National Stock Exchange of India Ltd
Exchange Plaza, Plot no. C/1, G Block,
Bandra -Kurla Complex, Bandra (East)
Mumbai - 400 051
Scrip Code: 53 0117 Symbol: PRIVISCL

Dear Sir / Madam,

Ref: Letter dated May 12, 202 6, providing Audio link of the Analyst / Investors Meet

Sub: Transcript of Analyst/ Investors Meet held on Tuesday , May 12, 2026

In addition to Audio Link shared via letter dated May 12, 202 6, please also find enclosed the transcript of the Analysts/Investors Call on the Audited Standalone and Consolidated Financial Results of Privi Speciality Chemicals Limited for the quarter and year ended March 31, 2026, held on May 12, 202 6

You are requested to kindly take the same on record.

Thanking you .

Yours Sincerely ,
For Privi Speciality Chemicals Limited

Ashwini Saumil Shah
Company Secretary

Encl: As above

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"Privi Speciality Chemicals Limited
Q4 and FY26 Earnings Conference Call"
May 12, 2026

MANAGEMENT : MR. MAHESH BABANI – CHAIRMAN AND MANAGING
DIRECTOR
MR. R.S. RAJAN – PRESIDENT
MR. NARAYAN S. IYER – CHIEF FINANCIAL OFFICER
MS. ASHWINI SHAH – COMPANY SECRETARY AND
COMPLIANCE OFFICER
MR. SANJEEV PATIL – EXECUTIVE VICE PRESIDENT ,
STRATEGY AND BIOTECHNOLOGY

Privi Speciality Chemicals
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Moderator: Ladies and gentlemen, good day, and welcome to the Privi Speciality Chemicals Limited Q4 and FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

From the management, we have with us Mr. Mahesh Babani, Chairman and Managing Director; Mr. R.S. Rajan, President; Mr. Narayan S. Iyer, Chief Financial Officer; Ms. Ashwini Shah, Company Secretary and Compliance Officer and Mr. Sanjeev Patil, Executive Vice President, Strategy and Biotechnology .

Before we begin the conference call, I would like to mention that some of the statements made during the course of today's call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Mahesh Babani, Chairman and Managing Director of Privi Speciality Chemicals. Thank you, and over to you, sir.

Mahesh Babani: Good evening to everyone and thank you for joining us today. I would take this opportunity to take you beyond our strong FY '26 performance. I would like to inform you about Privi's position today and strength of the foundation that we've built for the future.

Over the past year, we have strategically transformed Privi into a more resilient, diversified and forward -looking speciality aroma chemicals platform. Today, our company is far better positioned than ever before, supported by our robust diversified portfolio, deep customer relationships, strong R&D and innovation and notable global footprint that allow us to navigate external uncertainty and with confidence.

With that, I hand over my team, Rajan, Narayan and Sanjeev and Ashwini to answer all the investor questions. Thank you. Sanjeev

Sanjeev Patil: Thank you. This is Sanjeev here. Good evening to all. I believe that you all have had a chance to go through our financial results and investor presentation. I will briefly take you through the operational performance for the quarter ended March 26 and the entire year as well.

The industry tailwinds remain firmly intact. Demand for fragrance and flavor ingredients continue to grow, driven by rising consumption for premium products and increasing focus on wellness and personal care.

In addition, global supply chain are undergoing a structural shift with customers increasingly looking for reliable, high -quality and compliant partners, a space where your company, Privi, is strongly positioned.

Operationally, the quarter reflects steady execution across all key priorities. We continue to see consistent traction across our core aroma chemicals portfolio, supported by steady demand from Privi Speciality Chemicals

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global customers. At the same time, our efforts towards increasing contribution from downstream and value -added products are progressing well, and this is gradually reflected in the overall mix.

From a manufacturing standpoint, plant utilizations remained healthy across major product lines. Our teams continued to focus on operational excellence through process optimization, yield improvement, energy efficiency initiatives and debottlenecking programs across the plants. These initiatives have helped us improve throughput while maintaining strong cost discipline. On capex front, we are on track to complete the first phase of our capex expansion by 30 June, 2026. Total installed capacity will increase to 54,000 metric tons per annum after this phase of

expansion. We are now entering a calibrated ramp -up phase and expect these additional capacities to be commissioned progressively over the coming quarters in line with strong demand visibility across key products.

In parallel, Phase 2 of our multi -speciality aroma chemicals project is progressing as planned. These investments position us well to drive the next leg of growth with phase and meaningful contribution to both revenues and profitability ahead.

The joint venture with PRIGIV . In quarter 4, PRIGIV turned a corner and reported profits for the first time. Further, additional capex of INR50 crore is being implemented based on the equity infusion by Privi and Givaudan in the ratio of 51% and 49%.

Going forward, the joint venture will gain further traction on growth and robust profitability. Overall, our focus remains on driving volume growth in core products, improving product mix through higher share of value -added products and maintaining cost discipline and operational

efficiency.

As we enter the next phase of growth, we remain focused on disciplined execution, strengthening our product mix and driving operational excellence. We believe this approach will allow us to deliver consistent profitable growth while continuing to create long-term value for all our stakeholders.

With that, I hand over to our CFO, Mr. Narayan S. Iyer, for the financial details of the company.

Narayan S. Iyer Good evening to all, and thank you, Sanjeev, and a warm welcome to all of you. We are pleased to report strong financial performance for the FY 26 delivered in a dynamic and evolving macro environment. Our performance reflects strong execution, disciplined cost management and the continued strength of our diversified product portfolio.

Our performance for the quarter and the FY 26 highlights our ability to protect profitability across cycles and reinforces our confidence in the structural strength of our operations and the organization.

Let me give you a glimpse on the key highlights for FY 26. We have reported strong growth despite subdued market. A 22% revenue growth on a year -on-year basis was what we have

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achieved during FY 26. We have delivered 25% plus margins consistently across all quarters and for the FY 26 on the EBITDA numbers.

And we expect to sustain a 20% plus EBITDA margins going forward, which is driven by operational efficiencies, improved product mix and increased capacities, which is coming over in the next few quarters. Our JV with PRIGIV is also shaping up very well, and we expect meaningful contribution in the coming years. The good news is that PRIGIV has earned profits in Q4 on its own, and we expect to maintain and improve on the same going forward.

Additionally, during the year, we continued to make progress on the proposed merger of Privi Speciality Chemicals Limited, Privi Fine Sciences Private Limited and Privi Biotechnologies Private Limited with the parent company. This consolidation is aimed at simplifying the group structure, enhancing operational synergies, improving scalability and creating a more integrated platform for future growth.

We are also pleased to share that the company has recently received an observation letter with no objection from both the stock exchanges, namely BSE and NSE, marking an important milestone in the merger process. We shall now go ahead filing with the NCLT, the scheme, and we expect the approval final coming from NCLT during the FY27.

Coming now to the financial key highlights. I will touch base on the Q4 FY26 results first and then go to the year at large. During the Q4 FY26, the total income achieved by the company was INR725.70 crore with a growth of 15.29% on a year -on-year basis.

EBITDA achieved during the same period was INR184.41 crore, registering a growth of 25.09% on the previous year. EBITDA margins achieved

was 25.41% for the quarter, and we expect the

company to maintain such similar margins going forward. Profit after tax for the quarter was a strong INR95.66 crore as against INR63.57 crore achieved during Q4 FY 25.

Coming to the annual numbers for the FY 26. The overall income achieved by our company was INR2,582.92 crore as against INR2,121.84 crore achieved last year, indicating a growth of 21.73%. EBITDA achieved during the year was INR665.45 crore as against INR474.15 crore in the previous year, indicating an increase of 40.35%.

EBITDA margins achieved was 25.76% for FY 26 as against previous year's 22.35%. Profit after tax for the period was INR327.54 crore as against INR187 crore in the previous year, indicating an astounding increase of 75.16%. During the year, the total volume of sales achieved was about 42,389 metric tons, which indicates an increase of 6.5% over previous year's volumes achieved.

My dear friends and shareholders, the overall growth of our company was driven primarily by volume growth, price increase and an improved product mix. This growth was supported by sustained demand across key end user industries and an increasing traction in our speciality and value-added product segments.

While input costs remained relatively stable during the year, we continued to focus on operational efficiencies, cost optimization initiatives and improved capacity utilization, which supported the margins. We have been able to bring down the manufacturing and other

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administrative expenses, which has enabled to improve the EBITDA margins further during the year.

Now coming to the balance sheet numbers. As a company, we continue to maintain a very prudent capital structure. I'm happy to inform that due to the excellent management and constant monitoring and focus, we have been able to bring down our overall working capital cycle to 117 days during FY 26.

Our net debt as of March '26 stood at INR876 crore. This is, of course, net of cash and surplus money deployed in mutual funds with a net debt to an EBITDA ratio of 1.33 x, reflecting our focus on maintaining financial flexibility while supporting growth investments. Our net debt to equity ratio was a very healthy 0.62 x, reflecting good generation of profits.

As you may have noticed, we continue to improve our ROE and ROCE, which during the year, we achieved a number of 22.05% and 22.42%, respectively, thereby reaffirming our visionary Chairman's vision that going forward the company's ROE and ROCE is poised to be in excess of 20%.

During the year, we generated healthy operating cash flows of INR550 crore, maintaining a comfortable liquidity position. Our capital allocation, our focus remains on investing in high-return growth opportunities, particularly in expanding our speciality chemicals portfolio, enhancing the backward integration and improving operational efficiencies.

In line with our commitment to shareholder returns, the Board has recommended a dividend of INR10 per share for FY 26 with a dividend payout of 100% of the face value of the share which reflects our confidence in the business outlook and cash flow generation going forward.

Looking ahead, we remain confident in our ability to deliver sustainable growth. Our strong balance sheet, robust cash flows and disciplined capital allocation strategy position us well to capitalize on emerging opportunities while navigating external uncertainties.

With the planned capacity expansion of existing products and the introduction of new speciality products, we have established a clear road map and are on track to achieve the vision, the foundation of which was laid by our visionary Chairman, Mr. Mahesh Babani, of the INR5,000 crore of revenue and INR1,000 crore plus in the EBITDA numbers over the next 3 to 4 years, which represents a growth of about 2x.

With this, I w

ould like to conclude the presentation as of now and open the floor for questions and answers. Thank you. Over to you, moderator.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Sumant Kumar from Motilal Oswal.

Sumant Kumar: My question is regarding the gross margin. We have seen a significant dip in gross margin sequentially. Any specific reason for that?

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Sanjeev Patil: Yes. So, Sumant, as you know, our business is so structured that 70% of our revenues come from export and most of that are through contracts. So, in the fourth quarter, and if you see historically also, that's why there is an overlap of sometimes the raw material contract getting into the fourth quarter. That is the first quarter for the calendar year.

And because of this overlap, sometimes you have this kind of situation. But as we always say that you should judge Privi on an annualized basis. And this trend you will find in the last few years also, if you look at the last few years also, you'll find a similar trend because the way the prices move for the annual contracts for both raw material and finished goods, such an overlap and distortion can happen, but that's only part of the thing. And you should look Privi always on annualized basis.

Sumant Kumar: Regarding capex, in Q3 FY26, you have given all the timeline of capex. So that capex plan intact or any changes?

Sanjeev Patil: It is intact.

Mahesh Babani: It is intact. We are confident of showing a growth of 20% in the coming year. And we are hopeful we'll also be able to maintain similar EBITDA margins.

Moderator: The next question is from the line of Rohit Sinha from Sunidhi Securities.

Rohit Sinha: First question, sir, on the guidance side, as we are looking at a 20% growth and 24% margin. So, although we have got the approval of the amalgamation of our Privi Fine Science and other business, so does we take into account this number also on this 20% growth or it would be purely from the existing business only?

Narayan S. Iyer Rohit, thank you. The numbers are appreciated. The 20% growth that Mr. Mahesh Babani talked about is on the standalone basis as it is today. And as and when the scheme of merger happens, then of course, we'll be consolidating it.

Rohit Sinha: Got it. Got it. Secondly, just wanted to know how we should see the engagement with the MNCs during this tough time? And how the spot customers behave during this time? And how we are looking at going forward in the coming quarters?

Sanjeev Patil : So spot customers, these are all very dedicated questions. These calls are recorded. So we won't

be able to share, but we have a very healthy relationship and very transparent relationship with our customers. And they are also able to see that the changes which are happening. I mean these are changes which are once in a lifetime kind of impact that is there. So because of our transparency and trust, we are able to pass on and it is accepted from our customers. Mahesh Babani : And I don't see any reason that we will not be able to pass on the price increase. We are confident that we'll be able to pass on the price increase. Because you see, I would just tell you, I'm not saying I'm the most competitive, but I am definitely in the league and people do have confidence by paying 1% or 2% higher, Privi is a better supplier.

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So, we have that confidence that people will pay up and we do have customer relationships so strong that when we sell a basket, we make sure that the customer has a happy ending and good smile on his face.

So, somewhere we have extra margins, we do give something cheaper, as a basket, we are keeping our customers happy. That's our strength. We have 75 products, 15 more in the pipeline, 10 mor

e under development, 100 products from one doorstep is a great strength to have.

Rohit Sinha: Great, sir. And on the PRIGIV side, as we have invested another INR50 crore for the capex, so is it towards more towards the revenue improvement or it would be on the margin improvement?

I mean, anything on the backward integration kind of angle?

Mahesh Babani : There is no backward integration here. The thing is we are bringing in new additional products and additional revenues. So in fact, this year, we expect almost INR130 crore of sales instead of INR55 crore last year. And we hope we are working in a bigger d irection to see at least in the next 3 to 4 years, we should be at least INR300 crores of Revenue and with decent margins, obviously.

Rohit Sinha: Great, sir. One last question from my side. As our working capital days now stands at around 117 days, do we see any increase in this number due to the current situation, or it will more or less remain in the similar level?

Mahesh Babani : Even if it increases, it won't be more than 3% to 4% because when you increase prices people make late payment. Even if it increases, it won't increase more than 5% or something like that.

We are confident we'll be able to manage this situation. And we always want to see a happy customer. A smile on his face keeps our day and keeps our balance sheet very alive.

Moderator: The next question is from the line of Rohit Nagraj from 360 ONE Capital.

Rohit Nagraj: Congrats on a very strong set of numbers. Sir, first question is on the raw material sourcing side.

So, if you could give us a flavor as to how are we protected in terms of inventories, the current sourcing situation? And on the entire aggregate raw materi al basket, what is the kind of cost inflation that we have observed over the last couple of months?

Sanjeev Patil: Sure. So, there are 2 categories of raw material we can say. One is the renewable raw material for which we have annual contracts. And based on those annual contracts, typically, we hold about 1, 1.5 to 2 months of inventory. And then there is always inven tory in transit because most of these are shipped from Europe or from U.S. So, you have another 1 month of inventory there.

So, we are covered for almost a quarter for regular raw material, which are contracted. And these other raw materials , we are covered for about 3 months in stock and another 2 to 3 months in pipeline. So that's the way we plan our raw materials.

And for non -pinene -based products, whenever we get into annual contracts, they are typically 6 monthly contracts. So, we keep and maintain visibility for those many months. So that's the way we function. And that's how we try and mitigate the risk of the volatile situation what we are facing right now.

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Mahesh Babani: So, we position our contracts as per the raw materials in hand. We don't take too many contracts if we reduce our market share with some contracted customers, if we see contracts are overburdened. So we maintain a fine balance. We keep our eyes on the ball to maintain the fine balance between customer relationship and sales.

Rohit Nagraj: Sure, sir. Got that. Sir, second question in terms of the FY 26 top line growth of 22%, if you could give us a broader understanding how much was driven through volumes, pricing and the product mix, that will be helpful?

Narayan S. Iyer Rohit, as indicated, it is about 6.5% on account of volume growth and the balance is on account of the product mix and about 8% odd increase in the prices, in fact.

Rohit Nagraj: Sure. And just to clarify, was there any material benefit from the forex gains during last year?

Narayan S. Iyer Definitely, because we are a net exporter per se. So, there is some amount of forex gain that has happened in FY 26. I think we have reported is close to about INR14 crore or so, which falls unde

r other income.

Moderator: The next question is from the line of Ramaravind from iThought PMS.

Ramaravind: So, the question I had was specifically on the new products that we are going to be coming about, which is ethyl maltol, maltol and cyclopentanone. So I wanted to know if the Phase 2 and Phase 3 of capex is taken into consideration specifically for these products or is the Phase 2 and Phase 3 going to be for the existing products? That will be my first question?

Sanjeev Patil: Okay. Shall I answer the first question, then we'll come to the second question. Yes, we are working and these projects are already underway. So as you will know, typical projects of this size do take 12 months to 15 months for implementation. So, we are at a very advanced stage in terms of detailed engineering, structural design, equipment design, procurement for some equipment has started. Other equipments, we are still in that phase of detailed design. So all the 3 projects are in full swing.

Ramaravind: Right. So sir, could you give any timeline as to when these products might be commercialized?

Sanjeev Patil: Yes. So we are targeting to do by the end of first quarter of next financial year. So by June of next financial year, we are targeting to complete these projects, mechanical completion as we call it, so that we can start taking the trials. And typically, in a month's time after those trials, we are in the business of commercial production.

Ramaravind: Right. And just to follow -up on cyclopentanone specifically, like do we have to wait for certain approval periods for this molecule from some of the clients who we are going to be selling it to? So will we have any approval period for this?

Sanjeev Patil: Yes. So as we always have been saying that when we develop a product, we do it in the lab and then in the pilot and all lab samples are approved. So customers are aware of this product, and they have seen our samples, approved those. So we are doing that homework simultaneously.

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Ramaravind: Okay, sir. And so the second question was to do with furfural. So where do we see the timeline of this furfural backward integration? Like could you give some timeline? And will this fall in the capex plan of Phase 2 and Phase 3 or is that completely separate?

Sanjeev Patil: So we will first establish the finished goods and then we'll go for backward integration. So in the meanwhile, we are trying to get into contracts for buying furfural from outside agencies. If you want me to talk about the timeline for furfural, it will be post, I would say, 2 years. So it's only after 2 years that we will get into that particular act.

Ramaravind: Okay, sir. So any time around FY '28-'29, we can expect furfural, is it?

Sanjeev Patil: Yes, yes. You can expect that project to be there. Yes, correct. That's correct.

Ramaravind: All right, sir. And lastly, just one thing on the biotech side, which is there have been mentions of biomass conversion, right? So biowaste into value-added products. Could you just talk a bit more on this?

Sanjeev Patil: Yes. This is a very complex technology. So we continue to work on that. And right now we are working on setting up a demonstration plant, which has a capacity which is significant. So that demonstration plant is being put up with a capex of around INR70 crore to INR75 odd crore, which will then do this thing on a few tons per day basis so that we have products coming out of that plant.

And all the 3 products will happen simultaneously. Energy conservation will happen and a lot of data will be available. So that demonstration plant project is also underway right now. We are at a stage at which we are doing the basic engineering. We are in the process of doing the detailed engineering work for that.

Ramaravind: So this is separate from the ethyl maltol and maltol projects, is it

? The biowaste products?

Sanjeev Patil: Yes, it is completely separate. That's correct.

Ramaravind: Yes. And just on a final note, what could be the end capacity figure like, let's say, after all these 3 phases of capex is done?

Sanjeev Patil: I'll let Narayan answer.

Narayan S. Iyer Yes. After all the first 3 phases of capex expansion, as also mentioned in our investor presentation, Privi will have on its own about 72,000 metric tons of capacities.

Ramaravind: Right. And the timeline for this, sir?

Sanjeev Patil: It is somewhere around 2028 June optimistically, maybe September 2028, more realistically, I'd say that.

Moderator: The next question is from the line of Rohan Mehta from Ficom Family Office.
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Rohan Mehta: Congratulations on a good set of numbers. So the 2025 annual report, it references a lot of molecules, including Silver Amber, Amber Silk as well as Privilege and Privitolide. So should we read this as a deliberate shift towards, a deeper value chain integration and also structurally higher gross margins going forward? Also, I wanted to understand what is the commercialization timeline for these products? And how do these factors fit into your FY 27 revenue and capacity utilization?

Sanjeev Patil : Yes. So I will pass the first part of margins, because obviously, you can realize that it is very important for us to maintain that confidentiality. But these products are already being commissioned right now. One of them is already commissioned and the other ones will be commissioned during the course of this financial year. I would hesitate to give you margins around that. So you have summarized it well. So that's where it stands.

Rohan Mehta: Sure, sure. And my second question is on raw material and fuel alongside logistics outlook for FY 27. So given the recent volatility in crude prices as well as overall energy and freight cost, could you give some sense of when it comes to your fuel source what part of your fuel source is currently crude linked? And how are you mitigating that risk?

Secondly, when it comes to CST and GTO sourcing, how comfortable are you when it comes to sourcing these? And should we think about any margin headwinds from input cost in FY 27 or are you comfortable on that front so far?

Sanjeev Patil: I think we answered this question partially earlier that 70% of our revenue does come from contracts that we already made and those are in place. Now in terms of shipping time, there could be a delay. I mean to say that there is no delay at all is not correct. But there will be a delay, but that's about a week or 2.

And we are well covered for that because we always maintain the stocks, which I mentioned in the earlier answer. So we maintain that stock, and that's how we try to mitigate the risk of such an event that is black swan event like this war. That's where we stand.

And about the raw material pricing and everything, Mr. Babani already told you that we are having very good relations with the customers, and it's a very transparent relationship built on a huge amount of trust. Therefore, wherever it makes a case for us to get a higher price, we do get that.

Moderator: The next question is from the line of Mann from GrowthSphere Ventures.

Mann: Congratulations for great set of numbers and pleasure to hear from you once again. Sir, actually, I have 3 to 4 questions. I'll start with my first. Sir, realizations for us actually tend to be in the range of INR560 to INR590 per kg kind of a region. And as we are saying that it has increased approximately by 6% to 8% this year.

How do we see this moving considering that we have 70% of our revenue as exports and which is actually dollar denominated, and hence, you would be getting some sort of forex benefit out of it as well and you are moving towards higher -value products. So how should we model this around?

und? And how should we see the quality of business going ahead around the pricing?

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Sanjeev Patil: Yes. So 2 things. One is that, yes, as rupee or dollar appreciates against rupee, there would be slightly higher realization. But you have to always remember when you do the P&L part that our 70% of our raw materials are imported. So to that extent, it does get balanced and also, we have some amount of forex debt and all that.

So there is obviously a benefit of rupee weakening or rupee depreciation, but it is only calibrated. It is not something that everything comes to us because we also import raw materials. So that's answering your question about this thing.

And realization will go up. If you see the trend for the last 5 years, it has been steadily going up, barring a couple of years in between, but it is going up from about INR450 to about INR525 to INR600 in the last financial year. So it is going up.

And going forward we have both categories of products. Majority of the products would be higher value products. Cyclopentanone obviously is not a product which is of high value. Although very good margins, but in terms of its pricing, it is lower. So you will find growth going forward definitely in this number, but it will be calibrated.

Mann: Got it. Got it. Sir, second question that I have, considering the crude oil has gone bonkers and due to that GTO prices have also increased a lot. Sir, for us, we have majority of our capacity benchmark to CST. And the raw material for CST sort of a base product that is basically imported from Western countries.

So considering that our end value is increasing and we have sort of a non-linked crude raw material of some quantity, do we expect the gross margin which has increased by, I think, 50 - odd basis points this year, increase in next or probably next to next financial year by any chance?

Sanjeev Patil : No. I think you should consider you always stay safe. So we will assume that the gross margin remains at similar level. What we actually do, and that's what defines Privi, is that we always look internally and try to improve the efficiencies. So that's what we have done in the last quarter, and we'll continue to do that and improve our efficiencies and improve our margins.

Mann: Got it. Got it. And sir, for the new products, like maltol, ethyl maltol and cyclopentanone, if you can explain to the investors what is the actual benefit to Privi for basically making these products because as far as we have known these products are basically imported to India and now there is some CBAM norm is also coming. So could you explain a bit in depth as to what would actually be going on in the industry post-CBAM norms? And how is Privi differentiated in these new products?

Sanjeev Patil: So if you really look at it, it is strategically similar to what we have been doing so far that is converting the waste into wealth. That's what we define internally. So like we do CST, which is a waste into value-added aroma chemicals. Similarly, we will be starting with furfural, which is made from waste that is corn crop and go all the way from buying corn crop to adding value to make these flavor chemicals and a speciality molecule.

So that's the way we have positioned ourselves. So when we are getting into this vertical, which will be ultimately valued up to INR1,000 crore in revenue, we are fully backward integrated,

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and we will be the only one of that type. And we also have a proprietary technology for making cyclopentanone. So based on this, we are differentiated from what others do.

Mann: Got it. Got it. And this would also be export focused, right, as CBAM norms have come like that would actually help us against our peers?

Sanjeev Patil: Yes, yes. You're right. You're right.

Mann:

Got it. Got it. And sir, last question for me is, if we see standalone margins of Privi as an entity, they are actually 27% to 28% kind of a range. And as in the speech, you said that now Privi has also started to become profitable. Can we expect the total or the consol margins to trend towards what standalone entity is quoting at right now? Not exactly 27% to 28%, but the direction towards it?

Narayan S. Iyer Yes. There will definitely be an improvement in the consolidated margins going forward now that PRIGIV is also turning itself to a positive.

Moderator: The next question is from the line of Prateek Shrivastava from Nivesh Wisdom.

Prateek Shrivastava: First of all, again, congratulations on a great set of numbers. Sir, I just have a little more follow-up on the raw material, especially on the gum turpentine. So at least from what I know that China is the global dominant supplier with around 60% to 70% of world's gum turpentine. So is that also our supplier for GTO?

Sanjeev Patil: No.

Prateek Shrivastava: Okay, okay. All right. So at least we have derisked our pipeline from that, right?

Sanjeev Patil: Yes.

Prateek Shrivastava: And when we say, sir, China Plus One, do we have any like new customer who has moved away from Chinese suppliers to us?

Sanjeev Patil: So you see Mr. Babani's interview in the morning on CNBC. So he actually has very nicely stated that we were born out of China Plus One. It is now fashionable to say China Plus One, but the necessity of having an alternate supplier for aroma chemicals arose many decades back, and that's how Privi came into being.

And in terms of acquiring new customers as it is, I think all the F&F companies as well as majority of FMCG companies which buy aroma chemicals, we are supplier to them. And they are more than happy to have a source which is independent of Chinese source.

And even in case where we are saying China Plus One strategy, we never forget about getting back to basics, and I explained in the previous question, that we will be fully backward integrated. So that is what gives us the strength. It's not just that we depend on China Plus One, but it also make ourselves very strong in terms of being fully backward integrated to get into the products that we are getting into.

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Narayan S. Iyer To add to what Sanjeev is stating, I'll literally say that we are indeed China Plus One. So on a

lighter note, because we are backward integrated, we are definitely China Plus Plus One now.

Prateek Shrivastava: Great to hear that, sir. My second question is on this amalgamation of the proposed merger between this PF SPL and PB PL into PSCL. Any timeline for NCLT approval?

Narayan S. Iyer So as indicated in my opening remarks, we expect that to happen by this financial year. Maybe it can come in the third quarter of this year is what internally we are targeting in fact.

Moderator: The next question is from the line of Mehul Panjuani from 40 Cents.

Mehul Panjuani: Pardon me because I'm new for this company. Sir, are the new speciality projects which are in pipeline and also the PRIGIV expansion, I mean, all these would translate into revenues in FY 27, all of them or I heard that PRIGIV is already contributing?

Sanjeev Patil: I think Mr. Babani explained in the previous question that in the current financial year PRIGIV will give about INR130 -odd crore of revenue as against INR55 -odd crore somewhere in the current financial year. And the other speciality molecules still the projects are being implemented and you will find revenues coming from those in the next 18 months onwards.

Mehul Panjuani: Right. And another question is about the margins. The EBITDA margins, I think I heard that are sustainable about 25%?

Sanjeev Patil: That's correct. It's 25% and we will endeavor to stay there.

Mehul Panjuani: Great, sir. Sir,

last question about the partnership with the multinationals. Can you please elaborate a little bit on what are we working with these guys?

Narayan S. Iyer That is a JV that we talked about, where Mr. Babani also mentioned the numbers. So it is purely manufacturing certain high -end speciality chemicals exclusively for our JV partner, Givaudan SA.

Mehul Panjuani: Right. And there are 2 more, right, or it's only the Givaudan?

Narayan S. Iyer Only one. There is only one JV. The other company is 100% subsidiary of the parent company.

Moderator: The next question is from the line of Karan Talwar from DAM Capital.

Karan Talwar: Congratulations on a good set of numbers. Sir, just a couple of ones from my side. Sir, we are seeing that in this quarter, apparently, our other expenses and power together have declined both sequentially as well as Y -o-Y despite having a strong revenue growth and the prevailing disruption in West Asia, which should have typically increased your freight and logistics costs. So could you please help us understand what has driven this decline?

Sanjeev Patil: Yes. So on the first part, the power part, I will give all the credit to our engineering team who has been working round the clock in terms of saving steam and power. So therefore, overall fuel cost has come down, and we continue to work on that. So we have a program, which is called Privi Speciality Chemicals

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ProMax, wherein we keep on working on utilizing whatever is the residual steam that is left, we try and get value out of that.

And that's how we have brought down the cost of power and steam. And going forward, you will see this trend continuing. But these improvements come very slow and steady, but certainly. and on the second part of controlling expenses, I think we have hawk here, CFO, who have been controlling all the cost, and I would leave the rest to Narayan.

Narayan S. Iyer Yes. So there has been a constant monitoring and an endeavor, and we have been able to ensure that some of the contracts that we enter into with various EHAs and freight forwarders, the prices have been very, very definitely concisely and precisely negotiated, and you are able to see the better results out of that in fact.

And our endeavor has always been, as also mentioned by me in my initial speech, that it's a conscious decision of the entire management effort of bringing down and keeping all the expenses under control. And that's what you would see that it has helped in improving and increasing the EBITDA margins over the previous years. And we will continue striving for that.

Karan Talwar: That's helpful, sir. Sir, secondly on the EBITDA upside that you mentioned from the current portfolio. Now with the current mix, how should we think about the remaining levers for EBITDA expansion from here? What I need to say is have the benefits of probably product mix optimization from your side stream and the operational efficiencies, have they been largely captured or can we see some meaningful upside from there on as well?

Narayan S. Iyer To answer, the EBITDA margin should remain at these levels. This is our endeavor. At the end of the day, I happen to mention in my earlier thing also that we are manufacturers of chemicals and we are not magicians. So there could be a particular limit up to which we could strive and get the EBITDA margins going up. But with the scale of operations that we are looking at, absolute numbers, you will see that it keeps growing around. Margins, we should be in a position to sustain.

Karan Talwar: That's helpful, sir. Sir, would you want to throw some light on if you are in any active discussions with other MNC players like we did with Givaudan? Are there any others in the pipeline as well? Any discussions that you'd like to highlight?

Sanjeev Patil: Discussions are always on, but at this stage, it is too premature for us to say anything.

Narayan S. Iyer At the appropriate time, we will be bringing the same to the world outside.

Karan Talwar: Perfect, sir. So just last from my end. So what would be the state incentive for this year, for this fiscal?

Narayan S. Iyer Sorry, could you repeat the question?

Karan Talwar: What would be the state incentives that we may get this year?

Narayan S. Iyer So which year? FY 26 or FY 27?

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Karan Talwar: For FY 26 as well as for FY 27?

Narayan S. Iyer See, last year around the financials which has been audited, on an average, we have received about close to INR13 -odd crore as state incentives from both the Gujarat as well as Maharashtra government. Of course, this has been offshoot of a couple of years.

Going forward, we expect, as we have stated that these are incentive schemes basis Maharashtra government and state government of Gujarat mentioning. And we should be in a position of getting 50% of the GST amount on sales made in the state within the local state in fact. So we should be in this range only.

Moderator: The next question is from the line of Sajal Kapoor from Antifragile Thinking.

Sajal Kapoor: I have 2 questions. First, you have spoken about biotechnology, enzymatic chemistry and renewable feedstock as a strategic priority. What I want to understand is the economic crossover point. For which product categories or molecules do you believe bio -waste routes are or can realistically achieve cost parity or cost superiority versus conventional petrochemical synthesis over, let's say, next 3 years? And what are the key bottlenecks still preventing wider commercial adoption today?

Sanjeev Patil : Okay. So I'll answer this question. So the very purpose of putting a demonstration plant is to assess in detail the overall economics. And as we stand here today, we do see merits in biotechnology route and adding value to that. So what is it that Privi does differently?

So majority of work that is going on in biotechnology right now is about making 2G alcohol or a fuel, whereas what we are doing is actually a refinery where we have multiple products, which are of significantly higher value than alcohol, which can at best get you price of INR105 to INR107 for a 2G alcohol per liter.

So we are looking at more higher value products, which is what makes these economics possible.

But then having said that, the technology is very complex, and that's why we are putting a demonstration plant, which will come up in the next probably 12 months or so. And once we operate that demonstration plant continuously, then we will establish these reserves.

And one of the reasons why these plants do turn out to be economically unviable is the capex cost. So while on an operating basis, most of the bio -waste is available at prices, but it is what you do with it in terms of, one, adding value to it, which is what we are doing. But on the other hand, the capex that is required is significant.

So that's how the return on capital has to be well calibrated, which is the reason why we are going for a demonstration plant. So it's a very cautious approach, cautiously very optimistic, but cautious nevertheless. Does that answer your question?

Sajal Kapoor: Yes. But what I was trying to get from my question was the economic crossover point, because if you see historically, new manufacturing paradigms and biotechnology, enzymatic chemistry in aroma and fragrance is a new paradigm.

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But they only scale when they start to outperform the incumbents on both the cost as well as the performance because you need to achieve both; the cost parity, if not superiority, as well as at least at par performance or better performance using a newer sort of manufacturing paradigm. So I was just trying to frame my question from that perspective.

ive. Are we likely to get there in the next 3 years or so or is this kind of a more...

Sanjeev Patil : We are definitely likely to get there, because as I said, one of the key parameters there is what kind of products you are making. So when you make premium products, you definitely make the economics turn in your favor. And that's what we are doing.

Sajal Kapoor: If we get there in 3 years, this will be a kind of a paradigm shift in the chemicals manufacturing because the whole world -- many materials are currently -- they haven't got any alternate

synthesis route other than the feedstock based on the fossil fuels. And if you could crack biotechnology at scale, keeping the economics and the performance at par, then I think it can be a game changer.

Mahesh Babani: Yes, indeed. It would be for sure. Let me give you an example. There are 2 large companies in our space who have succeeded on 6 or 7 products in this space on 6 to 7 molecules, which are large, \$30, \$40, \$50.

Now our challenge is coming, when we are doing this, we are confident that about the 5 molecules we are launching, 3 of them are below \$10 or below \$5, but one of the items, which is a few percentage of that volume is at \$90, \$80, \$70. But we want to multiply so much that we don't mind selling it at \$50.

So we are having a lot of challenges in assessing the market. So we have been meeting all the customers. In fact, how will the elasticity of demand span out if we launch it at \$45.

So everyone is confident the market will multi-fold if we launch it. So we produced right now only a few kilos or maybe 10 kilos, and we are in the process in the next couple of years, we'll produce a few tons and then take a market, research and then launch it because we don't want to put any shareholder money to this.

Once we are sure of it, we'll go full swing. And that may take 3 to 4 years. So this is beyond 5,000, beyond 5k story. And the top team of Privi is working beyond 5k. 5k, the team is different, and beyond 5k, the team is different.

Sajal Kapoor: Thanks so much for this comprehensive response. Very sensible thinking, I must appreciate. I look forward to all the execution in the coming years as well.

Mahesh Babani: Keep our fingers crossed, we'll surely succeed. And it's our endeavor to do this. We're going to bring something good molecules on earth so that we will be making a significant name in the world market. Our expectation is to reach beyond the expectations one can imagine.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Narayan Iyer for closing comments.

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Narayan S. Iyer Thank you. And on behalf of Privi Speciality Chemicals Limited, I thank all of you, investors, shareholders and every person there attending this call and listening to the perspective from the management of Privi. Thank you, everyone, and looking forward to keep interacting with all of you going forward. Mr. Mahesh Babani wants to say something.

Mahesh Babani: I would really thank the person who asked that question so that my other shareholders also could listen what we are doing. They'll also be able to gain knowledge of what impossible things we are trying to do. So thank you for that.

Narayan S. Iyer On that positive statement and sentence by Mr. Mahesh Babani, our visionary Chairman and Managing Director, we at Privi, the management team, say goodbye as of now, but Picture Abhi Baaki Hai Mere Dost . Thank you.

Moderator: Thank you. Ladies and gentlemen, on behalf of Privi Speciality Chemicals Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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